

REC Ltd. (RECLTD)

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Call: Feb 2023

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Endless energy_ Infimte possibilities REC Limited I3ITr~r f~f~:s

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SEC-I /187(2)/2023/ I r 5:} Dated: February 24, 2023

Listing Department, Corporate Relationship Department

National Stock Exchange of India Limited BSE Limited

Exchange Plaza, Bandra Kurla Complex, I" Floor, Phiroze Jeejeebhoy Towers

Bandra (East), Mumbai -400051. Dalal Street Fort Mumbai -400001.

Scrip Code-RECLTD Scrip Code-532955

Sub: Transcript of Analyst Meet of REC Limited held on February 17, 2023.

Dear Sir(s),

In continuation of our earlier letter dated February 18, 2023 and pursuant to Regulation 30 read with Schedule III of the SEm (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of Analyst Meet of REC Limited held on February 17, 2023 is enclosed herewith .

This is for your kind information and dissemination .

Thanking you,

End: As above Yours faithfully ,

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(I.S. Amitabh)

Executive Director & Company Secretary

Regional Offices: Bengal Bh I Bh b uru, opa, u aneswar, Chennai, Dehradun, Guwahati, Hyderabad , Jaipur, Jammu, Kolkata,

Lucknow, Mumbai, Panch kula, Patna, Raipur, Ranchi, Shimla, Thiruvananthapuram & Vijaywada

State Offices ; Vadodara. Varanasi

Training Centre : REC Institute of Power Management & Training (RECIPMT) , Hyderabad

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"REC Limited Investor Meet "

February 17 , 2023

MANAGEMENT :

Shri Vivek Kumar Dewangan, IAS, Chairman & Managing Director

Shri Ajoy Choudhury, Director (Finance)

Shri Vijay Kumar Singh, Director (Technical)

Shri Sanjay Kumar , Executive Director (Finance)

Shri Sanjay Kulshrestha , Executive Director (State Operations)

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Management : We welcome you all in this meeting. You must be aware that recent focus on energy transition India is heading this G20 presidency this year and in this G20 this energy transition working group is being led by secretary power. There is renewed push on this energy transition particularly on green hydrogen, green ammonia, renewable energy both solar, wind and hybrid solution and storage solution and offshore wind as well. Our focus now would be more on this energy transition initiative and we will try to raise this fund for funding these green projects. As you are aware that conventional generation has almost reached to its peak. Hardly about 26 gigawatt to 30 gigawatt for only fuel-based power plant are likely to come by the year 2030 and we had to reach this non fossil fuel-based generation of 500 gigawatt by the end of 2030. Right now we stand at about 175 gigawatt only , still a long way to go 325 gigawatt of non-fossil fuel based installed capacity would be set up in India. Right now, our renewable energy portfolio is about 25,000 - 26,000 crore only, but we hope that with push on this fuel project we are targeting up to 1,00,000 crore funding in the renewable energy projects.

Interviewer: This 25 going to 1,00,000 crores in how many years sir?

Management : We are targeting in the next two to three years.

Interviewer: Fresh disbursement of 25,000 crore is for next year?

Management : Because recently high-level meeting at the highest level was held and Government of India has decided to go with full throttle actually . Because last two years due to COVID, the installation of renewable energy was limited on 10 gigawatt to 14 gigawatt only that is not sufficient actually. We need to go for about 40 gigawatt to 50-gigawatt capacity every year now. Both REC PFC IREDA are financing this . Other banks are also present there.

Interviewer: PSU, private or both of them or PSU banks only?

Management : Largely PSU banks. So, we see the scope for about 1,00,000 crore s for us in the next three to four years.

Interviewer: And as a country 50 gigawatt in next three years?

Management : Per year 50 gigawatt , then only it will be possible to reach. By 2030 the Panchamrit announced by Prime Ministry , the target is 500 gigawatts by 2030.

Interviewer: And these 50 gigawatts is equal to what 1,50,000 crore a year or 2,00,000 crore a year?

Management : 2,00,000 crore a year.

Interviewer: Out of 6,00,000 incremental 75,000 REC receive, 75,000 to PFC other 3,00,000 to 4,00,000 will come by IREDA/ PSUs and private bank somewhat to equity also.

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Management : So, that is one focus area . Then Government of India has allowed us to diversify to logistics and other infrastructure also. So, we are diversifying to metro projects, roadways also, highways, airports , ports and hospital projects have also come to us.

Interviewer: This infra will be your in a consortium or we will be the lead of the consortium or how it is?

Management : Small projects we will be doing solely, but large projects are there we will go in consortium with PSU and other banks.

Interviewer: We will lead the consortium or generally we will follow the leader?

Management : It depends on the opportunities some of the projects we will be leading, some of the projects PSU will be leading.

Interviewer: General question anyone will talk to in that in past we have not done infra, so do you have core competencies to take a lead in the consortium and to do this kind of?

Management : Yes that is what I just wanted to underline the fact that we are looking for the experts from each of this identified field. It is fact , that is the new area for us, we are developing our capacities so that will carry out due diligence and proper appraisal of all the projects done by us.

Interviewer:

We are hiring outside consultants or we are hiring them within the company?

Management : Both options. We are taking them for fixed tenure.

Interviewer: Anything can you throw more light; anything has happened actually or this is all in the plan?

Management : We are in just process actually within month or two then all this we would like to highlight.

Management : So some total sanctions that we have done till now up to the end of Q3 is 19 ,2496 we have to see one particular road infrastructure sector we have already done 24 ,799. Now this constitutes majorly the metro projects what we have done in case of Mumbai metro that is under MMRDA.

Interviewer: So that will come under infrastructure?

Management : We also have done one HP Refinery complex petrochemical complex in Rajasthan Barmer where we have taken possession of 7500 . Regarding your query of holding competency and capabilities so how we have started is that we are initially looking at government sector projects and those projects which are backed by the government guarantee also. Now so that give us like Mumbai metro project is 100% guaranteed by the government . we have one another health sector which Chairman Sir mentioned that also is 100% is government guaranteed. So, initially till the time we developed great capabilities for appraisals, for professionals, higher consultants just to

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start with we have started looking at much, much safer assets, but large big assets also at the same time so that our presence is actually there in the market.

Interviewer: So this can be quasi guarantee or full guarantee?

Management : Whatever we have done in infrastructure it is full state government.

Interviewer: In the mix of public and private sector lending right now and three years down the line?

Management : Right now, it is 90 -10 actually.

Interviewer: That is lower than. 85 wh at do you intend to take it to four years down the line once we start?

Management : Naturally like , this green hydrogen, green ammonia that is coming in the private sector only and renewable projects are coming in the private sector mostly they are coming i n private sector which may go up to 25% to 30%. So, as we grow in the renewable sector , the private participation will increase.

Management : Any new customers , now for like hydrogen or ethanol all private sector participation will be there. So, of course o ur loan book growth towards that sector.

Interviewer : So, 25%, 30% can become private?

Management : It will take some time.

Interviewer : I am talking of three, four years down the line.

Management : Say by 2030 it will take some time without this project

Interviewer: You are saying infra will 25% by 2030?

Management: Government has put a cap actually any year we can sanction max 33% of total sanction in that particular year. Total loan book also only up to 33% we can go for launching an infrastructure, but core 67% would be power sector.

Interviewer: So, with these kinds of sanctions what is the loan growth that you can think of like next year?

Management: So we are thinking of this year I think we should grow by 10% a year on growth. Next year our target will be 12 %. Our other book is very high online is 2000 already . So, we believe that we can definitely clock 12% next year.

Interviewer: It can be higher also?

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Management: Higher also yes.

Interviewer: But then what kind of disbursements would that end I mean this year you plan to end with 950 billion?

Management: This year if you see our target is around 85,000 crores to 90,000 crore that will give us 10% growth.

Interviewer: So, for 12% growth where do you see this disbursement number going?

Management: That would be around 1.2 billion .

Interviewer: And any more visibility for next few years like projection like it was in 1

2% so do you think

whether over the next three to four years we will be able to do 12%?

Management: Next three, four years definitely . Because as sir has said this renewable and sustainable climate change initiatives will take us in the stage and with the infra is also on the priority list for the government and in the budget 10,00,000 crores have been provided, states are also doing th eir best, so huge opportunities are coming up in the non-power infra as well as the renewable sector.

Interviewer: How much of portfolio runs down every year due to repayments and shifting for other financial institution how much is that?

Management: The repayment which is there is around 40,000 crores to 45,000 crores a year. Around 10%.

Interviewer: Disbursal you are 80 so 10% growth should be there?

Management: Regarding business if you see, the planning of the C EA is generally forecasting regarding the investment and the loan book is that targeted around 14,00,000 crore per equities. So, it consists of 25,000 plus conventional power it will come in there. So, only 50% will come from the renewable. The renewable in jection you have a injections towards this side. C EA has also come out with the transmission plan recently. They are saying that around 2,50,000 crore will be required on all corridor because they are also required the investment if you want the sustainabl e grid and the injection of that huge renewable. Investment opportunities are there. As infra is coming our way as a new sector that also add on hopefully what all we have been doing already.

Interviewer: But going forward would you like to move away from this government guaranteed model to an independent model where you just go on the merit of the project or going forward?

Management: We will obviously go by the merit of the project, but since initially we have opened space very recently only in the last quarter so that is the strategy as of now. Once we have the required ability , capability.

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Interviewer: For next one, two year we will go?

Management: We are going for more safer project because we have seen that there is lot of appetite available even in assets like government guaranteed assets.

Interviewer: Who are our competitor in government guaranteed projects?

Management: All banks are there; all institutions are there. It is largely a first mover advantage on gaps and infrastructure that is our experience so far. So, we have done one particular hospital project, for example, it was available with all the banks, all the NBFCs also, but I think we moved fast, we did it first and therefore the entire exposure is now with us. It is government guaranteed also so its fits in our strategy. otherwise infra all banks, all NBFCs are active .

Interviewer: Infra projects also in defense projects or it depends on domestic that is done ?

Management: Defense project we have not contemplated so far, but should there be any good projects we will consider it . Right now, there is no such projects . If it falls in the definition of this infrastructure , largely infrastructure.

Management REC provides a good comfort to a borrower because we can take total project, there will not be any problem in the construction so that comfort is there with the borrower, we have that kind of edge we can customize these things.

Management: To answer your question about the government sector a large part of the interest rate investment is coming from the public sector and not from the private sector. Private investment is as of now quite low. So that is why our exposure will also be tuned with the requirement of the market.

Interviewer: Sir on the infra sector your spread would be similar to what you are currently bidding.

Management: Yes, we expect a spread of around between 2.5 to 3 . Slightly better than renewable . Renewable is quite competitive be

cause we also want to encourage renewable, we want to have more green projects and all

Interviewer: So, renewable would be lower than 2.5 in general right?

Management: Yes.

Interviewer: But this new opportunity in infrastructure space that would be closer to the blended or spread?

Management: Yes.

Interviewer: Sir on the funding mix how do you plan to fund because now you would be one of the largest NBFCs so in the domestic market on the bond front how is the appetite?

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Management: See on the funding part generally our corporate bonds used to be 60%, but during last two years the banks have reduced their rates considerably and they have the -pre payment option as well.

So, our bank loans have gone up. So, currently our bonds are at 4.0% I think we will hold on to that. So, we have avenues from bond market, ECB is 25% that will remain and then we have the term loans which is around 18%-20%, 12% comes from the capital gain bonds that is increasing that is how it is, but ultimately wherever we find the cost benefit , the bond market shows better.

Interviewer: Bond market must be entirely fixed?

Management: Yes, it is entirely fixed.

Interviewer: Banks what is this generally is it EPLR or MCLR?

Management: It is MCLR based.

Management : Not much of the loans are MCLR based now. They are mainly linked to the external benchmark either Repo or T -Bills. Here the spread also we are able to have the minimum spreads at this point of time because both T -Bills as well REPO rate are at much higher rate. To get advantage we will be getting in future once the rates start coming down. Any case they have pre- payment option in case if we can get better rates in the bond market then in any case keep it

Interviewer: Your own loan book must not be EBLR linked so maybe that is the reason why NIMs have been lower last few quarters where book must be fixed?

Management: The NIMs were slightly moderated largely because in the last few years we had lowered our interest rates and loans which are coming for resetting are in these lower rates. Now with the slight increase in our cost of fund , we have raised our lending rates, but not to that extent. So, somewhat the NIMs have moderate. But then the other growth driver sanctions are growing, credit quality is improving so that is kind of after all and that is the ultimately the bottom line that is what we are looking at even if were to moderate to have a better quality . It is a tradeoff always between credit quality and margins. So, if you want to have good projects in hand, better good entities, strong entities we need to moderate our margins.

Interviewer: So, that proper mix in the borrowings we are able to cutting our cost?

Management: Not increased to that extent, growth rate increase of 2.5% repo, but our cost has increased marginally by 14 basis points from 7 % to roughly 7. 14%.

Interviewer: And how did you manage this?

Management: By having the definite mix.
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Interviewer: have u repaid bank loans?

Management: Repaid from the bank loans . Also more of the foreign currency borrowing we did which is at much cheaper rate on hedge basis, about 92% of the total foreign currency borrowing is already hedged also. So that roughly comes at about 6.75% so that is much lower as compared to term loan.

Interviewer: So you manage your cost of funds, but on yield side you passed on the benefit because obviously credit quality was quite good, so this thing can continue right going forward also because the targets are huge and you have to also make it attractive for your borrowers and your credit quality continues to be strong, your cost of funds you can manage it really well, so does that mean that this thing will continue like incremental yields will be lower and thereby we should settle for a low

wer NIM given that you have a very sufficient ROA of closer to 2.3%, 2.4% . Is that the fair understanding?

Management: Yes, that is the fair analysis. Our philosophy is to have good quality assets I mean even if we have to comprise a little bit on the margins that is the thing. So, we will continue to do that and with growth happening in our AUM, so we believe that we will be comfortable with our bottom line and even if some lower margin, but presently we think we can hold on to these margins currently 3.5 of NIM . I think we can hold on to them. So, with better quality of assets and more growth in terms of volume and in an AUM.

Interviewer: Just to dwell a little bit more on this 3.5% so one is that you said renewable would be lower margin business and then you on the other hand also seeing that I mean that overall, it should kind of we are dragged rather than holding on to study.

Interviewer So your mix will become adverse compared to what it is today in terms of higher yield with renewable share will go up.

Interviewer: We are also targeting higher quality business so that mean again lower yields and also renewable will be lower yield comparatively. If I look at it combined these two factors then it would be difficult for you to maintain NIM at 3.5.

Management: Not really because our equity is also growing, but that also gives push the NIM up slightly and we will not have very low spread, we will work at around 2-2.5, renewable it would be 2, but if you see other projects anything 2.5 to 3 largely in generation and distribution projects. They are all in the LPS and all that thing slightly between 2.5 and 3. So, if you see coming in 3.5 of NIM is fairly manageable and we can achieve that much .

Management: If you see our generation distribution book is more than 3,00,000 crores where we are not negotiating around the interest rates. We have a good margin over this and this is consisting of you can say 75% of the book. So, if you see the other part of this when it comes with the

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renewable or infrastructure or private sector. So, these 3,00,000 crore assets are giving us a good revenue .

Interviewer: This thing will keep coming down and your other mix will keep going up . I am saying reduction in transmission.

Management: But in infrastructure also we are not compromised on the rates.

Interviewer: But it will be lower than your transmission and generation?

Management: So, whatever we do in renewable energy base that will be obviously at lower margins that will be compensated with whatever we are doing in infrastructure. So, today we are doing 9.5 and 10 type of open running in infrastructure space this was good margins. If these two things will balance out it will be easy to them remain on. largely.

Interviewer: So, in the last two quarters especially in any compression in NIMs is being offset by provision writeback , do you think in terms of stress assets whatever provision we have to take they are there only; they are sitting in there so 0 to negative provision should continue?

Management: Yes. Provisioning is nothing to do with the NIMs firstly.

Interviewer: No, I am saying at the PAT level at least whatever compression gets largely offset by especially the provision write back we had like any stress in terms of resolution also if you can share some thoughts?

Management: Resolution I think we have already done roughly 2,200 crore , Some large resolutions are lined up and are mostly at the final stage in terms . Lanco Infra which will be resolved in two to three months. Meenakshi Energy in two to three months . These two projects put together is 3,000 crores in terms of principal outstanding and there is a good recovery we are able to see now So, whatever you mentioned reversals out there obviously that will be there because resolution -

based provisioning made ,

if there is a resolution there is the reversal of asset . So, this will keep happening on a quarter -on-quarter basis. Next quarter we see 3,000 crore projects getting resolved there will obviously be some reversal of asset because the provisioning is much greater than the expected recovery, what we have seen so far that provisioning in all our cases , almost in all cases has been reversed and there is a benefit in our balance sheet and it was a recovery and the provisioning is always a sufficient gap of the requirement.

Interviewer: How much would that lead anecdotally we are going to speak about the earlier cases that were resolved I think provisioning was around 65% to 70%?

Management: Correct. If we see all the projects where we had to compromise on the total recovery amount of total principal outstanding and that is the reason, we have been able to share register of 62%, but

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the provisioning is in the range of 65% to 70%. So, there is always whatever asset gets resolved there maybe reversal. So, this year also we resolve say Jhabua Power provisioning.

Management: South East UP should be 100% reversal for the full principal.

Interviewer: How much was the amount?

Management: 900 crores. Some more projects are likely to resolve in the next financial year. KSK Mahanadi, Dans Energy and we are talking about this Nasik also which they are disbursing in the Government of Maharashtra, they take over as an asset our exposure is close to 2,300 crores . So, these 14,000 crores will come down substantially in the next one year that. As I mentioned, roughly 3,000 crore worth of principal outstanding.

Interviewer: Can you please keep the previous slide 14,900.

Management: Total outstanding for 14900 total outstanding for assets from these 3,000 we have the visibility plans are submitted they are likely to be approved by the NCLT in the next two, three months.

So, 3,000 straightaway we see.

Interviewer: 3,000 will be in this March quarter.

Management: One Dans project is there we are doing that restructuring and lead lender is already done. Once we do that is under the 500 crore that will also happen in Q1 maximum. 5,000 crore, 6,000 crore projects we have the visibility today that is the resolving QoQ maximum. So, 40,000 crores in some of the projects 40,000 has got some projects under liquidation phase. Of course, the recovery level is not going to be very great, but then this adequate provisioning already in this closure . So, that will also conclude in next year, 23-24. So, likewise and we do not see any fresh acquisition of NPAs going forward all of our assets particularly thermal, whatever assets do we have today say roughly of 8,000 crore of total outstanding all of them are performing very well . There is no financial stress in any of the projects. So, we do not see any fresh NPA happening going forward. This is only what will resolve going forward .

Interviewer: Sir what was this number one year back like today it is 14,923?

Management: So, I think we have at roughly 2,500 crores . So, last year still the number was only 2,500. In 9 months, it is 25 which we may say next year still will be higher than it was . Plans for 3,000 crores are already in the final stage.

Interviewer: We have been the successful bidder so what is the plan , how much will we invest in that project?

Management: Basically, we wanted resolution near the fair value that is why we went into that, but unfortunately the other two bidder backed out in this process. We have brought in this DVC ,

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(Damodar Valley Corporation) they are partner and they do have the experience of running a Chinese plant that is in Raghunathpur in West Bengal, they do have expertise and they have also done reengineering for this spare parts of Chinese plant . By re

engineering they are able to

manufacture those spare parts in India itself because they do not have to depend on Chinese suppliers. Two units are already functional 600 megawatt (300 into 2 units) is already functional.

Unit number 3 that is 660 megawatt we do have that with we have infusion of about 1,500 to 2,000 crore we will be able to make it operational. Since it is a PIT Head plant the variable cost should be very competitive and DVC is having the distribution network also, so even if there is no PPF on that, we will be able to observe that through the distribution across our DVC.

Interviewer: How did this run through the PMF because at one end we are the financier now we are also investors so if you can give some light?

Management: Basic idea is that to run that plan , make it functional so that we sell it off to prospective bidder like we also propose a Project Asset Management Company (PAMC). Would like to brief on this all-asset management company concept.

Management : On the Amarkantak , we have given a value of 3020 for this particular asset. This already has 1,300 crore of cash available income, so our net outgo is only going to 1,600, 1,700 crores for the resolution plan implementation because 1,300 whatever is available will be utilized for this channel and as Chairman Sir mentioned that another 1,500 crores to 2,000 crores we expect on unit 3 which is 360 megawatt. So, with 1,500 crore of fresh CAPEX, 1,500 crore of resolution plan outgo, so with 3,000 crore we will have 300 megawatt of operational asset, 600 megawatt of operational assets and one unit will get completed for 660 megawatts . So, total of 1,220 megawatt on the operational asset will be available to us in 3,000 - 3,200 crore and it will be finance by REC and PFC because we are partners. It will be a combination of equity and debt largely in debt not equity and as Chairman sir mentioned about PMC now take this concept further forward so what we are anticipating in proposing to the government and it is under active moderation that we will form PAMC (Project Asset management company) rather than just being run by REC PFC we will set up a joint venture company now we will keep participating on all stressed assets and try to safeguard or maximize the recovery by way of participating in stressed assets.

Management Particularly those assets where we are the lender, we will start with them .

Interviewer: Once this asset is coming operational what happens to our lending that becomes standard.

Interviewer How much is that because there was change of management?

Management: RBI allows that once there is change of management this becomes standard.

Interviewer: How much is the exposure?

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Management: That will go off once the payments are made to the lenders including REC/PFC , so that past as you said is completely resolved. Now fresh lending whatever we do.

Interviewer: How much haircut that will?

Management: Tentatively the resolution has happened at around 32%, our provisioning is already 75% to 76% Provisioning that way there will be write back only.

Interviewer: What is the exposure?

Management: Our exposure was 2,300 crores.

Interviewer: Competitors were much lower?

Management: Yes. Initially they were better at one particular level to improve our rate and then we wanted to take it over in any case or we wanted to get a very good fair value. So other people did not pass through it so we got this particular. Through in its operation PPA is there so the other unit see currently recently one PPA was announced for five-year period which has got a 5.13 Rs of tariff. So, demand is growing so PPA is likely to happen, but even if does not happen even if sell it to the exchange it is going to give us very good generation, we can project 1.5.

Interviewer: Previous PPA what is the prices?

Management:

Previous PPA C ERC. Cost plus basis

Interviewer: After this much PPA 75% write off.

Management: The reason for that lower value what we are seeing that project under construction is not fetching good value at all . In this case 1,320 megawatt is under construction so that nobody is actually giving you very good value for that. Now coming to the 600 megawatt which is operational these two units got commissioned in way back in 2010 -11. their residual life is 7 years, 8 years, 9 years so not much of value is and debt portion was also very low at the operation project because they were already paid off initially. The debt position of these 600 megawatts was very low.

Interviewer: Debt project is write -off is less, but debt is more.

Interviewer: Is your capital requirement increasing if you invest in private companies because I guess your risk weightage would be 0 for the public sector exposure ?

Management: No, it is not 0 it is only government guaranteed projects there are reduced risk weightage. So, our current CRA R is 25 is very comfortable. So, internal accruals are coming every year we are adding 7000 crores so that gives us very good headroom. Capital is not a concern.

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Management Public and private. Only government guarantee?

Management: Because below risk.

Interviewer: Sir concern of investors this Adani exposure we like some more clarity please share the details we have done complete analysis, all the power projects PPA met?

Management: Yes, all of them all of our projects have PPA renewable, transmission.

Interviewer: Including the sanction to be given money?

Management: Yes.

Interviewer: And what is our thinking going forward say one is already given to power purchase so no

problem, sanctions also you will do with power purchase?

Management: Yes.

Interviewer: And what is our thinking on if any particular group comes for the fresh projects are we in a mood to again to value add and give more loans or we go by the merit of the project .

Management: We will go by the merit of the project.

Management : So, suppose sir as Chairman mentioned there is a lot of emphasis on the renewable or the energy transition and we all know that Adani has also got market player they have developed high quality assets that we all are aware. Suppose they win a project in SECI NTPC tender and the credential of that particular project of that particular project is very good and the revenues are showing by secure NTPC there is no risk for us to invest. So, we will take asset by asset, evaluate, do due diligence.

Interviewer: And we can go on infra side with private players also going forward?

Management: Infra as we mentioned that initially we are looking at state sector not private sector, only state sector entities so that we are still in developing phase. Infra will wait for a while to take a call.

Interviewer: Infra again if you go with private player in power, you have PPA bank, but in infra we are taking some risk we are aligning.

Management: Because that is not a PPA mechanism for example in infra projects .

Interviewer: As we will have some underlying risk factor, we cannot guarantee that you will have some underlying risk factor.

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Management: That is why to start with we have gone with the government guarantee only.

Interviewer: Can you give some more detail?

Management: I like to inform you one more thing this smart metering has got very good potential and revamp distribution sector scheme. 25 crore prepaid smart meters are to be installed all over the country, total business about 1,50,000 crore and it is going to be OPEX mode only, this is the guaranteed payment over a period of 8 years to 10 years to the operator. There also we are looking for financing smart metering project. Some of the smart metering projects

have been won by Monte

Carlo, Adani Group. GMR Group So, they are all bankable projects irrespective of whoever wins that we are more than willing to finance this smart metering. Another area this electric mobility area perhaps we just missed out . This electric mobility is charging infrastructure is another area we are looking into right now we have taken two, three projects for electric buses. For around 3000 crores

Interviewer In this exposure you can break it down into tenure and how much is transmission, how much is renewable, how much is thermal?

Management: Total of 13,400 crore of project that we have sanctioned to Adani group so far in this we have disbursed 8,200 crores . So, these are renewable energy projects, updation project, transmission and distribution projects.

Management: Mostly it is generation project with thermal generation is 4,000 crores , renewable is about 3,000 crores remaining is transmission and distribution.

Interviewer: And what is the tenure of these loans ?

Management: So, for thermal it is normally 16 years, 17 years, 18 years I am just giving you ballpark numbers, renewable also is actually 16 years, 17 years excess of one year of moratorium and 15 years, 16 years of principal repayment, T&D is also 14 and these assets like T&D they have won in TBCB projects and are competitive projects. Renewable all of them are SECI projects, all of the operational projects are performing very well, they are not performing well they are performing very well . We do not see any stress, we have done one coal mining project also under AE L which is generating almost double the DSCR sort of a revenue , so there is huge surplus cash available there, in any of these assets there is no financial stress. One particular project thermal project which is almost 98% complete will be commission . With that our total book will be commissioned of projects.

Management And out of these 8,200 crores which we have disbursed , more than 1,200 crores has come back, repayment. as per normal schedule

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Management: There is no default, no delay. It is all assets and therefore there is no Balance sheet Funding Working Capital funding it is all asset funding.

Interviewer: Sanction project which you told in that how much would be private?

Management: So out of that 2,00,000 crore roughly. We have 192000 crores We still have private roughly say 20,000 crore which is largely renewable. We have done up to Q3 so it is going to be that renewable is going to be private rest all is more or less same.

Interviewer: Rest all is guaranteed by government only?

Management: So, whatever we have done largely government guaranteed whatever we have done LPS. Is 100% government guaranteed. So there is a combination and then there are some CAPEX projects also which are not government guaranteed. Backed by assets

Interviewer: Adani all will be at SPV levels you mean to say?

Management: All at SPV levels.

Interviewer: You also have a group level exposure gap right they cannot fund anyway?

Management: RBI allows 50% group level exposure. So, ours is only 7,000 crores.

Interviewer: Total book 50% can we give?

Management: 50% of networth

Interviewer: WHAT?

Management: Net Worth is around Rs 54000 crores

Interviewer: Total loan 5% ok network 50?

Management: Yes. In group it is 50% for the entity is 30%.

Interviewer: You said that foreign currency borrowing that you take an advantage this year it is up from 9,800 to 14,500 so rupee depreciation would that have created?

Management: That already is factored in. Every quarter we have to account it so whatever the loss is there we have to already accounted for. Anyway 92% is hedged. We have already hedged 92% so balance 8% whatever as per the INDAS whatever loss comes we have to account for the same quarter so we do it because

use tomorrow the rupee becomes stronger, we will have to refer write -back as well.

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Interviewer: So what I was thinking was that while it is cost effective, but when you add rupee depreciation hedging cost and all that is it still effective?

Management: It is still effective it is coming 6.5 after hedging cost.

Interviewer: Hedging cost has substantially come down and we do this hedging for various option which are available. Seagull, call spread etc.

Interviewer: So wherever you take the borrowing immediately you hedge?

Management: Not immediate at the opportune time.

Interviewer: So then because last 9 months.

Management: So that already factored in those accounts during that particular quarter.

Interviewer: So when is the account that is provision or interest cost only you add?

Management: Interest cost only. Losses are added to the interest cost.

Interviewer: What is the limit in which you can kind of increase that because I see it obviously 9 months your capital gain bonds has gone up, foreign currency borrowing, slightly banks loan has slightly gone up 61,000 to 71,000, so what is the limit pipeline which you?

Management: Foreign currency borrowing we can go under automatic route only up to 750 million. In case we have to raise more than that then we have to approach RBI for getting a higher limit available to us. So, every year we approach RBI. Normally the amount which is allowed is 2 million and we are able to raise that amount in that particular financial year in case it increases beyond that then also we have to approach RBI for that.

Interviewer: So, you are currently at what 75,000 crores foreign currency borrowing?

Management: Yes.

Interviewer: You can go as high as you said foreign currency borrowing?

Management: The AGM is approved up to limit of about 12 million a quarter up to that in particular up to 16 million we can go. So, at present the operating amount is about 11 million so 5 million is still available to us, but we have to approach the RBI for getting approval in case you want to raise more than 750 megawatts.

Interviewer: So, this is one avenue second your capital gains bonds how far can you go?

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Management: There is no limit there after this post COVID lot of this real estate transactions are happening. So, this capital lot of investment is coming in 54 EC.

Interviewer: So, then next year also we should expect foreign currency to go up and your capital gain because obviously bank loans are at the higher rate today?

Management: There are four companies who have been allowed to raise the capital gain bond NHA, IRFC, PFC and REC. So, this year next year they were not raising any amount related to capital gain because they had not met the budget to these investors. So, next year they will be approaching the capital gain markets also. So, as such the amount should remain almost at a similar level which we have been able to give in this particular.

Interviewer: So, then your bank term loans will go up?

Management: Bank loans depends whether we will be raising through the corporate bond or the bank term loans wherever the lending cost is lower we go for that.

Interviewer: What about green bonds there was some article?

Management: We are going for the road shows we have already made an announcement for raising the green bond. So, that road show will commence from 21st.

Interviewer: What price you will be raising?

Management: It depends actually we are going for a 5-year tenure at present we are thinking of.

Interviewer: So that will be tax free?

Management: No that is not tax free.

Interviewer: What are the benefits to the borrower?

Management: That is only offshore.

Interviewer: There is one article that LIC an employee provident fund maybe mandated to by at least 1% of the

net worth?

Management: This green taxonomy proposal is under consideration of Ministry of Power. So, the Ministry of Power would be recommended to the Ministry of Finance.

Interviewer: That will be positive for us?

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Management: Yes. Because they in any case will have to invest in the green bond as per the taxonomy which is there.

Interviewer: Then we will get at a 5%, 6%?

Management: Not 5%, 6% some say 50 basis point lower as compared to the normal corporate bonds.

Interviewer: Capital gains comes at?

Management: 5%.

Interviewer: So green bond be higher than capital raise money?

Management: Green bonds are cheaper.

Interviewer: 0.5% below corporate bond?

Management: Yes 3.5%.

Interviewer: 0.05.

Management: 50 basis point lower.

Interviewer: We thought green means it would be more.

Management: We had been fighting actually this lot of deliberation is going on in G20 this climate financing track is there. So, there this issue has been raised that we should provide cheaper financing. What developed countries have promised is volume for green financing that is only 30 to 50 basis point improvement is there.

Interviewer: If in international and domestic you take from LIC now corporate bond 0.30 to 0.40 it has been less, but it is offshore ideally it should be lower rate?

Management: No offshore is a different thing.

Interviewer: Means who are borrowing from offshore then only they will get 0.4 they will get less and here also it is less for green use 0.85.

Management: ESG compliance is this much so that is why getting an advantage in domestic and in international.

Interviewer: For 6.75 you mentioned will be closer to 6.40, 6.3. that is green bond.

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Management: Yes.

Interviewer: How does the demand from our major borrower the state electricity board and their power generation company what is their demand on funds?

Management: CAPEX is rising because of this RDSS schemes and all. The distribution sector actually this totals this provision about 3,00,000 crores for distribution sector reform scheme. Out of 3,00,000 crore sanction is already made for all 2,50,000 crore sanctions which will be made out of 3,00,000 crore this 97,000 has to go as Government of India grant remaining is to the state government or through borrowings. So, in distribution, up to next three to four years actually this 3,00,000 -crore investment will happen. Transmission again it is going to happen because whatever this renewable energy projects are coming up, the evacuation for transmission has to be developed. For transmission also we see that about 1,00,000 crores would be required in the state sector. Generation as I have told you this conventional generation is going to be limited about 30,000 megawatt only, 30,000 megawatt also now its cost is coming 8 crore per megawatt. So, again it is 14,000 crores in the conventional generation, but NTPC does not take borrowing because they get this cheaper fund, but other than NTPC state out of these 30,000 megawatts 15,000 will come through the central government, 15,000 will come from the state.

Interviewer: So, in front of Green Bond, we can only finance green energy?

Management: Yes.

Interviewer: In international and domestic how much we are expecting for next year in green bond?

Management: We have already done the sanction of 22,000 whatever we are going to take maybe 500 million or so that would be for state whatever sanctions we have done.

Interviewer: For next year 1,00,000 crores domestic and in international 50,000 crore borrowing what is the plan for the big picture?

Management: Green bond this time we are going, but in future whether we will go for green bonds or some other bonds that we will have to see.

Interviewer: No, I am asking about green bond?

Management:

Management: Green bonds only.

Interviewer: Because there we are getting 0.3, 04 benefit?

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Management: In green bond there is a limitation that it has to be invested only in the green bond. We are targeting about 1,00,000 crores in the next three to four years. So, we will probably go again for that bond.

Interviewer: Again, this there will be appetite for this?

Management: In green there is metro project is also there. Green if you see the number our book is 25,000 crore and this year, we have already done 21,000 crores in green renewable energy space already sanctions. Now all that will result into disbursements over a period of time. So, we are building this particular book and going forward I think there is a good visibility going for green bonds products.

Interviewer: Even green finance also we will do lower there also the lending rate will be lower?

Management: In renewable our lending rate is lower.

Management: See lending and borrowing are happening in cheap and spread is like that only volume is different.

Interviewer: You have talked about discounts and if you want help about discount people are there?

Management: They are now with this introduction of delayed payment surcharge; situation is improving and what has happened this revamped distribution sector reform scheme it is really making this discount to think through actually. Last financial year these AT&C losses have come down by 5% from 22% to 17% that is a very good indicator and we hope that this trajectory would continue. AT&C losses and this gap between ACS and ARR is also narrowing down. We want that this should come down to 0 in next three to four years.

Interviewer: So conversely if they improve so much our book also will reduce?

Management: It is not like that requirement is so huge for that currently our per capita power consumption is one-third of the global so that is the huge requirement in the power space. The way India is developing and we aspire to become developed economy. Right now, both energy consumption one-third of the world average, emission is also one-third of the world average. So, we are yet to peak actually, our peak emissions are yet to come.

Interviewer: So, these AT&C losses 22 to 17 is it sustainable like what was the reason?

Management: Yes, it is going to be sustainable because there has been a lot of emphasis on clearing government department dues and timely subsidy payments outstanding. Now a lot of discipline has come into the sector. So, this is likely to continue.

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Management: And with smart metering, the collections will improve because in final projects we have seen 50% improvement in collection by smart meters.

Management: Repaid smart meter are going to be the real game changer.

Interviewer: Smart grid will also be lots in so we can play a big role because with more and more renewable you think the grid has to become smarter, so one side discom losses will be under control so we need not finance that and we have to finance the smart green and all that?

Management: Green corridor etc. yes.

Interviewer: So, prepaid smart meter what you said what is the planning like where it is, at what stage of evolution it is today?

Management: Now the bidding has commenced actually some of the major states like Uttar Pradesh bids about 3 crore prepaid smart meter, they are in the process of finalizing it. Gujarat is also under finalization state, Assam has already awarded, Bihar has already awarded, next Mizoram and Tripura also been awarded. So, next 6 months we feel that all these major states will be awarding this prepaid smart meter and next two years this all-prepaid smart meter should be installed. There is an incentive also, those who do the early installation of prepaid smart meter by

December 23 Gov

ernment of India is giving additional grant of Rs. 450 per smart meter to the state government.

Management And some of the states are working very hard to get this additional grant?

Interviewer Which is also important you give incentive, but people should be interested also.

Interviewer: So, you take some numbers like 25 crore is the smart meter installations and you said some outlay also 150?

Management: Roughly 6,000 per smart meter.

Management: Thank you so much for your time.

Call: Aug 2023

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Endless energy Infinte possibilities REC Limited 13nrt~1 f~ftt'2"s

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Sub: Transcript of Investor conference call held on August 17, 2023

Madam/Sir(s),

In continuation of our earlier letter dated August 11, 2023 and August 17, 2023,

and pursuant to Regulation 30 read with Schedule III of the SEBI (Listing

Obligations and Disclosure Requirements) Regulation s, 2015, please find attached

herewith transcript of Investor/Analyst conference call of REC Limited held on

August 17, 2023.

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"REC Limited

Q1 FY2024 Earnings Conference Call "

August 17 , 2023

ANALYST : MR. SHREEPAL DOSHI – EQUIRUS SECURITIES
LIMITED

MANAGEMENT : MR. VIVEK KUMAR DEWANGAN – CHAIRMAN AND
MANAGING DIRECTOR – REC LIMITED

MR. AJOY CHOUDHURY - DIRECTOR FINANCE –
REC LIMITED

MR. V.K. SINGH –DIRECTOR PROJECTS – REC
LIMITED

MR. SANJAY KUMAR – EXECUTIVE DIRECTOR –
REC LIMITED

REC Limited

August 17, 2023

Page 2 of 23 Moderator : Ladies and gentlemen , good day and welcome to the Q1 FY2024 Conference Call of REC Limited hosted by Equirus Securities . As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the

presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Shreepal Doshi . Thank you and over to you Mr. Doshi !

Shreepal Doshi : Thank you Michelle and good morning everyone . I welcome you all to the earnings conference call of REC Limited to discuss the Q1 FY2024 performance of the company , industry trends and outlook. We have the senior management team of REC with us represented by Mr. Vivek Kumar , Chairman and Managing Director , Mr. Ajoy Choudhury - Director (Finance) and Mr. Vijay Kumar Singh – Director (Projects) . I would now like to hand over the call to Mr . Vivek for his opening comments post which we can open the floor for question and answer . Over to you sir.

Vivek Kumar Dewangan: Good morning dear friends . I am Vivek Kumar Dewangan , CMD REC Limited. I am joined by my Director (Finance) , Mr. Ajoy Choudhury and Director (Projects) , Mr. Vijay Kumar Singh . I would like to share with you the fabulous results of quarter one of this current financial year. REC management

had taken a conscious decision that from Q1 itself we need to enhance our performance. Over the years what we have found that the trend was that the Q1 and Q2 sanction and disbursement was muted one and substantially increase in Q3 and Q4 both sanction and disbursement. We took a conscious call well in time and the results are in front of all of us. REC continues to grow in its trend and it has shown growth in all the parameters. Compared to corresponding quarter of the previous year, let me share with you that our sanctions have gone up by 52% last year in Q1 our sanction was to the tune of \$7.22 billion . This year in Q1 our sanction had increased to \$10.94 billion. With regard to disbursements, we have seen a growth of 174%. Last year in Q1 , our disbursement was \$1.5 billion and in the current financial year in Q1 , we achieved a disbursement of \$4.11 billion. Our income has seen a growth of 16% from last year's \$1.14 billion, our income has grown to \$1.32 billion in Q1 of this financial year. Profit before tax have seen a growth of 26%. Last year profit before tax was \$354 million , which has come to \$447 million in the current financial year Q1. Profit after tax has also seen a growth of 21% from \$295 million to \$357 million in Q1 of this current financial year. The loan book at the end of quarter one has seen a growth of 17% from last year's \$46.73 billion. We have touched the loan book size of \$55 billion. Net worth of our company has seen a growth of 15.75% from last year's \$6.34 billion , our net worth has increased to \$10.33 billion in the REC Limited

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Page 3 of 23 current financial year at the end of Q1. The capital adequacy ratio of the company is at a comfortable level of 27.6%. Our gross and net NPA also come down substantially. The net NPA is now 0.97% at the end of Q1. To share with you, company has not added any new NPA for the last six quarters. With this fabulous performance , we are targeting to become a net zero NPA company by the end of 2025. These results were achieved despite some major challenges including increased cost of funds owing to continuing geopolitical events and heightened competition. This makes the performance even more pleasing. The focus of the world and India is today on energy . The five imperatives articulated by our Honorable Prime Minister is set to make India a developed nation by the year 2047 , in the next 25 years. With India presiding over G20 summit this year, REC is continuing to pursue its ambition to be a leading finance provider in this segment. The company intends to increase its share of renewable energy to at least 30% of our total loan portfolio . From the current level of \$3.6 billion, we intend to increase our renewable energy portfolio to more than \$45 billion.

REC has held a Green Finance Conference on the sidelines of G20 Ministerial meeting at Goa last week of July where the company has signed Memorandum of Understanding with about 25 major developers of solar, wind, hybrid power, solar panel manufacturers, electric mobility , electric buses, green hydrogen, green ammonia and home-based storage hydro projects. Our total amount of these projects for which MOUs have been signed were more than \$35 billion. As you are aware, REC has expanded its mandate and took shareholders approval for financing in non-power infrastructure and logistics. Last year was the first year when we started this financing non-power infrastructure and logistics and we had sanctioned about \$7.5 billion for infrastructure and logistics project and the current financial year also we want to increase this trajectory and we intend that one third of our total sanction will come from non-power infrastructure and logistics where we are going to cover roads, ports, airports, metro projects, healthcare and IT infrastructure. The fundamentals of Power Sector continue to improve and that aug

urs well for the country. The legacy dues of generation transmission companies stood at about Rs.1.4 lakh Crores as on June 2022 had

reduced by almost 50% in one year itself. The AT&C losses have also come down substantially. In one year there was reduction of 5% , AT&C losses had come down from 22% to about 17%. Average cost of supply and average revenue realized gap of ACS -ARR has also come down substantially from 61 paisa per unit to about 15 paisa per unit now. The introduction of Revamped Distribution Sector Schemes, where all the states are taking very proactive steps for reforming their distribution sector. The all current subsidies are being paid by the state governments to DISCOMS and arrears are also being liquidated in a phased manner. Tariff orders of almost all DISCOMS are in place. The measures being taken through the Revamped Distribution Sector Scheme and in particular installation of REC Limited
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Page 4 of 23 prepaid smart meters will strengthen the distribution sector allowing investment to flow in the sector. I would like to assure all the investors that REC shall continue to add value to our shareholders in the coming days and months. We are open to question and answers.

Moderator : Thank you very much sir. We will take the first question from the line of Shreya Shivani from CLSA . Please go ahead.

Shreya Shivani : Hi, Thank you for the opportunity and congratulations for a good set of numbers sir. I have three questions over here. First is on the renewable and the infra book. So, sir if you can give us some colour about the book as in how different it will be from the traditional financing in the power sector in terms of what is the average tenure of these two books, what would be the yields, would the yield be lower, would that mean any pressure on spread, some colour around that, that is my first question. Second question is sir on the LPS scheme. Sir in this presentation you have written that 136 billion more sanctions were done in first quarter and bas is some calculations that I have done, basis what PFC also reports on sanctions of the consolidated group under LPS. Is it correct, is my number correct that the sanctions of LPS scheme for REC stands at 713 billion as of June 2023 and if you can talk about how many states are covered, are there more sanctions coming in, will all the disbursements be done in FY2024 itself or will it spread over two years, if you can help us understand that. Sir my third question in the last small question is, you mentioned AT&C losses have come down from 22% to 17%. Under 17%, I believe 16.5 is of FY2022. One of the ministers came out and said that the AT&C losses have further reduced to 13 or 14% which is a provisional number for FY2023. Is my understanding correct or the provision number can change significantly when the final number comes out? Those are my questions. Thank you.

Vivek Kumar Dewangan: Thank you Shreya. Let me start with your last question, AT&C losses. AT&C losses came down from 22 to 17% in the year 2021-22. Now you are right that the AT&C losses have come down further. It is around 15% in some of the states. It has gone down below 13% also. The statement by Honorable Minister is quite correct and it is going to be around 15% overall, but some states have done exceedingly well and some of the states are trying to reduce the AT&C losses to single digit that is a very good news. With regard to your question about RE & infra, let me start with renewable energy segment. Now instead of plain vanilla solar or wind, now we are looking for hybrid solution. Solar and wind combination or solar with storage, wind with storage because lot of demand is there for round the clock for power supply and we have also started looking after this green hydrogen and green ammonia, we have sanctioned recently a project in Oman

and some more projects

are likely to come up in Odisha and state of Tamil Nadu. We also sanctioned this pump
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Page 5 of 23 storage hydro projects. You are right that the margins in renewable energy segment are not that high, but we are targeting the good asset quality as far as renewable energy segment is concerned. Our margins may not be that high, but would like to compensate it by increasing the volume of renewable energy portfolio. With regard to infrastructure, we were going cautiously actually. Last year was the first year when we started financing non-power infrastructure sector. We had targeted the state utilities with the state government guarantees like metro projects, road projects, IT infrastructure, health infrastructure and those projects we started with the support of the state government guarantee. Now once we gain the confidence, we are in the process of roping in experts from different infrastructure field and gradually we will start financing the private sector also. With regard to late payment surcharge, I will hand over to my director finance.

Ajoy Choudhury : So under LPS we have overall disbursed around 3.6 billion USD. In this current year out of \$11 billion, \$1.6 billion have gone towards LPS, so LPS will reduce going forward because this is a short-term measure and this overall outstanding currently on LPS is just about \$9.8 billion of overall \$55 billion. \$9.8 billion also includes the liquidity infusion scheme that

happened during the COVID times.

Shreya Shivani : Okay sir. Just a clarification so when your presentation says LPS and LIS, but LIS is not a part of LPS, i.e. not under the late payment surcharge scheme that is something going on from before it is?

Ajoy Choudhury : LIS was during COVID time, our government came up with the liquidity infusion scheme so that the power sector could sustain the losses of receivables that happened during the brief period of time, so LIS is that much and LPS is different scheme where the DISCOMS have been allowed to clear their outstanding payables to the generation & transmission companies and with the condition that going forward there will be no delay in payment of dues, so LPS and LIS are quite different.

Shreya Shivani : So sir the \$3.6 billion is just LPS, it includes LIS also or is it just LPS, just to clarify this?

Ajoy Choudhury : This quarter sanction is just about LPS.

Shreya Shivani : Okay. Thank you. This was helpful. Thanks a lot.

Moderator : Thank you. We will take the next question from the line of Nihaarika from Aequitas Investment. Please go ahead.

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Page 6 of 23 Nihaarika : Hi, Good Morning. Thank you for the opportunity. My first question would be how REC has hedged itself on interest rate risk, with US interest rates going up, how are we hedging ourselves on interest rate?

Vivek Kumar Dewangan : Yes. Our executive director Mr. Sanjay will explain the hedging methodology adopted by REC.

Sanjay Kumar: Actually 91% of our total exposure is already held up to the maturity. We are hedging for the various options which are available in the market. So the S eagull options, call spread options and the cost which is coming on the hedging basis including the coupon only swap which we enter into is roughly in the range of about 6.8 to 7.0%. So, as compared to the domestic cost of borrowing of about 7.5%, it's about 50 basis points lower. So, 91% of the total exposure is already hedged. As such, we do not have to see any eventuality that may be coming in the future years.

Nihaarika : When you say this exposure, this is currency exposure as well as interest rate, is it 91%.

Sanjay Kumar: Both coupon as well as currency also. Both the things are there. Both the things are hedged.

Nihaarika : We say cash flow repayments towards a loan. So have we hedged only interest payments

or

it includes interest plus principal?

Sanjay Kumar: Interest plus principal both.

Nihaarika : Okay. That is helpful. And how much of our book as a percentage of our book has a three year reset period. Again, because we would have some refinancing risk over the re, so?

Ajoy Choudhury : Close to 80% of our book is on three year reset, but that will gradually come down because nowadays we are disbursing loan on one year reset and the borrower is also taking on one year reset. There used to be almost 90-95%, which is gradually coming down.

Nihaarika : Sir all the new renewable energy loans and in fra loans which we are sanctioning and signing MOU for, we plan to do it on one year reset period.

Ajoy Choudhury : That is right, largely on one year reset period and some of them very small, are also quarterly reset basis as well.

Nihaarika : Okay and any rate increases that we have taken say in past two quarters?

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Page 7 of 23 Ajoy Choudhury : Yes. We have raised our rates keeping with the increase in the cost of funds, so around 50 basis points have been raised during previous year.

Nihaarika : More has taken in recent quarters, which must be like coming, like it must be coming saying gradually over the next two quarters.

Ajoy Choudhury : That is right, yes.

Nihaarika : The order renewable energy loans and again in fra loans, so any kind of brackets that you can give for the spread we plan to get like spreads on these loans?

V.K. Singh : So on renewable, as our chairman sir has said that our spread is lower compared to other segments of our lending. So our spread generally in the renewable segment is around 1.5 to 2% or 2.25% in this range and for the infrastructure, it is anything between 2 to 3%. Largely between 2.5 to 3.0%.

Nihaarika : Okay. That is it from my side. Thank you.

Moderator : Okay, thank you. We will take the next question from the line of Shweta from Elara Securities. Please go ahead.

Shweta : Thank you for the opportunity and congratulations on good quarter. Sir couple of questions.

Just taking cue from the previous question so as against the 50 bps rate hike which we took last year, we saw almost 40 bps decline in yields that it is still not reflecting on the yields

because of the lag effect?

Ajoy Choudhury : You are right . The effect of the reset of our rates will come after a while but because of our emphasis on asset quality, we have also lowered our margins & spread in many of the cases, so renewal projects particularly and also in some of the good power projects also we have reduce our spread and margins to accommodate good quality assets , that is what it is.

Shweta : Just a follow -up question there, so in renewables as you clearly highlighted the rates will be slightly lower also because the competitive dynamics playing out there on the non power side incrementally we are focusing on state backed assets . So how do you see the yields stacking up over next two years especially post this reset?

Ajoy Choudhury : Our yields are expected to be in the range of 9.5 to 9.8 % . That is what we are targeting and we wish we shall hold on to spread of 2 .5 and take our NIM to close to 3 .5, current rate is 3.28 so we would like to take it to 3.5, our NIM.

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Page 8 of 23 Shweta : Sure sir. Noted. Sir my second.

Ajoy Choudhury : Just to add, you know 3.5 is fairly good numbers considering that asset quality is improving and sanctions are improving, disbursements are all time high. So on overall basis these margins are actually market reflective.

Shweta : Right sir. So second question is an asset quality so Q1 for 3.28% GNP A with a stock of Rs.14,900 odd Crores . So what is the impending resolution pipeline now on the immediate basis for FY2024 and vis-a-vis whether you will be seeing recoveries or write back for this particular year?

?

Vivek Kumar Dewangan: Let me tell you the broad picture. We had about 36 stressed assets. Out of 36 stressed assets, 17 stressed assets had already been resolved . In the current financial year, we are targeting to resolve about 9 assets. That total amount is about \$1 billion roughly . There will be write backs as well because what we have seen that our recovery is in the range of 50 to 60% in most of the stressed assets and going forward , we do see some write backs happening in this current financial year and next year we are targeting to resolve the remaining 10 assets which are stressed ones .

Shweta : Thanks sir and sir one last question if I may squeeze in. So I wanted a broader sense on growth in light of , sir look today , we are 90% public sector assets, 10% private sector and we are sort of also growing on non power mix, but then if I look historically or traditionally, the key driver especially for REC and for PFC for both the financials have been the distribution portfolio. So if I look at the overall capex opportunity , overall government outlay, then last part, correct me if I am wrong, Rs.2 lakhs Crores per annum is the kind of opportunity for the sector on the distribution side each year, but then you also highlighted the fact that AT&C losses are coming down and the balance sheet out there are strengthening. So going forward how do you see the growth panning out for the traditional portfolio which is largely driven by generation and distribution segment because I understand that these RDS S and LPS schemes and sanctions that growth should taper off, right I mean beyond say FY2030 , could you just highlight mainly the growth from the traditional segments.

Vivek Kumar Dewangan: Let me try to understand your question. You rightly said that 90% portfolio is for state utilities and 10% only in the private sphere, but going forward as we are targeting to cover more of renewable energy projects, the portfolio of private sector is going to increase from 10% to about 30% in the next seven years. With regards to the traditional sectors, distribution sector will still required funding this revamped distribution sector scheme will

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Page 9 of 23 continue up to March 2026 . As you are rightly pointed out that out of Rs.3 lakhs Crores RDSS outlay Rs. 97000 Crores is Government of India grant and Rs. 200000 Crores will come from the state side or by the financing from REC and PFC but you have to appreciate the fact that the distribution network in the country is quite old, about 40 to 50 years, there will be continuous requirement of upgrading the distribution infrastructure, so I don't see any share of distributions reducing and will continue out 30 to 35% in our loan portfolio for next 10 to 15 years.

Shweta : Okay . That is very helpful. I will come back in the queue. Thank you so much.

Vivek Kumar Dewangan: Thank you.

Moderator : Thank you. We will take the next question from the line of Mahesh Bendre from LIC Mutual Fund . Please go ahead.

Mahesh Bendre : Sir, just wanted to understand our role exactly in the funding of renewable projects, I mean over the next two to three years, what kind of opportunities we see in funding of power projects in renewable side and even transmission & distribution side?

Vivek Kumar Dewangan: Renewable energy as you are aware that Government of India has given a target of about 500 GW of installed capacity from non fossil fuel sources by 2030, mostly it will be renewable energy only. Right now our installed capacity is about 177 GW. About 323 GW capacity is going to come in next seven years. As I had already highlighted that now we are not looking for only plain vanilla solar or wind. Now it will be mostly it will be hybrid solar and wind combination, solar with storage, wind with storage and we are also quite gung-ho about the potential for

storage solutions because renewable energy is intermittent in nature.

To stabilize the grid, we need the storage solution. There are a lot of potential for battery energy storage and pump storage hydro projects also and some of the developers are also trying hydrogen fuel cell storage also, that is also in the pipeline. Green hydrogen, green ammonia, recently Government of India has amended the Energy Conservation Act. With this amendment, Government of India can mandate the consumption of renewable energy in different segments. They are in the process of notifying the consumption of green hydrogen and green ammonia also. We see a huge potential for financing green hydrogen and green ammonia projects as well. And with that associated this evacuation of renewable energy will also require green energy corridors that also has huge potential. By the year 2030, we are expecting that total funding requirement will be about Rs. 15 Lakhs Crores in this energy transition initiative and REC is targeting to capture 20 to 30% of this business
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Page 10 of 23 potential. Maybe we may Rs. 3 lakhs to Rs.4 lakh Crores will be able to finance this energy transition related initiative in next seven years.

Mahesh Bendre : Sir what proportion will be this for T&D and what will be proportion for power plants, I mean renewables?

Vivek Kumar Dewangan: This distribution I had not included. The energy transition related initiative pertains to this renewable energy generation projects, then storage solutions and evacuation through transmission. With that has Rs.3 lakhs to Rs.4 lakhs Crores potential. The distribution sector as I have told to Nihaarika that our distribution portfolio will be stable to around 30 to 35% of our total portfolio over the next 10 to 15 years because distribution sector will require continuous upgradation of its infrastructure, so it is excluding distribution sector.

Mahesh Bendre : Okay, sure sir. Sir last question. Last year, we did a disbursement of around Rs. 97,000 Crores. So what is the outlook for the current year?

Vivek Kumar Dewangan: Going forward, the trend that in the first quarter itself we have crossed Rs. 34,000 Crores and as on date as we are speaking, our total disbursement stands around Rs. 53,000 Crores. If this trend continues, we should be touching about Rs. 1,50,000 Crores in the current financial year.

Mahesh Bendre : Okay sure sir. Thank you so much sir.

Moderator : Thank you. We will take the next question from the line of Kaitav Shah from Anand Rathi. Please go ahead.

Kaitav Shah : Good morning Sir. Congratulations on good set of numbers. My question are two fold, number one if you can tell us more about the competitive environment in a traditional set of business. Are we seeing any increased competition from banks and so if you can highlight more about that then are you seeing some kind of yield pressure on account of that, given that the sector itself is seeing some improvement. Second question, if you can highlight more about the structural changes that you are doing on account of lending to non-power segments so is it that you are doing anything different in terms of underwriting there, how do you get some comfort around that underwriting process? Thank you.

Vivek Kumar Dewangan: Let me first address about this competitive environment. With regard to renewable energy projects there is lot of competition there, I fully agree that is why our margins are going to be lower in renewable energy segment. We have competition from banks and other financial institutions also, but one advantage that REC has over the banks is that we give longer tenor
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Page 11 of 23 loans. We can give 10 years, it could be 15, 20 years also. The banks normally give shorter tenor loans and with the introduction of renewable energy into the grid,

the flexible

operation of coal based thermal power plants would become very important actually. Right now technical minimum for coal based power plant is about 55% and going forward with more injection of renewable energy into the grid, we might have to operate coal based thermal power plant toward 40% of PLF. That will require investment for traditional coal based power plant also for enabling the ir flexible operations. There, banks are not comfortable to finance these coal based thermal power plants because they are not trained or

they do not have experience of this kind of flexible operations where we see a huge potential, we will be able to finance these coal based thermal power plants also. With regard to structural changes, we are targeting that our non-power infrastructure logistic sector will be about 1/3rd of our total loan book. Right now our total loan book is about Rs. 4,54,000 Crores and right now the share of this infrastructure, non-power infrastructure is very small only 1% but going forward its share is definitely going to increase. It may not reach 30% in the near future, but by the end of 2030, when we are targeting to take our total loan book size to about Rs.10 lakh Crores at that time, 30% would be coming from renewable energy segment, 30% will be coming from non-power infrastructure and logistic sector. Our Director (Finance) would like to add.

Ajoy Choudhury : About the structural changes last year, we generally sanctioned mostly the government projects backed by the government guarantees. So as we get more hold on the space, we should be financing private sector projects as well and we are also in the process of engaging good consultants to support us in appraisal in our business development and monitoring of these projects. That is the kind of approach we are taking.

Vivek Kumar Dewangan: We are in the process of finalising, roping in and bringing on board the high quality professionals and experts from road and highway sector, railways, airports, ports, IT infrastructure, we will have a strong professional team to appraise this non-power infrastructure and logistic sector.

Kaitav Shah : Got it. Thank you, Sir. Thank you.

Moderator : Thank you. We will take the next question from the line of Saket Yadav from India Capital. Please go ahead.

Saket Yadav : Good morning Sir. Thank you so much. Sir first congratulations on fantastic set of numbers and I also wanted to thank the management for laying out clear sort of path ahead that the company plans take with regards to increase in the share of renewables and also the path on REC Limited

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Page 12 of 23 how to company plans its net NPA for the next two years. I had a related question on the net NPA guidance as MD sir has just mentioned that we are planning to resolve nine projects this year which total amount about a billion dollar. Sir if you can give more granular colour around those nine projects and how things have moved, because in first quarter I think no resolutions came through so we are anticipating those nine projects will be resolved in the next nine months. Sir if you can share some more colour that would be very helpful that is my first question.

Vivek Kumar Dewangan : Some projects we are in advance stage of resolution.

Vijay Kumar Singh : So out of the total NPA amount Rs.14000 Crores, we are targeting close to Rs.7500 Crores projects in this year for resolution. This includes projects like Dans energy wherein there are three lenders who have already approved the resolution plan and that resolution plan will be implemented within the second quarter and this was targeted in current quarter. TRN Energy and Classic Global, both are expected to resolve during the current quarter itself. Then we have few more projects lined up for resolution, Meenakshi Energy is one where we got resolution plan under the IBC

process and that resolution plan now stands approved by the NCLT. This will also be implemented within the next three months of time and then that resolution we are expecting in Q3, that will be settled. Another one is Lanco Amarkantak, there you will be aware that REC, PFC, SJVN and DVC consortium has bided and won this particular asset and this resolution plan approved by the COC is currently under approval process of NCLT and we are expecting this approval to come very soon and this again we are targeting for resolution in the Q3 that is next quarter. Badhreshwar Vidyut is another project when EOIs have been received. Plans were received but the value was not up to the mark so we had gone for rebidding and we are hoping that will get better resolution plan this time, that again the whole process likely to be completed within Q3. So, these are the major projects lined up for resolution during the current financial year.

Saket Yadav : Thank you so much for those details. Sir my second question is around margins. I think Ajoy sir had mentioned that we are targeting to take the NIM up to 3.5% over a period of time so my understanding is some of the rate hikes that you have taken last year the effect of that will be visible as we go along, if you can give some clarity as to what is the timeline around this, we are currently at 3.3. Are we hoping to touch 3.5 say three to four quarters time if management can give some guidance around that that would be helpful?

Vivek Kumar Dewangan: We are targeting NIM of around 3.5 by the end of this year, so that is what we are targeting at, so the rate hikes which have taken place during the previous year and also one in this year itself that should have effect on our reset of loans as we progress along, so there we

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Page 13 of 23 hope that our margins would slightly go up. Margin is one thing but we are also very conscious about asset quality so both will go hand in hand so we think that going forward as I said our spread will be around 2.5 and we are targeting a NIM of 3.5 that is what we are looking at.

Saket Yadav : Thank you for that and just one final question from my side is around hedging , so earlier team had mentioned that 95% of cash outflows are hedged. In the past, due to currency movement there has been some volatility in the P & L side, so just wanted to reconfirm that apart from those costs that we incur on a quarterly basis, those are absolutely noncash basis . Is that understanding correct ?

Sanjay Kumar: Virtually we are paying the premium which is already accounted for on quarterly basis and normally the premium payment is either upfront in case of this seagull options and in case of call spread, it is on quarterly basis, so premium is already accounted for in the profit and loss account so as such there is no impact over and above that in the financials. This 91 to 95% is already hedged, so both the coupon as well as the principal are hedged, so it is not going to affect in any way adversely the profit and loss account over and above the premium which we are paying which is already accounted for in the profit and loss account.

Saket Yadav : Understood . In the past there are some impact because of MTM on derivative contracts but should not affect P&L going ahead. Is that understanding correct? Previously there used to be some impact because of currency movement or as some of these contracts were mark to market. So just wanted to clarify that ?

Sanjay Kumar: If they are hedged and it is not going to affect the profit and loss account , it is only the Other Comprehensive Income . The PAT is not in any way impacted by that for any of the MTM movement which are there . Actually up to last year the percentage hedge portion was about 60%. So this year it is not going to affect adversely the profit and loss account in the coming periods .

Saket Yadav : Understood.

Thank you so much for that clarity that just wanted to understand . So the last year it moved from 50 to 91 so that that impact has already taken care of. Thank you so much for the clarification . That is it from my side.

Moderator : We will take the next question from the line of Jigar Jani from B&K Securities . Please go ahead.

Jigar Jani : Thank you so much for taking my question and congratulations on a great set of numbers.

Sir. Just two questions, one you mentioned about RDSS now this RDSS disbursements

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Page 14 of 23 earlier I think you were guiding for end of FY2024 for them to start. So just wanted to get a sense as to when these disbursements will start and what would be the quantum of disbursements we are envisaging under this scheme for FY2024 and FY2025 and the second question is for your guidance of Rs.10 lakhs Crores of loan book by FY2030 that if I just back calculate that ends to about a 12% growth in AUM so is that kind of a conservative guidance as of now because considering the traction and the amount of hope that we have on the renewable side and the infra side, is this is a more conservative guidance from your end because the growth does not look to be very high based on the scope and the opportunity that we have. Those are my two questions.

Vivek Kumar Dewangan: Government of India grants about Rs.97,000 Crores. The FY2023 disbursement figure stood around Rs. 6000 Crores and in FY2024 disbursement will increase to about 15 to Rs. 20 thousand Crores only because you will have to appreciate that most of the DISCOMS are in the process of awarding this loss reduction work and prepaid smart metering. Only about 20% of work has been awarded, 80% of the work is yet to be awarded. They are in the advanced stages of finalization of the tender , some negotiations are going on. We hope that by the end of October all these contracts will be awarded. Thereafter works will pick up. So most of the disbursement is likely to happen in FY2025 and FY2026. FY2025 we are targeting that about more than Rs. 40,000 Crores would be disbursed and FY2026 remaining about Rs. 40,000 Crores would be disbursed . With regard to our total outstanding loan portfolio of about Rs. 10 lakh Crores by the year 2030, it appears to be really conservative actually , but after this result of Q1 now we are in the process of revising this figure actually . We will have to increase this target , perhaps we will be able to reach this Rs. 10 lakh Crores outstanding loan book size in the year 2027-28 itself . So instead 7 years , we might achieve this target in next 5 years itself . And our Director (Technical) would like to supplement .

Vijay Kumar Singh: Under RDSS , there are two components . One is of course loss reduction, which actually we are talking about. There is another very important component of installation of smart metering and that component is actually being implemented essentially by the private sector players and the total outlay is Rs. 150,000 Crores . So the numbers that our chairman sir gave is about disbursement happening towards loss reduction to the Discoms . They are the

implementing agency for loss direction programmes. But for the smart meter implementation programme you may be aware that only 900 per meter grant is coming from the Government of India and remaining investment is being made by the private entities which are called Advanced Metering Infrastructure Service Providers. So there is also a financing opportunity of close to Rs. 1,50,000 Crores under PMI scheme smart meters solution under the R DSS.

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Page 15 of 23 Jigar Jani : Yes. So just clarification on this, so we would not be financing this smart metering part of it, we will be financing cost reduction part of it. Is my understanding correct?

Vivek Kumar Dewangan: Let me clarify. The

DISCOMS have to pass this result evaluation framework (REF) evaluation they have to clear, only then they are eligible to get Government of India grant. Some of them say they have to score 60 out of 100 evaluation mark. Some of the states have secured about 56 mark, 57 mark that just short of scoring more than 60% mark so that will require bridge financing from REC and PFC. So we will be doing bridge financing to those states which are just about to yet to clear the REF, they may clear this REF evaluation next year, some bridge financing would be required for that also. For both loss reduction as well as for prepaid smart meter the financing requirement would be there. Total outlay for the RAF including prepaid smart meters is Rs.3 lakhs Crores and Rs. 97000 Crores only is being given by Government of India's grant, the remaining Rs. 2 lakh Crores some portion 10% or 20% will come from the state government, remaining about Rs.180000 Crores will come from the financing from REC and PFC only.

Jigar Jani : Okay great sir. Thank you so much for the clarification and lastly for this year considering we have had very strong growth, we could anticipate north of say 16%, 17% kind of full year growth for this year in terms of loan book?

Vivek Kumar Dewangan: It is our ambition.

Jigar Jani : Thank you so much for answering my questions and best of luck.

Moderator : Thank you. We will take the next question from the line of Vipulkumar Shah from Sumangal Investment. Please go ahead.

Vipulkumar Shah : Hi sir. Thanks for the opportunity. So sir my question is regarding your slide #17 list of your major borrowers, they are all state DISCOMS. So these loans, do we have any security against this lending or these are unsecured lending?

Vivek Kumar Dewangan: We do have a state government guarantee pertaining to certain components.

Vijay Kumar Singh : So we are doing essentially all our project financing. So there are underlying project assets as part of security. There are other collaterals also, so hypothecation of all entire assets, mortgage, standard security packages are there in all cases of project financing. This security structure is in place. In addition to that if I just have to give you some sense about additional collateral that we are taking, I think out of 454,000 we have roughly 41% of our

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Page 16 of 23 financing is backed by the government guarantee. So, that is the additional collateral in addition to the project assets that are available as security to us.

Vipulkumar Shah : No, but sir in the majority of them are DISCOMS so what type of assets they can offer as collateral when I read the list, most of them are DISCOM companies.

Vijay Kumar Singh : DISCOMS also, all the assets that are created out of our financing all those assets are actually mortgaged or hypothecated to us and of course there are for distribution companies, there is some financing related to non-capex but almost entire non-capex financing which does not have underlying asset is backed by the government guarantee.

Vipulkumar Shah : Okay, so if I summarise, so 40% of these loans are guaranteed by state governments over and above the securities which is at the project level, is that understanding correct?

Vijay Kumar Singh : That is correct.

Moderator : Thank you. We will take the next question from the line of Arjun Bhatia from Bowhead Investment Advisors. Please go ahead.

Arjun Bhatia : Thank you for the opportunity. Can you just repeat the disbursement target that you gave for this year just to confirm?

Vivek Kumar Dewangan: Yes Arjun the disbursement target I had mentioned in Q1 we have achieved Rs. 34,000 Crores and as we are speaking today, our disbursement have touched Rs. 53,000 Crores. We are expecting that our disbursement would be to the tune of about Rs. 150,000 Crores in the current financial

year.

Arjun Bhatia : Rs.150000 Crores?

Vivek Kumar Dewangan: Yes.

Arjun Bhatia : Got it. Thank you so much.

Moderator : Thank you. We will take the next question from the line of Satinder Singh Bedi from Eon Infotech Investments . Please go ahead.

Satinder Singh Bedi : Congratulations on a great set of numbers and also for the investor outreach activities that you stepped up. Sir my question on this loan book only. So you given a long term outlook by 2030, so what would be the indicative outlook for let's say FY2024, FY2025 and
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Page 17 of 23 FY2026 given that we have the payment of RDSS while the LPS have been tapered off over time, so if you could help us understand indicative loan book over these , it will help me.

Ajoy Choudhury : So we feel that we can grow safely at a 15% rate in our loan book . This quarter we have achieved 20%. Going forward, definitely we can grow at 15% or even more those opportunities are huge, but on a conservative basis it will be 15% growth.

Satinder Singh Bedi : Great sir. If I could quickly squeeze that what will be two key challenges or concerns that you see as leadership of REC going forward because the results have been very good so what are the challenges or concerns that you see?

Ajoy Choudhury : Right now the outlook for the sector is quite robust and infrastructure where also we are seeing a lot of traction, I mean lot of applications and requests for financing. So the challenge which might come up is on the margins. So there we have to work on that but as I said earlier, the asset quality is of paramount importance to us. So we are prepared to sacrifice a bit of margins for better asset quality so that is the only challenge that are present .

Vivek Kumar Dewangan : Another challenge I can foresee is that cost of green hydrogen has to come down substantially. So some technological breakthrough could happen in next two to three years to bring down the cost of green hydrogen on technology, more improvement is required.

Similarly, this battery energy storage cost is quite high, that also needs to be brought down . Some R&D work is going on and we hope that some solution will come through . When solar energy project got started, the cost project of electricity was Rs.16, Rs.17 , but now you see that cost had come down to Rs. 2.30 per unit of electricity from solar energy. Similar technological advancement and technological breakthrough are one of the challenges and hopefully all the countries are focusing on digitization some breakthrough will definitely happen.

Satinder Singh Bedi : Thank you sir. Very helpful. I got a few other questions I will come back in the queue in case needed .

Vivek Kumar Dewangan: Thank you Bedi ji. Thank you.

Moderator : Thank you. We will take the next question from the line of Venkatesh from Logitree . Please go ahead.

Venkatesh : Good morning sir. I have two questions. So one is when we are exploring this large opportunity and you laid out a road map for us. What kind of collaboration would there be
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Page 18 of 23 there with PFC, is that like a unsaid understanding where looking at various projects that you will be able to work together with PFC and they have been declared as some sort of a nodal agency That is number one. My second question is in terms of human resources at the moment PFC, what is our strength in terms of management talent and considering the kind of growth plans, do you plan to add more people with different sets of expertise in the next year?

Vivek Kumar Dewangan: Thank you Venkatesh for asking this very pertinent question. Regarding collaboration with PFC, this conventional coal based generation , we are having a understanding with PFC. We are jointly funding coal based generation project because no other financing agencies are coming forward and they still require

ment about 51,000 MW capacity is going to come up next three to four years with regard to conventional coal based generation. With regard to RDSS, Ministry of Power has allocated different states to REC and some states to PFC. REC has been allocated 19 states and union territories covering 32 DISCOMS and PFC has been allotted 14 states with having total 24 DISCOMS . RDSS will be financing distribution sector in state which had been allocated to REC and PFC we will be doing financing fully. We have also entered into collaboration with SBI and Punjab National Bank so that we can take up large infrastructure projects like we had recently taken up Hindustan Petroleum refinery projects in Barmer where total financing requirement was more than Rs. 45,000 Crores. They have joined and PFC is also one of the lenders there. We are also financing this steel sector projects in Odisha, Jindal Steel. There also we have joined hand with SBI. We are in the process of forming collaboration with Punjab National Bank, Bank of Baroda, Canara Bank also to finance large scale projects and with regard to taking experts onboard ,

we are in the process of finalizing and taking high quality professionals and experts from road and highways, railways, ports, airports and IT infrastructure related. We will have sufficient number of competent professional experts to appraise this non-power infrastructure projects and will also help us in monitoring those projects.

Venkatesh : So first of all, I appreciate your answers that across the board there is great clarity and the way you are going about it in granules, it is very refreshing to listen to you. So thank you so much and just one minor accounting question. Currently what is our total manpower resources at REC and with increased management talent how much would that be over the next say 2 to 3 year?

Vivek Kumar Dewangan: Total manpower strength is 430. We are in the process of recruiting 125 new officials at different levels, some lateral entry is also taking place and we are in the process of finalizing about 28 sector experts on non-power infrastructure sector. Total manpower strength will go up to about 550 or 560 in next three to four months.

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Page 19 of 23 Venkatesh : Okay. Thank you so much sir. Really a pleasure talking to you.

Moderator : Thank you. We will move on to the next question which is from the line of Nihaarika from Aequitas Investment. Please go ahead.

Nihaarika : Thank you for the followup question. Sir this is regarding like we discussed it almost 91% of our exposure is hedged and the major of it should come to OCI and not in P&L but then there is an element of say Rs. 250 Crores even this quarter which has come at Net Gains on Fair Value Changes. So what exactly is this is like some level for interest rate like LIBOR or EURIBOR or some other benchmark-linked and that is why this is sitting in the P&L?

Sanjay Kumar: Actually the fair value changes which is the reason, this is virtually some of the INR loan that we have swapped to JPY and Euro. There is a substantial margin of about 2.5% that is available to us and since we did JPY at the level of about 71. Now it has come down to about 58, so we are gaining in the currency also the reason. So these are the fair value changes which are favorable to REC as such and going forward also these are likely to be favorable, it is only around Rs. 5000 Crores, Rs.2500 Crores against JPY and Rs.2500 Crores against Euro. So these are the fair value changes only in respect of that giving the additional benefit to us by way of reduction in the interest rate.

Nihaarika : Okay. Understood. Thank you and my second question will be like we are looking for more like better asset quality and probably lesser margins, so how do we plan to increase on NIM to 3.5% considering our loan book is moving toward renewable energy and

this thread

would be like significantly lesser than what we used to get on conventional book?

Ajoy Choudhury : Yes. You are right, I mean. As our Chairman sir already said that the margins in the renewable space is lower because of two reasons one is that yes there is a bit of competition out there and secondly because we also are focusing to build our renewable portfolio much more than what it is today. So there we have around between 1.5 to 2.5% of margin but in the infra space which we are now entering in a quite a big way there the margins are slightly better, the margins are around 2.5 to 3% so that will somewhat make up for the lower margins in the renewable space and the power sector conventional power also will have a place in our portfolio because distribution sector as earlier mentioned that this will need a lot of modernization etc., so there a lot of scope will come, there the margins are okay and in the transmission sector also a lot of opportunities are likely to come and some opportunities will come in the conventional generation stage as well where the margin are of course very good so overall as I said our margins we are targeting a 2.5% of spread and 3.5% of NIM.

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Page 20 of 23 Nihaarika : Sir the loans which will be extending towards the RDS they would have a spread of 2 to 2.5 is it?

V.K. Singh: 2.5% yes. Depending on the kind of borrower, ratings, etc so between 2.25 to 2.5.

Nihaarika : Thank you.

Moderator : Thank you. We will take the next question from the line of Satinder Singh Bedi from Eon Infotech Investments. Please go ahead.

Satinder Singh Bedi : Thanks for the follow-up. Sir keeping up from this last question so we are trying to aim for 2.5 spread and 3.5 NIM and so my issue was that we are currently last quarter we have done about 69 -70 bps so far as NIM is concerned over the interest spread. Given that our fee income etc might actually not be as healthy, we had the benefit of prepayments in the past okay so how do we plan to achieve this 100 basis points spread of NIM over the interest spread?

Vivek Kumar Dewangan: Bedi ji. Let me clarify that our cost of financing is about 7.25% and renewable energy we

are getting margin at 2% average cost of financing that we are lending for renewable is 9.25% with the margin of 2% there and in infrastructure our margins, we are lending from 9.5 to 10% actually. There our margins are better, it is about 2.5 to 3% and majority of this late payment surcharge loans that we had given there we are having good margin that is about 2.5 to 3.5% margins are there.

Ajoy Choudhury: The incremental cost of funding has also come down in spite of no respite from lowering of repo rate or the benchmark rate, we have been able to bring down our cost of funds. The incremental cost of funds this year has been at the tune of around 6.85% so this will bring down the average cost of funds as well. This has been largely possible due to foreign currency borrowing and of course increased borrowing under 54EC bonds so these two are helping us to lower the cost of funds.

Satinder Singh Bedi: Okay and is there a ROE goal that we set okay kind of for itself like we have got a very healthy return on net worth as of late okay but is there a ROE goal that we work towards because normally the investor community does look at that as an important parameter while trying to put an intrinsic value to financial institutions and financial corporations?

Ajoy Choudhury: Last three years if you see our ROE has been in the range of 20%.

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Page 21 of 23 Vivek Kumar Dewangan: 20 to 21%.

Ajoy Choudhury: 20 to 21%, so we hope to maintain this in spite of an increased capital base so this 20% we will continue to maintain.

Satinder Singh Bedi: Right sir. The only challenge is that we have benefited from a very low credit co

sts okay

because we say it has been managed and the conservative provisioning that we have done earlier and those benefits might not be available going forward okay so that is one challenge, but I think it is a great show and how do we hope to mitigate while you mentioned okay so you mentioned that the private sector book will go from 10% to 30% over a period of time as we bring more RE into the portfolio okay. Was that understanding correct sir and for over what period is that expected to happen?

Ajoy Choudhury: That is absolutely right. Going forward because most of the renewable projects are coming up in the private sector so our private sector portfolio will definitely increase and also in the infrastructure as we get more hold on the space we shall start to lend to good quality projects developed by the quality borrowers so there also we see some traction in the private sector lending. So it is a fair assessment going forward in the next six to seven years our portfolio of the private sector should go up to 30%.

Satinder Singh Bedi: Key learnings and all our NPAs are in the private sector so that is one potential risk down the road. We understand that you are strengthening your evaluation teams okay but any key learnings that you hopefully incorporate this time?

Ajoy Choudhury: So I would like to clarify this question of NPA. What happened in the past when these NPAs happened there were three reasons. One is that the revenue stream was not tied up, the PPAs were not in place. The second was of course an external reason where the coal blocks were canceled so some of the projects whether due to that and thirdly the entities were not so strong so we have taken care now on all these aspects, now we do not finance unless there is a revenue stream already in place. The second is of course entity we are going with A-rated borrowers, we are not going with small-time players and that is the reason why you see some dip in our margins and thirdly the very strong emphasis we have given on monitoring and we have a very strong monitoring framework, particularly in the private sector where we engage specialized agencies to monitor on a day-to-day basis in conventional space we place these agencies at the site at the project site and they give our first stand report on a weekly and monthly basis so these are the changes that we have made and we feel that in spite of our lending increasing in the private space, our NPAs will not go up. In fact we are targeting a zero level of NPA by the end of 2025.

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Page 22 of 23 Satinder Singh Bedi: Right sir. Thank you I think that is very reassuring because that as we model now the future

growth okay that is one concern that I think will be there with most of the analysts. Okay

thank you very much. All the best. Thank you.

Moderator: Thank you. We will take the next question from the line of Naga Raja Rao Somanchi from Sun Corporate Finance Advisory. Please go ahead.

Naga Raja Somanchi: Yes good morning. My question was basically on NPAs only. Since the team has answered most of the questions I just wanted to limit in the last call if I am right they did mention that six quarter straight without any new NPAs. How are the existing portfolio doing sir,

any concerns in between 60 to 90 day over dues?

Ajoy Choudhury: Our stage 2 is around \$ 182 million and there is a provisional coverage of 2.26 %, but let me tell you that there are generally small cash cap that exists with the utilities or in the government sector where procedural delay takes place . So we have seen that because of procedures we are having this stage two assets for a long time but they have not resulted into NPA s because these are largely from the government sector where there are delays as I said are procedural or because of for a very limited period of cash flow mismatch that is the only

reason .

Naga Raja Somanchi : You did mention these are mostly from government sector you are saying , correct sir?

Ajoy Choudhury: Mostly from the government sector .

Naga Raja Somanchi : Okay. Thanks for taking my call.

Moderator : Thank you. We will take the next question from the line of Venkatesh from Logictree . Please go ahead .

Venkatesh : Just a quick follow -up question sir . You had mentioned that we are targeting NIM in the range of 3 to 3.5% over a period of time considering that we are in that line of business over a four year , five year period what is the net NPA target that you are keeping as most optimal for us sir?

Ajoy Choudhury: Yes. As I already clarified, we are targeting that by the end of 2025 , our net NPA will become zero .

Venkatesh : Okay great sir . thank you very much .

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Page 23 of 23 Moderator : Thank you . The next question is from the line of Jai an individual investor . Please go ahead .

Jai: I heard that you said that most of your loans are on three year reset so just wanted to check if you intend to continue in this pattern or you think because it looks like that most of the banks or other lenders are on one year reset maximum so is there any plan to change that and does this make sense from risk management perspective because there is an interest rate risk involved ? Thank you.

Ajoy Choudhury : So we have already stated that we have already changed this three reset arrangement , now all our loans fresh sanctions which we are giving are on one year reset so earlier our three year reset loan book was almost 95 % which has come down to 80 and going forward they will all be on one year reset . It will take a while of course .

V.K. Singh: We have given option also to convert three years to one year.

Ajoy Choudhury : We have also given option to many of the borrowers to convert their loans from three years to one year reset and some of them have opted for it so let's see but in going forward all our loans will be on one year reset only.

Jai: Thank you sir .

Moderator : Thank you . Ladies and gentlemen as there are no further questions I would now like to hand the conference over to Mr . Shreepal Doshi for closing comments . Over to you .

Shreepal Doshi : Thank you Michelle . I would like to thank all the participants for being part of the call . A special thanks to the REC management for giving us the opportunity to host this call . Thank you all and have a nice day .

Moderator : Thank you members of the management . Ladies and gentleman on behalf of Equirus Securities that concludes this conference . We thank you for joining us and you may now disconnect your lines . Thank you.

Call: Nov 2023

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Dated: November 6,2023

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra East, Mumbai -400 051. Corporate Relationship Department

BSE Limited

I" Floor, Phiroze Jeejeebhoy Towers

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Scri Code -RECLTD Scri Code -532955

Sub: Transcript of Investor/ Analyst meet held on November 1, 2023

Madam/Sir(s),

In continuation of our earlier letter dated October 29, 2023 & November 1, 2023, and pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith transcript of Investor/Analyst meet of REC Limited held on November 1, 2023.

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Regional Offices: Bengaluru, Bhopal, Bhubaneswar , Chennai, Dehradun, Guwahati , Hyderabad, Jaipur, Jammu, Kolkata, Lucknow, Mumbai, Panchkula, Patna, Raipur, Ranchi, Shimla, Thiruvananthapuram & Vijaywada

State Offices Vadodara , Varanasi

Training Centre REC Institute of Power Management & Training (RECIPMT), Hyderabad

REC Limited

Q2 & H1 FY2024 Earnings Conference Call

November 01, 2023

Management Team

Mr. Vivek Kumar Dewangan, IAS, Chairman &

Managing Director

Mr. Ajoy Choudhury, Director (Finance)

Mr. Vijay Kumar Singh, Director (Projects)

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- Management – REC Limited:

- This Q2 result has been the best result for REC as compared to any other quarters in the previous years. When we talk about the asset under management last financial year when we started on 1st of April, 2022, our asset under management was about ₹3,85,000 crore, which at the end of last financial year on 31st March, 2023, increased by 13% to ₹4,35,000 crore. But in the current year, in Q2 FY24, our sanctions have gone up by 23%. Our sanctions in Q2 FY24 stands at ₹1,04,366 crore i.e. 23% increase Y-o-Y basis as compared to Q2 FY23 and if we compare the H1 FY24, our total sanctions stands at ₹1,95,163 crore, which is about 35% increase as compared to H1 FY23. With regard to disbursement, there has been phenomenal increase in disbursement. In Q2 FY24, our disbursement is at ₹41,598 crore, i.e. 133% increase as compared to Q2 FY23, which was ₹17,827 crore. If I compare half yearly figures in the H1 FY24, our total disbursement stands at ₹75,731 crores; i.e. 150% increase over H1 FY23 of ₹30,269 crore. Our income has grown by 17% in Q2 FY24. Total income stands at ₹11,590 crore which is 70% increase over Q2 FY23, i.e.

₹9,949 crore. With regard to H1 figures, total income has gone up by 16% to ₹22,571 crore as compared to H1 FY23 of ₹19,417 crore. The profit after tax has grown by 38% to ₹3,773 crore in Q2 FY24 as compared to Q2 FY23 which was ₹2,728 crore. If I calculate H1 FY24 profit after tax, there is an increase of 30%. Last year H1 was of ₹5,176 crore and our H1 FY24 profit after tax stands out ₹6,734 crore.

- Asset under management has seen a phenomenal increase in the Q1 FY24 and Q2 FY24, both have seen 20% growth. Now, our total asset under management stands at ₹4,74,275 crore. Earlier we were targeting that our asset under management will grow to about ₹10 lakh crore by the year 2030, but if you are able to maintain this growth trajectory, perhaps we will be able to reach ₹10 lakh crore by the year 2028

028 itself. The net worth of the company has seen an increase of 18% at the end of Q2 FY24, our net worth has grown to ₹63,117 crore. The capital adequacy ratio is at a comfortable level of 28.53%. The NPA, the major hallmark of our tremendous growth is that in the last seven quarters not a single NPA has been added into our kitty and our net NPA is now only 0.96%. We had total of 36 stressed assets at the start of 2018-19 when a committee headed by earlier Cabinet Secretary was formed to suggest ways to resolve this stress asset. So far, we already had 17 stressed asset and in the current financial year, we are targeting to resolve 9 assets. Out of 9 assets, 4 assets are at the verge of resolution and the remaining 5 assets will be able to resolve by the end of March 2024.

- The remaining 10 assets are at different stages of resolution and we hope to resolve the remaining 10 asset by the year 2025 and that's why we are 100% sure that we will become net 0 NPA company by the year 2025. These results were achieved despite some major challenges, including increased cost of funds owing to continued REC Limited

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geopolitical events and heightened competition. This makes the performance even more pleasing. The return on equity in Q2 FY24 has gone to 24.34% and for H1 FY24 our return on equity stands at 22.3%. The two significant factors which has led to our tremendous growth, I would like to mention that. Our renewable energy portfolio is ~7% of our total asset under management i.e. ~₹30,000 crore. We have made a clear-cut business strategy to increase our renewal energy portfolio by 10 times to ~₹3 lakh crore by the year 2030. In fact, when we had organized Green Finance Summit in Goa on the sidelines of G20 Energy Transition Working Group, we had detailed discussions with RE Project Developers, technology providers, manufacturers, EV, OEMs, and operators, and we were able to sign MOUs worth ~₹2,86,000 crore. Wherein we had done project by project identification also and I am happy to share with you that out of ₹2,86,000 crore MoU which we had signed with ~25-26 entities in the 3rd week of July, we already sanctioned projects worth ~₹40,000 crore in the last three months i.e. August, September, and October.

- Out of total sanction of ₹1,95,000 crore in H1 FY24, 25% has come from renewable energy segment. So, we are committed to increase our renewable energy portfolio and by the end of 2030, our share of renewable energy portfolio will increase to ₹3,00,000 crore that will be 30% of our asset under management. When we became a Maharatna Company last year in September 2022, Government of India Ministry of Power allowed us to diversify into nonpower infrastructure and logistics with a caveat that 1/3rd of our outstanding loan book should not exceed from nonpower infrastructure and logistics and every year this gap of 1/3rd of the sanction, should be limited to 1/3rd only. When we got this permission in October 2022, we started financing infrastructure and logistics projects. Since it was first year, we were cautious, we financed those infrastructure logistic projects which were in state sector, which were duly supported by the state government guarantees, and out of ₹2,68,000 crore sanction last year, ₹85,000 crore was pertaining to infrastructure logistics sector.

- In H1 FY24, out of ₹1,95,000 crore, 20% has come from infrastructure and logistics sector, ~₹40,000 crore project we are sanctioned from infrastructure logistics. It has covered a wide spectrum of projects. It varies from electromechanical components or refineries, steel plants. We also finance roads, expressway, highways, Mumbai-Pune Expressway was one of the big big ticket projects where we had sanctioned ₹17,000 crore. We also financed Ganga Expressway in Uttar Pradesh, Kagal-Satara Road in Maharashtra

. We also financed MMRDA's metro projects. Bangalore Metro project. We are in the process of sanctioning some more project in the airports and

ports sector as well. We also sanctioned certain projects in IT infrastructure, data centers, and super specialty hospitals too.

- The focus on energy transition related projects and nonpower infrastructure and logistics combined with our conscious strategy to resolve our stage asset with the REC Limited

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target to become net zero NPA by the year 2025 has led us to this tremendous growth which we are sharing with you all.

- Now, I will request my Director of Finance to make a presentation on our financial performance. Mr. Choudhury.

- Mr. Ajoy Choudhury -- Director Finance, REC Limited:

- Thank you, Sir. Good afternoon dear friends. So, I'll make a very brief presentation. Most of you probably know about REC Limited so we'll just go through the REC overview. So, operational performance, asset quality, borrowing profile, and financial highlights. So, REC journey, started in 1969 and in 1998, we were registered with the RBI and in 2008, we were conferred with the Navratna status. We floated our IPO which was subscribed 27 times. In 2010, we were conferred with the IFC status by the RBI. 2017, we were the first PSU to issue green bonds on the London Stock Exchange. In 2019, nodal agency, we achieved 100% housing electrification. In 2021, we were appointed as the nodal agency for the very important reform distribution sector scheme of the government of India. The year 2022 was a landmark year when we were conferred with the Maharatna status which is the highest status for any PSU and we also forayed into the nonpower infrastructure sector. These are the key strengths, experienced management team, nodal agency for major Government of India power projects, highest domestic rating and international rating at power with the sovereign strong fundamentals and profitable business.

- Maharatna Company is a strategic player in the Indian power sector diversified asset base with robust access to diversified funding sources, healthy asset quality with adequate provisioning coverage ratio, and we occupy a strategic position in the growth and development of the power sector across India and also a major player in renewal energy segment. We were awarded "Best PSU" in the financial service category by Dun and Bradstreet, we were "Ranked 53rd" in the Fortune India 500 companies, "Golden Peacock Award" for risk management. We got it the same award again this year from the Institute of Directors, London, "Golden Peacock Award" for Excellence in Corporate governance. We got it again by the Institute of Directors, London. We are the more profitable companies by Money Control. We are among "India's top 20" companies and we were also awarded by the Indian Chambers of Commerce as the "Operational Performance Excellence". We have recorded the Maharatna status, this gives us greater financial and operational autonomy and it also allows the strategic investment by incorporating JV subsidiaries and many activities and we are helping the government in supporting the government vision of power sector and by accelerating growth and support.

- We forayed into the infrastructure last year. So, we are doing all this business metro, port, waterways, airport, oil refinery, roads and highways, IT infra, steel infra, and REC Limited

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health sector. So, we are the government trusted arm. We were the nodal agency for the very important village electrification program which is also known as the Deendayal Upadhyaya Gram Jyoti Yojana and that was completed in 2018 and then we were made the nodal agency for the Saubhagya scheme, which was 100% househ

old electrification that got completed in 2019. Currently along with PFC, we are the nodal agency for the very important reform distribution sector scheme.

- Along with that, we are also you know in the various other projects that have been entrusted to us by the Government of India. So, this is the shareholders outlook. Our EPS is around ₹51.32. Share prices are rallied from ₹115 to ₹287.4 in the last about six months. Book value per share at ₹239.7 and today we have declared the second dividend of ₹3.50 along with the first dividend which were declared for ₹3. So, around ₹6.50 we have declared dividends. Power finance corporations hold 52.63% in our equity. Foreign portfolio investors hold around 22%. Foreign portfolio investors have always held more than 20% in our equity. We are one of the best dividend paying companies, 126% of the face value. Total sanctions, in H1 FY24 have been ₹1,95,163 crore as compared to ₹1,44,784 crore in H1 FY23. We have made the

highest ever quarterly sanctions during Q2 FY24 at ₹1,04,366 crore. Disbursement in H1 FY24 is at ₹75,731 crore compared to ₹30,269 crore in H1 FY23, ~133% increase in the disbursement.

- This quarter, we have made the highest ever quarterly disbursement of ₹41,598 crore. Outstanding loans stand at ₹4,74,275 crore and largely distribution sector 44%. Out of this 44%, ~12% is for the Aatmanirbhar scheme, which was a special scheme announced by the Government of India to support the distribution companies during the Covid times. Generation at ~29%, INL at ~10% (including the power component's part) and renewable energy at ~6%, which we intend to take up to 30% by the year 2030. Loan book has grown at a healthy rate of 20% Y-o-Y. In Pan-India, 90% of our loan are to the state sector and 10% to the private sector borrowers. Major borrowers are Tangedco, Maharashtra state electric distribution company, UPPCL and all of these. There have never been any slippages in the first ten borrower's book. Asset quality is improving continuously. Net NPA at currently 0.096% of our loan book and 3.14% is the gross NPA, which has come down from 4.03% in September 2022. Provision coverage ratio is 69.37%, slightly lower because some of the assets which we have reversed, some of the provisions where there is a write-back, which has happened in the Q3 current quarter. So, credit impaired asset resolution under NCLT ₹13,008 crore, 14 projects with 73% provision. And there are five projects outside of NCLT being resolved at ₹1884 crore, where there is 42% provision.

- "AAA" rated by all the major rating agencies domestically and internationally rated at par with the sovereign. Recently, our Perpetual Debt instrument, which was rated "AAA" by Crisil, now CARE has also upgraded to "AAA". Outstanding borrowings is at ₹4,13,542 crore, corporate bonds is around 39% and our ECB is currently at ~28%,
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including the FCNR bonds. Capital gain bonds is at 10%, which is the cheapest source of funds for us. We take the major share of this particular market. Fund raised during the quarter ₹30,691 crore compared to ₹16,871 crore commensurate with the growth in our disbursements and for H1 FY24 it is ₹79,885 crore compared to ₹28,486 crore H1 FY23. So these are the major highlights. Total income stands at ₹22,571 crore, up 16%. Net profit stands at ₹6,734 crore, up 30%. Total comprehensive income at ₹7,331 crore, up 99% Y-o-Y. Loan book has reached ₹4.74 lakh crore, 20% up. Asset quality improved with net credit impaired asset at 0.96%. Net worth is now at ₹63,117 crore and capital adequacy at a very comfortable 28.53% giving a sample opportunity for growth. So, these are the key ratios. Our interest spread has gone up from Q1 FY24 from 2.59% to 2.74% and our net interest margin has come to now 3.45% as against 3.28% in the last qua

ter. Return on net

worth was at 22.3%. Interest coverage ratio at 1.65x and debt equity ratio at 6.46x.

So thank you very much. I welcome any questions that you have.

- Moderator:

- We welcome questions from your side. Any queries, please pass on the mic.

- Speaker:

- Hello. Sir, I have two questions. The first one is, despite the growth in disbursements, interest income and on the interest expense side, also, we have seen a more than commensurate increase. So, the net interest income is almost flat. And as you mentioned, the NIM are slightly under pressure as compared to the same quarter last year. So, if you could just explain what is going on with the cost of borrowings and where you see that headed along with yields and hence the NIM would be very helpful.

- Management – REC Limited:

- Yeah. So, interest expenses have grown commensurate with our disbursement. Our costs of funds have sequentially remained at 7.23%. Compared to last year, of course, it has risen, as you all know what are the changes that has happened in the Repo in the T-bill market and also in the corporate bond market. But even with all these challenges, including the geopolitical ones, sequentially we have maintained

our cost of funding at 7.23%. So, our NIM has improved sequentially again, if you compare with last year. The point is that we are also very conscious of the asset quality. So, our cautious approach on the asset quality is also a reason that, we are not too aggressive on margins. So that's the reason why our margins were under pressure compared to Y-o-Y but sequentially, we want to take our net interest margin to 3.5%, I think, which is a healthy margin, and it will give us space to manage our asset quality.

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- Speaker:

- Thank you and my second question is slightly broader. A few years ago, almost all private sector banks and the public sector banks had vacated the infra financing space because of policy paralysis and there were a lot of issues with infra projects. Now, energy itself has moved into the green energy space, there's a lot of renewable projects and very few thermal projects are coming up. How do you see the competitive intensity for giving out loan's for people like REC, PFC vis a vis the SBI's or the BOBs of the world on the project finance side? And if at all, ICICI or HDFC Bank, the larger private sector banks, what's the competitive intensity? Are REC and PFC sort of the only game in town to be key lenders to these this entire renewable energy transition?

- Management – REC Limited:

- Renewable energy (RE), we are competing actually with a lot of, with banks and other financial institutions, because everybody wants to add to their kitty this green angle. But what we are doing is that we are targeting good asset quality in the green projects, where the rating of the borrower is good, although the margins are a bit lower in RE projects, that decrease in margin, we want to compensate through the large volume. With regard to infrastructure projects since the government allowed us only last year in October, we are a bit cautious. Initially, we have sanctioned only those infrastructure projects in the state sector which are having state government guarantees. Now we are gradually learning and it is an evolving process for us also. We have roped in sector experts. We have brought in advisors, senior consultants, and consultants from the logistics and infrastructure sector who are helping us to appraise these infrastructure projects. And yes, we are competing with other players in infrastructure, and we are targeting those infrastructure projects where revenue cash flows are assured and once we evolve, then we'll start taking a calculated risk in the infrastructure sphere.

- Management – REC Limited:

- Just to clarify on the banks an

d all, the banks do lend to infrastructure, particularly the SBI. But not all banks are so much in the infrastructure space, largely because they have their ALM issues. Their ALM does not permit them to go very long on infrastructure projects. So that's the advantage which we have compared to banks. Therefore, we are in a slightly better position as compared to the banks.

- Moderator:

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- Hi. Just before we continue, I would request each one who has a question to please introduce yourself and mention the name of your firm before you go ahead with your question and try to limit your questions to two a participant. Thank you.

- Ms. Shreya - CLSA Ltd:

- Yeah, my name is Shreya, I'm from CLSA. Sir, my question is on growth. So while the growth has been great, currently. A lot of the growth has come from these schemes that the government has for the DISCOM sectors, the LPS scheme and the revolving bill payment facility, etc. So, if I want to project growth in the coming years, there

are certain programs that government has i.e. ₹31 trillion program expansion of installed capacity in the country, what is our plan in it? And the ₹40,000 crore that you mentioned, is it a part of that program? Has that already started? What will be our market share in that expansion program that the government is planning to do? Also, if you can comment on RDSS has disbursements for those started, have the smart metering programs started, etc. And sir, my second question is on cost of funds. So, in the third quarter you have a big dollar bond which is retiring. So can you help us understand what is the current rate at which you are raising dollar bonds or what is the plan going ahead. Thank you.

- Management – REC Limited:

- Let me take this question of RDSS and infrastructure thing. RDSS was launched in the month of July 2021, when second wave of Covid was there. So, one year when the second wave of Covid slowed down, there was a bit of delay in sanctioning this RDSS project. RDSS is mainly aimed to improve the operational and financial efficiency of the distribution companies, and one significant feature is that the state government, through their cabinet resolution, has committed to certain trajectories like bringing down the AT&C losses, liquidate government department dues, liquidate legacy subsidy payment to the DISCOM and these projects under RDSS which were being taken by the distribution company, they were first scrutinized by the Distribution Reform Committee, headed by the Chief Secretaries of the States, and thereafter the state cabinets have committed to those trajectories. So, there is cabinet support from each of the states, the political commitment is there to maintain those trajectories committed in RDSS. So, total outlay of RDSS is about ₹3,00,000 crore. Out of ₹3,00,000 crore, ₹97,000 crore is Government of India grant, remaining would be contributed by the state from their own side and remaining they'll take loan from REC or PFC. REC has been made nodal agency for about 19 states and UT's. We are looking after about 32 DISCOM and the remaining states are being looked after by PFC and PFC is looking after about 24 DISCOMs.

So, except Karnataka and Telangana all the States have already sanctioned their RDSS. The disbursement has started happening ~₹22,000 crores have already been REC Limited

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disbursed but there are two company ideas, one is prepaid smart printing component that is ~₹1,50,000 crore and the remaining ₹1,50,000 crore is pertaining to loss reduction work. So, prepaid smart metering, we see a huge opportunity because prepaid smart metering is being done by the private players. They do require financing and that financing also we a

re targeting and this prepaid smart metering is going to be the big game changer like people will be able to recharge their electricity connections, they'll be able to see their consumption through the mobile app and overall collection and billing efficiency of distribution companies will improve. What has happened is that RDSS has brought a certain kind of discipline among the distribution companies in order to get government of India grant, they have to meet this result evaluation framework. There are certain prequalifying criteria which they have to pass. So, what has happened that government department dues which all the DISCOMs through the State Governments are committed, it has started coming down. At the start of RDSS, Government department dues were to the tune of ~₹1,35,000 crore and it has come down to around ₹63,000 crore. Similarly, the legacy subsidies that was more than ₹1,20,000 crore, that has also come down to about ₹60,000 crore and so much so that the State Governments have started paying subsidy quarterly in advance like for Q2 subsidy was paid in Q1, for Q3 subsidy has already been paid in Q2.

- Another significant factor which has happened is that the AT&C losses had come down substantially in last one year from 22% to 17%. 5% reduction in AT&C losses. Phenomenal! First time it has happened that in one year the AT&C losses have come down by 5%.

- The LPS Rule is another big game changer which was brought by Ministry of Power last year. Through the introduction of Late Payment Surcharge Rules, now the DISCOMs have committed to clear the dues of Genco and Transco and in equally monthly instalment (EMIs), which can go up to maximum 48 months. In four years all these dues are going to be liquidated. That is also improving the Balance Sheet of

DISCOMs.

- Now, I will request our Director (Finance) to tell about the cost of funding and the question raised about cost of funding.

- Management – REC Limited:

- So, our average cost of fund is at around 7.23% but our incremental cost of fund is at a lower rate. So, we have made analysis that the repayments that we are making, those were going at higher rates compared to the money that we are currently
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raising. The retirement of the bond or repayments will not impact our cost of funds at all. In fact, it will slightly improve on the overall average cost of funds.

- Management – REC Limited:

- Let me add one thing, regarding the bonds, which you said, which are maturing in the month of November, so ₹700 million is maturing but the entire amount is hedged, both the principal and Coupon. i.e. a fixed rate coupon and the principal also is hedged 100%.

- And regarding the cost of borrowing also, the incremental cost during this particular quarter is 7.23%. While in H1 FY24 that is coming at 7.17%. So, it has come down as compared to March also and as well as the first quarter also it has come down by about 6 bps from the last quarter also.

- So, as such cost of borrowing is almost stable. Virtually, it is coming down though there will be slight increase in the coming months but still it will be at the rate of about 7.20% and not more than that.

- Management – REC Limited:

- You had also raised the question about national infrastructure pipeline that current year Government of India has committed that the CapEx of ₹10 lakh crore and this national infrastructure pipeline is there. You have rightly noted that ₹40,000 crore is sanctioned and it is coming from that infrastructure space and we intend to increase our infrastructure lending to say about 20%-25% by the year 2030. So, if my loan book is going to touch ~₹10 lakh crore, so roughly ~₹2 lakh crores or ₹2.5 lakh crore will come from Infrastructure space.

- Ms. Shweta – Elara Capital:

- Hello, Sir. This

is Shweta from Elara Capital. I have couple of questions. Sir, one is on the cost of borrowings, again, so at what percentage we are hedged for foreign currency borrowings? And what is the pricing there?

- Management – REC Limited:

- Virtually, we are raising through different currencies. We are raising in CHF, JPY as well as USD and whatever raising we are doing in USA that we are swapping to different currencies also. So, there the cost becomes quite minimal as compared to the normal in case we do the dollar borrowing.

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- So, the cost which is coming in case of JPY is ~6.6% on all hedge basis and USD, the bonds also which we recently did (Green bonds) that was at 7.03% after taking into consideration the principal hedge. As far as the USD, that we have swapped to CHF as well as Euro. There also, the cost which was ~7.5% and has now come down to ~7%.

- So, all in all the cost is not more than 7% in case we borrow in any of the currency

after considering the principal hedge also. And the hedge ratio is about 92%. It's only two bonds which are there, which will be maturing in 3-4 years, which are unhedged and there doesn't seem to be any reason for hedging them because already whatever the volatility is there that has already been factored in and on quarterly basis we are already taking into consideration the foreign exchange fluctuation which is there in the books of accounts. That is already factored in.

- Ms. Shweta – Elara Capital:

- Okay. So, Sir, fair to assume that 40% of your borrowings are below the current average cost of funds? And, Sir, what is the trajectory ahead on cost of borrowings?

- Management – REC Limited:

- Yeah, ~28% is through the foreign currency borrowing. That is ~7% or even less than that. And the 54EC bonds which we are raising, that roughly ~₹12,000 crore to ₹14,000 crore. So, ~10%. So, that also is at ~5.25%. So, ~40% to 50% of the borrowing is 7% or even less.

- Ms. Shweta – Elara Capital:

- So, Sir, what is the trajectory ahead then for cost of borrowings?

- Management – REC Limited:

- You see, recently the corporate bond rates have gone up, yields have gone up but the ECB and the capital gain taxation we are focusing more and more on that. But there might be 4-5 basis point increase due to the current scenario in the bond market. We hope that this is a matter of 4-5 months before it starts to cool down. So, we believe that we can end up the year at the present level that we are in.

- Ms. Shweta – Elara Capital:

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- And, Sir, much of asset repricing is not coming, right? because then you also mentioned that you have eyes on credit cost? So, net-net can we assume that Net Interest Margins will remain in steady state over the next two years? Is that a fair assumption?

- Management – REC Limited:

- Yeah, I mean, we are targeting a Net Interest Margin of 3.5%. Currently, it is at 3.45%. So, yeah, you can assume that we shall maintain at the similar levels.

- Ms. Shweta – Elara Capital:

- Right. Sir, my second question, just taking cues from the earlier participant. Sir, just correct me if I'm wrong. So, if AT&C losses are on downward trajectory then, of course, your smart metering installation financing is also sort of catching up really well but then if AT&C losses are gradually coming down then does that mean that DISCOMs as a percentage of overall loan mix should slightly come down going forward for us?

- Management – REC Limited:

- Let me answer that. As you see that this distribution infrastructure in the country is quite old. It is more than 40-50 year old. So, RDSS is doing this system thing for a certain portion of it. So, we do hope

that distribution companies will have CapEx requirement to replace their old distribution network. So, we foresee that next 10 years the percentage of distribution segment is ~35%-40% of our lending is distributed.

- Ms. Shweta – Elara Capital:

- Sir, just a bit. Last question on the growth front only. So, that first half has put up a very strong upbeat tone, so what is our growth outlook for the next two years?

- Management – REC Limited:

- So, we hope to maintain or even better our performance in the next two years.

- Ms. Shweta – Elara Capital:

- Sure. Thank you, Sir.

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- Mr. Bhavesh Kanani -- ASK:

- Hello. Sir, Bhavesh Kanani from ASK. My question was on the renewable space. You know, typically there is a gestation period of about two years and then the producer typically refinances the debt at better yields. How has been our experience that is when we disperse, what kind of spreads we are charging and in case we end up refinancing the project after the construction phase, what are the spreads in that stage?

- Management – REC Limited:

- Yeah. So, our focus thus far has been on financing of Greenfield projects only, but then as you're right, there's a lot of refinancing activity happening in renewable energy project. The gestation is very low. The payment security mechanism after introduction of LPS has become extremely strong, so there is no revenue risk and therefore the rating of these assets go up as soon as these projects are commissioned and then comes the refinancing risk. So, we are also changing our strategy. So, rather than focusing only on Greenfield projects, now we have started focusing on refinancing opportunity in the market where obviously will have to compromise little bit on our margin, but then the quality of asset, the rating, the ECR of the asset will be better. So, that is how actually we are going to ramp up our RE portfolio by looking at both Greenfield as well as doing some bit of refinancing as well.

- Mr. Bhavesh Kanani -- ASK:

- What is the difference between spread for both Greenfield and refinance?

- Management – REC Limited:

- So, if it is a commissioned project, I mean Greenfield, we can charge a little more because there is a construction risk involved.

- Mr. Bhavesh Kanani -- ASK:

- 150 to 200 basis points.

- Management – REC Limited:

- So, our interest rate today it starts from 9.25% - 9.5% and likewise it goes, but for refinancing we are giving a rebate of 50 bps. So, 9.25% becomes 8.75% because we want to attract the project developers for getting their project refinanced from us and that can happen only if we provide them the a competitive interest rate and therefore this policy of 50 bps rebate is there in case of refinancing.

- Mr. Bhavesh Kanani -- ASK:

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- Second again on renewable was at a pool level, what would be the project IRR of renewal projects we would have financed and where I'm coming from is on one hand there is project IRR and then we have equity IRR like it had happened in the last power cycle when project IRRs are hampered, we run the risk of power producers actually raising their hands and not taking that keen interest in the project. So, from that perspective if you can help us understand?

- Management – REC Limited:

- Yes. So, equity IRR, we don't see as a lender of course we'll look at project IRR.

Project IRR, as per our experience of lending into this particular space over the last decade is actually coming down. Now, people are becoming more aggressive. They want to have a larger portfolio, for example, large developers like Renew, Adani, and so on. So, project IRR is coming down, but then we have a policy that project IRR should n

not be less than our interest rate. The project should still make some economic sense to the developer also from our point of view and therefore we keep watching this, if the project IRR is much lesser, that means there could be less interest of the project developer going forward. We are also very careful about it. So, we do give weightage to the project IRR, but there's another one thing while we are calculating all of these parameters, we are taking a very conservative performance at P90 level. I hope you understand P90, P75, and P50 RE projects. So, we initially calculated P90, but then our experience again is that project performing at much better levels, P75, in some cases at P50 also, and then the project dynamics, the financial equilibrium also changes, and then therefore the project becomes much more attractive and therefore it gets better rating also. So, coming to your point, project IRR is definitely one of the very important parameters we look at if it is very low, we rather not touch that project.

- Management – REC Limited:

- Just to add to what I think, you mentioned about the last cycle you know which was the thermal power project cycle. So, what was the problem there. One was that, that revenue was not tied up and secondly the entity that came in were not so strong. You know when a project runs into difficulties, if the entity is strong, they are likely to pull it through. So, now what we have done is that we are dealing with the strong entities, so that's one and the second is that we always see that the revenue is tied up. We don't take up projects for the revenue is not tied up. These are two major changes that we have brought about.

- Mr. Bhavesh Kanani - ASK:

- Last bit continuing on the explanation you shared, Sir, what are the other hedges, let's say the risk in earlier power cycle was with related to fuel availability, which I am sure you have addressed now. In case of renewables, it could be related to the quality of panels, which vendor is supplying, I don't know how important land

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acquisition is for solar power projects, so what are the other hedges or important aspects you have put in place to ensure that the evaluation of project IRR is actually realized by the producer?

- Management – REC Limited:

- So, land definitely it is one of the most critical element in case of both solar as well as wind power project because you have to acquire and take on lease and therefore we are saying in the beginning that the developer should be in possession of 100% land, so we are not taking any chance. We are still seeing that some of the projects are getting stuck because of the land. So, 100% capacity is not getting installed because the small parcel of land could still not be acquired by the developer. Therefore, before getting into the project and making first disbursement, we are saying that you should have 100% land identified and in your possession also that is how we are hedging that particular list. We currently are not financing any project which doesn't have 100% tie up of the PPA. So, in the earlier project that we financed, we took a call on majority of project that they will be able to sell on merchant or this or that, but all that did not happen and we lost heavily on because of those reasons. Now, we are taking care that the 100% power offtake should be there. Earlier, we were saying that the offtake arrangement should be with a very good quality DISCOM because otherwise that risk was also flowing into the project. Now after introduction of the LPS scheme, that particular risk is completely gone away. So, there is no need to take into account that with home the developer has entered into PPA because now every utility is almost at par, so that risk is gone. So, other small, small things are also there. That is how we are

hedging different risk.

- Mr. Sushil Choksey – Indus Equity:

- Thank you, Sir for taking my question, Sushil Choksey here from Indus equity. Now, government has permitted you to diversify beyond powers for energy transition, renewable, you have stated lots. Now, where do you see your mix between PSU and private let's say by 2030?

- Management – REC Limited:

- Yeah, right now our lending is 90% to the state sector, only 10% to the private sector. But going forward, since renewable energy projects are coming in private sector only, we do see that our lending to private sector will increase from the present level of 10% to ~30% by the year 2030.

- Mr. Sushil Choksey – Indus Equity:

- The second thing is when you're looking at renewable or energy transition, most of these big companies, large corporate, whether private or public would go from end-

to-end. So, starting from polysilicon till solar park and they would integrate hydrogen
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also into that. So, now when that kind of transformation is likely, otherwise it's not viable, will you finance the manufacturing part of the first end or will you stick to only the end?

- Management – REC Limited:

- Thank you for asking this very pertinent question. In fact, we are precisely looking into this aspect. We have been started financing manufacturing also and some of the companies have come up with this end-to-end solution from production of the solar energy then production of green hydrogen, green ammonia, we are considering those projects. End-to-end solution also, we are considering those projects for financing.

- Mr. Sushil Choksey – Indus Equity:

- And this typically would be 70:30 or 75:25?

- Management – REC Limited:

- Depends on the entity. If the entity is strong, we can go for 75:25 or normally it is 70:30.

- Mr. Sushil Choksey – Indus Equity:

- And if working capital requirements are there in these projects, how do you manage that financing?

- Management – REC Limited:

- Working capital normally, these developers to rely on the banks, but off late we have introduced some products in which we also can provide working capital support in the form of non-fund-based facility. We call it call it LOU (Letter of Undertaking) by which a developer can use our LOU to take non-bank facility like bank guarantee (BG) or LC, which is backed by our Letter of Commitment, so that we are providing and you know that in such projects there is a requirement of giving advanced BG or a performance security for example and that also comes from the working capital facility. Now, that facility is available with us also. So, to that extent we are able to support these projects for working capital as well.

- Mr. Sushil Choksey – Indus Equity:

- I think PNB announced some tie up with your organization. So, is it for these kinds of joint development or it's only for working capital?

- Management – REC Limited:

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- It is for collaboration in both renewable projects as well as for infrastructure projects. It's not for working capital, it's mainly for infrastructure project both in power and nonpower sector.

- Mr. Sushil Choksey – Indus Equity:

- My last question on E-mobility and energy transition, does it mean only on the manufacturing and fast charges or would you look at the vehicle part also?

- Management – REC Limited:

- In fact, we have sanctioned about 4,000 electric buses. I was mentioning you that we have signed MoU worth ₹2,86,000 crore in Goa. A major chunk is coming from the electric bus segment. Electric bus, both OEM manufacturers will be financing the operator also as well as the associated charging infrastructure. So, in the current financial year we are targeting that we will be able to

finance ~10,000 electric buses

and going for next two years, we will be able to finance ~50,000 electric buses.

- Mr. Sushil Choksey – Indus Equity:

- So, you will stick to buses, not cars?

- Management – REC Limited:

- Cars. Car aggregators are also coming up, but we are not going to do a retail financing.

- Mr. Sushil Choksey – Indus Equity:

- I understand, if somebody comes for 5,000-10,000 vehicles.

- Management – REC Limited:

- Yeah then only we'll be able to consider.

- Mr. Sushil Choksey – Indus Equity:

- Thank you.

- Mr. Dan -- India Capital:

- Hi, Dan from India Capital here. I was wondering if you could talk a little bit more

broadly about the scale of investment in the grid you expect in the coming years either by dent of greater or aggregate power demand or because of the higher TND intensity with more renewable generating capacity? What, type of growth in grid investment nationwide do you expect?

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- Management – REC Limited:

- Let me just tell you about this renewable energy segment, Green projects. Green projects, Honorable Prime Minister has committed in COP 26 (Inaudible) at Glasgow that India will strive to install about 500 GW of electricity capacity from non-fossil fuel sources. This includes not only solar and wind, but also biomass, it includes the associated storage system, because renewable energy is intermittent in nature, in order to stabilize the grid, we need storage solution. It also includes battery energy storage systems. It also includes pump storage projects like hydro projects plus it includes Green hydrogen and green ammonia space too. This is new technology initiative. This will entail the technical arm of the Ministry of Power that is Central Electricity Authority, they have made a projection that this installation of this green projects, generation projects, the storage projects, evacuation through green energy corridors that will require debt financing about ₹15 lakh crore to ₹20 lakh crore in the next seven years. So, we are targeting a humble pie of 20% of this business by increasing our green projects portfolio to about ₹3 lakh crore.

- Management – REC Limited:

- Yeah. Also, we are focusing more on the non-power infra, so that also is our focus area. I think by 2030, we will take that up to 30% of our total loan.

- Mr. Mangesh Kulkarni -- Almonds Global Securities:

- Hello. Sir, this is Mangesh Kulkarni here from Almonds Global Securities. Sir, this is regarding the resolution status of the various projects, like you have mentioned about 9 projects expected to be resolved in the current financial year. Out of that four will be in immediate basis. So, can you just explain what will be the amount involved in this?

- Management – REC Limited:

- You were talking of four.

- Mr. Mangesh Kulkarni -- Almonds Global Securities:

- Yeah.

- Management – REC Limited:

- So, four I think we have Dens Energy, TR & Classic Global, and Meenakshi Energy. The total principal outstanding against these four projects is ₹2,500 crore and therefore we think that in next 1-1½ months' time this much amount of principle will be reduced from our NPA which is ₹14,800-₹14,900 crore. So, that is how it will come down.

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- Mr. Mangesh Kulkarni -- Almonds Global Securities:

- Will there be any write back or provisions on this?

- Management – REC Limited:

- There will be right back, the discussions and the resolution plan that we have in hand there will be write backs.

- Mr. Mangesh Kulkarni -- Almonds Global Securities:

- Okay and Sir, Ratan India whether it is out of NCLT or within the NCLT?

- Management – REC Limited:

- So, Ratan India, we were trying resolution with the government of Maharashtra

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outside of NCLT, but now we don't see that happening and then we have filed a Section 7 application in NCLT for resolution via NCLT.

- Mr. Mangesh Kulkarni -- Almonds Global Securities:

- Okay. Thank you, Sir.

- Management – REC Limited:

- Thank you.

- Mr. Aishwarya Agarwal – Edelweiss:

- Aishwarya Agarwal from Edelweiss. Earlier year, total outstanding for the sector was ~ ₹1,31,000 crore and currently it's in the range of ₹70,000-80,000 crore for the distribution sector?

- Management – REC Limited:

- Okay.

- Mr. Aishwarya Agarwal – Edelweiss:
- So, as far as I recollect out of this, the decline of ₹60,000 crore, ~₹40,000 crore was financed by PFC and REC, is that correct?
- Management – REC Limited:
- See the total share in the distribution space, CapEx we have ₹87,668 crore, which is ~18.48, right our total loan portfolio.

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- Mr. Aishwarya Agarwal – Edelweiss:
- Sir, I'm not talking about the portfolio. The total outstanding 2 years back or roughly 1 year back of the entire DISCOM sector was roughly ₹1,30,000 crores, right? Out of that, the current figure is roughly ~₹70,000-75,000 crore, of which ~₹40,000 crore was financed by PFC and REC and you talked about a prepaid meters, right? So, if I look granular into it that the total amount outstanding more than ₹1 lakh crore was from various municipal houses. They were not paying electricity bill to the State Electricity Boards. So, do you think that police stations, municipal houses, all those people who were not being they have started paying currently? Do they have the money and will they abide by the law of having a prepaid meter with them and how many prepaid meters we have installed?

- Management – REC Limited:

- Okay. Very pertinent question. Your question pertains to these dues from the government department or government entities or urban local bodies. As I had mentioned that the government department dues it covers all these urban local bodies also, it was to the tune of ~₹1,35,000 crore in the year 2021. Now, it has come down to ₹63,000 crore. All the state governments through their cabinet resolution have committed to bring down this government department dues. They liquidate this the government department dues by the year 2025-26. By March 26, all will go away. For eg. Police Department has got budget of ₹100, what the state government does of the ₹100, so ₹20 EMI for payment of their electricity, they are paying to the DISCOMs. At the state level itself, the finance department or state government they are giving to DISCOM. That's how this government department through budgetary allocation from the budget of the respective government department, it is being paid to the DISCOM. That's how these departmental dues have come down and if they have to avail Government of India grant under RDSS, they have to liquidate their government department use compulsorily by the year 2025-26.

- Mr. Aishwarya Agarwal – Edelweiss:

- Payment for prepaid meters and how many have been installed?

- Management – REC Limited:

- Yeah, let me tell you that. Total requirement of prepaid smart meters is ₹25 crore. Prepaid meters are coming in smart meters only. Out of ₹25 crore prepared smart meters sanction has been done for about ₹23.5 crore smart meters have already been sanctioned RDSS. Tenders have already been invited for about ₹10 crore prepaid smart meters by the distribution companies and they are already awarded awards for ₹3 crore prepaid smart meters. But we hope that in next 1 year or 18 months all ₹25 crores prepaid smart meters will get awarded. We also made an

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assessment of manufacturing capacity within India for prepaid smart meters. We had detailed meeting with th

e EMA and all the manufacturing association. The manufacturing capacity has been ramped up, which was earlier ₹5 crore. Now, they can produce ~₹10 crore prepaid smart meter every year. So, they'll be able to cater to the total requirement of ₹25 crore, that is going to be installed in the next 2 to 3 years.

- Mr. Ashwini Agarwal – Edelweiss:

- Okay sir, thanks a lot.

- Mr. Umang – Kotak Mutual Fund:

- Good evening sir. This is Umang from Kotak Mutual Fund. Just a couple of questions. One is, clearly, we are diversifying quite a bit from our core business which we have been doing for years now. And the segments that we are entering appear to be fairly diverse, right? I mean Road, Sports, E-mobility, non-logistics etc. So, how are we working towards building these project evaluation capabilities in-house or we continue to depend on external consultants for evaluating these opportunities?

- Management - REC Limited:

- Yeah, in fact we are doing both actually. We have developed our in-house capability. As I had mentioned to you that we have roped in, the sector experts in the form of advisor, senior consultant, consultant from NHAI, railways, airports side, ports experts. We have roped them in our team. They are in-house experts. In-house, the project appraisal team we have strengthened so that they are capable of appraising this project in a systematic manner. In addition to that, we are also taking help from the external agencies for evaluating. This technical evaluation, we are getting it done through the external agencies also.

- Mr. Umang – Kotak Mutual Fund:

- Okay. Sir, the second question is, if you could talk a little bit about the ECL model changes that we have done and there is ~₹700 crore worth of write back in the P&L. Out of that, how much is due to the ECL model change and how much is coming through recoveries and how should we look at the credit cost going forward.

- Management - REC Limited:

- Yeah, so there is no change in the ECL model as such. See, what happened is, majority of our lending is to the state sector utilities and during the second wave of COVID, when this pandemic was going on, and there was concern about the health of these distribution companies in particular. So, therefore at that time we had to increase the provision on our standard asset. So therefore, to work out a

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methodology we said okay, we will have a floor of 0.4% on each assets, right? Now, RBI mandates that you should have a 0.4% on all standard asset, taken together. So therefore, we did that and we actually provided for at that time during the pandemic and also because, as I said, there was some uncertainty about the health of the distribution sector.

- Now the pandemic is behind us and as our CMD has explained that the health of the distribution sector is improving day-by-day, there is marked improvement in the reduction in AT&C losses, tariff revision, subsidy receivables etc. So therefore, we thought that provision which we had made, it was a kind of management overlay, can be reversed. Our provisioning on standard asset is still 0.69%. I mean, compared to 0.4% which RBI mandates, it is 0.69% and on Stage II assets which is very low in any way, there, we have actually increased the provisioning, the floor rate to around 1%. So, that's the modification that we have done. It was provided earlier and now because there is no need, we have withdrawn it.

- Management - REC Limited:

- Now, one more thing to add. The total impact is only ₹508 crore on the PAT. So even if we don't consider that, the profit comes to about ₹3,300 crore which is much higher as compared to any of the earlier quarters.

- Mr. Umang – Kotak Mutual Fund:

- So basically, the balance provision write back is because of reversal on provisions on some of the other assets.

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Management - REC Limited:

- Yeah, some of the other assets. Actually, two of our assets have actually been resolved after the 30th September date and therefore the additional provision that was made there vis-à-vis the resolution that has occurred, we have written back. Not entirely, but to a sizable extent we have reversed the provisioning where it has actually been resolved.

- Mr. Umang – Kotak Mutual Fund:

- Understood.

- Management - REC Limited:

- Umang ji, I just wanted to add what CMD sir said about your first question about the infrastructure financing. We know that we are very new to this sector. We are aware of this fact. We know that we still have to start financing this. I think in our earlier interactions we have been able to perhaps clarify that we are not taking any risk in

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infrastructure financing. We did ₹85,000 crore of sanction last year. Out of ₹85,000 crore, 95% of financing was backed by the government guarantee and only one project was of Jindal which is "AA" rated entity, which we did along with many other banks and led by SBI. And at the same time, we are ramping up our ability to appraise these projects slowly. We are not participating in any project where we are taking

any compromise on the asset quality or quality of the entity. I just wanted to add that.

- Mr. Umang – Kotak Mutual Fund:

- Thanks for adding that, sir, because that was my next question. So, in the first half of this year, out of ₹2 lakh odd crore worth of sanctions that we have done, of that whatever non-power infra sanctions that we have done, how much is government backed or guaranteed in whichever way?

- Management - REC Limited:

- So ~₹40,000 crore we have sanctioned and whatever we have sanctioned to the government entities, all of that is actually backed by the government. Like, we have done one metro for Bangalore, it is backed by the government guarantee. We have done another water infra project, that also is backed by the government guarantee. So we did road that was not backed by the government guarantee 'Ganga Expressway' and were at par in terms of security package with other banks. Again, SBI is the lead lender for road projects. We did for ~₹3000 crore. But otherwise all other government projects what we did is backed by government guarantee.

- Mr. Umang – Kotak Mutual Fund:

- All right. Great! Thank you so much and wish you good luck.

- Ms. Niharika – Equitas Investment:

- Niharika from Equitas Investment. So my question is on CRAR. So it's at ~28%, which is much higher than what is required by RBI. So just your thoughts on that. How are we planning to go about it? CRAR, much higher than what is required by RBI.

- Management - REC Limited:

- Yeah. So that's a good thing, isn't it?

- Ms. Niharika – Equitas Investment:

- But it is still higher.

- Management - REC Limited:

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- So even if our CRAR is quite high, our debt equity ratio is reasonable at 6.4x. So CRAR is high because we have taken in lot of projects with government guarantees, of our total loan portfolio if you see, almost 40% is guaranteed by the state where the risk weightage is lower. So that's a reason. But this enhanced CRAR gives us ample scope for growth. We can take up more projects, particularly in the private sector. So, that's an advantage of the enhanced CRAR which will happen because there's a renewable push now and in the infra space, where were largely looking at government projects because we were getting hold of the space so now we are looking at private sector projects as well. So, where there is no discounting on the risk weightage, 100% risk weight is there.

- Ms. Niharika – Equitas Investment:

- According to you, what would you

perceive as two major risk to our numbers? If I

have to narrow it down to two major risks which you perceive as of now.

- Management - REC Limited:

- So one is that obviously, you know, because of the geopolitical reasons and sometimes RBI announcing OMO operations and so on, cost of funds is one risk which we are very carefully monitoring and managing it as well. In spite of almost 56% increase in REPO rate and 60% increase in t-bill rate, our cost of funds have largely remained the same. Some increase if you compare to the previous year. So, that's one challenge that we will have going forward because our disbursement is also very huge. Other risk, I don't know, I really can't see any other risk. Yes, on the margins you can say because we are so cautious about the asset quality, so margins can be under some kind of pressure, but we are now improving. The trend at least have been reversed from NIM of 3.28% now we have gone to 3.45%. So, we are okay with that.

- Ms. Niharika – Equitas Investment:

- Any interest rate hikes we have taken recently? Like quarter two or...?

- Management - REC Limited:

- Yeah, we have done two interest rate hikes in the last 6 months period for 25 bps each, almost across the board. Except in one case we didn't increase, for renewable because that's a focus area. We don't want to raise the rates of renewable projects too much. But 25 basis point we have raised in renewable and 50 basis points in other cases.

- Ms. Niharika – Equitas Investment:

- That was it. Thank you.

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- Mr. Ramesh Pochwani – Mehta and Vakil:

- Ramesh Pochwani from Mehta and Vakil. Sir, in your presentation you mentioned the transmission and distribution losses in one year have come down from 22% to 17% which is a good 5% reduction. Going forward, do you see another 5% reduction coming in the next one year before the smart metering installation starts showing its effect? That was the thought which I wanted to know.

- Management - REC Limited:

- Let me share with you that, the distribution companies when they came for sanctioning the RDSS project, they were supposed to give us trajectory for bringing down the AT&C losses. Most of the DISCOMs have committed to bring down their AT&C losses to say about 10 to 12%. But some DISCOMs are there, their AT&C losses are as high as 25%. Still 25% are there. So, those DISCOMs will strive to bring down their AT&C loss to about 15%. Overall, 5% may not be possible perhaps because by the end of this RDSS period, that is going to end in 2025-2026, the next three years the AT&C losses will come down to ~10% to 12%. So another 5% to 7% reduction will happen in next three years.

- Mr. Ramesh Pochwani – Mehta and Vakil:

- And with smart meter installations, don't you see this becoming a single digit loss in a year, after 2026?

- Management - REC Limited:

- Yes. Some of the DISCOMs have become single digit actually.

- Management - REC Limited:

- Gujarat DISCOMs are already in single digit. There are two DISCOMs in south, they are also in single digit. So, there is a trajectory for each of the DISCOMs that by which time they will come within 10% to 12% bracket as CMD sir mentioned. So, they have to follow that particular trajectory. We believe that after this intervention of smart metering, this reduction will be much steeper than what we are seeing.

- Mr. Ramesh Pochwani – Mehta and Vakil:

- And after smart metering, don't you feel with reduction in these losses and commitments given by DISCOMs, the cost of power to at least industry or commercial enterprises will go down so that things become more affordable and you know...

- Management - REC Limited:

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- That's a very corr

ect observation, sir. In fact, pilot studies have been carried out in many states before going ahead with such a national level smart metering campaign. And those pilot studies suggest that there's lot of saving because in our system there's huge commercial losses because of many factors we all are aware, theft being one of them. So, all that will be curtailed and then it will have impact on the cost of power also because the cost of power today is inflated because of the losses.

- Mr. Ramesh Pochwani – Mehta and Vakil:

- It is double digit per unit to a manufacturing enterprise. So how do we become competitive?

- Management - REC Limited:

- So it should come down.

- Mr. Ramesh Pochwani – Mehta and Vakil:

- Globally, not only domestic but globally and that should be the way forward for the private sector to participate in the CapEx for manufacturing which, I mean government is holding hand for infrastructure as well as manufacturing over the last 5 years.

- Management - REC Limited:

- Yeah in fact, some European countries the tariff for domestic is higher than that of industrial tariff.

- Mr. Ramesh Pochwani – Mehta and Vakil:

- Yeah.

- Management - REC Limited:

- But you'll also have to appreciate the fact that we are living in a political democracy. The state governments have been giving incentives, they have been announcing subsidy to certain sector. So, that has to be cross subsidized somewhere. There has to be a balance. But overall we think that with the introduction of prepaid smart

meter, overall improvement will happen.

- Mr. Ramesh Pochwani – Mehta and Vakil:

- Thank you and all the best.

- Moderator:

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- So, in the interest of time, we would take one last question. Please introduce yourself.

- Mr. Shripal – Equirus Capital:

- Hi, Shripal this side from Equirus. My question was on the order book. So since we're talking about similar level of growth for FY24 as well as FY25, what is the kind of sanctioned cumulative order book that we have with us?

- Management - REC Limited:

- Let me just explain to you that the last year's sanction were ₹2,68,000 crore and disbursement was about ₹97,000 crore. So all the disbursement from the new projects must not have come because initial year the disbursement for manufacturing is only about 5% to 10%. Then gradually the disbursement goes for 4 to 5 years. But for renewable energy projects the disbursement takes place in next 2 to 3 years. This year H1 we already sanctioned ₹1,95,000 crore and we have huge project pipeline, and we are anticipating that current year our sanctions will go up to ₹4,00,000 crore and our disbursement will cross ₹1,50,000 crore. So next year we have at least these many project pipelines. This sanction and disbursement trend will continue next year also.

- Mr. Shripal – Equirus Capital:

- Got it, thank you.

- Moderator:

- On that note, we'll end the analysts meet. Thank you so much everyone for your attendance today. And on behalf of REC Limited and Ad Factors, we would end this meet today. Thank you.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.

Call: Jan 2024

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Listing Department,

National Stock Exchange of India Limited

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Bandra (East), Mumbai -400 051.

Scri Code -RECL TD Corporate Relationship Department

BSE Limited

1st Floor, Phiroze Jeejeebhoy Towers

Dalal Street, Fort, Mumbai -400 001.

Scri Code -532955

Sub: Transcript of Investors Conference call held on January 23, 2024.

Madam/Sir(s),

In continuation of our earlier letter dated January 19, 2024 & January 23, 2024, and pursuant to

Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosures

Requirements) Regulation, 2015, please find attached herewith transcript of Investors Conference

call of REC Limited held on January 23, 2024.

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State Offices Vadodara. Varanasi

Training Centre REC Institute of Power Management & Training (RECIPMT). Hyderabad

REC LTD Q3FY24 RESULT CALL

Tuesday, January 23, 2024

Phillip Capital

We'll start the call, so good afternoon everyone and welcome to Q3FY24 earnings call of REC limited

today. We have the senior management team of REC limited represented by Mr Vivek Kumar

Dewangan, IAS and CMD of the company, accompanied by Mr. Ajoy Choudhury, Director (Finance);

Mr. Vijay Kumar Singh, Director (Projects), and other senior members of the team. As the process

goes, Mr. Dewangan will open the floor with his opening remarks and some outlook on the growth,

margins and asset quality going ahead, post which will open the floor for Q&A, currently the

participant lines are locked, to ask a question you can press raise hand icon and in that case we'll

unmute the line, now I hand over the floor to Mr Dewangan; over to you sir.

REC

Good afternoon. All the investors and analysts, it's my privilege to share with you the results of quarter 3 of REC limited.

Last year, you must have observed that our Assets Under Management had grown at the rate of

thirteen percent. It had grown from 3 lakh 86 thousand crore to all of 4 lakh 36 thousand crores last

financial year. But in the current financial year, our Assets Under Management is growing at the rate

of twenty percent. AUM as on Q3FY24 stands at Rs 497465 crores, if we compare year on year basis

or asset under management has gone up by twenty- one percent.

With regard to sanctions, there is phenomenal increase in the approvals accorded to different

projects. Last year in the entire year total project sanctioned or approved were to the tune of about

Rs 268000 crores. In the current financial year in nine months itself, we exceeded last year's twelve

months performance at the end of Q3FY24. Our total approvals and sanctions stand at around Rs

325941 crores, Year on year Basis increase of sixty- nine percent.

With regard to disbursement, the last entire year our disbursement was about ninety- seven thousand,

this we already exceeded in the month of November and at 31st December 2023 our total

disbursement stands at Rs 122089 crores and we are committed. And we are hundred percent

confident that in the current financial year our total disbursement by the end of 31st March 2024 will

cross Rs 150000 crores.

Our total income, in the first nine months

has gone up by nineteen percent, total income is in the first

nine month is Rs 34571 crores, as compared to Rs 29129 crores in the last financial year first nine

months. The profit after tax has also grown by 24% in first nine months, last year in the first nine month our profit after tax was Rs 8054 crore. At the end of 31st December 2023, our profit after tax stands at Rs 10003 crore a growth of about 24%.

Our net worth has increased by 18% Year on year basis at the end of 31st December. Now our networth has increased from Rs 54839 crore at the end of 31st December 2022 to Rs 64787 crore at the end of 31st December 2023. Capital adequacy is quite comfortable at 28.21%. Our spread increased to 2.82% and our net interest margin is about 3.52%.

Our Gross and net NPA have gone down at the end of quarter. Our net NPA in September was 0.96%, now at the end of 31st December 2023 net NPA stands at around 0.82%. Here I would like to mention that at the beginning of 2018 we had total 36 stressed assets. Out of these 36 stressed assets, we already resolved 20 stressed assets. In Q3 we have resolved three assets, Dans energy, Meenakshi energy and Classic global.

The remaining sixteen projects are also at a different stage of resolution and we are quite confident that we'll be able to resolve those stressed assets by the year 2025. Another distinguishing feature is that no new NPA has been added into in the last eight quarters and we hope to maintain this track record. The major shift or focus area for us is renewable energy projects now. Honourable prime minister yesterday has announced PM Suryodaya Yojana that is Rooftop solar mission has been launched to cover one crore households. For a period of one year, Ministry of New and Renewable Energy is the nodal ministry for implementation of this rooftop solar scheme and MNRE has designated REC as the overall program implementation agency and they have given us the target to cover 40000 megawatt capacity of rooftop solar by the end of 2026. It is huge responsibility on REC and it is quite complex task, but as you might have seen our track record, we were able to successfully complete hundred percent village electrification as well as hundred percent household electrification through the two flagship schemes of government India that is Deen Dayal Upadhyay Gram Jyoti Scheme (DDUGJY) and Saubhagya scheme. So, we are committed to implement one crore household rooftop solar within one year under rooftop solar mission and by the end of 2026 we are committed to commission 40000 megawatt capacity from roof top solar.

The asset under management we are targeting is Rs 10 lakh crore by 2030. And we are quite confident that at the end of this current financial year asset under management will cross more than Rs 510000 crore.

And now with the renewed focus on renewable energy sector, our renewable energy portfolio is bound to increase in the current financial year. We have sanctioned renewable projects including large hydro amounting to about 1 lakh 25 thousand. Our renewable energy portfolio, we are targeting to increase it to about Rs 3 lakh crore, that would be about 30 percent of our assets under management by the year 2030. Government has also allowed us to diversify into non-power infrastructure & logistics that also will be giving a priority area and has already started financing electromechanical components of refineries and steel plants. We have started financing metro project railways, projects of MMRDA, the road and projects of MSRDC like Expressway, Kagal Satara road, Ganga Expressway. We are looking for financing airport projects, ports, IT infrastructure, data centre super specialist hospital, but one thing that we are ensuring is that asset quality should be good and cash flow should be ensured so that hundred percent payment security mechanism available to us so that none of this new non power infrastructure and logistics become NPA in

future.

With this I would like to assure all the investors that REC is committed to keep this growth trajectory of 20 percent in our assets under management and with your support and guidance, we are Committed to take REC to a new height. Thank you so much now I'll request our Director (Finance) to make a brief presentation on our financial results of Q3.

Thank you sir.

So journey from we were born in 1969 and since then we have grown. We were the first Indian PSU to issue USD green bonds and we were also conferred with the Maharatna status in 2022. Nodal agency for very important government programs like DDUGJY, Saubhagya and RDSS. last year in 2023 we made the largest green bond issuance of USD 750 million, and we also recently became the first PSU to have Japanese Yen bond issuance.

So, these are the key strengths. The highest domestic rating and sovereign rating; Nodal agency for GOIs power sector schemes, experienced management team, strong fundamentals, company, diversified asset base, healthy asset quality, and we occupy strategic position in the growth and development of the power sector.

So, lots of awards and accolades. We were awarded the golden Peacock Award for risk management and also for corporate governance by the Institute of Directors London recently ICAI has awarded us the award for best financial reporting in the financial services sector. In the fortune 500, we ranked fifty third.

So Maharatna company gives us greater operational and financial autonomy and also allows us strategic investments by incorporating JVs. This is the highest rank among the PSUs and total of 13 PSUs have been accorded the status so far. So, last year we got the shareholders' approval for foraying into the infrastructure, so now we are funding to apart from power we are also funding to health,

steel, IT infra roads and Metro port waterways airport, oil refinery, etc.

We are trusted arm of the government of India, we were the nodal agency as I've told you for DDUGJY, very important program for village electrification and then for 100 percent housing electrification, which is Saubhagya.

We are also along with PFC the nodal agency for RDSS scheme, which is for the reform of the distribution sector, which is a yielding very good results as of now with the AT&C losses having come down to almost 15 percent now. Now the government of India has recently announced Saubhagya scheme of rooftop solar program and as our CMD mentioned that we have been appointed as the agency for this important program.

EPS is Rs 50.65, book value of Rs 246.04 in the calendar year 2023. As you know probably in the mid cap segment we were the highest wealth creator for the investors. FPI holds around 20.6% in our Company. So, they have consistently held more than twenty percent in REC share since IPO. So, dividend yield if you see 136% we gave out in 2023 so far. We have already declared Rs 6.5 per share generally we maintain 30 percent of our profit as dividend.

On operational performance, our sanctions have grown to Rs 325941 crore from Rs 268461 crore in twelve months ending FY23.

Disbursements last year we achieved Rs 96846 crore. This year by November itself we had one lakh crore and currently we are at Rs 122089 crore at the end of December 23.

Outstanding loans, Rs 497466 crores outstanding loan currently from Rs 435012 crore as the end of March 2023. we have a pan India presence.

Our lending is largely to the state and joint sector, close to 90 percent and private sector borrowers account for Rs 47435 crore. state wise if you see the Telangana is the highest state where we have the highest loan outstanding followed by Tamil Nadu, and then Rajasthan and so these are the top 10 borrowers, all state sector borrowers where we have never had any slippages ever.

Asset quality consistently improved, no new NPA during the last eight quarters, Net NPA currently at 0.82% and gross NPA 2.78% with provision covera

ge of close to 70%. Most of the assets that we are resolving are giving us write back. And hope that by the end of this financial year, we should be able to resolve at least 2 to 3 very big assets. So, loan portfolio, total loan of Rs 497000 crore out of which Rs 13812 crore, we expect this to come down below Rs 10000 crore by the end of March 24. Seventy percent provisioning coverage. Rs 12297 crore are in NCLT, 13 projects with 74% provision and 3 projects are outside NCLT being resolved with the total amount of Rs 1514 crores.

So, credit rating AAA by all the four major rating agencies and internationally we are rated at par with the sovereign Baa3 by Moody's and triple BBB- by Fitch. This year we also took the Japanese credit rating which has given us BBB+ rating.

Outstanding borrowings corporate bonds constitute around 41% of our total borrowing at Rs 175782 crore now. Foreign currency borrowing which is at 21% is Rs 91627 crore and 98% of these foreign currency borrowings are hedged. capital gain bond at Rs 41132 crore constitute around 9%. The rest are you know bank loans at Rs 87185 crore which is around 20%.

This quarter we raised total of Rs 39577 crore and last year we had raised Rs 86884 crore, total in this nine month period we have raised Rs 119462 crore.

So, these are some of the highlights, total income at Rs 34571 crore as of the end of December 23, 19% increase year on year net profit stands at Rs 10003 crore, 24% increase year on year, total comprehensive income at Rs 9880 crore, 53% increase year on year.

Loan book Rs 4.97 lakh crore, 21% increase year on year. Asset quality, net credit impaired asset at 0.82%. Networth now has gone up to Rs 64787 crore up 18% year on year and capital adequacy very comfortable 28.21%.

Some of the key ratios if you see, our yield as of the end of December 2023 is 10.13%, cost of funds at 7.28%, so for the Q3, interest spread is 2.85% and at interest margins 3.61%, but if you look nine month period of FY24, yield is 9.98% and cost of funds have come down from to 7.16% giving us spread of 2.82% and NIM of 3.52%. So, we had stated, you know, earlier that we'd like to have margin at 3.5% so this quarter we have achieved that. Our return on networth is 21.78%. Interest coverage ratio at 1.57 and debt equity ratio at 6.65. So, thank you very much.

Now we are open for questions

Phillip Capital

Thank you Vivek sir, and the team for your opening remarks we'll now open the floor for Q&A, anyone having a question, please press raise hand icon, your line will be unmuted.

Balaji

So, thank you very much I really thank the management and the key employees of REC for delivering good returns for the investors. My first question is that you know in Power sector you're doing really well, but since you are diversifying to other sectors how we are going to manage the risk, especially from the NPA perspective, that's my question sir.

REC

Yeah, you have raised a very valid question that was upper most in our mind when ministry of power allowed us to diversify into non power infrastructure logistics in the month of October 2022. So were are a bit cautious and initially we sanctioned only those infrastructures logistics project supported by

the state government guarantee like MMRDA metro project was supported by the state government guarantee, then we sanctioned MSRDC project. That was also supported by the state government guarantee. In the meantime, in the last one year we have enhanced our manpower, we have taken experts from infrastructure and logistic sector who are expert in different road sector, railway sector, those who are experts in the refinery E&M component, airports, ports etc. So on the one hand we have enhanced our expert manpower and we also strengthened our entity appraisal and project appraisal and in non- power infrastructure logistics we are targeting only good asset quality so that they do not become NPA in future and w

e are ensuring that we should finance only those infrastructure logistics projects which are supported by the revenue cash flow and payment security mechanism available to us so that this project do not become NPA in near future and because you might have observed that during last eight quarters not a single NPA has been added into our kitty and we are quite conscious that no new NPA should come into our books. That's why we are carrying out all due diligence with state entity and project appraisal so that only good asset quality with assured revenue cash flow are financed by REC.

Balaji

Thank you sir. My second question is related to your loan under management by 2030, you mentioned your target is Rs 10 lakh crore, but do you think that Rs 12-13 lakhs crore is possible by 2030.

REC

You might have seen that at the beginning of the financial 2021-22 our asset under management was Rs 385000 crore and by the end of March 2024, our asset under management will grow to more than Rs 515000 crore. So, in two years, you have seen that about Rs 130000 crore has been added. And that's why I'm confident, that our asset under management will exceed Rs 10 lakh crore, in fact will be able to achieve asset under management of Rs 10 lakh crore earlier than 2030 perhaps we might achieve 2028-29 itself. Two significant development have happened I had mentioned during the Interaction with the investor after Q2 results also that in July we had carried out one green finance summit at Goa on the side-lines of G20 energy working group meeting. There we had signed MOUs with the project developers, technology providers, OEMs to renewable energy sector and also electric vehicle ecosystem. We were able to sign MOUs worth Rs 286000 crore and out of this Rs 286000 crore which we have sanctioned, we have already sanctioned project more than Rs 1 lakh crore. And I'm quite confident that this Rs 286000 crore would get sanctioned in next 1 and a half year by the mid-2025, we'll be able to sanction all these projects and since you know that disbursement does take some time. Whatever it we are sanctioning here the entire disbursement will happen in next 2 to 3 years in the renewable energy project. Similarly, non- power infrastructure and logistic also last year we had sanctioned Rs 85000 crore and this year we are targeting that we'll touch about Rs 1 lakh crore from ongoing infrastructure and logistics also and plus Power sector itself is the power demand is increasing significantly government of India has decided that they'll go for capacity addition of 80000 megawatt capacity for coal based power plants, this is coming mostly in central and state sector. very few private sector projects are coming up, they are also there. So, we are committed to finance these coal based thermal power plants.

Distribution sector we are implementing agency as nodal agency for distribution sector scheme in respect of sixteen states and thirty- two distribution companies. The RDSS has an outlay of Rs 303000 crore and with government of India grant of about ninety seven thousand crores. This in last 1 and a half year, lot of development has taken in distribution sector, the introduction of late payments surcharge scheme by government of India has really improved the situation. The dues of the GENCO's and transmission companies are being paid on time, the government department dues are getting cleared. This fixed trajectory is committed by the Discoms with the support of the state cabinet. They are adhering to the trajectory committed under RDSS, they are clearing the legacy subsidiary dues in a systematic manner and with regard to the current subsidy, they're paying subsidy quarterly subsidy in advance for quarter four subsidy has already been paid in quarter three, so that's how systems are improving in distribution sector and AT&C losses have come down significantly by 5 percent from 22 percent to 17 percent AT &C Losses wer

e reduced. So, distribution sector is also looking up and with regard to transmission, since we are targeting installation of five hundred gigawatt capacity from non-fossil fuel sources, it will also require associated transmission system for evacuation of this renewable energy, so there is huge potential for transmission sector, that's why we are quite bullish on this the outlook of the power sector, particularly renewable space as well as non- power infrastructure and logistics also.

Bhavesh Patel

First of all, congratulations to the great set of numbers as well as wonderful performance, appreciate the hard work and helping with the country get better. I have a couple of questions. Number one, can you share the improvement or the current numbers in terms of return on asset. Since we are a financing company, it will be great to have that and then probably missing that number in this quarterly numbers and the second part is around we see that in terms of the performance QoQ,

probably we have not done as well as, you know, last quarter. This kind of a lumpy business and we should see year on year or is there a reason for that? And lastly assuming that you have not given dividend this quarter and you are continuing with the dividend policy of around 30 percent of overall profit. Probably at the final dividend it'll get accounted for. So those are the questions. Thank you for taking this. And giving the opportunity.

REC

Let me add that Q2 versus Q3, actually in Q3, we had made reversal of expected credit loss to the tune about 580 and they were reversal. Total was 670 crores, that reversal had happened in Q2. If we discount reversal on account of expected credit loss, the effective PAT for Q2 was about 310 crore and in Q3 the PAT has increased to 3269 crore.

As far as return on assets is concerned so about 2.8%.

With regard to dividend, I would like to clarify that we are committed that 5 percent of networth or 30 percent of PAT whichever is higher we are committed at for the guideline issued by DIPAM, some interim dividend will be issuing in the current financial year and final dividend will also be there. So, we are committed that 5% of networth or 30 percent of PAT, whichever is higher that we are committed to give.

Bhavesh Patel

Thank you and all the best, appreciate this. Thank you.

Shreya CLSA

Okay, ok, really sorry for this technical issue and congratulations on a good set of numbers. I have three questions sir first is on the loan growth while it's great to see a good growth in the renewable and even the generation segment in within the discoms distribution segment, can you help us understand this RBPF line item that has grown quite a bit this year. This line item at zero loan book in FY22 so that will help us understand what's going on here, what's the tenure of these loans which segment what is it about? I understand it's for the distribution segment, second on the assets that I've gotten resolved, as far as I remember reading a media article where it was mentioned that Dans energy will probably be a 100 percent recovery project. So, can you help us understand how much recoveries we've made in Meenakshi and classic global? It feel it seems like that the write-offs have been higher in these 2 projects. And so, my third question is. Recently RBI had released these draft guidelines for Government NBFCs that you guys will be brought under scale based regulation and the exposure norms will be applicable for you. Now you give out loans to certain states or certain states discoms which are a part of LPS and also clearly your exposure norms will get flouted. So, what will be the impact on you and how should we read into that regulation? Those are my three questions, thank you.

REC

I'll request our director project, he'll just tell about this RBPF revolving bill payment facility, thereafter Director finance will take up and with regard to RBI guidelines also Director financ

e will address this question.

So RBPF is revolving bill payment facility. Actually, in fact When government of India has introduced the scheme of late payment surcharge on 3 June 2022, so there were two requirements for the utility, one was to liquidate the legacy dues which was close to Rs 139000 crore as on third June 2022 which of course now come down to Rs 60000 crore. There was another requirement of continuously clearing the current bills of the GENCO. So legacy dues I mean there was one loan product for legacy dues and for current payment dues, we had introduced this RBPF Revolving Payment facility, now this facility is actually only for a period of one year and it is Revolvable. I mean utility like a cash credit facility by the bank can draw the facility and pay back without any implication of prepayment premium. And this facility can be renewed. After one year subject to satisfactory repayment and other things in the facility. So over to you.

Shreya CLSA

So just to follow up on that so the RBPF and LPS line item together those two line items should be considered as part of the same scheme which was launched by government last year, right?

Right, yeah because I could see that in LPS you have sanctioned about 72 thousand, but your disbursements in LPS segment has only been cumulatively been 30 so I should also count the RBPF disbursements, then only I'll be able to come to the sanction. Is that correct?

REC

So LPS sanction first for the legacy dues and using LPS the discom can draw that facility and liquidate legacy dues. Dues prior to 3 June 2022, whereas under RBPF, any current dues subsequent to 3 June if utility is actually taking power from and current bills are required to be paid for that particular payment RBPF can be used, so RBPF is only for current and not for legacy. LPS is for legacy and not for current dues. Tenure also there is difference, the LPS loan that we are giving maximum tenure of four year, somehow that discounts are opted for 48 equated monthly instalment, some of them have given update for lower, some of them will be clearing this LPS loan within period of 3 years also. The RBPF revolving bill payment facility loan is short term loan, it is less than one year and repayments are happening within a period of six months also.

Now with regard to particularly resolution on Dans energy Meenakshi energy, we can give the figures.

So, on Dans energy we have of course as you said we have recovered 100 percent plus some interest, so this asset now has been restructured with PPAs available, so this has been resolved fully and without any haircuts. Meenakshi energy our exposure was Rs 710 crore, where recovery has been to the tune of 30 percent. our provisioning was around 80 percent, so there has been a write back of 71 crore. Classic global is a small case of only 3 crores for loan and we have recovered 86 percent in this case.

As far as Dans energy is concerned, the total outstanding was Rs 366.88 crore and we have recovered Rs 415.98 crore, so there is excess recovery of Rs 49.10 crore, 113%.

Shreya CLSA

Got it. And so, in Meenakshi your loan outstanding was seven billion, right?

REC

Yeah, 710.84 crore.

Shreya CLSA

Okay ok. Okay. Okay.

On the RBI guideline.

REC

RBI guidelines you say we even if we are put in the larger borrower framework there isn't going to be much of a challenge because we are already complying with the exposure norms of RBI, so we are fully compliant with all the provisioning provisions of RBI with regard to the upper layer. Currently, although as based on our balance sheet we are in the upper layer but because we are government owned entity, we are in the middle layer. So, but even if it is in the upper layer, we have no challenge.

Shreya CLSA

Have we crossed the 25 percentage limit?

REC

Twenty- five percent limit?

Shreya CLSA

There's an exposure norm, right? Twenty five you cannot do a single borrower, you cannot have more

than.

Percentage so that will get crossed, right?

REC

No, no, no, no, that will not get crossed, for an infrastructure finance company Like, the limit is 30 percent. So, we are fully compliant with this for individual borrowers, we have not crossed 30 percent of the exposure, and for a group of borrowers it is 50 percent. So that also we are complying fully.

There is no issue on that.

Shreya CLSA

Okay sir, this is useful, this answers all my questions. Thank you.

Jigar Jani - B&K Securities

congratulations on a great set of numbers, just wanted to know you mentioned that there are 3 large projects that are coming up for resolution probably by the end of the fiscal year, would you throw some more light on which are these projects and what are the expected write backs that we can see from these projects that is number one. And second what would be our target in terms of loan growth say for FY25 considering we are setting on a very strong sanction book and all the projects that we are involved in and will we have any benefit from the rooftop project that you just mentioned in terms.

Disbursements or we are just an implementation agency at on that front?

REC

Regarding 3 major assets in fact there are more than 3 but the 3 major assets that includes TRN energy where our exposure is close to Rs 1500 crore, also Bhadreshwar power in Gujarat and Nagai Power in the state of Tamil Nadu. So those 3 and there's some development happening in case of LANCO Amarkantak also where after the conclusion of first round, its resolution plan was submitted but now there is a much better offer from 1 or 2 new entities. So, we are evaluating that option also and we believe that the for us being the largest may also get resolved in the fourth quarter.

Regarding Asset under management in FY25 we are expecting that in the current financial year or asset under management will cross Rs 510000 crore or Rs 515000 crores. FY25 we are targeting AUM about Rs 6 lakh crore.

And what was the other question?

Jigar Jani - B&K Securities

The rooftop solar scheme.

REC

Yeah. roof top solar.

REC has been designated by the Ministry of new and renewable energy as overall project implementing agency. We will be coordinating with the rooftop owners, distribution companies, vendors, financing companies, in addition to that MNRE has also identified 8 centre public sector undertakings under the ministry of power eight CPSE have been designated, they'll be setting up their solar subsidiary which will be taking up rooftop solar in RESCO Model. For that today in our board meeting, line of credit, to the tune of 15 thousand to each of the CPSE subsidiary which will be

implementing group of solar we are providing line of credit facility for 8 subsidiary the maximum could go up to 1 lakh 20 thousand crores.

As per the mandate given by MNRE to us by the year 2026, we had to make efforts to install 40000 megawatt capacity from rooftop solar. The assuming an investment of 5 crore per megawatt, the total investment may range from 2 Lakh crore to 2 lakh 40 thousand crore for installation of 40000 megawatt capacity. The subsidy amount is available for lower capacity, say 1 kilowatt to 10 kilowatt capacity, subsidy ranges from 20 percent to 40 percent. Ministry of new and renewable energy is in the process of revising the subsidy structure also, perhaps more subsidy would be given to 1-2-3 kilowatt. They'll be taking approval of the competent authority and then soon notify. So, we do see potential that rooftop solar business will also give us this certain. If we are able to finance this CPSCE subsidiaries who will be working as RESCO.

Jigar Jani - B&K Securities

But this would be showing up in FY 25 majorly what I can tell in that case.

REC

In the current calendar year, we have targeting one crore household, so if we go by the lowest denomination, say only 1 kilowatt per rooftop, even then it will enter 10000 me

gawatt capacity, but

most of this rooftop solar will come in denomination of 2 kilowatt or 3 Kilowatt. So, about the total installation may happen from 10000 megawatt to 20000 megawatts by the calendar year 2024 by the end of December 24. Okay. Yeah, yeah, most of it will come in FY 25 that's correct because in the current financial only 2 months are left so whatever is possible in next 2 months will come, most of it will come in FY 25 only.

Jigar Jani - B&K Securities

Sir and you mentioned the exposure for TRN energy, could you also mention for the other two projects, Bhadreshwar and one more project that you mentioned?

REC

Yeah, so Bhadreshwar have an exposure of 900 crore, lanco amarkantak is 2300 hundred crores and we also have a Nagai where it is, 500 crores. 560 crores is in the Nagai, so these are the four which we are looking at resolving at least this year.

Nishant Shah

Thank you for the opportunity and congrats on the very good set of results. j just following on from the last question like just to be doubly clear, this roof top solar opportunity is basically as not really lending to individual owners of the rooftops are like end retail customers. It is us this is still going to be more of a B2B kind of like loans to other companies, right?

REC

Yes.

Nishant Shah

Yes, perfect. And secondly you mentioned like between 10000 to 20000 is the capacity that's getting added on this how much does that translate to in terms of say AUM or disbursement opportunity?

REC

Yeah, say assuming say 10000 megawatt capacity gets installed, if we go by the lowest the most conservative estimate 10000 megawatt will entail total investment of if we say 5 crore per megawatt, so it will be 50000 crore, some of it will come in the lower category where subsidy would be applicable. If we go by the most conservative estimate 40 percent will come in the form of subsidy to around 20000 crores would come as subsidy, there will be financing opportunity for thirty. But retail financing we are not getting into retail finance retail financing done by the banks etc, but for big vendors like CPES, for them we will be able to finance about 15000 to 20000 crores from rooftop solar in the first one crore household.

Nishant Shah

But and just so I remember this year loan growth guidance for next year is about 15-16 percent, right? like from 5.15 or something trillion to 6 trillion.

REC

I have mentioned that current financial we are targeting our loan book will go to more than 5.10 lakh crore and next financial year by the end of March 2025, our loan book will grow to about 6 lakh crores.

Nishant Shah

Exactly, so that's what I was asking like it's about 16 percent. Okay, perfect yeah perfect, that's it for me. Thank you so much.

Aravind R

Yeah , thank you so much for the opportunities and congratulations on the great set of numbers and like my question is on the same lines of loan growth, you mentioned about 5.10 by the end of this year and six lakh by end of next year. So, it implies like close to 17 to 18 percent end of a growth. I'm also looking at the disbursement numbers for this year out of 1.22 lakh crore we have disbursed in this year in this year taken nine month 2024 numbers half of that came from the distribution scheme itself and most of it is most from like one off schemes, you know, like where the discoms need financing to clear the dues I'm just trying to understand where would the you know disbursements opportunity

come from like if distribution sector is not going to contribute next year you know which segment. Contribute to that kind of a growth, that is my first question and my second question beyond like margins, yields have improved and cost of funding has also like improved in the current quarter like in comparison to the last quarter where do you see you know yields and cost of ones to settle like for the next few quarters? Do you expect any increase in cost of funds d

ue to market situation or anything else? Thank you.

REC

Disbursement profile let me take, you have asked a very valid question. Disbursement up to end of nine months was 1 lakh 22 thousand and this year we are targeting that we'll touch about one like fifty thousand. You are quite right that LPS and RBPF will not be much significant in the next financial year. But next year, what will happen that renewable. That we are sanctioned, their disbursement are going to pick up actually. This year not by disbursement has happened, but next year from renewable segment and not. Huge disbursement will happen from these two sectors. plus, conventional generation that we have now it been being expedited minister power is closely monitoring this plant, those are in the pipeline, they have to be commissioned. They're also quite significant. Disbursement will happen, then RDSS revamp distribution sector scheme, what is going to happen is that. The result evaluation framework is quite tight. So, some of the state which will not be able to clear this result evaluation framework because the work has already commenced as they'll require funding. If they are not getting from government of India, they'll seek loan from REC and PFC to continue the work, and once they are able to qualify for REF then only they'll be able to claim amount from the government of India. So, we hope that we'll be able to maintain this growth trajectory of disbursement in the next financial as well. Now you can go over the margins.

Aravind R

Just as a clarification so you're saying like one and a half lakh crore kind of disbursements is possible even next year you're seeing.

REC

Next year, more than 1.50 lakh crore actually we are targeting, it should cross more than 1.50 lakh crores next financial year also.

Aravind R

Sure.

REC

Regarding margins, our cost of funds have actually slightly come down in spite of the, you know, all the elevated market Et cetera, so we feel that you know now that the they're going forward, the interest rate scenario may soften a bit and so therefore our cost of funding will effectively come down. We have you know employed very efficient borrowing mix of 54EC capital gain tax exemption bonds and ECB to the full extent because where we get better rates than the domestic market. Rate in domestic market is slightly elevated, we expect that going forward this should also soften, so therefore we believe that a reduced cost of funding will definitely give us better margins.

Aravind R

Anything on yield on advances like do you see any improvement in that case?

REC

Yield is currently at 9.98, we believe that the yield will remain like that. Because, you know, we are very conscious of the asset quality and we are dealing with generally A-rated companies only, and therefore we don't see much problems and particularly because our push will be on renewable energy where our rates are slightly better as compared to the other segment. So, yields may not rise, but we, we can improve upon our margins by reducing the cost of funds. So, there our efforts will go.

Aravind R

Sure, thank you.

Ashwani Agarwalla

Could you say just a couple of questions here when we say 1 crore households we are targeting 10000 megawatts, so there will be a company to whom you will give loan and that company will install rooftop solar panels and all this 1 crore households, right? Is that the thought process?

REC

I'll tell you there are multiple stakeholders in this entire rooftop solar scheme. It is up to the owner of the rooftop to decide will be multiple option available to him, there will be say rooftop owners, 20-30 vendors will be there who will be willing to provide. He has to select whichever vendor is available in who can provide better quality and CPSE will also be there. CPSE will also be there as one of the vendors. So, it will be entirely up to the rooftop owner depending whether he wants to avail the subsidy or n

ot because the state electricity regulatory commissions have allowed different tariffs. If an owner is willing subsidy, they give net billing tariff for about say 2.5 to 3 rupee per unit and but if one is not availing subsidy, they give a net billing tariff about 4.5. So, depending on structure, the owner will take a call whether he would like to will the subsidy and then he'll also take a call whether to avail this known or pay upfront from them or he'll also have the option if he's not willing to put in

his money, he can ask the CPSE which will install this solar rooftop and they'll get some roof rental they'll get on that account and their bill will also get reduced, so depending on that what we are targeted for with regard to financing, we are not targeting this retail. That will be done by the banks etc. If some vendor aggregator comes like CPSEs, if they are aggregating the demand and they have to install, say, say 1000 roof or 5000 roofs, only those aggregated vendors we will be able to finance.

Ashwani Agarwalla

I've got more question. So, sir, what is the area required for installing one Megawatt half a megawatt capacity?

REC

We are not talking about one Megawatt actually rooftop solar requires for two kilowatts about hundred square foot is sufficient.

Ashwani Agarwalla

100 square feet of clean area or a flat area.

REC

Exactly. And if 1 megawatt capacity we are talking in the ground mounted about three to four acres would be required.

Ashwani Agarwalla

So now for a targeting 10000 megawatt I think quite a few lack square feet of area would be required. Do you think it is really possible to gather so much unanimity in terms of decision making where there are big societies or 20-30 people living in a single society to come at a single point of thought process, let's have a solar panel on our society, let us invest some amount and who will take care of that any problem which occurs in the terrace or something from my point of view, it's a far-fetched idea and getting one crore households doing the same doing this entire thing in one year itself, do we have the necessary infrastructure of CPSE vendors, everything at place in all the metropolitan cities and other places that this can go in one single year?

REC

Yeah, you're rightly pointed out. It is quite complex exercise, it is not that simple. It is not necessary that in an area all every rooftop owner will agree to install rooftop solar. It is not likely to happen and if some societies are there then resident welfare association RWAs will be able to claim subsidy, so it is going to be a very complex exercise and it requires a lot of awareness campaign like MNRE has requested state government to identify certain cities, like. They are identified Varanasi, they have taken up in a mission mode that they'll be installing 25000 rooftop solar in next 2 to 3 months. That is being taken as a pilot project which is being done in mission mode, then all the state governments have been requested to identify, this would be taken up in the same cities' urban conglomeration. So, each of the state governments are identifying the city and they'll be taking in a mission mode actually. So we are targeting about 25 to 50 thousand depending on the size. That's how this aggregation will happen.

Ashwani Agarwalla

Inform also do you want to recalibrate that you will be able to finance 1 crore households or 10000 megawatts of this solar panels in FY25 or you still stick to that number?

REC

Let me clarify that. Other than this, residential building, there's another scope that is government department and commercial establishment. That is a segment we are targeting. For that there is no subsidy amount involved, their CPSEs are going to play a big role. suppose state government decide to populate their government building in say want to see it will be given in one go and the financing the CPSEs will take it in a risk model. Similarly commer

cial, we are not targeting a retail business, retail

business or financing opportunities that we are not there, all role is only that have coordinator. There we are not looking for. Financing opportunity. That retail financing will be done by the banks and the small NBFCs.

Ashwani Agarwalla

So, when we are saying that we will disburse 1 lakh 50 thousand crores next year, so roughly we can say 20000 megawatts will be financing next year, is that the amount we are looking or is that the amount of project or the amount of power we are looking for next year? No.

REC

1 lakh 50 thousand crore that we are targeting for disbursement, there we have not accounted for rooftop solar.

Ashwani Agarwalla

Outlook without I'm talking about renewable energy. Yeah.

REC

Renewable energy as I have mentioned, we had signed MOU to the tune of 2.86 lakh crores in the month of July 2023, out of this 286000 crore MOU we have already sanctioned project worth one lakh, another 50000-60000 crores will be sanctioned in next 3 to 4 months and entire sanction of 290000 crore will happen in FY25. And we are also taking up the state sector hydro project, today our board has approved certain hydro projects which are being implemented by. So those renewable energy project that we have sanctioned last year in FY22, FY23 and FY24, their disbursement are going to

ramp up because renewable projects have short gestation period, within 2 to 3 years all the disbursement happen. That's how we are targeting that major disbursement will come in FY25 from the project which we are already sent in the last two years.

Ashwani Agarwalla

So, what's the total sanction of hydro power at the state level?

REC

I mean not only hydro power but we are counting the entire renewable which includes of course solar, wind, hybrid, PSP and of course hydro also. So, this year we have done 125000 crores, till December. And we intend to do roughly 1 lakh 75 thousand crore by end of this financial year means another 50 thousand crore will be done, you know, basically. Approximately 10-12 thousand crore is already sanctioned. Okay, another 40 thousand, so we have a good book of RE projects now available.

Ashwani Agarwalla

So, I'm trying to understand, so this 175 plus another 2 lakh, 375, this sanction will be disbursed in how many years.

REC

This 175 has hydro, PSP, now hydro project takes roughly 4 to 5 years to complete. PSP takes 2 to 3 years to complete, solar will take 1 to 1 and a half years to complete when we'll take 1 and a half to 2 years to complete. But the major portion of expenditure for these budgets is likely to happen maybe in next financial year out of what we are sanctioned this year.

Ashwani Agarwalla

So ok we can assume it is 2 lakh crores. but 70000-80000 crore disbursement comes in next year.

REC

That's correct.

Ashwani Agarwalla

What the next.

REC

Not at least 60 to 70.

Ashwani Agarwalla

60 70, what about the rest, which we have signed till 125-150 right now and we'll complete to 215 by next year.

REC

As we have an order group of what we sanction not only this year sir, but last year, last to last year, the project that we sent him say five years back, the disbursements are going on in those projects even now. So, projects that we sanctioned today, we have total 16000 megawatt of projects which are under construction. So, I'm just giving an example, likewise we have some distribution scheme. Another big area is RDSS, where we have sanctioned projects in this particular financial year and major displacement will happen next year. So likewise, there are many, I mean similarly transmission projects also. Now we have.

Tej Patel

Thank you for the opportunity that since we knew that 40 percent of your outstanding order book is to discoms right and so I know the numbers are improving and the financials of discoms are improving, but as you know I want to get an idea of what are your arrangements with the

se discoms. That makes

you believe that this assets are safe, for example, your largest lender which is Tangedco, right? Which accounts for I guess 30 percent of your total outstanding borrowing, has 40000 crore losses, right? So just wanted to kind of get an idea of what arrangements do you have with this discoms that makes these assets safe?

REC

Yeah, so for this discom if you carefully examine that whatever lending we had done it is on account of three things. One is capex, some capex program of the discom. Second is LPS, which is happening last in this year, and. Third is RBPF also to a large extent. There are a few other things we are giving some other short term advances, but those are not that significant. Now Capex are supported by the cash flow that the discom gets through ARR, so there is absolutely no worry on that side and entire funding of LPS. As well as RBPF is secured by way of government guarantee. So, we have not given this particular advance to any of the discom without additional collateral of government guarantee. So, wherever there's a government guarantee I mean we believe that there's a certainty of debt servicing and there. Therefore, we draw comfort out of that proposition.

So just to add to what our director (projects) have stated. So Tangedco yes they did not revise their tariff for a very, very long time, but operationally it's a very good project, now you know I being the nominee director in that company, you know government of Tamil Nadu has undertaken to take over their losses every year. So, this year they are taking over around 70000 crores of losses from the company.

So, this way, you know, they are planning to and subsidies are all now coming on time. The tariff multi-year tariff revision has happened, now. They have automatic tariff increase every year and then of course it drew up any increase or decrease. subsidies government department dues are all coming on time. So, you know, the story of discoms have changed significantly in the last 1 or 2 years after this

RDSS scheme has come and the LPS scheme under which you know now all the discoms are, the subsidies on time you know revisions are happening almost in 95 percent of the cases, so major improvement has taken place now with the smart metering that is going on around 95 percent of the collection will be sort of assured. So, we believe that going forward this this comes with turn viable you know very soon. Then in fact now also their viable most of them, but whatever the stress is there, that will also go away.

N.MODI

Good evening sir? Yeah, just I wanted to know by doing this work of implementing agency do we get any fees or professional income something, do we derive?

REC

0.4, 0.5. Okay. So, do we do get fees like in case of other programs that we handled as nodal agency, and Saubhagya we got a very handsome piece that adequately covers all our expenses. and duration.

N.MODI

So, the thing you have entered into one MOU with RVNL which we have not announced that was a quite big amount.

Are we analysing announcing it in our website.

REC

RVNL is implementing major rail stock rolling stock and other projects, we had strategically entered into MOU for an amount of 35 thousand crore to be implemented in the next three years. That we are working out.

yash

Yeah, thanks, thanks for the opportunity and you know my congratulations to you all. I just want one clarification while most of the things are already discussed. When you see the quarter on quarter performance on headlines looking softer but even if you take out the impairment. You know it's much better. Just one clarification, you know, on your slide when you show that quarter and quarter, your asset quality has improved in fact, compared to the last quarter also, then why this cost is there and, you know, and what is your forecast looking like for next quarter on this particular line item. Because I'm trying to also correlate t

hat with the notes of accounts where in the in nine months, there seems to be a reversal of 1151 crores but it's not showing in the PNL.

REC

Last quarter we had reversed around 670 crores that was you know during the pandemic period we had made certain provisioning on standard asset. Now RBI mandates that we should create a minimum provision of 40 bps even today as we speak, our provisioning is close to 70. 70.4 bps. So, we are well above the RBI target, but last quarter, you know, because the health of the distribution companies have improved the power sector in general was showing positive signs, so we thought we will reverse this provisioning of 670 crores which was created during the pandemic, and the pandemic being behind us. So that was the reason why we did it this year.

yash

I think it is not a standard provisioning, it was one off reversal.

REC

Yeah, it's a one- off reversal which was created in a particular situation and now the situation having not been existing, so we reversed it.

yash

When you know some clarification so like you know when you say that quarter on quarter the asset quality is improved, then why there is a cost in this quarter and when you say that next quarter also you are expecting some further resolution with the asset qualities further improving.

Tentative forecast for the next quarter because you know this is the headline number which is impacting the performance and you know that is reflecting.

REC

Actually, for the current quarter the regular ECL which we have made on the fresh disbursements is 203 crores and there is a reversal in respect of Nagai and OPG power of 75 rupees and ECL for Meenakshi on account of resolution is 11 and the favourable impact on achievement of COD in respect of the APGenco and another one more project that is minus 83 and that accordingly we have provided for 56 crore rupees, so virtually there was a regular ECL on 203 but the provision which were required to make was only 56 crores because of the certain reversal which we made in respect of the projects which were resolved.

yash

What is your outlook for the next quarter on this particular line item.

REC

So next quarter some large assets I mean in the current quarter, some large assets where our exposure is high and the expected recovery is also now we believe that it is going to be high. So, it is expected to be I think on much higher side than Q3.

yash

On the higher side is you are saying provisioning or the reversal?

REC

Reversal.

yash

Okay, thank you. Thanks.

Shweta Daptardar

Thank you sir for the opportunity, so just one clarification on the rooftop scheme. So, in the rooftop solar scheme you mentioned that there is 30000 odd crores opportunity this is after knocking off subsidies, right? And if these are set up under Resco model, so we'll be financing largely Project developers. So, is my understanding correct?

REC

Your understanding is perfectly correct. We are after knocking off the subsidy, then this retail customer over there who will be availing loan from the small banks, we are targeting only this aggregator vendors, including CPSEs who will be carrying out this rooftop solar model, from that we are expecting some business to come to the tune of about 15000 to 20000 crores loan they might take.

Shweta Daptardar

Alright understood. So, one more clarification so to one of the earlier questions, you mentioned that you are already complying with the RBI norms of single borrower exposure of 30 percent, but I believe that RBI sort of came up with these norms or highlighted perhaps to you one or two years ago. So, there might be certain legacy issues. In your portfolio which already might be exposed over 30000. So how is there a sort of a rundown there or you know if there are repayments happening, so how, how would that those adjustments happen? Thank you.

REC

Even after taking into account the legacy outstanding dues, we are perfectly in

compliance with the

RBI norms of thirty percent. Of course, RBI allows government guaranteed loans to be shifted towards the government. So therefore that much leeway RBI provides and therefore considering the government guaranteed loans we are perfectly in compliance with the RBI norms taking into account all our outstanding.

Shweta Daptardar

That explains sir, thank you.

Rahul

Good evening gentlemen, actually I wanted to know your stance on the rooftop solar program. So basically, is our stance aggressive and also could you kindly provide me with an approximate tenure for the completion of this program? Thank you, thanks a lot for the opportunity.

REC

Ah, for the current calendar year, up to December 2024 target being given is one crore households and up to March 2026, we had to install capacity they have indicated capacity of. 40 giga watt that is 40000 megawatt capacity has to be installed by the end of March 2026. Here there are two components, one is residential household plus common building, commercial establishment, all in it will be 40 gigawatt capacity by the year 2026. But for the current year, mainly it is being targeted to cover one crore roof top.

Rahul

It's so is that stands aggressive on that part?

REC

MNRE has made calculation based on the feedback received from the states because this exercise has been going on for last two months actually to be frank with you. MNRE has been in touch with the state government, they had taken note of the concerns of distribution companies, they had certain issues to net metering etc cetera. so they have they are addressing the concerns or distribution companies now discoms are on board for this roof of solar and MNRE had asked the state governments to identify the focus cities. So, each of the states have identified four or five cities in the order of priority and each city they are taking minimum 25000 rooftop solar. For example varansai, in MP they have taken indore. similarly, all the states had identified their priority cities where minimum target that. They are looking for in the urban conglomerate is minimum 25000 rooftop solar. So, we hope that based on a realistic assessment made by MNRE, this target of one crore household has been given.

Rahul

thank you Sir.

Phillip Capital

Okay, thank you Rahul. with that we conclude the Q&A session, so I would like to thank the entire management team of REC Limited for taking time out and patiently answering all the questions. Thank you sir and have a good day.

REC

Thank you all the analysts and investors for very profound questions and we are enlightened. We hope that we'll be bringing you a better result in Q4. And as committed to you FY 25 is going to be better than FY24. Thank you so much.

Call: May 2024

SEC-1/187(2)/2024/ Dated: May 14, 2024

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Listing Department,
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051 Corporate Relationship Department
BSE Limited
1st Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Fort, Mumbai – 400 001
Scrip Code—RECLTD Scrip Code—532955

Sub: Transcript of Investors Conference call held on May 8, 2024.

Madam/Sir(s),

In continuation of our earlier letter dated May 5, 2024 & May 8, 2024, and pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith transcript of Investors Conference call of REC Limited held on May 8, 2024.

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“REC Limited
Investor Conference Call ”
May 08, 202 4

MANAGEMENT : MR. VIVEK KUMAR DEWANGAN -- CHAIRMAN AND
MANAGING DIRECTOR -- REC LIMITED
MR. VIJAY KUMAR SINGH -- DIRECTOR OF PROJECTS -
- REC LIMITED
MR. SANJAY KUMAR – EXECUTIVE DIRECTOR -- REC
LIMITED
MR. HARSH BAWEJA– EXECUTIVE DIRECTOR -- REC
LIMITED

MODERATOR : MR. SANKET CHHEDA - DAM CAPITAL ADVISORS

Moderator: Ladies and gentlemen, good day and welcome to REC Limited Investor Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participants will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sanket Chheda from DAM Capital Advisors. Thank you and over to you, sir.

Sanket Chheda: Thanks, Iya. Hello and very good morning to all of you and thank you for joining this call. We have with us the entire management team of REC today and the call will be driven by : Mr. MD sir, which is Vivek Kumar Dewangan , who is Chairman and Managing Director and also Vijay Kumar Singh, who is Director Projects. Without further ado, I'll hand the call over to Mr. Vivek Kumar Dewangan for his opening remarks on the strategy and the results which just went by. We'll follow that up with Q&A session. So over to you, sir.

Vivek Kumar Dewangan: Thank you, Sanket. Good morning to all the participants from India and good afternoon to all the participants from Southeast Asia. I'm very happy to share with you the fabulous annual results of REC for the financial year 2023 -2024.

Our approvals have seen an increase of 34%. We sanctioned projects worth \$43 billion in the last financial year, as compared to \$32.2 billion which we had sanctioned in FY23. The disbursements have also grown by 67% or total disbursement stood around \$19.3 billion last financial year, as compared to \$11.6 billion in FY23.

Our loan asset has grown by 17%. In FY23, our loan asset had grown by 13%, now our total asset under management is about \$62 billion. Here I would like to make it very clear that REC management and board have decided to have a clear -cut roadmap and we are targeting to double our asset under management to about \$125 billion by the year 2030.

And if we are able to sustain this growth of 15% to 20% , in case our growth momentum is more than 70%, we will be able to reach this target of \$125 billion asset under management by the year 2029 itself. The interest income on loan asset has grown by 19%. Total interest income on loan asset was about \$5.5 billion.

Total income has also grown by 20%. The one significant feature is that our profit after tax has grown by 29%. Our total profit after tax at the end of the financial year was about \$2.12 billion -- profit before tax, sorry, profit before tax. And our net profit has seen an increase of 27%. It was about \$1.68 billion.

The management has made a very conscious effort to reduce the cost of fund. We were able to bring down our cost of funds by 15 bps from 7.28% in the last financial year to 7.13% in FY '24. The spread has already improved by 41 basis points from 2.45% to 2.86%. The net interest margin has seen an increase of 19 bps from 3.38% to 3.57%. Our return on net worth was about

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22.17%. You might have observed that our market capitalization has increased by 290% in the last financial year.

One more distinguishing feature for the last year was our approval for renewable energy projects increased by 533%, and we covered the entire ambit of green hydrogen, green ammonia, pump storage hydro projects, large hydro projects, solar module manufacturing, solar plants, electric mobility, wind turbine manufacturing, wind power generation and hybrid solar and wind.

Going forward, we are targeting to increase our renewable energy portfolio to about 30% to about -- right now, our renewable energy portfolio is about 7% of total asset under management. It is about \$4 billion, about \$4 billion is our asset under management under renewable projects.

We are trying to increase our renewable energy portfolio by 10x to about \$40 billion by the end 2030.

Why we are so content that , we have a huge pipeline of projects. Last year, we had sanctioned projects worth INR136,000 crores. And in the current financial year, we have a huge pipeline of projects amounted to more than INR175,000 crores. Since the turnaround time for renewable energy project is higher and it gets commissioned over a period of 2 to 3 years, we see that a lot of disbursement will happen from renewable energy portfolio.

One more thing that Government of India has allowed us to diversify into non -power infrastructure logistics in the month of October 2022. In FY '23, we had sanctioned project worth about \$10 billion. And in the last financial year, we had sanctioned project worth \$5 billion. Our asset under management under non-power infrastructure logistics is about \$6 billion. And we

are anticipating that our total asset under management from non-power infrastructure logistics will see fourfold growth to say about \$25 billion by the end of 2030.

One more thing has happened that Government of India has decided that this renewable energy is intermittent in nature and we don't have natural gas resources. So the base load will come from coal-based capacity. The additional coal capacity would be required in brownfield projects only or that about 94 gigawatt capacity has been identified to be brought in by year 2032, in the next 8 years, all the approvals for this additional coal-based capacity will happen next 2 to 3 years. There also, we see a huge potential or REC, we'll be able to share at 30% to 40% of the coal base capacity, addition capital would be coming in the next 8 years.

Overall, power sector is on upward. Last year, power demand increased by 8%. And in the current financial in the last month in April, power demand has increased by 11%. With the introduction of revamped distribution sector scheme and late payment surcharge rules by the Ministry of Power, a lot of improvement in distribution sector is visible -- clearly visible. The AT&C losses came down by 5% in FY '23, and for FY '24, the final figures would be known by the end of June. We see a huge improvement in AT&C losses. Government department dues are getting paid in time. The Government department dues and subsidies are being paid in equity monthly installments.

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So much so that now the current subsidies are being paid by the state governments to the distribution companies quarterly in advance. This is overall increasing the operational and financial efficiency of distribution companies. The dues to the generating companies and transmission companies have become very regular. They are paying and the legacy dues under late payment surcharges, would be clear in the next 2 to 3 years.

After this revamped distribution sector scheme gets over, next 2 to 3 years, there'll be modernization scheme, which is being planned by . And I forgot to tell you that prepaid smart meter, which is part of RDSS is going to play a very significant role in improving the overall financial health of the distribution companies in the country. After RDSS period is over and the modernization is over, in the next 4 to 5 years, country will still require a lot of CapEx for upgrading the infrastructure, because distribution infrastructure all the poles, wires, the distribution transformer is quite old, 40 to 50 years old. So the need for a continuous upgradation of distribution infrastructure.

So we do see a business potential that distribution sector is requiring a good business opportunity in the next 10 to 12 years. Going forward, our vision is very clear by the year 2030, we would like to double our asset under management to about \$125 billion, 30% of it will come from renewable energy segment, 15% to 20% will come from non-power i

nfrastructure logistics, and

50% to 55% of asset under management will come from conventional coal-based generation capacity, distribution and transmission sector.

With this opening remark, may I request Sanket to take the discussion forward.

Sanket Chheda: May the operator announce the Q&A.

Moderator: The first question is from the line of from Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Sir, my first question is on this new RBI draft circular. So basically, I just wanted to know, of course, please do share your comments on the scene, but I had some specific questions which is that of your INR5 trillion of loans, there are some loans to distribution companies, which would be term loans. So they would also qualify under the RBI circular, right? What proportion of your loan book roughly would qualify as being impacted by the RBI circular? And then if at all, you've calculated any rough impact?

And my second question related to the same topic is that, say you have renewable plants, wind solar plants, their tariffs are only 2, 2.5. So even if lenders were to pass on higher rates, how would they sustain? How would they meet their DSCR? And also for these renewable projects, some approvals are always pending at the time of disbursements. So how do you tackle that? Here you are not supposed to disburse till all approvals are in place. And that's never the case in some power and even in some industrial projects. So these are my questions, sir.

Vivek Kumar Dewangan: Thank you, for asking very pertinent question, this is a burning topic as of today. Let me first clarify that it is only draft guideline, which has been issued by RBI. We have sought comments

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of all the stakeholders by 15th of June. So this would be applicable to all the banks and non-banking finance companies who are involved in project financing.

And these draft guidelines pertain to these projects under construction for which additional provisioning is proposed to be introduced for the project under construction, additional provisioning is supposed to be 5% and those who entered in operational phase, the provisioning is proposed to be 2.5% and those projects who are commissioned and they are having positive net operating cash flow, the provisioning will be limited to 1%.

But it's to be effected in phased manner by 31st March, 2025, only 2% provision has to be done. By 31st March 2026, 3.5% provisioning has to be done. And by 31st March, 2027, 5% provisioning has to be done. This will be phased over a period of 3 years.

Now I've stated that, as you are aware that REC is nonbanking finance company and we are following Ind-AS accounting standards. As per RBI's income recognition asset classification norms, with additional provisioning for NBFC following Ind-AS, will not be routed through profit and loss account, but the provision for the same will be done by way of impairment reserves. So our profits are not going to be affected by this stipulation. Our net worth is also not going to be affected.

We have done a detailed analysis. Book value is not going to be changed. Only if it would be on our Tier 1 capital. And we have adequate capital adequacy ratio as per RBI's norm, our minimum capital ratio required is 15%, and we are having about 25.82%. For Tier 1 capital, the RBI statutory minimum requirement is 10%, and we are having to the tune of 23.32%. So it will have impact only on Tier 1 capital. That would also be in a phased manner over a period of 3 years. As you are aware that we can take exposure to a single project to the tune of about 30% of our Tier 1 capital, which is at within about INR19,800 crores. And for a group of projects, we can take exposure up to 50% of Tier 1 capital. Right now, our exposure to single projects is normally not more than INR15,000 crores actually. So even if this Tier 1 capital gets r

educd by say 2,000

to 3,000, it will not impact our approval process.

Now coming to the specific question asked by you that a lot of our loans are supported by the state government guarantees. This RBI guideline would not be applicable to these loans which have been supported by the state government guarantee. About 40% of our loan is supported by the state government guarantee.

Then they are non-CapEx loans like late payment surcharge, liquidity infusion scheme, our RBPF, revolving bill payment facilities. All these loans will not be impacted by this RBI guideline. And distribution sector CapEx, like loss reduction works, etc, they're all supported by the state government guarantees, so that's why they're also not be impacted. The impact will be there in the generation segment, both conventional generation and renewable energy generation. But we are going to seek -- we are going to give a detailed response to RBI draft guidelines. The interpretation about date of commencement of commercial operation whether this will be

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applicable only the projects which are delayed because the spirit behind draft RBI guidelines appear to be that the projects which are under construction, of which are getting delayed which requires closer scrutiny by the lenders and closer monitoring.

So that also will seek clarification. Those projects which are under construction, I do appreciate that conventional coal based generation, and these large hydro projects, they somewhat get delayed. They don't get commissioned in time. But there we will have to do this up to 5% provisioning by the end of 31st March 2025. But as far as our renewable energy portfolio is concerned, all of this renewable energy portfolio of about INR35,000 crores, about 80% projects are already commissioned actually.

The new project which we are sanctioning, which will be that, these RBI guidelines would be applicable, it's still early days because we are supposed to give our detailed comment to RBI by 15th of June. But overall, going forward, we see that it is not going to impact adversely. In fact, we welcome this move by RBI because this will lead to closer monitoring and scrutiny of these under-construction projects.

Mahrugh Adajania: What will be the tax implication of taking directly through impairment reserve, no tax deduction?

Sanjay Kumar: There won't be any impact on the tax per se because the tax in any case is on profit before tax.

On that, the tax implication will be there, which anyway earlier also was there. So it's only appropriation of the profit. After that, the impairment reserve is created. And it is accounted in the net worth also. It is only a buffer, which is there. It is not a free reserve, but it is there in the network as such.

Mahrugh Adajania: Got it. But sir, just a follow-up question. So basically 40% is out of the purview of these guidelines, right?

Vijay Kumar Singh: So you asked about how much of the distribution portfolio would attract provisioning requirement. Let me just tell you that the total book size under the distribution segment is close to 25.75 billion, out of which the CapEx which is supposed to attract provisioning requirement

is only 9 billion, which is just 35% of total distribution portfolio. So that is the implication of distribution portfolio on 65% of loan, which are non -CapEx, which are in the form of LPS and LIS, which we sanctioned during Covid times will not attract these provisions.

Moderator: Next question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: First question is that assuming this RBI circular was to come in the current form, I mean, will it sort of a lead to change in competitive dynamics in the lending space to the power sector . I'm coming. I mean, yes, I mean, you could be comfortable position, but led to some banks, I mean who currently present kind of

withdrawing or so going slow in the power sector loans. So I mean, how will that play out? And the second part, if at all, the sort of the impact that is going to impact -- having impact on your sort of capital and all. Will sort of you be looking to pass on the pump prices or to our capital P&L impact but definitely, it is going to impact your So will there be some kind of some costs th at we pass on to the borrower?

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Sanjay Kumar : As far as the banks are concerned, they are not following the Ind AS. So entire provisioning which is required , will be routed through the profit and loss account. So there will be hit as far as the banks are concerned. So in our case, it may not be so, but some of that may have to be passed on to the borrower, the impact of that. Whatever the increase is there, what the impairment reserve which we are required to create also, so there are some additional impact there can be by way of the increase in the lending rate.

Avinash Singh: Yes. So in that scenario, do you see sort of benefiting from that competitive dynamics changing?

I mean, if at all the banks are passing some peri od also sort of looking to benefit from that. And

if at all the banks are sort of going smooth in the power sector loan will see some uptick.

Vivek Kumar Dewangan: Thank you, for asking this question. Yes, we do see that there we will be a scenario where w e get benefited . Some banks may withdraw from this kind of competitive atmosphere. They might not go for project financing.

Moderator: Next question is from the line of Gaurav Agrawal from Nine One Capital .

Gaurav Agrawal: Sir, one part is the existing AUM and I need to ask on the revised guideline. So you called very well on the existing AUM. My question is more related to the incremental book on the generation side. So how do you think the industry players are going to react to it? And also for yoursel f because accounting treatment for the existing loans can be from the impairment reserve. But what about the incremental loans? What will the accounting happen for the loans which we are going to write from today onwards? On the date this guidance becomes effective?

Sanjay Kumar : For the incremental loans also the same position is there. We have to just create the provision as per the Ind AS and as per the norms of the Reserve Bank of India. So the differential, which is there, a provision which is required as per the IRAC norms and that as per Ind AS, that has to be created by way of impairment reserve by way of appropriation of profits. So as such for the incremental loans also as well as the existing loans also, the same treatment will be there.

Gaurav Ag rawal: Okay. Okay. But sir, for the incremental loans will it impacted pricing? Will you be pricing a loan a bit higher just account this change in provision.

Vivek Kumar Dewangan : Yes. We'll see that actually, some newspaper reports also came and banks also making the representation to RBI, trying to request the RBI to reduce this additional provision of 5% to say to 1% to 2%. But we'll have to see the final guidelines actually. But yes, we'll have to pass on some impact of this -- we'll be abl e to pass on to the borrower. But another -- the silver line of fact is that, our cost of borrowing is going to come down in after Q2, Q3. Once this cost of borrowing comes down, we'll pass on or perhaps balance out actually.

Moderator: Next question is from the line of Shweta from Elara Capital.

Shweta: Sir, thank you for the elaborate explanation. Sir, just my first question is slightly repetitive. So did you mention that 40% of our overall loan book should sort of be kind of impacted by this new circul ar?

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Vivek Kumar Dewangan : No, I did not say like that actually. Only those conventional generation portfolio is about, say, INR145,000 crores. Out of

that, 60% projects are already commissioned, actually for that is around 40% of this is INR145,000 crores , roughly about INR60,000 crores, this would be impacted. And renewable energy, I told you that INR35,000 crores, out of that, 80% is already commissioned actually.

And going forward, whatever new sanctions we are giving in respect of renewable energy still get covered. So say, roughly to the tune about maximum INR1 lakh crores portfolio going forward, which will be impacted by this draft RBI guideline. Total asset under management about INR5 lakh crores. Out of that 1 lakh crores, about 20% asset will get impacted.

Shweta: Right. Sir, but you covered only the conventional generation renewable. How about the remaining 15% - 18% of electromagnetic and infra projects, will those also attract this new circular requirement of provisioning?

Vivek Kumar Dewangan: Thank you, Shweta, for asking this pertinent question. This electromagnetic component like MMRDA Metro project, MSRDC, they're all supported by the state government guarantee. It will not be impacted at all.

Shweta: Okay. So you mean to say that, sorry, just sounding repetitive. So we are saying we just say new project, which is to impact will not attract this extra provisioning requirement?

Vijay Kumar Singh: That is what is our initial understanding based on the regulations issued in the current form, I think this -- we hope that this will undergo some change. And we will evaluate whatever issues you mentioned, all those issues will be evaluated and then we'll come out with accurate understanding of these issues.

Vivek Kumar Dewangan: So we had some discussion with RBI earlier actually with regard to the exposure norms. We had detailed discussions with the top management of RBI. And common wisdom which emerged after the interaction is that for exposure as far as the exposure is concerned, they are not going to take into account those loans which are supported by the state government guarantee. Mr.

Baweja, you would like to supplement?

Harsh Baweja: No, I just submitting that, in fact, the regulations, which have come in the regulations, which have come recently needs a lot of deliberations and many stakeholders will put forward their views on this. Again, the decisions will take place. And then finally, acceptable data will come for the implementation. So these are the preliminary comments, which are being made by the Company. But let us wait for the final guidelines. We'll also put forward our view on that and some of the things, which may also come for relaxation also in the later part. Let's understand it, and let's wait for the right time.

Moderator: Next question is from the line of Aditi from CD Research.

Aditi: Sir, my first question to you is, given your expertise in assessing non-renewable projects, how well do you think your strength is equipped for running sanctions of I&L projects?

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Vivek Kumar Dewangan: Yes. Let me share with you that government had allowed us to diversify to non-power infrastructure logistics in the month of October 2022. And we have taken a very cautious approach actually. We have ramped up our manpower strength. We have got in experts from different fields, putting to infrastructure logistics.

Now we are very well equipped to appraise this infrastructure and logistic projects. We have a very strong entity appraisal, project appraisal teams. And we do have experts on board. Since we are getting sufficient business from conventional generation, renewable energy, we are going to be choosy about selecting this infrastructure logistics project. Only those infrastructure logistics projects, which are having good asset quality, where entity is strong, where revenue cash flows are assured, only those infrastructure logistics projects will be financed.

Aditi: Okay. Sir, could you please tell me the difference

between the expertise required while you assess the renewable and non-renewable projects?

Vivek Kumar Dewangan: Yes. The different kind of expertise required, like conventional generation, how these plants get erected, the balance of plant, this coal evacuation system, ash handling plant. Similarly for renewable energy, different kind of expertise required, the sourcing of the material, the installation, the maintenance is different for renewable energy portfolio.

But for infrastructure logistics, if you are going to sponsor airports, ports, metros, road highway. So we need to have sector experts from this who will be able to understand the nuances. So we have taken conscious efforts and we got in experts from all these wings who help us in appraising these projects.

Harsh Baweja: Those who have already work in these kind of projects.

Vivek Kumar Dewangan: Yes, those people who have already worked in this kind of project, we have taken them on board.

Aditi: Okay, sir. Sir, and my second question to you is, what is your estimate of provisions that we see reversal in the future?

Vivek Kumar Dewangan: Okay. Our gross NPA is about INR13,800 crores. And out of that, about 7 projects are heading towards liquidation that is amounting to INR2,222 crores. For this, we already made 100% provisioning. And some projects have already been resolved like Lanco Amarkantak, Dans Energy, Bhadreshwar, Nagai, that amount to about INR5,000 crores.

For this we had made provisioning of 70%, but we already got some write-backs on these

projects, which we already factored it. The remaining amount is about INR7,000 crores. And you see that good resolution coming from this product like Mahanadi is 1 of the best operating assets, which is under NCLT its account is INR10,000 crores.

Admitted claim is about INR29,000 crores. And we hope that -- and we have made provisioning about 58% provisioning we have done for -- sorry 52.4% provisioning we have done. And we

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expect that it may lead to 100% recovery in KSK because a lot of interest has come, more than 30 interests have been received. Similarly, similar plant in Nashik.

For that, we had made 80% provisioning. For that also, because we are getting more than 11 companies already submitted their expression of interest. There also we see that our would be limited only about 20 to 30, not more than that, there also will I get write-back. Then Hiranmaye project is there. There also we see good resolution happening.

And TRN Energy, we've already done restructuring. Entirely in sum total, we can say that we are expecting a write-back to the tune of INR1,500 crores to INR2,000 crores in the financial year FY '25. And we hope that all this asset would get resolved in the current financial year itself and will become net zero NPA company by the end of FY '25.

Moderator: The next question is from the line of Niharika Jain.

Niharika Jain : So again, I want to understand a bit on this RBI provision because you always emphasize that we want our renewable energy at competitive rates, and we almost have 130,000 in the sanction pipeline. So because of these impending norms, do we feel that we will be going slow in the sanctions or we will be revising the sanctions?

Vivek Kumar Dewangan: No, we'll not be revising the sanctions actually. And as you are aware that Government of India is committed to install 500 gigawatt capacity by the year 2030. And so far, the commissioning which was happening was about 12 to 14 gigawatts every per annum. But from this year onwards, they stepped up their ambitions and per annum, they are targeting installation of 50 gigawatt capacities. So these capacities are in the pipeline, and we are quite confident that we will be able to support this renewable energy portfolio -- projects which are coming in a big range. And we have a very diversified portfolio in the RE

portfolio also, like let me give a breakout.

Last year, we sanctioned project of INR136,515 crores. Out of this, large hydro projects constitute about INR32,450 crores, pump storage hydro project was about INR28,304 crores; followed by solar, about INR21,000 crores. Then model manufacturing was INR21,565 crores; followed by green hydrogen project, about INR8,000 crores we have sanctioned; electric mobility, about INR8,000 crores; wind-turbine manufacturing about INR3,200 crores, wind projects about INR3,500 crores; and hybrid solar wind been about INR10,098 crores.

So here in this segment, large hydro and pump storage projects, they do take a longer time for execution. So there this additional provisioning we will have to do, whatever final guidelines come actually. And normally, the other solar, wind, hybrid, they do get commissioned in time and a lot of push is there from the Ministry of Renewable Energy and by the entire government of India. So we hope that all the developers will try to adhere timelines, they do commission before time also. There's a lot of projects are coming and getting commission before time.

Niharika Jain : So basically, I have to understand because, again, hydro and pumps, as you said, will take more time and most of the time the DCCO is extended for these projects. And we have already

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sanctioned this project at a particular rate. So do we feel that we'll need to revise slightly maintain a decent spread for ourselves as a company?

Vivek Kumar Dewangan: Yes. The sanction is done, where we have made provision that interest gets reset every year actually. And plus, we do inspect that going forward, our cost of borrowing will also come down.

Perhaps, it will balance out the need for increasing due to additional provision which may not be there if cost of borrowing comes down.

Niharika Jain : And my next question is pertained to that. Only that a recent period is, say, 2 to 3 years. And this comes -- suppose it gets implemented as it is. Again, that's an assumption. So our reset again would take another 2 to 3 years. So we feel that the margins would get compressed because we won't be able to pass it on for another, say, 2 years whenever the reset comes.

Vijay Kumar Singh : So the project that we are lending now, like we have done on 135,000 for renewable. The interest rates are linked with our card rates. And these card rates are subject to change. We keep reviewing these card rates from time to time. And whenever some disbursements happened, that

was linked to our card rates . So then linked to our card rates , that is one and the reset is, in all cases, is one. So all new sanctions , what we did in the past was with 3 years also, but these recent sanctions are with 1 year, reset only.

Niharika Jain : I'm talking about the older sanctions only, which is already there in our book in our INR5 lakh crores there would be some like AUM, which we have a reset of 2 to 3 years and 20% of will be subjected to say these norms.

Vivek Kumar Dewangan: I think you missed out actually, I had clarified that out of 5 lakh crores this asset under management , most of them are already commissioned. Only 1 lakh crore of projects are under construction, which will get impacted. And as far as renewable energy projects are concerned, out of INR35,000 crores loan book of renewable energy 80% is already commissioned actually. Only 20% is under construction. About 20% of around INR35,000 crores projects under construction INR 7,000 crores as far as renewable energy projects are under construction . But yes, those where we have sanctioned last year, they'll come into construction phase this year, and we will take about 2 to 3 years.

Niharika Jain : And my last question would be on these IRAC norms, where so are we planning to kind of increase our ECL percentage.

Moderator: Sorry to interrupt, maam, could you please return to the question or follow-up questions, as there several participants waiting for their turn.

Sanjay Kumar : The ECL provision, which you are saying , that is only in respect of stressed assets. That is the Stage 3 assets, not in respect of the standard asset provisioning. So ECL provisioning in any case, we are following for the LGD and PD, which is there and also as per the rating of the borrowers. So that, in any case, will be like that only. So there won't be any impact on that.

Moderator: Next question is from the line of Manuj Jain from Wellington Management. REC Limited May 08 , 2024

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Manuj Jain: My question might be repeated. Still, I would like to check with you just clarification. So for any new lending to, say, renewable power, can you give me some sense how much the cost will increase for the borrower if the draft guideline is implemented in the current form?

Vivek Kumar Dewangan: Let me be very frank with you. It is not likely to increase any amount actually because like we are planning to raise green bonds, to cater to the green projects only. Green bonds we are raising, we're getting lower interest , we are able to pass on. That's what I am stressing time and again that for renewable energy projects, our borrowing cost is lower actually. And any increase with the additional provision will get offset by the lower cost of borrowing.

Manuj Jain: Clearly, you have a benefit there, even raised green bonds and you might not be able to pass through. But maybe if this green bond is not available to you and you basically raise from funds from the conventional sources and this draft is implemented. Can you give some sense like if this 5% provisioning under-construction stage, how much the cost will increase for a borrower? Is it 50 bps, 100 bps? Like just some sense around that?

Sanjay Kumar : There won't much impact because there is ample funds which are available for the Green financing. It's not only the green bonds, there are a number of lenders who are willing to lend at slightly lower rates as compared to the normal raising, which we are doing, both in domestic market as well as the international market. So there are enough funds which are available , and the differential is about 10 to 15 basis points as compared to the normal borrowing which we are doing for general purposes, for conventional generation also.

So there differentially is already there. And since our cost of borrowing has already come down from 7.28% to 7.13%. And this year, we are anticipating the rate cuts, which are likely to happen , it may come down to about 7%. So as such, we won't reduce the rates, will remain almost stable at which we have landed at present.

Manuj Jain: Okay. Maybe I'll just ask 1 more way. Like given you mentioned like India needs to -- is thinking to implement 50 gigawatt every year of renewable power. Post this draft, do you think there are going to be some slowdown given the cost of funding might go up for some of the developers or will this change will not impact that pipeline at all?

Vivek Kumar Dewangan: I don't see there is any slowdown, but the pace is going to increase actually. You see -- you'll have to wait for the budget, which will be coming in the month of June, July. There will be a major push on this infrastructure sector. We are anticipating that major push there infrastructure, including power sector. The government it is going to be very clear with regard to infrastructure projects.

So I don't see any -- and government is committed to make all enabling provisioning, to facilitate development and are aspiring to become a developed country by the year 2045. Government has to make all the enabling provisions. I don't see any slowing down of the infrastructure projects.

Manuj Jain: All right. And just last confirmation. So this thing will have 0 impact at all on the projects which are already

private developer projects which are already running -- making revenues, cash flows, 0 impact at all because you don't have to change any provisioning at your end, right? Or anybody else?
Sanjay Kumar : Actually, we are having our own card rates , which are quite different from that of the banks. So banks are having the benefit of the CASA. So there, we were giving very competitive rates. So there they may have to increase the rates, but our rates in any case, were almost similar to that. So we have reduced our rate. Now it will be almost at par at whatever card rates are . So there won't be an increase in our lending rates as such, but there won't be much competition from the bank because they may have to increase the rates. As such, our rates will remain stable. There won't be change in that.

Moderator: Next question is from the line of Nishant Shah from MLP .

Nishant Shah: Sir, a couple of questions. You mentioned earlier in the call that government this would be out of the scope of the circular. It was mentioned because we must have missed it, or is this like some local opening that we've taken like just trying to some conviction around the last government guaranteed project being out of the scope of the circular?

Vivek Kumar Dewangan: No, it is not mentioned anywhere. But we had detailed deliberations with RBI last year actually with regard to exposure, there were certain concern about the exposure norms. At that time, we had a detailed discussion with RBI management, and the common understanding, which emerged was that from the exposure , they are taking out the state government guaranteed loans are being kept out of the purview of these exposure norms. This due to RBI guideline, draft RBI guidelines, our Tier 1 capital is going to impact. As for exposure is concerned, we are very clear that state government guaranteed loan are not counted . Yes, out of the purview.

Nishant Shah: Okay. And sir, the second is around the differential accounting between NBFCs and banks in this part like So that you're just seeing RBI are there kind of there be some actions which too much differentiation between large size NBFCs and on banks. So if banks are going to be sort of disproportionately affecting that is the case of less competition for you.

I'm just trying to fathom what happened like if there is something in the back of RBI to kind of like make the content at a giving banks on assumption or because a little looking at how the RBI has been sanctioning of late. It's trying to minimize the difference between banks and NBFCs .

Vivek Kumar Dewangan : Let me tell you that. The spirit behind RBI draft guideline is closer is scrutiny of the under - construction projects. Historically, the under -construction are normally delayed in the country. So, broad focus on this under -construction project. With regard to competition from the banks, Sanjay has already clarified. Sanjay would like to supplement.

Sanjay Kumar : And actually, you are saying about the accounting treatment in case of banks and NBFCs. This was your question, please?

Nishant Shah: So as said just on incremental projects, you can just take the difference between Ind AS provisioning requirement and the prescribed by the circular as an adjustment to the impairment

is a banks will not have that leeway. The sense helps in the NBFCs like you NBFCs kind of do better. I'm just trying to a bit more. Is that something – is that interpretation first of all correct from our side?

And second, is there something that like the RBI can do to kind of allow banks for forbearance or like prevent you moving the sin of accounting treatment and passing provisions to P&L or something like that . Understand the competition recent

times the RBI kind of like differences.

Actually that just a question.

Sanjay Kumar : As far as the accounting treatment is concerned, the Ind AS was followed in case of NBFCs from 2018 -19. So banks despite a number of a number of opportunities given to them, RBI didn't implement in case of the bank. So still, it is not being implemented there. Whatever the provisioning they are doing in asset as well as the other provisioning also that is routed to profit and loss accounts.

While in case of NBFCs, the provisioning as standard asset and other assets is concerned, that is done on the basis certain systematic methodology, which is there. Regarding the LGD and PD which is there on that basis, estimated . So the provisioning as far as the standard asset is concerned, it can be even lower than 0.4%, which is required by RBI prior to the circular. So Ind AS, the total provisioning as per the methodology which is there for ECL computation. So in case of the banks that is not there, they have to pass it through the profit and loss account itself. While in case of the NBFC, it is not like that. So at present also, we have to compare the

provisioning, which we are doing in respect of the ECL, with that of the provisioning, which is required as per the IRAC norms, and in case any difference in there, say, in case it is lower than the norm, then an impairment reserve is required to be treated. So same thing will be there going forward also. While in case of banks, it will be routed through the profit and loss account itself. Actually, why it was not implemented in case of banks, there is a purpose also for that. There is the reason also behind that. While there was too much provisioning which was required. The capital is to be infused by the Government of India in case of the banks. So that is the main reason why the Ind AS was not implemented in case of the banks, while it was implemented in case of the NBFCs.

Moderator: Next question is from the line of Umang Shah from Kotak Mutual Fund.

Umang Shah: I have a couple of them. While I appreciate that on your existing bank book, there might not be a material impact, right, as bulk of the projects are already operational, but don't you really think that the new guidelines does impair our ability to grow in a meaningful way. Where I'm coming from is that in your initial comment, you also allude to the fact that there is a possibility where banks and players like yourself might pass on some of the incremental costs, which will alter the viability of some of the projects that we intend to finance, so although the sanctions pipeline at this point of time is looking fairly good, how much of that eventually gets converted in disbursements? Do you really think is there any risk to that number?

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And also as a proportion, currently the share of under-construction projects is relatively lower. But as we keep increasing or keep growing the book, this proportion will eventually increase, right? So to that extent, there will be material impact on our capital ratios as well. Just wanted to hear your thoughts on these points.

Sanjay Kumar: There would not be any impact on the capital ratios. It will only be Tier 1 capital that will be impacted. All other ratios will remain the same. There is no change in that. The net worth will also remain the same. It's only the impairment reserve, which is not a free reserve, which will not be available for distribution purposes or any other general purposes per se.

But otherwise, it's only the Tier 1 capital, which will be impacted, which will have an impact on the exposure that we can take in the of any single borrower or group of borrowers. Otherwise, it won't be impacted as far as profitability is concerned, networth is concerned, book value is concerned, there won't be an impact on any of the figure. And as far as growth is concerned, so

we'll have to grow at a faster pace than what we did present.

Vivek Kumar Dewangan: I don't think any slowdown of this project actually already clear, there will be a major push from government also for infrastructure sector. So they will be making all enabling things. Even if cost of funds goes up, it will -- it's not going to slow down this progress of the infrastructure projects.

Umang Shah: Got it. Because, sir, I mean when we are talking to some of the other players within the ecosystem, they are fairly circumspect about the growth prospect either on the infrastructure side or on the power sector side. So I mean, it's quite interesting that you have a view that the growth will not get impacted in a meaningful way. Sure. Sir, the second point, which I wanted, which is more of a clarification at this point, two points which you mentioned, one, that these norms might be applicable only to projects where DCCO extension has happened? Or will it be applicable to all under-construction projects regardless whether they are within the guidelines or not. Is there any clarity on that point as yet?

Vivek Kumar Dewangan: It will be on all under-construction project -- all CapEx projects. So we have made it clear, it will be affecting all the under construction projects despite whether it is DCCO shift or not.

Harsh Baweja: But in our view, it should be applicable to the DCCO funded projects only. For that, we'll make a request to the RBI. Let's let them make an analysis and come back to us.

Vivek Kumar Dewangan: And let me reiterate again that we don't see any growth is not going to be affected. Our growth will continue to be on upward trajectory only.

Sanjay Kumar: We have to go by project by project also. In the standard asset, provisioning of about 0.5%, which we have maintained. Just on individual projects, it may be even 1% also. So depending upon whatever the risk are there in respect to that project, higher provisioning is also there. On total basis, it is 0.5%, but in individual project basis, it may be 0.15%, or 0.25%, 1% also. So as such, depending upon the and all these things, we already take into consideration that, and according to that, provisioning of current asset is also maintained under the Ind AS

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Umang Shah: Sure, sure. And sir, just last clarification in extension of previous question asked by the previous

assuming that sorry, the regulator has not really distinguished between projects which are guaranteed by state or central government. In that case, how big can be the impact for us versus what we are quantifying currently?

Sanjay Kumar : That is not likely to be the case because in case you see the capital risk factor, which in the state governments guarantee projects is 20% as compared to the other projects, which is 100%. So the different dispensation is given to the state sector projects, which are guaranteed by the state. So for exposure norms also dispensation is given. And earlier up to 2022, even these were outside the ambit of the exposure norms also.

So time to time, differentiation has been given in respect of the state government guaranteed projects. So we assume that it will be, now going forward also, it will be applicable because the risk factor which is there in such projects is much less. Both FSA and PPA is also there, in respect of those projects and they are commissioned in time also.

Vijay Kumar Singh : And more thing we mentioned earlier that 40% of our loan book is secured to a state government guarantee. Out of that 40%, roughly 30 %-35% is for non -CapEx funding towards LPS, LIS and RBP F sort of funding. So only 5% to 10% maybe is towards the project, project funding. So what we said, about 40% is not for the project purpose. It was largely for non -project, non -CapEx lendings.

Moderator: Next question is from the line of Rohan Vora from Invision Cap

ital.

Rohan Vora: Sir, my first question was that when you said that on the existing loan book, you've seen you calculated 1 lakh crores kind of a loan book that might be impacted. So would that include the projects we cannot need the operating cash flow and the 20% repayment from the peak rate. So would that be a part of 1 lakh crores ?

Vijay Kumar Singh : Yes, that is part of the INR1 lakh crores .

Rohan Vora: Okay. Okay. And those also require lower provisioning. So then this number will be reduced for the 5% limit that we are talking about, correct?

Sanjay Kumar : 5%, 2.5%, 1% depending upon the stage of the project.

Rohan Vora: Okay. So everything is in this INR1 lakh crores ?

Sanjay Kumar : Yes.

Rohan Vora: Got it. Sir, and now going forward, the opportunity that you said 94 gigawatts, and we expect to get 35% to 40% share from it. So our project at state government guarantees, how has made the pricing on that? And can you throw some light on that?

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Vivek Kumar Dewangan : You might have observed that our lending rate is the highest in respect of coal based capacity only. It varies from 10% to 11% actually. This 94 gigawatt capacity, some additional impact was because additional provisioning some impact would be there , that we'll be able to pass on actually because you see the ecosystem , the competition , as far as competition from other financial institutions is there , is less competition as far as coal based capacity is concerned. So there, we don't see that our business will get affected , even if only some increase in the lending cost is there.

Rohan Vora: Got it. Got it. So basically, we have the capability to pass on into such thermal projects is what I was trying to say?

Vivek Kumar Dewangan : Yes.

Rohan Vora: And sir, just one more question. What would be the current reserve to the impairment is or the provisioning created on our books as on March '24.

Sanjay Kumar : The impairment reserve is required to be created in case the provisioning as per the Ind AS is lower than the IRAC norms. Our provisioning is already higher than the IRAC norms, there is no impairment reserves at present.

Rohan Vora: Got it. Got it. And sir, if I can squeeze one more question. So when we say that to reach INR10 lakh crores or \$125 million by FY '30. So the sort of calculation gives me a growth rate of around 12%, 13% on the loan book. And then we also intend to have a higher growth rate. So any clarity on that, I mean, do we see loan book growing faster than 12%, 13% there?

Vivek Kumar Dewangan : Yes. If we are able -- like this year, our asset grew by about 17%. If this 17% growth is continued, then we'll be able to reach this INR10 lakh crores by the year 2029 itself, in next 5 years, not 6 years. So it is more likely actually, but I'm slightly conservative. I'm not giving this bullish figure. But if we are able to maintain this 17% growth, then we'll be able to reach this target in FY '29 itself.

Moderator: Next question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: Most of my questions have been answered. Sir, one question was that during the press meet, you had mentioned that there are about 9 or 7 projects which have to be liquidated this year. These are your bad assets. So what is the approximate size of these out of the INR138 billion Stage 3 we have, what is the size of these? That's my first question.

Second, just going back to the same regulation point only, I had some interaction with some industry experts who said that if these regulations on asset provision lead to lower liquidity availability or in the market or higher lending rates, private CapEx is something that could be impacted.

So that really goes -- I mean, that becomes very counterintuitive to what the government and then what the regulators are trying to do. One is trying to push CapEx and other regulat

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end up leading to impairment of private Cap Ex coming in. Any comments on that? And what kind of feedback are we going to push RBI towards on the same?

Vivek Kumar Dewangan: We respond to your first question. Not 9, 7 projects are getting towards liquidation, total value of INR2,222 crores, for which we already made 100% provisioning . Now I would like to respond to the second question.

Vijay Kumar Singh : Although everything is still in draft stage and we cannot really say with certainty. But what we look at the current draft regulation is that, o f course, it may, perhaps, and we are not very sure, impair ability of banks to lend for , infer your understanding is correct. But then that gives us greater opportunity. In any case, we are a very active lender in the power sector space, and we started le nding operations in the interest space as well.

So I think the current situation may lead to for REC to capture some high -quality assets where earlier the competition from banks was very severe, maybe that may not be there and those opportunities may be av ailable to REC going forward.

Sanjay Kumar : Actually, banks in any case are not lending for the infra. In case you see the private sector banks, ICICI, HDFC nowhere they are in case of the infra financing. It's only the state sector banks which are there. So they virtually lend to REC. Instead of directly taking exposure in the projects, they lend to REC. And on that basis, REC takes an exposure on the projects because REC has the capability also for the evaluation of these type of projects.

Shreya Shivani: Sir, and just one question. So these -- it's a clarification on the regulations. So the regulation talks about only the project finance. So say, a bank is doing a bridge finance kind of a loan for a renewable project before the project finance comes in. S o that bridge finance kind of a loan, even though you're doing it for a CapEx plan, that doesn't get covered under this regulation, right?

Sanjay Kumar : There is a definition of project which is given under these guidelines. So we have to go by that definition. So these type of bridge financing which they are doing or even if we are doing RBP F for this type of funding , so that won't be covered in -- becaus e in any case, DCCO has to be there for th ese type of project.

Shreya Shivani: Got it. Understood. Understood.

Moderator: Next question is from the line of Saket from India Capital.

Saket: Firstly, for providing a clarity on potential impact. As you said, there 's no impact from P&L, book value and networ th, only Tier 1 gets impacted . That my question was given our return of net worth as 22% and next year, we're expecting some write -backs for KSK etc , do you think even in case if we get strong growth like 1 7%, 18%. Still Tier 1 capital should actually improve in the next 2, 3 years, given our net worth return on net worth is going to be much higher than incremental growth correct?

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Sanjay Kumar : Next year with the write -backs, which are expected in respect of these stressed assets which are likely to be resolved , so there is not likely to be much impact as far as these provisioning norms are concerned. So there won't be much impact on the Tier 1 c apital also in the next year. Going forward also, we have to just see as to how this situation fares on because there will be incremental profits also, which we'll be generating.

Saket: Absolutely. Yes. question like do you think incremental profits will b e higher than one more than may come for any kind of from an ongoing basis with the write back and incremental profits will be more than -- we'll provide more buffer to sort of address any potential impact on Tier 1?

Sanjay Kumar : In case you see the last 3 years' profit, they are incrementally increasing year -by-year. We are

also going forward and with the return on equity of about more than 20%. So there'll be 70% in any case will be going towards the net worth itself, 30% we have to declare by way of dividend . Remaining will be incrementally going towards the net worth itself.

Moderator: Next question is from the line of Jigar Jani from B&K Securities.

Jigar Jani: Just two. One, have you got or done some calculations on what would be the impact existing on the Tier 1 capital based on this guideline? And secondly, on your target for disbursements next year, what would be our target and how that would be split across the different segments of and the infra? And how much of it would be like greenfield and how much would be refinanced if you have some ballpark figures?

Sanjay Kumar : As far as the first question is concerned, so we have not made any calculation as of now because we'll be representing to the RBI, we have to just see for the final guidelines . So whatever impact will be there in any case, the comments are to be sent by June. So in case they come out with the final guidelines before the first quarterly results, then in any case, we'll be having the impact there in the first quarterly result itself. But in case nothing comes up to the first quarter, then in that case, we will be taking the calculation in second quarter. So as such, we have not made any calculation, but we have to represent to RBI and let's wait for the final guidelines to come.

Vivek Kumar Dewangan : With regard to this mix of the different loan portfolio, right now, share of renewable energy is only 7% of our total assets. It will gradually increase to 30% in the next 5 to 6 years. So every year, we see that incremental growth of 5% to 7% growth will be there as far as renewable energy is concerned. Conventional generation, our total share is our 29%. So this will also increase to say every year, it will increase 2% to 3%. The distribution & transmission is 40%. Part of transmission that will get green corridor gets covered under this renewable energy portfolio, absolutely. Distribution sector we'll be able to maintain that, because RDS S is going to be the next 2 to 3 years thereafter, as I had told you that there'll be huge CapEx requirements for upgrading distribution infrastructure. Distribution transmission portfolio will remain like that only. And mostly conventional generation renewable will increase, and some part of it will come from non-power infrastructure also.

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Going forward, by the end of 2030, I told you that 30% will come from renewable, 15 %-20% will come from logistics and 50% -55% will come from conventional generation, distribution and transmission.

Jigar Jani: And any disbursement targets for next year? And how much would be greenfield and how much will make refinancing next year and in businesses?

Vivek Kumar Dewangan: Yes. Last year, you might have observed that our non -CapEx disbursement was quite high actually. It was to the tune of INR151,000 crores. But this year, our CapEx disbursement are going to jump quite substantially. And we are targeting minimum INR175,000 crores. Mr. VK Singh would like to clarify?

Vijay Kumar Singh : So mostly, I mean, we are targeting, as we mentioned, we are targeting 2 -3 areas, which of course is generation space, renewable energy projects and, of course, the infrastructure and logistics. Minimum debt disbursement, we believe that can happen based on what we have done already , the remaining INR170,000 crores, INR180,000 crores currently we are targeting. And this target is likely to go up depending on what sanctions we do in the current financial year. And on your second question on refinancing, we are very, very active in refinancing the space. You might have seen that we did some deals last financial year, particularly in renewable energy space. There are some of the projects

-- group of project financed through foreign currency borrowing was refinanced by us. We have currently such proposals at our desk, and we will continue to target this particular space going forward as well.

Moderator: Next question is from the line of Sumeet .

Sumeet : Sir, my question is on this book impact. So you're stating that whatever the provision recovery is going to happen in, say, next 1 or 2 years, in to offset this impact of this provisioning requirement by this regulation. So when we look at like 3 to 4 years sort of a view, considering this which we are incrementally positive about the growth as well as is renewables. How do you see this going to in say like next 3 to 4 years?

Sanjay Kumar : Next 1 or 2 years, there won't be any impact. And subsequently in case any impact is there, our net worth in case will also improve because of the profit which we'll be generating. Since our disbursements are also increasing, loan book is increasing by 17%, in the current year itself it increased by 17%, and we are targeting similar increase in the years to come. So accordingly, there won't be much impact. Whatever the impact of provisioning it will be there, it will be offset by the profits which we'll be generating.

Sumeet : Okay. So like in the next 3 to 4 years also, no meaningful impact you're seeing in the book value?

Sanjay Kumar : Yes.

Sumeet : Okay. And sir, regarding this cost of fund, you are mentioning that is cost of funds going to further reduce going forward. So how we are doing this basically in reducing this cost of fund?

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Sanjay Kumar : Only one thing is there. The book value, there won't be any impact at all. So it's not impacting the book value. It's only the Tier 1 capital that is being impacted. So neither in this particular year, neither in the years to come, there will be any impact on the book value.

Vivek Kumar Dewangan : And with regard to the question on cost of funding, you might have seen that our cost of funds has come down by 15 basis points from 7.28% to 7.13%. And the share of our external commercial borrowing has increased from 24% to 29%. We have two cheaper source of fund available. One is 54 EC bonds that is capital gains tax saving instrument, that is about 40,000. That also will increase to more than INR50,000 crores. That's what we are targeting. Collections are going to increase.

Then our foreign currency borrowing is with the innovative hedging techniques that we adopted. We have been able to bring down all-in cost to around 6.6% -6.7%. Right now, external commercial borrowing is more attractive as compared to domestic borrowing. But going forward, there might be a case that domestic borrowing becomes cheaper. So we'll be looking - we are constantly evaluating the emerging situation, whatever is the cheapest source of fund available, we are targeting those and bring down our cost of funds.

Sumeet : Sure, and sir, lastly, what's your view on the overall power sector for next 5 years?

Vivek Kumar Dewangan: Overall, power sector, I can see tremendous growth actually. You might have heard that power demand has increased by 8% last year. And in the financial year in the month of April, power demand has increased by 11%. So it will touch about two digit. In the next 5 years, power demand is likely to be on upward trajectory, as the power demand increases, and there is improvement in the operational and financial efficiency of distribution company with the introduction of revamped distribution sector scheme and late payment surcharge scheme. So overall health of the utilities is improving actually. With the improvement in the health of DISCOMs, the consequent result is that the health of the state gencos and transcos are also improved because distribution is a sector from where they get the revenue, and with all state gencos and are getting paid on time nowadays.

And going for next 5 years, there is a huge increase in the renewable energy portfolio, but this challenge that since renewable energy is intermittent in nature, we need to have commercially viable storage solution. So that is a technological challenge. I hope that a lot of research and development work is going on. And if there's some breakthrough there in fuel cell technology then perhaps we might not have to go that aggressively for coal-based generation capacity. The storage solution becomes a cheaper option. Then green hydro and green ammonia is going to come in a big way. Ministry of New and Renewable Energy has already set up green hydrogen mission and government - amendment in Energy Conservation Act has already been affected, which has the Government of India can lay down the of the consumption norms of the different green energy. For green energy consumption, the trajectory is being rolled out actually, but to start with from refining and fertilizer sector, they will be gradually increasing the consumption of green hydro

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thereafter, steel sector would also be covered. Decarbonization economy we can see that all the ministries are taking very proactive step. Overall, I see that with huge growth potential in two digits, as far as power sector is concerned.

Sumeet : Sure, sir. And sir, lastly, on the asset quality front, do you see any part of the segment we're going to get season, say, next 2, 3 years, with thermal or renewable?

Vivek Kumar Dewangan: As I have told you that we are willing to take hit on our margin, but we are not going to compromise on the asset quality. That is the clearcut reason which our company is having. So there is no compromise on asset quality, be it conventional generation or renewable energy or infrastructure logistics.

We are not going to compromise on asset quality. We are also targeting only good entities. And you might have observed that last 9 quarters, not a single new NPA has been added into our kitty. We hope to maintain this track record. And since we are targeting to become net NPA zero company by FY '25 like that to maintain the good asset quality and no new NPA should be added into our kitty.

Moderator: Next question is from the line of Sandeep Jain from Baroda BNP Paribas.

Sandeep Jain: Just one kind of data keeping. What is the cost advantage if we raise in green bond as compared to your book cost of? I think in the you have raised some green bonds also, right? What is the incremental cost of that?

Sanjay Kumar : The all hedge cost of the green bond, which is raised in April of 750 million was 7.01%.

Sandeep Jain: And normal will be somewhere.

Sanjay Kumar : Domestically in case we were raising the funds at that point of time, it above 7.7% to 7.75%.

But there was a differential of about 75 basis points. While in case we go for the term loans, that's even cheaper, but they are on a floating basis and these were on a fixed basis.

Sandeep Jain: Surely. So in a way, we can understand there is a 40, 50 basis point kind of arbitrage is available.

Sanjay Kumar : Not 40, 50, more than that. And in case of the yen bonds which we had raised, that was at about 6.48%. So it depends upon the currency also, we are raising the funds in different currencies.

And we are swapping some of the USD term loans or bonds, which we are raising to different currencies that is Swiss franc or Euro or JPY, so as to have the arbitrage there. And there also, we are able to get a differential of what we could say of 50 - 60 basis points. Roughly, you can see from domestic cost of borrowing, it's roughly 100 basis points cheaper.

Sandeep Jain: So on question on the earlier answer, when you have said when you are lending to the renewal guys, right, the cost of this draft regulation, say, if it is coming at that point, whatever it is the return in the draft regulation,

it will come. So what you are trying to say is that when we will

lend to the renewable or green energy, the reduction in the cost of benefit will be available so

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that the provision cost will not impact the overall PAT loan. So we can assume that the increase in the impact would be around 50, 60 basis points because of this provision?

Sanjay Kumar : Impact at present we cannot say. But whatever the impact will be there, we can maintain the same lending rate without increasing. In case we can bring down the cost of borrowing, say by 10 to 15 basis points, so that instead of passing it on, we can maintain the same lending rates.

Whatever the impact is there, that can in any case, can be absorbed by that itself. So there won't be any impact.

Yes, the viability of the project is a certain on a long-term basis, not on a short-term basis. So we have assessed the viability of the project on the lending rate as of now. So in case, we are able to maintain that also the viability of the project in a case will be there. There won't be any impact on that.

Harsh Baweja : It also submitted while apprising the project, we do the sensitivity analysis also. So thereby, if we take into account of any increases is there in the near term that we take into account and if the DSCR is maintained then only the project is financed. Say for example, if we are funding right now at 10%, we take into account the analysis to 11%. So even if it goes up to 11%, the project still becomes viable. So we have no problem at don't need to worry.

Sandeep Jain: Okay. So you are saying the project IRR would be more than enough even if the current rate or if we increase the rate kind of thing. So the project owner will make a definite IRR even at the higher rates also.

Harsh Baweja : Yes, correct.

Moderator: Next question is from the line of Vipul Kumar Shah Investment.

Vipul Kumar Shah : Sir, I'm referring to your presentation on Slide 17, where major borrowers -- 10 major borrowers you mentioned and the amount is to like INR20,000 crores. So what percentage of these loans are guaranteed by the state government?

Vivek Kumar Dewangan: About 40%, roughly 40%.

Vipul Kumar Shah: So my question is balance 60%, what is the road to repayment because their losses are coming down, but still they are making losses. And if they don't generate sufficient cash, what is the roadmap to the repayment?

Vivek Kumar Dewangan: RDSS has made a provision for the trajectory to bring down AT&C losses, the difference between average cost of supply and average revenue realized, the trajectory has been committed by the distribution companies based on the state resolution, the support by the state government.

So that we are quite sure that in order to avail Govt of India grant, they'll be able to maintain that trajectory. Otherwise, this INR90,000 crores government grant is there for INR3 lakh crores scheme of RDSS. That is acting as incentive to adhere to the reforms being carried out by the

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state government, and they will be able to maintain this trajectory of bringing down the AT&C losses and the difference between ACS and AR R.

Vijay Kumar Singh : And also the -- because of these RDSS perform, all the utilities across the country have started taking measure and we have started seeing the outcomes also the AT&C loss, which was 22% 2 years back, came down to roughly 16.5 % and then it has now further come down to 15.5%. So as a matter of fact, with the interventions that government of India has introduced through RDSS,

we are seeing this particular loss trajectory coming down.

Moderator: Next question is from the line of Avinash Singh from Emkay Global .

Avinash Singh: My question here is what the sort you also highlighted that a lot of government forms and initiatives, our are helpin

g -- help to get better. Now of course, on the growth side, I see and I

agree with you that opportunity also coming with us conventional generation CapEx plans and, of course, the opportunity renewables and of course, of is.

But when it comes to this financial health improvement, it's happening as per the plan. and it becomes better. Will not you see on your spread or yield because will be far better 5 year down the line from where over 2 years back. So when do you sort of -- how do you see, I mean, the spreads playing out particularly to the loan given to the state utilities?

Vivek Kumar Dewangan: Yes, on spread because I've seen that, that some of utilities have improved from C category to B, their rating has improved. So their interest rates comes down because for A categories, B categories some interest differential is there. So that impact on spread would be made up by our increase in the volume, the kind of growth that you are seeing, there'll be with the improvement in the rating of the utilities, the spread would be slightly affected, but that we'll be able to meet through increase in the volume of the loan book.

Avinash Singh: I mean on the sort of that your NII side, I can understand or agree with comments, but my question on structurally not today the medium term, 2, 3 years down the line, on your spread. So again, I am not going to be smarter, but if I look at the fact by annual trend, if you today operate at the 2.7%, 2.8% at actually, you see the spread coming under comes over the 2, 3, 4 years kind of.

Vivek Kumar Dewangan: No, no, no. In fact, spread is going to improve actually. As I told you that coal -based generation capacity 94 gigawatts and we are targeting business share about -- minimum 40% business will come to us. So the margins are much better as far as coal -based capacity is there large hydro also, we have good margins , pump storage projects, then non -power infrastructure projects also we have good margins. So we do hope that our spread is going to improv e further, not going to come down. It may go up to 3% actually, from 2.8% it may increase to 3% actually.

Moderator: Thank you. Ladies and gentlemen that was the last question of the day. I now hand the conference over management to for closing comments.

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Vivek Kumar Dewangan: On behalf of REC, I would like to thank all the participants for asking inquisitive questions and hope that we have been able to answer your queries and on the various issues to your satisfaction.

And we hope to have continuous intera ction with you and will have more of such interactive sessions so that if there are any questions on your part, we should be able to give proper reasoning for those queries and we hope to have collaborative efforts with all our investors.

Thank you so much .

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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Sub: Transcript of Investors Conference call held on August 1, 2024.

In continuation of our earlier letter dated July 29, 2024 & August 1, 2024, and pursuant

to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and

Disclosure Requirements) Regulations , 2015, please find attached herewith transcript

ofInvestors Conference call ofREC Limited held on August 1, 2024.

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"REC Limited

Q1 FY'25 Earnings Conference Call "

August 01 , 202 4

MANAGEMENT : MR. VIVEK KUMAR DEWANGAN – IAS, CHAIRMAN

AND MANAGING DIRECTOR – REC LIMITED

MR. VIJAY KUMAR SINGH – DIRECTOR , PROJECTS –

REC LIMITED

MR. HARSH BAWEJA – DIRECTOR , FINANCE – REC

LIMITED

MR. SANJAY KUMAR – EXECUTIVE DIRECTOR ,

FINANCE – REC LIMITED

MODERATOR : MS. SHWETA DAPTARDAR – ELARA SECURITIES

PRIVATE LIMITED

REC Limited

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Moderator: Ladies and gentlemen, good day , and welcome to the REC Limited Q1 FY '25 Earnings Conference Call, hosted by Elara Securities Private Limited. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Shweta Daptardar from Elara Securities Private Limited.

Thank you. And over to you, ma'am.

Shweta Daptardar: Thank you, Neha. Good morning all. On behalf of Elara Securities, we welcome you all to Q1 FY'25 Earnings Conference Call of REC Limited. From the esteemed management team, we have with us today Mr. Vivek Kumar Dewangan , IAS, Chairman and Managing Director; Mr. Vijay Kumar Singh, Director of Projects; Mr. Harsh Baweja, Director of Finance and other senior officials from the team.

Without further ado, I hand over the call to Mr. Vivek Kumar Dewangan for his opening remarks, post which we can open the floor for Q&A. Thank you , and over to you , sir.

Vivek Kumar Dewangan: Good morning all the participants. It's my privilege to welcome you all in this conference call.

As you might have seen our quarter one result s for the current financial year, we have been able to maintain the growth trajectory which we had achieved last year. You might have noticed that our sanctions have gone up by 24%. In Q1 last year, we had sanctioned credit worth INR90,797 crore s. But in the current financial year in Q1, our total sanction s stand s at around INR1,12,791 crore s.

The disbursement has seen a growth of 28% from last year's Q1 disbursement of INR34,133 crore s. Our disbursement has reached the level of INR43,652 crore s at the end of Q1 of this current financial year. The asset under management has seen a growth of 17%. You might have noticed that in FY '23, our loan asset had increased by 13% from INR3,85,000 crore s to INR4,35,000 crore s. And in the last financial year '24, our asset under management had grown at the rate of 17% from INR4,35,000 crore s to INR5,09,000 crore s. In Q1, we have been able to maintain the growth trajectory of 17% and our asset under management stands at INR5,29,739 crore s.

Going forward, we hope to maintain a growth trajectory between 15% to 20% and most probably it is going to be more than 17%. If we maintain this 17% growth in the next four years, we'll be able to double our asset under management to about INR10 lakh crore s by the year 2028 -29 itself. Earlier, we were thinking that we will be able to cross this INR10 lakh crore mark by the end of 2030. But if we are able to maintain this growth of 17% and we are quite hopeful that we

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might be able to reach the target of asset under management of INR10 lakh crore s before 2030, maybe 2028 -29 itself we will be able to achieve.

Two significant developments have happened as with regards to our portfolio is concerned. The renewable energy sanction s, renewable energy portfolio has seen a growth of 59% as far as sanction s are concerned . In Q1, our renewable sanction s were INR39,655 crore s, while the disbursement saw a growth of 249% , disbursement was to the tune of INR5,351 crores from the renewable energy portfolio. With regard to infrastructure logistic s, sanction s have grown up by 122% in Q1, which was about INR19,815 crore s and disbursement increased by 78% to about INR7,982 crore s in Q1.

The total borrowing -- the outstanding has increased by 15%. Borrowing has increased from INR3,97,582 crore s in last Q1 to current year financial year Q1 to about INR4,58,794 crore s. Our net worth has seen a growth of 19%. Now it stand

s at INR72,351 crore s. The interest income

on loan assets has increased by 20% as compared to Q1 last year which was INR10,465 crore s. In Q1 of current financial year, our interest income on loan asset is about INR12,514 crore s. The net interest income has increased by 30% fr om INR3, 612 crores last year in Q1. The net interest income has increased to INR4,713 crore s in the current financial year Q1.

The net profit has seen a growth of 16% from last year's Q1 of INR2,961 crore s or Q1 profit after tax is INR3,442 crore. The yield on interest bearing loan assets has increased from 9.82% last Q1 to this year 9.99%. We have been able to reduce our average cost of fund by 18 basis point from last Q1, it was 7.23%, now our average cos t of fund is about 7.05%.

The interest spread has also improved from 2.59% to 2.94%, as compared to Q1 of the last financial year. The net interest margin has also improved, last year Q1 it was 3.28% and current

year our net interest margin stands at 3.64%. Going forward, we will be able to maintain this net interest margin of more than 3.6% in the next four to five year. The return on net worth is about 19.51%, debt equity ratio is 6.27. The capital adequacy ratio is comfortable 26.77%.

Another significant feature is that our gross NPA has come down by 7%. It is about 2.61% of total assets, while last year Q1 it was 3.28%. The net NPA has also come down from 0.97% to 0.82%. I would like to highlight that the growth opportunities are tremendous, particularly with regard to energy transitions taking place in India, as Government of India is committed to install 500 gigawatt capacity or install electricity capacity from non-fossil fuel sources.

Right now we are about 192 gigawatt capacity. So another 308 gigawatt capacity will come as per India's 14th national electricity plan which has estimated that country will require about INR24 lakh crore s for this energy transition which is taking place with regard to installed capacity up to 500 gigawatt, plus storage solution, plus evacuation through green energy corridor.

So, we do anticipate a huge growth in our loan book pertaining to renewable energy portfolio, which represent 8% of our total asset under management. It will grow substantially to about 30%

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by the year 2030. It will touch a figure of INR3 lakh crore s from the current level of about INR39,000 crore s.

Ministry of Power, Government of India has also brought out clear cut roadmap for providing base load actually, because commercially viable storage solution are still a challenge for the country. The pump store credit cost is quite high, battery energy storage we depend again on the import of the battery.

For the time being of the next five to six years, the base load will come from the coal based generation only. That's why Ministry of Power has envisaged that country will require another additional capacity of 94 gigawatt capacity for which debt financing would be to the tune of INR6.6 lakh crore s. For that also, we are targeting this 20% of this business opportunity with regard to growth in the thermal generation.

Another thing that I would like to highlight is that Government of India has made its vision very clear that by the year 2047, India aspires to become a developed country. As of now, our per capita consumption electricity is only one third of the world average and per capita emission of carbon dioxide is also one third of the world average. In our pursuit to become a developed country, our per capita consumption of electricity will definitely increase. Right now in USA, the per capita consumption electricity is about ten to twelve times of the world average.

Our per capita consumption of electricity may not reach to the level of US's level, but hopefully we'll be able to cross the world average and that also entails more than four to five fold increase as

far as per capita consumption electricity is concerned. So, we are committed for a sustainable development of our growth story and REC is going to play a crucial role in the nation building with regard to the vision of Government of India to become a developed country by the year 2047.

With this opening remark, we are open for question -and-answer now.

Moderator: Thank you very much. The first question is from the line of Dhaval from DSP . Please go ahead.

Dhaval: Yes, hi, good morning , sir. Thank you for the opportunity and congratulations on good performance. I had two questions. First is relating to provisions. So sir, our original expectation for current financial year was a reasonable amount of write-back probably similar to what we had seen last year for the full year. However, in 1Q we have seen some bit of addition on specific standard accounts. So does that mean that we are changing our guidance or we will see more write backs in the rest of the nine months. If you could throw some, you know, color around this that would be very useful. So that is my first question and then I have one more.

Vivek Kumar Dewangan: Yes, let me address this question. We had made provision of about 70% in respect our stressed asset and we had a total of 16 stressed assets at the beginning of this current financial year.

Although these 16 assets are stressed , seven are heading towards liquidation for which we have already made 100% provisioning. Remaining are the operating asset and we are in advanced

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stage of resolution of this trade asset like Sinnar Power Plant in Nashik, then we have Hiranmaye and KSK Mahanadi in Chhattisgarh. The bidding process has begun under NCL T process and we hope to see a good response because number of the expression of interest entries that we received are tremendous, more than 20-25 applications have been received in respect of each of

these trade asset and there are very good quality bidders . We hope to have very good resolution , like for KS K Mahanadi , the trust and registration account itself is having INR10,000 crores. So, we hope to have a good resolution from these operating asset and we hope to get write back up more than INR2,000 crores in the current financial year. Yes, your point is correct that as per in the current year Q1, we have made expected credit loss on account of some loans from Andhra Pradesh that became from special mention account one to special mention account two, but with the announcement in budget for support to the Andhra Pradesh initiative we hope that this will also become the normal standard a sset sooner than later.

Dhaval: So sir, overall would it be correct to assume that we will see more than INR2 ,000 crores of write back in the rest of the nine month, so that for the full year we have guidance, we meet our guidance I mean just operationally. This AP account, do you see it, you know, getting normalized in the next one to two quarters? Would that be a fair assessment?

Vivek Kumar Dewangan: Yes, three to four, maximum three to four months because whatever budget announcement have been made that will start flowing to Andhra Pradesh and their financial position is likely to improve tremendously.

Dhaval: Understood. Got it. Sir, the other question is relating to growth and specifically on thermal generation. So we've seen, you know, recently NTPC give a very strong guidance around capacity addition and they've given a roadmap around it. Just wanted to get an update on the balance. So they've given a n outlook on the 26 gigawatts.

So just wanted to get an outlook on the balance which was supposed to come from players like NLC and Damodar Valley and some of the state gen companies. How is the plan progressing there? And if you can give some update around that opportunity because that is where our lending opportunity will really emerge. So, some

update around that would be quite useful.

Vivek Kumar Dewangan: You're right actually that out of 94 gigawatt capacity, NTPC has targeted 26 gigawatt capacity. But out of 26 gigawatt capacity, 6 to 8 gigawatt capacity will come in the joint venture of NTPC organization. So these NTPC joint venture project we have been financing. When they do it on a standalone basis we are not financing because they have the cheaper source of financing available.

So we are targeting about 74 gigawatt capacity, we'll be able to finance to joint venture companies of NTPC, Damodar Valley Corporation. There's NLC there then, state Gen cos. Most of the projects are coming in the state sector and these are all grounded projects.

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They are not greenfield projects because some of the old power plant which had retired in place of that they are bringing the new units in the existing plant actually. For that balance of plants they'll be able to utilize the existing facility with regard to the coal handling facility, ash handling capacity of the existing plant could be utilized. So we hope that out of 74 gigawatt capacity which is coming mostly in state Gen Co and joint venture of NTPC and NLC and Damodar Valley Corporation we are targeting market share of 30% to 40%.

Dhaval: Got it. Sir, one last clarification is on the disbursement expectation in the renewables, including hydro project. So we've had a good start compared to 1Q 2024. Just for the full year, how this growth is likely, this momentum that we've seen in 1Q, if you could give some perspective on disbursement for the full year, so that would be very useful like what kind of growth we can see. Would it be in similar zone or lower? Because our sanction last year was quite strong in this space. Yes, that's it. Thank you.

Vivek Kumar Dewangan: It will depend on the progress of the project, the execution of the project actually. Most of the renewable energy projects normally get commissioned in time and the execution level for those projects which we had sanctioned last year, the disbursement was only to the tune of 10% of the project cost.

Say if INR100 was sanctioned, last year they had used only INR10. But current year the disbursement will be about 40% to 50% of this project value. So out of INR100, INR40 to INR50 would be disbursed this year in respect to renewable energy project. Last year our total disbursement for the entire year was INR1,61,000 crores.

This year in Q1 itself we have been able to touch INR43,000 crore. We hope to cross INR1,90,000 crores of disbursement in the current financial, it may go up to INR2 lakh crore, also depends on project execution.

Out of this, say INR1,90,000 or INR2 lakh crores that we are targeting within the current financial year, the transmission and distribution sector will constitute about 40%. Then renewable disbursement is going to increase substantially about 20%. We are targeting minimum 20% will come from the renewable energy segment. Then remaining will come from conventional generation and infrastructure logistics.

Dhaval: This is very useful, sir. I wish you all the very best. Thank you.

Vivek Kumar Dewangan: Thank you so much. Thanks.

Moderator: Thank you. The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: Thank you for the opportunity. I have two questions. Sir, first is on the in fra segment. So till last year we had an idea of the projects that you were disbursing for, I mean Mumbai Metro and Bangalore Metro some of the projects. Can you give us some details of what kind of projects we

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have disbursed for in 1Q? Are they PPP model or are they still government projects that you are basically participating in? That's first.

And sir , second on your Gross Stage 3. So it looks like Lanco Amarkantak we have still

not

removed from gross GS 3 right? So when something like that happens that you've already written back the provisions which you did last quarter but probably all approvals have not come through and that's why you've not removed Lanco from GS 3 . So, in that case, if this gets delayed any further, will you have to build more provisions for this or how does the accounting work in such a situation? If you can help us underst and that. Thank you.

Vivek Kumar Dewangan: Let me first tell you about this disbursement, with regard to infrastructure logistic sanctions .

This year we have been able to do for this multimodal corridor , this Maharashtra State Road Development Corporation, we had sanctioned project worth INR10,000 crore. Then expressway this year of Samruddhi corridor from Jalna to Nanded and we are targeting with regard to disbursement, you had asked about disbursement with regard to infrastructure logistics. Other than this MMRDA metro project and Mumbai -Pune Expressway, the disbursement are there on Hindustan Petroleum refinery, a substantial disbursement has happened. Then we also financed Jindal's steel plant in Odis ha. That also has seen a growth. And airports we have done Visakhapatnam Airport, then Goa Airport, disbursement has started going there also.

And some road projects, Kagal-Satara , HAM projects there disbursement have increased. With regard to this delay in this Lanco Amarkantak case, Lanco Amarkantak case hearing in NCLT is already over actually and NCLT had reserved the order. Now they have started. They are doing chronological order of completion of hearing.

So we hope that final order will be issued in the month of August itself like for Nagai, we got the orders on 29th of July. There we don't have to make any extra provisioning because the NCLT resolution is happening based on the resolution plan and we'll g et some additional write - back because we had taken, not taken entire write back amount. We'll get some additional write back from Lanco Amarkantak also.

Shreya Shivani: Got it, sir. Thank you. And just one last clarification. So, the projects which are probably closer to resolution right now, which we should pay attention to Sinnar and Hiran maye or Nagai also something that we should probably keep an eye on.

Vivek Kumar Dewangan: Nagai has already done, I mentioned, you know, that on 29th we got the final order from NCLT, Nagai has already been resolved.

Shreya Shivani: Okay.

Vivek Kumar Dewangan: And we have restructured this TRN energy, that resolution plan is already been completed. Then Bhadreshwar, Corporate power also, Konaseema Gas Power, that resolution is going to be completed now. And with regard to KSK Mahanadhi, Hiran maye and Nashik, the bidding process has already commenced actually. So we hope that -- I think the last date of final bid

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submission is in the month of August itself, by the end of August we'll get that amount final bidding based on that we'll be able to resolve in next two to three months.

Shreya Shivani: Got it sir. And sir just clarification, Nagai was a INR560 crores project, right, which you are saying is resolved.

Vivek Kumar Dewangan: Nagai INR561 crores was our outstanding and there we made 71% provision, but expected recovery is INR183 crore. Our expected recoveries are to the tune of 33%.

Shreya Shivani: Got it. Thank you so much. Very useful, sir.

Vivek Kumar Dewangan: Small write back will also be there in this project .

Moderator: Thank you. The next question is from the line of Manish from PhillipCapital. Please go ahead.

Manish: Yes, thanks for the opportunity. I have three questions. One pertains to the sanction in the generation side. Can you give us some color whether it pertains to public sector entity or private?

Vijay Kumar Singh : So I think we have done total of four large scale thermal power projects. T

three of them are in

the state sector, two are in Madhya Pradesh, one in Maharashtra and one is in DVC, in West Bengal. So total roughly for 3440 megawatt capacity has been sanctioned both in state and DVC for total loan amount of INR31,000 crore.

Manish: And typically what can be the yields in this generation project? if you can give some color?

Vivek Kumar Dewangan: In the generation project yields depend on the rating of the entity actually, it varies from 9.5% to up to 10.5% or 11% also, depends on the rating of the entity which is executing the project.

Vijay Kumar Singh : And if I just add that highest yield that we are getting is actually on the thermal generation projects which is in excess of 10% as of now on the outstanding loan book. And that is what actually we are also targeting that will take a good share in thermal generation capacity financing opportunity where the yields will be higher as compared to other segments in the past.

Manish: Got it. The next question is on the foreign currency borrowing. So in last four year, the share of foreign currency borrowing increased from almost from 16% to 30% right now. How should we look at this you know, this space. Can you increase your foreign currency borrowing further from here?

Vivek Kumar Dewangan: Yes, as of now, foreign currency borrowing is cheaper option as compared to domestic borrowing actually. And we have used some innovative hedging techniques. That's why our all in cost including hedging cost is below 6.7% actually, most of the term loan in foreign currency which we have taken. So that's why you might have seen that proportion of foreign currency borrowing has increased substantially to about 29%.

Manish: So you can still increase that, there is no internal cap around that, is that correct understanding?

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Vivek Kumar Dewangan : No, there is no, no.

Sanjay Kumar : So, there is no virtually internal cap as such. But we have to apply to RBI in case we want to go under the approval route. Under the automatic route it's only USD 750 million that is allowed in a year. So under approval we normally apply for USD 2 million at one stretch, which is allowed for a period of six months.

So it depends upon RBI also as to how much approval they grant. On that basis we raise the foreign currency borrowing, but FCNR -B loans are in addition to that and there is no cap on that. It's only for the external commercial borrowing, which is for a tenure longer than one year that we have to seek the approval of the RBI.

Manish: So the current approval are in place right now or we have to apply just to get a clarity about FY 2025 foreign currency bond amount.

Sanjay Kumar : Already about USD 700 million is there, which is presently available to us. So after that, once we exhaust that, in that case we will be approaching the RBI. So normally they grant the approval within period of one month, so that's not a difficult process. Last year, we applied thrice and we got the approval also thrice, for \$6 billion.

Manish: Got it. And finally, if you can share stage two asset number for the quarter, at the end of the quarter?

Harsh Baweja : The loan balance against these Stage two assets is INR54,333 crores and against which the final ECL is INR552 crores.

Manish: Oh, this includes that AP account, correct, if I'm not wrong?

Harsh Baweja : Sorry, couldn't get you.

Manish: This includes that AP account which you got?

Harsh Baweja : Some of them, the assets, this is stage two assets, it is mainly from Andhra Pradesh.

Manish: Okay. Thank you. Thank you for answering my questions and all the best.

Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus Capital. Please go ahead.

Shreepal Doshi: Hi sir, thank you for giving me the opportunity. My question was on infrastructure projects front. So last quarter we have

seen decent traction across sanctions, disbursements and also the share of infrastructure book increasing. So incrementally for the year end, how are we seeing that book shaping up in the overall loan book mix? And as well if you could highlight the blended yields in this particular segment for us?

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Vivek Kumar Dewangan: Yes. Right now actually our hands are full with our power sector project and renewable energy project. Actually we are getting number of projects from renewable energy portfolio and as well as conventional generation. So we are a bit choosy with regard to financing infrastructure logistics now, we are taking conscious decision to be bit choosy.

Initially we are cautious, first year we had sanctioned only those projects which were supported by the state government guarantee. Now we are targeting only those infrastructure and logistics project where our yield is more than 9% and where the asset quality is good and where the entity is good and where the revenue cash flow is ensured.

Based on that, only we have decided to go slow on this infrastructure logistics. Right now, our total portfolio infrastructure logistic is about 12% of our total asset under management. Going forward, it may go up to, say, 20% by the end of 2030. So 30% will come from renewable energy project, 20% from infrastructure logistics, remaining 50% will come from conventional generation, transmission and distribution.

Shreepal Doshi: Got it, sir. That was helpful. Sir, the second question was on the trend that we saw during the quarter, where there was an internal movement between GS1 and GS2. Are we seeing any further -- any other account, which is also behaving in a similar manner?

Vivek Kumar Dewangan: No. Only in respect to Andhra Pradesh was there, no other account is there, which is we're moving from Stage 1 to Stage 2. And Andhra Pradesh also, the situation is going to improve now actually because budget, a lot of support has been announced in respect to Andhra Pradesh.

So we hope that they'll become a stage 1 asset in next three months to four months.

Shreepal Doshi: This is no other state we are experiencing or seeing any such behavior, which could lead to such -- I mean, slip between Stage 1 to Stage 2.

Vivek Kumar Dewangan: No other state, only Andhra Pradesh was there.

Shreepal Doshi: Got it, sir. Thank you so much for answering the question, sir.

Moderator: Thank you. The next question is from the line of Nikhil Nigania from Bernstein Private Wealth Management. Please go ahead.

Nikhil Nigania: Hi, thank you for taking my question. My first question is on renewable loans. I wanted to understand, are we funding merchant renewable plants as well? Or is PPA condition precedent for loan disbursement?

Vijay Kumar Singh : So largely, the project that we have sanctioned so far are in the category of having PPA and PPA from largely again from SECI, NTPC like organizations. We have done a few for the state PPA as well. 95% of our total funding is based on PPA only. And there's a very small component of C&I and of course, a very, very small component of merchant also.

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Nikhil Nigania: Understood. And would it be fair to assume the strategy won't change going forward, the preference would be towards PPA and to minimize merchant renewable plants?

Vivek Kumar Dewangan: Yes, yes. Going forward also, we are giving priorities to only those players which are having PPA along the business 20, 25 years PPA with regard to renewable energy projects.

Nikhil Nigania: That's helpful. And secondly, just on that note only. In terms of competition on funding the renewable space, do you see incremental interest from banks to lend to renewable plants or is still largely you and your peers?

Vivek Kumar Dewangan: Competition is there, definitely, everybody wants t

o increase their green portfolio they are very

competitive. But our rates are quite competitive as compared to banks and obviously, in respect to our peers also. So we are targeting a market share of about 20% because the space is so big and because I told you that 308 gigawatt is going to come in the next four years to five years. So we are targeting a market share of 20% of this renewable energy opportunity which is coming out.

Nikhil Nigania: Understood, sir. If I may squeeze in one last question. Regarding the loans disbursed in line as part of the LPS scheme, I wanted to understand what kind of guarantee do we have with is it state guarantees? Or is it something like the tripartite agreement we have for the RDSS loans, if you could give some clarity on that?

Vijay Kumar Singh : So on the LPS scheme, all the loans advanced to all the state DISCOMs are backed by state government guarantee. So that actually was the scheme of LPS. So entire loan outstanding is having a collateral of state government guarantee.

Vivek Kumar Dewangan: And with regard to RDSS, also RDSS counterpart funding also, that also is with state government guarantee supported by the mandate, which has been insisted by the Ministry of Power. The RDSS loans counterpart funding will be supported by state government guarantee, and direct debit mandate of Reserve Bank of India.

Nikhil Nigania: Got it, sir. Sir, but then the unsecured loans, which we see as part of the book, if you could give some color, what are those then which went up also this quarter.

Vijay Kumar Singh : So I think largely, the projects are our capex projects. But then some of the projects like LPS, LIS and RBPF these three categories are non -capex project, but all of these three categories, LIS, LPS and RPF are backed with government guarantee.

Sanjay Kumar : So virtually, there are certain loans, MTL, STL, etc., which is a very small component. And there also the state government guarantee in most of the cases is there. But sometimes it take

some time to get the government guarantees. So till that time, we are shown as unsecured. But once we get the guarantee, then automatically they are transferred to the secured category. Nikhil Nigania: Okay. That's very helpful. Thank you so much. Those were my questions. REC Limited
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Moderator: Thank you. The next question is from the line of Aravind from Sundaram Alternates . Please go ahead.

Aravind: Hello, sir. Thank you so much for the opportunity and congratulations on a good set of numbers. Sir, like when I see distribution sanctions and disbursements in the last four quarters, especially RPF and LPS and LIS schemes, these -- especially the disbursements have been almost equal to the last nine quarters of sanctions like mentioned that we have disbursed almost all the sanctioned numbers.

I mean going forward, like where would the disbursements in the distribution part of the schemes will come from? Because since you mentioned that 40 percentage of the overall disbursements will come from distribution schemes, which set of schemes are you referring to, sir? Like are you referring to distribution capex or anything else?

Vivek Kumar Dewangan: Let me just throw a light on this. Most of the disbursement in distribution segment will come from revamped distribution sector scheme. Now all the loss reduction that have already been awarded last year. Now after election, the execution speed is increasing. And some of the states which have not been able to qualify under recent evaluation framework, so they are seeking bridge loan from us till the time they have become eligible for Government of India's guarantee, they'll also be seeking bridge loan.

So we do see a substantial jump with regard to RDSS financing. At LPS, you may be aware that LPS schemes started in June 2022 and it is for a period of four years. So still some disbursements are

there. Some disbursements will keep happening until 2026. And RBPF is the revolving bill payment facility , there the repayment and disbursement will keep happening. But largely, it will come from RDSS loss reduction work .

Plus, we are also financing this prepaid smart meters. Prepaid smart meters - 25 crores prepaid smart meters has to be installed in the country. Out of 25 crore, 14 crores prepaid smart meter orders have already been placed. So this is being done by AMI SP service provider, which are private players. They are doing on totex mode and they'll be installing the prepaid smart meters and they'll be operating and maintaining it for a period of 10 years and they get a return from the distribution company at the rate of per meter per month rate for which they submitted bid. So with this private sector players, also, we are financing under prepaid smart meter category. Both prepaid smart meter and loss reduction work are going to increase substantially in the current financial year.

Aravind: And just if we can throw light on the renewables portfolio also, sir, like we have sanctioned a large chunk of orders in the renewable space. Let's say, like in the last five quarters, I can see like almost INR1.75 lakh crores of renewables has been sanctioned. But can you give us an idea of like how much would be large hydro and how much would be non-large hydro?

Vivek Kumar Dewangan: Yes. Let me just give you a brief background. Last year, in the month of July, we had organized Green Finance Summit in Goa on the sidelines of G20 Energy Working Group Meeting. And

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we had done detailed one-on-one interaction with the renewable energy developers, OEM for the electric buses and other technology providers also, and we have been able to sign MoUs worth INR2,85,000 crores in July 2023. After that, after signing these MoUs , we sanctioned INR1,36,516 crores projects, which covered the entire gamut to renewable energy category like solar projects, we have sanctioned about INR 20,956 crores.

Solar model manufacturing was INR 21,555 crores. Large hydro was INR 32,450 crores. Then wind turbine manufacturing was about INR 3,195 crores. Wind power project was INR 3,453 crores. Hybrid solar wind was INR 10,098 crores. Small hydro was INR 837 crores. Pump storage project were worth INR 28,304 crores, green hydrogen , green ammonia projects, about INR 8,000 crores we have sanctioned. Electric buses with associated infrastructure, we have sanctioned about INR 7,214 crores.

So you can see that entire gamut of renewable energy projects we have been sanctioning. Last year, the sanction was INR1,36,000 crores. And this year also sanction will cross INR1,50,000 crores easily or may go up also.

And you may see that the ideally renewable energy projects under large hydro project take time

of 6 years to 8 year time for commissioning. But other than large hydro project, solar and wind projects, they do get commissioned very fast within a period of 2 to 3 years. So a lot of disbursement in whatever we have sanctioned in the renewable energy project other than large hydro projects, they'll all get disbursed in the next 2 years to 3 years.

Aravind: Yes, sir. This is very helpful. Thank you.

Moderator: Thank you. The next question is from the line of Ashish Sharma from Oaklane Capital . Please go ahead.

Ashish Sharma: Just on the credit cost first. So you mentioned that around INR2,000 crores of write -back can flow through. So do you expect this to flow through in FY '25 itself or there will be some spillover to FY '26? And second question, related to that, is that ex o f write -back in a normalized, what should be the credit costs we should assume?

Vivek Kumar Dewangan: As I have mentioned that these operating assets like Sinner power plant in Nasik, KSK Mahanadi in Chhattisgarh and Hiranmaye project in We

st Bengal, they are in advanced stage of bidding,

and we hope to conclude the bidding in the month of August itself. So all the bids are going to be received in August and we will be able to finalize it by September.

And we'll be able to submit the final resolution plan to the NCLT , say by the end of October to December period, all resolutions will be submitted. So we hope that all this INR2,000 crores write -back will get in the current financial year itself.

Ashish Sharma: Sir, second question was on normalized credit costs, assuming write -backs are not there, what should that number be?

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Sanjay Kumar : See, otherwise, the credit cost is only in respect of the standard asset provisioning which we are making, that is only about 0.4%. So once all these assets are resolved and there wouldn't be any virtually NPAs, which will be in our books. So by 31st March , all of them will be resolved, either it will be a technical write -off or otherwise, they will be resolved. So after that, it will be only standard asset provisioning would be there. Nothing else.

Ashish Sharma: Okay. Perfect. And just one clarification, you had mentioned on the growth part that disbursements would be stretching INR190,000 crores in this year, which is closer to 20% growth. But on the guidance on the growth path, we are being a little conservative . Is it that we should assume higher payment -- are the prepayment rates higher?

Vivek Kumar Dewangan: Actually, we are targeting growth of 20%, but to be on the conservative side, because some of the repayments are also happening actually . And what happened in the renewable energy project that the developer wants to come out of the project after selling the project actually. So the repayments are quite fast in respect to renewable energy project. That's why the growth we are targeting from, it may vary from 17% to 20%.

Ashish Sharma: Perfect. Because at 18% disbursement growth should be closer to 20%. I think that's why you would clarify that you were conservative in your guidance?

Vivek Kumar Dewangan: Yes.

Moderator: Thank you. The next question is from the line of Nishant from MLP. Please go ahead.

Nishant: Hi sir. I just had one question. If you've spoken or engaged more with the RBI, what's the latest thinking on the project finance norm that was proposed to?

Vivek Kumar Dewangan: See, as you might recall that when we had this conference call after our annual results, that time, RBI has come up with this draft guidelines with regard to higher provisioning for the under construction projects over a period of three years actually, that was draft provisions . And RBI had sought comments from all the stakeholders by 15 June. We all submitted our comments. With regard to REC, let me clarify that since REC is an NBFC, non -banking finance company, and we have been following Ind AS accounting norms. Our profitability will not be affected at all. Should RBI stick to its own guideline . That is -- I think is what we are explained that they'll perhaps not keep that sticky provisioning norm. But should they do it , what will happen is that we'll have to keep higher provisioning for under construction projects with those projects which are delayed projects. If we had to make higher provisioning, the credit cost, the cost of lending will increase a bit in respect of those projects which are under construction and which are delayed projects.

Nishant: Got it, sir. So sir, historically, when RBI has made any kind of like these provisioning norm change or accounting changes, like even when NBFC has transitioned to ECL, they also

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provided for a mechanism saying, look, you will operate at least with the floor key or India

provisions will not be lower than your IGAAP provisions.
So now if the regulation is such where the banks have

to operate at this 5% standard asset

provisioning, do you think that you, despite being an NBFC will be prescribed to maintain a floor on this thing? Because that's traditionally how the RBI has operated. So we're not very privy to how the RBI is thinking. So if you could shed some light on how the RBI engagement is going on over there?

Harsh Baweja : Actually, we have our Board approved ECL policy. And according to this, the floor is whatever is in the policy is there, we are already maintaining as per Ind AS. And every quarter, when the results are made public, before that we have a comparison of provisions as per the RBI norms and as well as for the Ind AS and that has given effect in our balance sheet also.

And whatever the difference is there, if any difference is there, that is always passed through impairment reserve account. And in case if the RBI comes up with a new policy, we'll abide by that, but we have -- not only we -- all the NBFCs have given their observations and the comments on the proposed policy. Let's wait for the final outcome, and we'll abide by that.

Nishant: Sure, sir. Sir, just one last question. In terms of time lines, like when can we expect to hear the final guideline?

Vivek Kumar Dewangan: Only RBI knows. We cannot give time line.

Nishant: All right. Sir, thank you so much. That's it from me.

Moderator: Thank you. The next question is from the line of Aditi from CD Equisearch Private Limited . Please go ahead.

Aditi: Good morning, sir. My first question is that after are you people with the composition of the current loan growth where your core assessing the relation transmission and distribution is not doing or margin at this point?

Harsh Baweja : Sorry, you have to be a little louder.

Vivek Kumar Dewangan : Aditi, we could not hear you clearly. Could you please repeat?

Aditi: Yes, sir. Sir, how comfortable are you with the composition of your current loan book with the core assets that is generation, transition and distribution are not growing or either marginally growing?

Vivek Kumar Dewangan: Yes. As -- in the opening, I had mentioned that conventional generation sector is looking at some more conventional generation projects coming up, coal-based thermal capacity is going to be added next 5 to 6 years. So right now, our portfolio of conventional energy is about 28%. It might increase from 28%, it might go up to 30%, 32% also.

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And transmission and distribution, as part of energy transition, this evacuation of renewable energy will still require a green energy corridor. The transmission, we hope that would maintain our transmission portfolio. And with regard to distribution, we'll be able to maintain the distribution portfolio also because what is going to happen is that RDSS will continue in the next 2 to 3 years.

Now, what has happened that the entire distribution network in the country is quite old, 40 - to 50-year old. The distribution companies will need to standardise it or replace it. And this capex requirement in distribution sector will be there in next 10 years to 20 years, actually. But as I mentioned that our renewable energy portfolio will increase right now, it is only 8% of our total loan book. It will increase to, say, about 30% in next 5 to 6 years. That share of conventional generation, transmission and distribution will all combined will be about 50% to 60%.

Aditi: Sir, but the government is saying on capex, why is it not going in your loan book?

Vivek Kumar Dewangan: Sorry, you're not very clear.

Harsh Baweja : Your voice is not clear, please be a little louder.

Aditi: Sir, the government is spending quite a few hefty amount in capex. So why is it not growing in your loan book?

Vijay Kumar Singh : So I think you're talking about perhaps RDSS in which government is giving grant of 60%. In fact, I have to explain this maybe

slightly in greater detail. So what is happening is that

government grant is contingent upon utility meeting certain benchmarks or some certain parameters. Now some utilities are meeting, and therefore, they are able to draw this 60% grant from the government on time. Despite that 60% grant, they still need funding for 40%.

Now initially, what utilities are doing that they are utilizing the 60% and doing the capex for loss reduction. And therefore, our disbursement in such utility was slightly delayed. But then there are utilities who are not able to meet certain parameters, and they need this bridge financing. Loss reduction, which is close to INR 1,40,000 crores works have already been awarded. Now the pace of work is picking up. And the disbursements have started.

In the coming quarters, you will see that a lot of disbursement is happening, particularly in those states who are not able to meet the parameters, which we call REF in RDSS, they'll need such funding, they'll also need this 40% remaining amount as well. So I think since this has been awarded only six months back, some of these states are getting this support of 60% grant from the government and many are not still able to get it. The disbursement is likely to pick up now in RDSS projects.

Aditi: Okay. Sir, my second question is that what is the lending rates in the infrastructure and logistics against the traditional assets?

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Vivek Kumar Dewangan: Infrastructure logistics also, it is more than 9% to 10% of it. And traditional also almost same actually, traditional sector also 9% to 10%. In some cases, it is up to 8.5 for high rated distribution companies under RDSS, they are getting 8.75%. But mostly it is between 9% to 10%, it can go up to 10.5% also.

Aditi: Okay, sir. Thank you.

Moderator: The next question is from the line of Jigar Jani from B&K Securities. Please go ahead.

Jigar Jani: Yes, hi sir. Congratulations on a great set of numbers again. Just two questions. One, on the rooftop solar, see, I believe we were planning to finance certain CPCs involved in the scheme. So what are the plans on that? And the second is a bookkeeping question. Out of the seven assets, which are under liquidation, what is the quantum of that?

Vivek Kumar Dewangan: Okay. With regard to rooftop solar, primary REC has been made national program implementation agency. Our first priority is to install 1 crore rooftop solar at the earliest. But this segment, we are not targeting to finance actually because we are not into retail financing. Banks are financing this rooftop solar individual household, they are giving collateral free loan at the rate of 7%.

But with regard to government building, government building work has been assigned to the public sector undertaking. They have each been assigned different state government and different departments. The state government department or the central government department, CPSEs doing on RESCO mode, then they'll require financing from REC. Otherwise, if they are doing on capex mode, they will not require any financing.

Vijay Kumar Singh: So particularly on the RTS for the household, the funding is largely by the public sector banks and some NBFCs also. But then there is one large component of putting this rooftop solar on government buildings also more central department as well as state department.

And this rooftop are actually quite large as compared to household and that is where if these projects are being put on RESCO and maybe in very few cases, not even on capex, there is a funding opportunity available. This particular activity for state government and central government building of installation has a target now. And this, I think, will see some activity happening in financing this particular segment in times to come in maybe Q2 and Q3.

Harsh Baweja: And with regard this 100% provision

on asset, we have seven assets. We are a total outstanding

values to INR 2,200 crores and against which we have already made 100% provision. We have a RBI-compliant technical write-off policy and we are considering these projects for technical write-off in the months to come. That is already under evaluation.

Jigar Jani: Okay, sir. And any sizing you have for the rooftop solar? I know it's too early, but would this be coming more in FY '26? Should we expect some opportunity out of this?

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Vijay Kumar Singh: Maybe yes, maybe -- I mean for household, it's a very retail sort of a funding some funding, which actually banks are taking care. The states are in the process of preparing plan and they have time to prepare and submit that plan once that plan is submitted by them, the quantum of the capex requirement would then be known, and the opportunity will then come thereafter. So I think this will happen maybe three to six months from now and over a period of next two to three years.

Jigar Jani: Okay. Understood, sir. Thank you so much for answering my questions.

Moderator: Ladies and gentlemen, we'll take this as a last question. And I hand the conference over to the management for closing comments.

Vivek Kumar Dewangan: I would like to thank all the participants for asking very pertinent questions and we were able to throw more light on our business strategy. And going forward, we would like to maintain the growth trajectory, the sanction that we have got last year. And going forward, we'd like to accelerate the pace of our growth and may grow from 17% to 20%, as mentioned earlier. Thank

you so much. Thank you to all of you.

Moderator: Thank you. On behalf of Elara Securities Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2024

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Sub: Transcript of Investors Conference call held on October 28, 2024.

In continuation of our earlier letter(s) dated October 23, 2024 & October 28, 2024, and

pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and

Disclosure Requirements) Regulations, 2015, please find attached herewith transcript

ofInvestors Conference call (Group Meet) ofREC Limited held on October 28,2024.

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Training Centre : REC Institute of Power Management & Training (RECIPMT), Hyderabad

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"REC Limited

Q2 FY'25 Earnings Conference Call "

October 28, 202 4

MANAGEMENT : MR. VIVEK KUMAR DEWANGAN – IAS, CHAIRMAN

AND MANAGING DIRECTOR – REC LIMITED

MR. VIJAY KUMAR SINGH – DIRECTOR (PROJECTS) –

REC LIMITED

MR. HARSH BAWEJA – DIRECTOR (FINANCE) – REC

LIMITED

MR. MOHAN LAL KUMAWAT , EXECUTIVE DIRECTOR

FINANCE – REC LIMITED

MODERATOR : MS. SHWETA DAPTARDAR – ELARA SECURITIES

PRIVATE LIMITED

REC Limited

October 28 , 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the REC Limited Q2 FY '25 Earnings

Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shweta Daptardar from Elara Securities Private Limited. Thank you, and over to you, ma'am.

Shweta Daptardar : Thank you, Steve. Good morning, everyone. On behalf of Elara Securities, we welcome you all to Q2 FY '25 Earnings Conference Call of REC Limited. From the esteemed management today, we have with us Mr. Vivek Kumar Dewangan: , IAS, Chairman and Managing Director; Mr. Vijay Kumar Singh, Director (Projects); Mr. Harsh Baweja , Director (Finance); Mr. Mohan Lal Kumawat, Executive Director (Finance); and other senior officials.

We express our gratitude towards the management of REC Limited to provide us the opportunity to host this conference call. Without further ado, I now hand over the call to Mr. Vijay Kumar Singh, Director of Projects, for his opening remarks, post which we can open the floor for Q&A. Thank you, and over to you, sir.

Vijay Kumar Singh: Good morning, everyone. I'm Vijay Kumar Singh, Director (Projects). So we have a very brief presentation for our Q2 and half yearly results. We would like to make that quick presentation. And thereafter, our CMD will be giving overall overview of the sector. So please allow us to make this quick presentation to you. Over to my colleague , Mr Supreet Pandya for making the presentation, please.

Supreet Pandya : Good morning, everyone. We'll take you ahead with the investor presentation. We believe investors got an access of the investor presentation on our website . We will take you ahead with this presentation.

We have divided this presentation into five areas, which is REC overview, Operational Performance , Asset Quality , Borrowing Profile and the Financial Highlights . Let's take REC overview first. We see that REC has a journey of more than five decades, where in we started our journey in 1969 to develop our infrastructure sectors in rural areas. And from there, we have grown ahead in leaps and bounds.

And in the latest year 2024, we have been appointed as National program implementing agency for PM Surya Ghar Muft Bijli Yojana. We also did our Maiden Yen Bond issuance of JPY61.1 billion. And recently in September 2024, we did a USD bond issuance of \$500 million, which were raised at the most competitive rates.

REC has multiple key strengths. The first being Maharatna Company and a strategic player in the Indian Power, Infrastructure and Logistics Sector. We have a diversified asset base with REC Limited

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robust access to diversified funding sources. We occupy a strategic position in the growth and development of the Power Sector and a major player in Renewable Energy segment and creation of India's Green Energy Corridor. We have a healthy asset quality with adequate provisioning coverage ratio. We have very strong fundamentals and profitable business with stable margins, leading to strong profitability. We have highest domestic credit ratings of AAA, which is awarded by all the four major rating agencies in India. We have international ratings of Baa3 and BBB - from Moody's & Fitch, respectively, which are at par with the Sovereign rating of India.

We are the nodal agencies for all the major flagship schemes of India. The major being RDSS, Saubhagya, DDUGJY, the latest being Rooftop Solar, etc . We have a highly qualified and experienced management team with sector e

xpertise.

We are a government's trusted arm, wherein we are assisting GOI in multiple schemes being RDSS, Saubhagya, Late Payment Surcharge Scheme, Consumer Services Ratings of DISCOMS on operational matters, Integrated Ratings of DISCOMS on financial matters, DDUGJ Y, NEF, Rooftop Solar program.

We have been accorded by Coveted Maharatna Status in FY 2023, which is the highest among all the ratings assigned to the Central Public Sector undertakings in India. We are amongst the top 14 PSUs, which have been accorded this Maharatna Status in India, out of a total 100 rated entities in India. Apart from Maharatna, the ratings are Navratna, Miniratna I, and Miniratna II. REC holds the highest rating of Maharatna. This Maharatna status gives us various business advantages, wherein we get greater operational and financial autonomy. It allows us strategic investments by incorporating JVs, Subsidiaries, and M&A activities in India and abroad. We have access to accelerated growth and support government's vision for the power sector. If you come to Slide Number 8, you can see that REC has forayed into Infrastructure Sector for Nation's Accelerated Development, wherein REC has diversified its loan portfolio with a

mandate of up to 33% loans in the Infrastructure Sector and Logistics sector. In these sectors, we have sanctioned various projects in Metro, Ports, Waterways, Airport, Oil Refinery, Road & Highways, IT Infra/Fiber Optics, Steel Infra and Health Sector.

If we come on the Slide Number 9 of the PPT, we have given the shareholder outlook. If you see the shareholding pattern of REC as at 30th September 2024, we are majorly owned by Power Finance Corporation, which holds 52.63% in REC, while the Foreign Portfolio Investors and FIIs hold 21.23% in REC. The insurance companies hold 3.93%, Individual, HUF, and NRIs hold 10.78% in REC, the Mutual Funds and AIFs hold 9.48%. The Corporates, Banks and Finance Institutions hold 1.71% and Others hold 0.24%.

The top 10 shareholders as of September 30, 2024, are also given in the slide, wherein PFC hold 52.63%; Government of Singapore hold 1.56%; HDFC Trustee 1.47%; LIC 1.35%; Nippon Life 1.28%; Tata AIG, 0.77%; NPS Trust of Aditya Birla Sunlife Pension Fund 0.77%; SBI PSU Fund 0.71%; SBI Life Insurance Company Limited 0.67%; Vanguard Total International Stock REC Limited

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Index Fund hold 0.66%. So these are the top 10 shareholders of REC as at 30th September 2024. And FIIs and FPIs have always reposed faith in REC, and they have consistently hold more than 20% in REC stock since IPO in 2008.

REC has a strong history of high dividend payouts and in the same context, we have declared the second interim dividend of INR4 per share in Q2 FY '25. This is in addition to the first interim dividend of INR3.5 per share, which was declared in first quarter, making a total dividend payout of INR7.5, which is 75% per share on the face value of INR10. The earnings per share of REC for the half year is INR28.28 i.e. on annualized basis INR56.56, and the book value per share is at INR276.82 as at 30th September 2024.

We have received various Awards and Accolades in our long history. The latest being that we have been awarded the 'Plaque' under Financial Services Sector (Other than Banking and Insurance category) at the ICAI Awards, i.e. Institute of Chartered Accountants of India Awards, for Excellence in Financial Reporting for FY 2022-23. Apart from that, we have received various awards in various areas for Renewable Financing, Risk Management, Green Bond Sustainable Finance and Corporate Governance, etc.

We now come to the operational performance of REC for quarter and half year ended 30th September 2024. In the first half of FY '25, we have sanctioned total projects worth INR188,991 crores, wherein we have sanctioned the highest category of loans in renewable space including Large Hy

dro of INR60,391 crores, implying sanctions of 32% in renewable energy space out of the total sanctions. So we are on the trajectory of outpassing the last year highest ever sanctions. In the quarter 2 of this year, we have sanctioned projects of INR76,200 crores wherein renewable sanctions stand at INR20,737 crores.

The disbursements during the half year stands at INR90,955 crores, wherein the renewable disbursement stand at INR11,297 crores, making 12% out of the total disbursement portfolio. The total disbursement made in second quarter was INR47,303 crores and out of that, the renewables were INR5,946 crores. This signifies an increase of 20% in the total disbursements from the last half year of FY '24 than in the current half year of FY '25. And there's an increase in the renewable including Large Hydro disbursement of 93% in the current half year of FY '25. Our loan book during the half year has increased by a robust rate of nearly 15% Y-on-Y and our loan book as of 30th September 2024 stands at INR546,117 crores, out of which state sector stands at 88% of the total book at INR480,818 crores, and the private sector stands at 12% of INR65,299 crores. The renewable book stands at 9% and has grown continuously from 30th September 2023 at INR29,833 crores to INR47,820 crores as at 30th September 2024. Now renewable book stands at 9% of our total loan book.

The generation book is at INR150,937 crores; transmission book is at INR48,592 crores; distribution book is at INR219,990 crores; Infrastructure and Logistics sector in the core area is at INR16,504 crores; and Infrastructure & Logistics Sector Electromagnetic Components at REC Limited

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INR49,308 crores. The STL and MTL stands at INR12,966 crores. So that is the total book of INR546,117 crores.

We have Pan-INDIA presence across all the states in India, wherein we have lending across 28 states of INR480,818 crores and private book of INR65,299 crores, making the total loan book of INR546,117 crores.

On Slide 17 of the presentation, we have given the top 10 major borrowers of REC, which are all in the state sector. The top being Tamil Nadu Generation and Distribution company, then Maharashtra State Electricity Distribution, Tamil Nadu Power Generation, Kaleshwaram Irrigation Project, Uttar Pradesh Power Corporation Limited, Telangana State Power Generation Corporation, Andhra Pradesh Southern Power Distribution Company, Telangana State Southern Power Distribution Company, Jodhpur Vidyut Vitran Nigam Limited, and the Jaipur Vidyut Vitran Nigam Limited.

We have a well-diversified asset portfolio with top 10 borrowers accounting for nearly 36% of the outstanding loans. And none of the top 10 borrowers account for more than 7% of the total loan book, and there are no NPAs in the top 10 accounts ever.

If we come on the asset quality of REC, the asset quality has shown continuous improvement wherein our Gross NPAs have reduced considerably from 3.42% in March '23, to 2.53% in September '24. Our net NPAs have also reduced from 1.01% in March '23 to 0.88% in September '24. The provision coverage ratio stands healthy at 65.12% as at close of September 2024.

On Page 20 of the presentation, we have given the sector-wise breakup of our ECL provisioning, i.e. Expected Credit Loss provisioning of our loan portfolio. If you see out of the total loan outstanding of INR546,117 crores, the total NPAs are at INR13,824 crores, wherein we have made a provisioning of INR9,003 crores, signifying a provision capital ratio of 65.12%. Additionally, we have a provisioning of INR3,705 crores on Stage 1 and Stage 2 assets i.e. standard assets, implying a total provisioning of 0.70% on the standard assets.

The credit impaired assets of REC are at various stages of resolution. Almost 13 projects worth of INR12,296 crores are under NCLT, wherein we have made a provision of 67%. And

we are

also pursuing 4 projects outside NCLT worth INR1,528 crores with a provisioning of 50%.

We now come to the borrowing profile of REC, wherein we have the highest domestic long-term ratings from CRISIL, ICRA, CARE and India Ratings of AAA. And the international credit ratings of Baa3 from Moody's; BBB - from Fitch Ratings, and BBB+ from Japan Credit Rating Agency, which are at par with Sovereign Rating of India.

On Slide Number 24, we have given breakup of total outstanding borrowings of INR475,832 crores as at 30th September 2024, wherein our External Commercial Borrowings are at INR148,792 crores. Apart from that, we have access to various other areas as well of borrowings, which are Institutional Bonds including subordinated bonds of INR202,776 crores. We have REC Limited

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taken loans from banks, financial institutions of INR71,508 crores. We have access to 54EC Capital Gain Tax Exemption Bonds of INR43,753 crores. REC is only amongst the four agencies in India who can issue such kind of bonds. We have tax-free bonds of INR8,999 crores, and we have borrowed a small amount of INR4 crores from Infrastructure Bonds as well. So that is the total portfolio of INR475,832 crores of our borrowings.

During the current period of half year 2025, we have raised total quantum of INR77,759 crores to fund our disbursements. Out of this, INR23,121 crores have been raised from FCNR (B) loans and INR18,105 crores have been raised from foreign currency borrowings. We have also raised INR29,378 crores of Institutional Bonds, INR4,254 crores from Capital Gain Bonds, and we have also taken loans from banks and FI Institutions of INR2,900 crores. And during the current quarter ended September '25, we have raised INR30,928 crores.

Now we come to the financial highlights of REC for the half year ended 2024. We have recorded the highest ever half yearly profit of INR7,448 crores during the half year ended 30th September 2024. Our total income stands at INR26,633 crores versus INR22,571 crores, which signifies an increase of 18% Y-on-Y. The net interest income stands at INR9,723 crores versus INR7,763 crores, that also signifies an increase of 25% Y-on-Y. The net profit for the half year stands at INR7,448 crores, which is an increase of 11% year-on-year from INR6,734 crores in the corresponding half year last year. The loan book has reached INR546,000 crores as at end of September 2024, which is an increase of 15% Y-on-Y. The asset quality has improved with net credit impaired assets at 0.88% against 0.96% year-on-year. The net worth has also increased to INR72,893 crores versus INR63,117 crores, which was an increase of 15% year-on-year. We have a capital adequacy ratio of 25.31% including Tier 1 capital of 22.87% and Tier 2 capital of 2.44%, which is well above the RBI requirement of 15%.

During the half year ended 2024, the yield on loan assets stands at 10.08% and the cost of funds at 7.12%, implying an interest spread of 2.96% and a net interest margin of 3.64%. The return on net worth is at 21.03%. The interest coverage ratio is at 1.57x and the debt equity ratio at 6.47x.

The stand-alone statement of profit and loss is also given on Slide Number 29, wherein we have given the quarterly and the half yearly presentation of the profit and loss. We have attained a

Profit After Tax of INR4,005 crore in the quarter ended 30 September 2024, against INR3,773 crores and also the profit for the half year is at INR7,448. The balance sheet position is also given on Slide Number 30, wherein we have given the item-wise distribution of the balance sheet position of assets and liabilities as of 30th September 2024.

With this, we have concluded the presentation.

Vivek Kumar Dewangan: I welcome all the participants today in this con call who are present today. As you have noted that our revenue from operations and income is increasing a

t the rate of 17% to 18%; and our

asset under management has grown by 15% on a half yearly basis.

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We'd like to give guidance that our asset under management is likely to increase in the next 3 to 4 years at the rate vary ing from 15% to 20 %. Depending on particular quarter it can go to 15% , in some quarter it may go to 17%, and in some quarters it may go to around 20%. But on an average, we hope to maintain this 17% growth in our asset under management. But even if you take a conservative estimate, even if we grow at the rate of 15%, our asset under management would be double to about INR10 lakh crore by the year 2030. But if we are able to sustain this 17% growth, perhaps we may reach doubling the asset under management by the year 2028 -29. One more significant thing you might have observed that our sanction to the renewable energy sector has increased by about 21% in the first half of the year. We have sanctioned project worth INR60,391 crores in the first half, and disbursements have also gone up by 93% with respect to renewable energy sector.

Going forward, as Ministry of Power has outlined the requirement of 80 gigawatt capacity of coal-based capacity in the next 6 to 7 years by the year 2032, we are targeting a 20% market share in this coal -based power plant business also.

And distribution sector will remain our key focus area because revamped distribution sector scheme is being implemented. And thereafter, also since country's distribution network is quite old, 35 -to 50 -year old , so the continuous upgradation of distribution infrastructure will still be required. And with the increase in share of renewable energy in the total overall generation profile, the requirement of the storage solution, the evacuation through green energy cor ridor will be still there. And we are targe ting 20% market share in the renewable energy business, which definitely would be more than INR3 lakh crore by the year 2030.

With this, now we are open for questions.

Moderator: Thank you very much sir. We will now begin the question and answer session. Anyone who wishes to ask a question may press star and 1 on their touchtone telephone. If you wish to withdraw yourself from the question queue, you may press star and 2. Participants are requested to use handset while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles .

The first question is from the line of Shreya Shivani from CLSA.

Shreya Shivani : Congratulations on a good set of numbers. Two questions. First is on the liability cost of funding side. So your cost of fund has inched up. Can you give some outlook for how it's going to be in the future? And which bonds I'm assuming one of those -- which bonds are the one which has caused the spike and how much price hike have we done for borrowers? And whic h segment, renewable, etcetera, in which segment did we hike the prices?

Second question is on some of these media articles had these news items about lending to some of these groups like say, Vadhavan Port was mentioned a couple of weeks back in the media articles. Sir, can you help us understand given Vadhavan Port is owned b y JNPA. Will our loan

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have a government guarantee over there from an explicit government guarantee as a collateral over there?

And also, there was a news article about lending to company called Azure in the renewable sector. I wanted to understand the thought process behind lending to that company, given that there have been whistleblower issues with them. The CEO changed within 2 years -- 2 months or so, stuff like that has happened in the past ? And yes, those are my two questions.

Vivek Kumar Dewangan: Let me respond to those questions. The cost of fund is likely to come down by the end of year -
- by Q4, as you might have observed that Rese

rve Bank of India , although are holding this rate

cut, but th ere is likelihood that the rates may come down in Q4.

We have kept a diversified portfolio of our borrowing. You might have observed that our FCNR loan and External Commercial Borrowing has increased to about 31% of our total borrowing. That is there that our cost of fund is much less than 7% actually. And our 54EC bond is the cheapest source of fund available that gives us 5.25%.

Going forward, we are not planning to increase the burden on the borrowers because the cost of funds, we will be able to contain.

With regard to your queries about lending to non -power infrastructure and logistic sector. Let me clarify that our hands are full with our core sectors proposal s, convention al generation, transmission, distribution and with a renewed focus on energy transition from the renewable energy segment and entire green project. We have a huge pipeline of projects from these , our core competency area s. So we are slowing focus on non -power infrastructure and logistic at this stage. And as I had already indicated that with regard to renewable energy projects, we have recently signed MOUs worth INR112,000 crores when we had participated in RE -INVEST Summit in Gandhinagar and in last year, we had signed MOUs worth INR285,000 crores. So we have a huge pipeline of projects on renewable energy sectors and convention al generation, transmission and distribution also. We'll be selective in financing non -power infrastructure and logistics. Only where the asset quality is good, revenue cash flows are ensured, only those sectors will be the focus.

With regard to Vadhavan Port, you might have learned that it has already been approved by the Cabinet Committee of Economic Affairs. Government of India. This is being taken up by the JNPA but the execution will take time for Vadhavan Port. This execution will commence from the year 2027 only. By that time, it's likely cash flows would become clearer, that point of time we'll take a call. But we do feel that there is absolutely no concern with regard to funding Vadhavan Port. I'll request our Director Projects to respond on Azure and security feature for Vadhavan Port.

Vijay Kumar Singh: So, on Vadhavan, just to add what CMD sir just now informed is that, we are in close discussions with them. They have confirmed that the entire equity will come upfront. Now, you might be aware, there are two promoters. JNPA is one and Maharashtra Maritime Board is another REC Limited

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promoter with 26% stake. Both of them will put 100% equity upfront. Now upfront equity infusion and that too 100% definitely gives us a lot of comfort in terms of project development and subsequently as well. But then we are in discussion in negotiating this loan with them. With regard to your query on Azure, yes, we are very, very careful, and we are watching the developments in Azure. What we have done in Azure is that we have picked up only the commission ed projects ; the commission ed project which have definitive revenues ; the projects have secured a very good rating, if I'm correct, it is A - rated project s. So it is all towards refinancing of commission ed projects only. And we are definitely not considering at this point of time any greenfield project. Because we are still not very sure that for greenfield project , the equity would come quite smoothly. But commission ed assets, the equit y is complete , the projects are commissioned , they are up and running, and they have very good rating, and therefore, we did that particular transaction.

Shreya Shivani : Got it, sir. Very useful. Can you help us understand in the commission project of Azure? What would be the EBITDA cover?

Vijay Kumar Singh: I don't have that particular number. But in terms of our Debt Service Coverage Ratio, it was close to 1.3. So that's a lot of comfort .

Moderator: Th

e next question is from the line of Manish Agarwalla from PhillipCapital.

Manish Agarwalla: So taking the similar discussion forward, what's your take on telecom sector? Is company open to provide loan assistance to likes of MTNL or Voda? Your views will be very useful, and I have a few more.

Vivek Kumar Dewangan: Yes. At this point of time, we feel that we are not going to finance telecom sector. Because as I have already mentioned, our hands are full with convention al generation, transmission, distribution and with regard to renewable energy sector. Telecom sector, as of now, we are not considering to finance.

Manish Agarwalla: Okay, sir. That's useful. Second question was on repayment rates. So this quarter, the repayment rates were slightly high. Is there any prepayments you are witnessing? Or are there some short - term loans which we disbursed earlier which are coming back? If you can comment on that?

Harsh Baweja : Actually REC is into a financing business. And you can well expect that some of the prepayments will always come in. During the quarter itself, we have received prepayment s of around INR7,000 crores, which has impacted our loan book also. But that is a continuous feature, and it will keep on coming in the year and in the quarter, next quarters also.

Manish Agarwalla: So there's nothing called refinancing by other entities, correct?

Harsh Baweja : No, it is nothing like that. It is just that there is cash surplus with the borrowing agency and they have prepaid the amount to us.

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Manish Agarwalla: Okay. And sir, finally on Lanco. So I understand the status quo is maintained. There is no money received. So if you can update on that? And also on the related point, so we have seen our coverage on Stage 3 is coming down. So your take on that, why are we bringing down the coverage on Stage 3? That's it from my side.

Vivek Kumar Dewangan: Lanco Amarkantak is in the NCLT and it has passed the orders, but there were some operational creditors. They have approached NCLAT about the distribution of this profit. That matter is pending. So that's why some amount has been kept. Once this matter is disposed off, the remaining amount would also get disbursed to all the lenders. Second question was ...

Manish Agarwalla: On coverage, Stage 3 coverage ratio.

Harsh Baweja : Actually, there was some amount which was received and against which we have reversed some ECL provisions. So that is why our Provision coverage has changed. And as soon as we get the full amount, the full settlement is there, the gross NPA will also come down.

Moderator: The next question is from the line of Alok Srivastava from UBS.

Alok Srivastava: Sir, on the previous participant's question, could you mention which asset is this, where this provision reversal has happened?

Harsh Baweja : It is regarding the KSK Mahanadi project, which is under advanced stage of resolution, bids have already been received ; some amount out of the dues we have received, that the amount which we have received out of the due amount, we have reversed ECL provision for that. Our management considers that the value as of now, which has been bid by the prospective investors is much more than what we have already made a provision under ECL. So whatever was the safer side, we have reversed to that extent. And for that, the money has already been received.

Vivek Kumar Dewangan: In fact, NCLT allowed distribution of the money lying in TRA to the lenders. That's how we got some receipt. And the resolution of KSK Mahanadi is in advanced stage. We have got very good bids, and our recovery is going to be more than 100% with regard to KSK Mahanadi.

Alok Srivastava: Sure, sir. And sir, we have been reading that on Hiranmaye project, DVC has emerged as the highest bidder. So sir, what is our exposure there? And do we expect any write -back on that one?

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Vivek Kumar Dewangan: Yes. Yes, we are expecting a recovery of more than 80% from the Hiranmaye asset. And we had made provisioning about 50%. So we'll get some write -backs. Our total write -back that we are expecting from three assets KSK Mahanadi, Hiranmaye, and Sinnar project in Nasik, our total write -backs are expected to be about INR1,500 crores.

Alok Srivastava: Okay, sir. And sir, one more question I had about the TANGEDCO, which is also your biggest borrower. There, this bifurcation is going on between the generation, distribution and the renewable entity. So sir, is there enough clarity now that where the guarantees will sit and your exposures, are they all guaranteed over there. Is there any risk post the trifurcation that happens?

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Vivek Kumar Dewangan: Thank you so much, Alok, for asking this very pertinent question. The trifurcation of TANGEDCO has already happened and the three companies have become functional. And I'll request Director Projects to comment on our exposure within the limit and we have got sufficient space for all the three utilities.

Vijay Kumar Singh: So what was happening that especially in the case of Tamil Nadu, the generation company and the distribution company work together called TANGEDCO. You might notice that in a state like UP, we have 5 DISCOMs. In Tamil Nadu, we had only 1 DISCOM. And then that DISCOM was also clubbed with Gen Co, Generation Company. And therefore, we were experiencing a great difficulty in terms of our exposure limits.

Now since this trifurcation has happened . Earlier also, the entire loan was for a specific purpose, specific scheme for generation, transmission and distribution. So likewise, the loan separation has happened with respect to the scheme that we had sanctioned. So now we have separate loan amount, which is in generation, transmission and distribution.

Whatever loan was guaranteed by the government continues to remain guaranteed by the government even after the trifurcation. Now the biggest relief that we have got is that we are now way close to the exposure limit for any of the utilities with respect to generation, transmission and distribution.

Alok Srivastava: Okay. Got it, sir. So sir, here, there is a possibility that there could be a rating upgrade of some

of these entities and you can have write-backs also at a later point? Because if I'm not wrong, TANGEDCO had a C - rating?

Vijay Kumar Singh: Overall rating, there will obviously be impact, and they'll be rerated again. All these three utilities will be rerated again. And you may note that distribution utility rating is dependent on the rating being done by the Ministry of Power. I'm sure their rating will go up and similarly for Genco also. Some of the assets have recently paid to their lender, we were not the lender for those projects. This will also improve the overall financials of the generation company. So our understanding is that all the three companies will have improved rating going forward.

Harsh Baweja : Once the improved rating is there, and you have rightly mentioned that, that will impact our ECL provisioning also that will also , to some extent, develop.

Moderator: The next question is from the line of Suraj Das from Sundaram Asset Managers.

Suraj Das: Congratulations on a good set of result. Sir, on your Slide 20, where you gave your loan portfolio and ECL provision. If I see the longer -term trained on that thing. Just wanted to understand two things. One, sir, on the private sector side, in the generation and renewables, your PCR coverage on Stage 1 and 2 is continuously coming down. So for example, in March '23, it was something like more than 100 basis points, which is now 60 basis points. Similarly, on renewable, it is something like 230, 240 basis points. Now it has come down to 60 basis points.

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So just wanted to understand what is the rationale behind this? Is this -- I mean, and at the same time, you are growing the renewable book also. So is it because your ECL PD assumptions are lower, because you don't have any significant delinquency over the past few years? Or is it a conscious choice?

Harsh Baweja : Sir, can you please repeat the question? I'm not able to hear you perfectly, sir?

Suraj Das: Yes. Sir, I'll repeat it. So if I see the Stage 1 and Stage 2 provision for the private sector in Generation and Renewables segment, it is now 60 and 62 basis points, respectively, this quarter. This number, let us say, in March '23, 4, 5 quarters back, it was something like 100 and 230 basis points. So this number is continuously coming down. So just wanted to understand what is the rationale behind this? Because we are also growing the renewable book. And you are also reducing the Stage 1 and 2 provision on both the segments. So what is the rationale, sir?

Vijay Kumar Singh: So I think you might have seen that our renewable book is growing quarter-on-quarter, year-on-year basis. Now there are some projects which are under construction, have not achieved COD. Also, there are projects which have achieved COD and there are some refinancing projects also, which we mentioned during the earlier answers.

So during the construction stage, the provisioning remains high, which is close to 1% as per the ECL methodology. And once the project achieves the COD, the ECL provision comes down by 40 bps. So as the projects continue to achieve COD, this provisioning will also come down. But then, if there's addition of under construction project, there will be change in this particular provisioning. So all will depend on the mix of the under construction and commission project, which will get reflected in overall provisioning in the renewable energy sector.

Harsh Baweja: Number two, the PD of these projects of renewable sector have also been improved, so which has resulted in lesser ECL provisioning also.

Suraj Das: Understood, sir. Very clear. And the second question, similarly on the infrastructure sector, both core and E&M, your provision on the Stage 1 and 2 is only 8 basis points. So should not it be higher sales because, I mean, at least 40, 50 basis points would be the initial provision to begin with or...

Vijay Kumar Singh : Actually, what happens that, in case of infrastructure project, most of our funding is to the government sector. And out of this, the maximum are against the state government guarantee. So as per our ECL approved policy, the weightage of the PD and LGD is lesser than in case of the project is secured by the government guarantee. So that may be the reason what you are mentioning here, why it is in case of I&L, it is less.

Suraj Das: Okay. Sure. So for private sector also, you have government guarantee. Is that what you were implying?

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Harsh Baweja : No, no, no. That is not the case, sir. Private sector is on the basis of the outstanding figure. As regards to the provisioning on the private sector, it is absolutely based on the ECL model for which we have the PD and LGD , which is done by independent third party ICRA.

Suraj Das: Sure, sir. Got it. And last question is, sir, if I see the first half, your disbursement has been

something like INR90,000 crores. What is the disbursement that you are expecting in the second half?

Vivek Kumar Dewangan: Yes. Last year, you might have noticed that our total disbursement was around INR161,000 crores. This year, our disbursement may go up to INR190,000 crores. Another INR1 lakh crore disbursement is expected in H2.

Moderator: The next question is from the line of Shreepal Doshi from Equirus.

Shreepal Doshi: Congratulations on a decent quarter. So my first question was on sanction pipeline. So what is the cumulative san

ction pipeline in the Renewable Energy and in the Infrastructure Project segment?

Vivek Kumar Dewangan: Let me first cover the Renewable sector. Last year, our total sanction was INR136,000 crores. And this year, we have sanctioned more than INR60,000 crores. Another projects of more than INR80,000 crores are there which we'll be considering for sanction in the H2.

With regard to Infrastructure and Logistics, as I have clarified that we are going slow on Infrastructure and Logistics sector because our hands are full with conventional generation, transmission and distribution as well as the renewable sector. We'll finance only those Infrastructure and Logistics sector where revenue cash flows are assured, asset quality is good, entity is good. So last year, in first year of 2022-23, when government has allowed us to diversify into non-power infrastructure and logistics, that year, we sanctioned projects worth INR85,000 crores. But last year, it came down to INR40,000 crores. And this year, we will be able to maintain the same at the rate of INR40,000 crores to INR50,000 crores in the current financial year.

Shreepal Doshi: Got it. Got it, sir. That's helpful. Sir, the other question was, last quarter, we had highlighted about this account in Andhra Pradesh, which was seeing some issue. So is the cash flow now back to normalcy? Or have you seen any improvement there?

Vivek Kumar Dewangan: Yes. A lot of improvement has happened with regard to repayment coming out of the overdues from Andhra Pradesh utilities.

Harsh Baweja : They have made some good amount of payments in the month of October itself. So things are coming on track.

Vivek Kumar Dewangan: And by November or by December, all the dues will start getting paid.

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Shreepal Doshi: Okay. Okay. So we'll see complete normalcy for that account or even on provisioning side by December?

Moderator: Ladies and gentlemen, sorry to interrupt, the management line has been disconnected. Ladies and gentlemen, thank you for patiently holding. The management line has been connected. Mr.

Shreepal, please go ahead with your question.

Shreepal Doshi: So I was just asking that since that account has started repaying. And by December, you expect complete repayment for the dues. So will we see the reversal on the provision side as well for this account by December?

Vivek Kumar Dewangan: Naturally, there will be reversal of more than INR100 crores.

Shreepal Doshi: Got it, sir. And then, just one last question, which was like on the growth side. So while repayment rates are a little higher. So despite that, our growth guidance on loan book side will remain in the range of 15% to 17% or there could be some downside as well because of the higher repayment?

Vivek Kumar Dewangan: No. Now in Q3, Q4, it is going to be about 17% and may go up to 20% also.

Moderator: The next question is from the line of Preethi from UTI Mutual Funds.

Preethi: So my question is on the market share comment that you made. So could you help us understand the current market size and how the split right now between NBFC, banks and bonds? And follow-up to that is, do you expect the competitive intensity for the sector go up given the healthy asset qualities and also the structural power sector value chain that we've seen the structural trends that we've seen in the power sector value chain. That's my question.

Vivek Kumar Dewangan: The question pertaining to market share, let me first answer that. In power sector, conventional generation, transmission, distribution, as you might have noticed that our loan portfolio is mainly in conventional generation, transmission, distribution and only 9% is there in the renewable sector and infrastructure and logistics, about 11%. About 80% is in conventional transmission and distribution and generation sector. The market share of REC and PFC is

about 20% each

and remaining 60 % is with other financial institutions.

The same market share, we will be able to hold on to the renewable energy space also. There is the total requirement for achieving 500 gigawatt of installed capacity from renewable energy.

We already achieved 200 gigawatt and another 300 gigawatt capacity will come.

For the renewable energy installation of 300 gigawatt additional capacity, roughly INR15 lakh crore will be required. Then associated transmission line in the form of green energy corridor and storage solution is also required. Out of this total requirement of about INR15 lakh crore to INR20 lakh crores, we are targeting a humble pie of 20% of INR15 lakh crores, which we are estimating on conservative basis, i.e. at least INR3 lakh crores will come from our renewable REC Limited
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energy portfolio. But it can go up if the sanctions get faster and accordingly it might go up to more than 20% also, but minimum 20% we will be able to capture of renewable sector business. With regard to power sector overall, you might have seen that power demand has been increasing at the rate of 8% to 9% from the last 2 years. And this trend is going to continue, as India is trying to become a developed country by year 2047 i.e. in next 23 to 24 years.

The power demand will keep increasing. As you might have noticed the per capita consumption of electricity in India is only 1/3rd of the world average. When we are trying to become a developed country, per capita consumption of electricity is bound to grow and to be more than the world average like developed countries such as U.S.A., other countries, where the per capita consumption of electricity is about 11x to 12x of the world average. But we have followed a sustainable path. Right now, per capita emission of carbon dioxide is also 1/3rd of the world average.

But as we pursue to become a developed country, our per capita consumption of electricity is bound to grow, and it will be reaching about 4x to 5x of the world average. But per capita emission of carbon dioxide will not grow to that extent, and we'll be able to maintain 1/3rd of the world average only with regard to the emission of carbon dioxide.

Any other questions, Preethi?

Preethi: Yes. My question was on the competitive intensity from banks or the debt market banks.

Vivek Kumar Dewangan: Yes, competition from banks will be there, particularly renewable energy sector. Because a lot of financial institutions are there. But even then, we'll be able to hold on because the advantage with respect to REC is that we can give longer tenure loan. Our tenure of the loan can go up to 85% of the project's life.

So normally, if the project life is about 20, 25 years, and then tenure of loan can go up to 18 to 20 years. While banks typically give loans for a tenure 10 to 12 years only. And that we can take a larger exposure in a single project 30% of our Tier 1 capital, i.e. about INR20,000 crores. We can do sole lending to the tune of INR20,000 crores. That is the inherent advantage which is there with REC as compared to other banks.

Moderator: The next question is from the line of Sanket Chheda from DAM Capital.

Sanket Chheda: Yes. Good quarter. Just to check on the recovery spent. Now in case of KSK Mahanadi, we already know and I think that it did to be over and above 30% that's first? And second, one Hiranmaye and Sinnar, while we say more than 50%, but what's the sense on recovery? Can it be more than 70%, 80% the way we have seen this change in KSK Mahanadi? So yes.

Vivek Kumar Dewangan: For KSK Mahanadi, let me first clarify it. NCLT has already allowed disbursement of the funds lying in the trust and retention account to all the lenders. About INR12,000 crores are already there in the trust and retention account. About INR6500 crores has already been allowed to be REC Limited
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distributed among the lenders. And based on the bids for KSK Mahanadi, the recovery is going to be more than 100% with regard to outstanding admitted claims, more than 100% we are getting actually.

In Sinnar, our exposure is INR2,231 crores, and we had made provisioning of 80%. The Admitted claim in Sinnar is INR15,909 crores.

Harsh Baweja: In Sinnar, we are expecting a recovery of around 55%, which is more than the ECL already provided. And as regards the Hiranmaye is concerned, we are expecting a recovery of around 82%, and we have made a provision of 50%. So on ECL provisioning, we will be getting a reversal for that.

Vivek Kumar Dewangan: As I have mentioned, the overall reversal that we are expecting more than INR1,500 crores from these three projects.

Sanket Chheda: Okay, sir. And there was a less accretion in AUM this quarter. I understand it was due to higher repayment from LIS LPL than in the same quarter last year. But from here on, the accretion to AUM should be normalized, right? And while we guide for 15%, 20%, is 17%, 18% right number to go with as far as expectation is concerned?

Vivek Kumar Dewangan: Yes, Sanket, this I have already replied. I mentioned that the range will be 15% to 20%. Some quarter, it will be 15% , some quarter, it will be 17% , some quarter it will be 20%. On an average, we are expecting that growth in AUM would be around 17% to 18%.

Moderator: The next question is from the line of Nikhil Nigania from Bernstein.

Nikhil Nigania : Just one question. This is regarding the Rooftop Solar scheme, which REC is used to be part of. I wanted to understand what is the role REC will play? And what is the loan security mechanism for these loans?

Vivek Kumar Dewangan: Nikhil, REC has been given the task of National Program Implementation Agency. Our main job is to coordinate with the various stakeholders like consumers, distribution companies, vendors and the banks. We are not into retail financing.

The retail financing for the Rooftop Solar is being done by the public sector banks at the rate of 7% interest rate, they are giving the loan. We are not targeting to finance this retail business of Rooftop Solar. However, if some aggregators, vendors or PSUs are there, who are going to implement this Rooftop Solar on large scale, there, we are going to finance those aggregated vendors.

Moderator: The next question is from the line of Jigar Jani from B&K Securities.

Jigar Jani : Just one on the margins, given assuming that the interest rates cuts do not happen very soon , how confident are we of maintaining the current margin of about 3.6%. Is there a range that we should kind of maintain over the rest of the year?

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Vivek Kumar Dewangan: Yes, Jigar, let me assure you that, we'll be able to hold on the net interest margin of more than 3.6% . The broad range is 3.5% to 3.75%, but it is definitely going to be more than 3.6%. Because we are getting more of coal -based thermal capacity addition that is going to happen , and there our margins are quite good. And in fact, in renewable sector also our average interest rate is more than 9.5%. While in respect of this conventional generation, it is more than 10.5%. Thus, we'll be able to hold on to our net interest margin of more than 3.6%.

Jigar Jani : Right, sir. And just lastly on, there was one special loan disbursement of about INR8,000 crores this quarter. Could you just throw some light what is that special loan?

Vijay Kumar Singh : Of course, some of the agencies actually need this special loan for a long -term tenure or not long term, but rather medium term for 5 to 7 years. These loans are advanced to very few utilities for multiple purposes. Like Punjab, for example, is not availing CapEx loan for very small scheme. They have taken a special loan, and that could be deployed

for the CapEx purposes only. And

they are taking only for 6, 7, 8 years. So such loans constitute especially loan for us.

Jigar Jani : So these are not short term, right, like RBPF ?

Vijay Kumar Singh : Yes, these are not short term. These are relatively medium -term loans.

Moderator: Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to the management for their closing comments.

Vivek Kumar Dewangan: I would like to thank all the participants for asking very pertinent questions. And hopefully, we have been able to address all the questions. And let me assure all of you that, we will be able to sustain the growth rate of minimum 17% in the next 3 to 4 years to come. And our asset under management is definitely going to be more than INR10 lakh crore and it is likely to be earlier than 2030. That's what I can assure you. Thank you so much, and happy Diwali to all of you.

Moderator: Thank you. On behalf of Elara Securities Private Limited, that concludes the conference call. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

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Dated: February 14, 2025

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Sub: Transcript of Investors Conference call held on February 10, 2025.

In continuation of our earlier letter(s) dated February 5, 2025 & February 10, 2025, and pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith transcript of Investors Conference call (Group Meet) of REC Limited held on February 10, 2025.

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Regional Offices: Bengaluru, Bhopal, Bhubaneswar, Chennai, Dehradun, Guwahati, Hyderabad, Jaipur, Jammu, Kolkata Lucknow, Mumbai, Panchkula, Palna, Raipur, Ranchi. Shillong, Shimla, Thiruvananthapuram & Vijaywada

State Offices : Vadodara . Varanasi

Training Centre : REC Institute of Power Management & Training (RECIPMT), Hyderabad

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"REC Limited

Q3 FY'25 Earnings Conference Call"

February 10, 2025

MANAGEMENT : M R. VIVEK KUMAR DEWANGAN – CHAIRMAN AND
MANAGING DIRECTOR – REC LIMITED

M R. VIJAY KUMAR SINGH – DIRECTOR (PROJECTS) –
REC LIMITED

M R. HARSH BAWEJA – DIRECTOR (FINANCE) – REC
LIMITED

M R. MOHAN LAL KUMAWAT – EXECUTIVE DIRECTOR
FINANCE – REC LIMITED

MODERATOR : M R. SHREEPAL DOSHI – EQUITUS SECURITIES

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February 10, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to REC Limited Q3 FY '25 Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shreepal Doshi from Equir us Securities. Thank you, and over to you, sir.

Shreepal Doshi: Hi. Good morning, everyone. Thank you, Neerav, for passing on t he call. We welcome you all to the Earnings Conference Call of REC Limited to discuss the 3 Q performance of the company and the business update. We have with us the senior man agement of the company, represented by Mr. Vivek Kumar Dewangan, Chairman and Managing Director; Mr. Vijay Kumar Singh, Director of Project s; Mr. Harsh Baweja, Director o f Finance; and Mr. Mohan Lal Kumawat, Executive Director Finance. Without taking much ti me, I'll hand over the call to CMD, sir, for his opening remarks, post which, we can open the forum for question and answers. Over to you, sir.

Vivek Kumar Dewangan: Good morning, everybody. Our Q3 results were declared on 6th of February. I hope that all of you must have gone through it. I would just like to highlight c ertain salient points that our disbursement has grown significantly in the first 9 months. It stands at INR1,45,647 crores.

Last year, you may remember that total disbursement was INR1,61 ,462 crores. And as we are talking, our disbursement has reached to that level and still a bout 1.5 months is left. We hope that disbursement in the current financial year is going to inc rease substantially.

Our loan assets / asset under management has grown by 14% in Q3 . Although disbursement was highest ever in Q3, that was INR54,692 crores but because o f some prepayment, the loan book has grown by only 14%, but we hope that in Q4, this loan a sset will grow between 15% to 17%. And we are quite confident that we'll be able to sustai n growth of 15% to 17% in the years to come. And that's why we are targeting that our asset u nder management will grow to about INR10 lakh crores by the end of 2030.

Our significant disbursement has happened in respect of renewab le energy projects. The disbursement have increased by 79% in the first 9 months in res pect of renewable energy projects. While non-power infrastructure and logistics, it has seen growth of 30%. The profit after tax has also grown significantly by 15% to INR11,477 cror es.

Now coming to the cost of fund. We have been able to bring down our cost of fund to about 7.15%. The spread has increased by 12 basis points to 2.94%. Th e net interest margin has also increased by 12 basis points to 3.64%. Return on net worth is a bout 21.07%. Debt-to-equity ratio is 6.38 times and capital adequacy ratio is 25.33%.

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O ur N e t N P A h a s c o m e d o w n t o 0 . 7 4 % a n d g r o s s N P A h a s c o m e d o w n t o 1.95%. Here, I would like to inform all of you that there are 4 operating asse ts where we are expecting good resolution because bidding has already been completed in the as pect of KSK Mahanadi, where we are likely to recover 154% with respect to the principal amo unt.

Reversal is likely to happen about INR908 crores, more reversal will happen. In respect of Sinnar Thermal project in Nashik, recovery with respect to prin cipal is about 52.65%. Again, there also, we are going to get reversal of provisioning amount ing to about INR761 crores. Third, operating asset is Hiranmaye project where recovery with respect to principal is going to be about 82.75% and reversal o f provisioning would be abou

t INR440 crores. And

Bhadreshwar, reversal of provisioning is likely to happen to ab out INR 42.59 crores.

In all these operating 4 assets, our reversal of provisioning w ould be about INR2,200 crores.

And most of the assets, these are the operating assets, resolut ion are likely but NCLT order may take some time. Order may come or may not come in Q4, may g o to the next financial year also. But by December 2025, all this reversal will happen. With these few words, we have a small presentation. If you all agree, we'll go through the pr esentation.

Supreet Pandya REC: Good morning, everyone. We'll take you ahead with a brief prese ntation about REC. The presentation has also been uploaded on the Stock Exchanges. We' ll take you through the presentation, which contains REC's journey over the last 5 deca des from where we have grown from a company registered with NBFC with RBI in 1998 to a Maharatna entity in 2022. Also in 2024, where we have been appointed as National Program Implementing Agency for PM Surya Ghar Muft Bijli Yojana a nd in 2024 we also did our mai den yen bond issuance of JPY61 billion and the USD Green bond issuance of \$500 million.

REC key strength remains to be that it is a Maharatna company a nd a strategic player in the Indian power sector and infrastructure and logistics sector wit h a diversified asset base and robust access to diversified funding sources. REC occupies a st rategic position in the growth and development of the power sector and a major player in renew able energy segment and creation of India's green energy corridor. REC has a very healt hy asset quality with adequate provisioning coverage ratio. REC has strong fundamentals and pr ofitable business with stable margins leading to strong profitability.

On the ratings front, REC commands highest domestic ratings of AAA, which is from all the 4 major rating agencies in India. And internationally, we are at par with the Sovereign Rating of

India and enjoy Baa3 rating from Moody's, BBB- rating from Fitch and BBB+ rating from Japan Credit Rating Agency. We are the nodal agency for major Government of India's power sector programs such as RDSS, Saubhagya, Deendayal Upadhyaya Gram Jyoti Yojana, rooftop solar programs to name many. We have an experienced and management team with sector expertise.

REC is among the coveted few Indian PSUs, which enjoy a Maharatna status, which is the highest rank for top-performing PSUs in India. We are only among the 14 PSUs, which have REC Limited

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been accorded this status. This Maharatna status allows us greater operational and financial autonomy. It also allows us strategic investments by incorporating JV, subsidiaries and M&A activities in India and abroad. It also helps us in accelerating growth and supporting government's vision for the power sector.

REC has also diversified into loan portfolio with a mandate of up to 33% loans in non-power infrastructure and logistics sector, where we have been funding metro, port, waterways, airport, oil refinery, roads and highways, IT infra, fiber optics, steel infra and also health sector. We will take you ahead to the shareholders' outlook. As of 31st December 2024, we continue to be held majorly by Power Finance Corporation of India at 52.63%. The FPI and FII continue to hold more than 20% in REC since IPO in 2008 and still hold 21.74% in REC. The insurance companies hold 4%. Individual, HUF, NRI hold 10.58%. The mutual funds and AIFs hold almost 9%. The corporate bank FIs are holding 1.7% of REC equity and others are holding 0.23%. Some of the largest shareholders in REC include, apart from Power Finance, are Government of Singapore, HDFC Trustee Company, Nippon Life India Asset Trustee, Life Insurance Corporation of India, NPS Trust of Aditya Birla Sun Life Pension, SBI Life Insurance Company, SBI Quant Fund, Vanguard

d Total International Stock Index Fund and

Tata AIG, general insurance company.

On the dividend front, we have declared the third interim dividend for Q3 FY '25 of INR4.30 per share in addition to the first and second interim dividend for Q1 and Q2 of INR3.5 and INR4 per share, respectively. After this third interim dividend, the total interim dividend that has been declared by REC amounts to INR11.8 per share on a face value of INR10.

We are also happy to inform you that REC has been awarded the Gold Shield under the financial service sector other than banking and insurance sector, category from ICAI i.e.

Institute of Chartered Accounts of India, Award for excellence in financial reporting for the financial year 2023-24. This is in addition to the various awards that we have been getting on the corporate governance, risk mitigation and to name many.

Let us come to the operational performance for the quarter and 9 months ended. During the 9 months FY '25, REC has sanctioned INR2,71,814 crores worth of projects, including renewable projects of INR79,135 crores. The details of the sanctions are available on the Slide #13 of the presentation.

During 9 months ended of December 2025, REC has disbursed INR1,45,647 crores, which is the highest ever quarterly and 9 month disbursement by REC. This signifies an increase of 19% in 9 months of FY '25 over 9 months of FY '24. As per the initial guidance by REC, the renewable disbursement has increased by 79% during the 9 months FY '25 over 9 months FY 2024.

The outstanding loan book stands at INR5,65,621 crores as at 31st December 2024, which signifies an increase of 14% year-on-year. The renewal book has also shown a good increase of 58% from last year and stands at INR52,394 crores as of 31st December 2024. We continue REC Limited

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to have pan-India presence across all the states in India and the state sector outstanding is close to INR4,98,444 crores and the private sector book is around INR 67,177 crores as of 31st December 2024.

The Our top 10 major borrowers of REC include Tamil Nadu Generation and Distribution Company Limited at outstanding of INR39,670 crores; Maharashtra State Electricity Distribution Company Limited at INR27,023 crores; Tamil Nadu Power Generation Company Limited at INR22,249 crores, Kaleshwaram Irrigation Project Corporation Limited, INR17,911 crores; Uttar Pradesh Power Corporation Limited, INR17,732 crores; Telangana State Power Generation Corporation Limited at INR17,242 crores; Andhra Pradesh Southern Power Distribution Company Limited at INR17,233 crores; Jodhpur Vidut Vitran Nigam Limited, INR15,406 crores; Telangana State Southern Power Distribution Company Limited at INR15,042 crores and Maharashtra State Power Generation Company Limited at INR14,813

crores. REC has a well diversified asset portfolio with top 10 borrowers accounting for nearly 36% of the outstanding loans. None of the top 10 borrower accounts for more than 8% of the total loan book, and there has been no NPAs in top 10 accounts ever.

Turning to the asset quality of REC. The asset quality has improved as at December 2024 and the gross NPA has come down to 1.95% and the net NPA has come down to 0.74%, primarily owing to resolution of 3 assets, which are Lanco Amarkantak, Nagai Power and Lynx with total outstanding of about INR2,778 crores. Consequent to resolution of these NPAs, the provision coverage ratio stands at 61.88% as at 31 December 2024. Category-wise ECL provisioning is also available in the presentation on Slide number 20. And just to again confirm, there is no NPA in the state sector. We have a provision of nearly 62% on the NPAs. And in addition to that, we also hold a provision of 0.73% on the standard assets. And in addition to these provisioning, we also have

reserves available in the form of statutory reserve

under Section 45IC of RBI Act and reserve for bad and doubtful debt under Section 36(1)(viii) of the Income Tax Act, amounting to INR13,134 crores and INR1,320 crores, respectively.

Our current NPAs are under various stages of resolution. There are about 13 projects under NCLT with outstanding of about INR9,543 crores with provision of 68%. While one project is also being pursued outside NCLT with an outstanding of INR1,503 crores and provision of 50%.

On the borrowing profile of REC, we continue to hold the credit ratings by Moody's, Fitch and Japan Credit Agency, as already been told, and domestic rating of AAA i.e. the highest by from all the 4 major rating agencies. The perpetual debt of REC are also rated highest, AAA by CARE and CRISIL.

The outstanding borrowings of REC as at 31st December '24 has increased to INR4,89,595 crores, which is an increase of 13% from year-on-year. We have access to multiple sources of funding with a mix of international and domestic sources to meet the business growth. We are also one of the only 4 companies which are allowed to raise low-cost capital gains tax exemption bonds.

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During the 9 months of FY '25, we have raised funds to the quantum of INR1,15,020 crores, which have been raised from across all the sectors, domestic as well as international.

Just to throw some brief light on the financial highlights for 9 months. We have recorded the highest ever 9 months FY profit of INR11,477 crores. The total income stands at INR40,805 crores, which is an increase of 18% year-on-year. The net interest income stands at INR14,191 crores, an increase of 24% year-on-year. The net profit for 9 months is at INR11,477 crores, which is an increase of 15% year-on-year. The loan book has also reached INR5.66 lakh crores, an increase of 14%. Asset quality has improved to 0.74% from 0.82%. The net worth of REC stands at INR76,502 crores, which is also an increase of 18% year-on-year. The capital adequacy ratio of REC is at comfortable 25.33% with Tier 1 capital at 22.95%. This is against the requirement of 15% by RBI. So REC is adequately capitalized. On the key ratios of REC, the yield on loan assets for the 9 months has improved from 9.98% from last year to 10.09%. The cost has remained stable from 7.16% last year to 7.15%. Consequently, the interest spread has improved to 2.94% and the net interest margin have also improved to 3.64%. The return on net worth remains impressive at 21.07%. The interest coverage ratio is fairly adequate at 1.57x and the debt equity ratio at 6.38x. The profitability statement is also given on Slide #29 of the presentation.

In the Q3, we have recorded profit after tax of INR4,029 crores, which is an increase of 23% from the last year at INR3,269 crores. For the 9 months, we have recorded total profit of INR11,477 crores, an increase of 15%. This is in line with the last year's profit of INR14,019 crores. The position of balance sheet is also given on Slide #30 of the presentation. As already informed, the net worth has increased to INR76,502 crores, an increase of 18%.

From this year, we have also given slides on the ESG at REC Limited. What REC is doing on the ESG front, the detail has been given in the presentation on Slide number 31 onwards. Just to give you a very quick details on the ESG front.

The REC ESG policy was approved by the Board in January 2023. The ESG targets were assigned for quarterly compliance in June 2023. From there on, in February 2024, the new ESG-related policies were introduced and more human rights and well-being trainings were organized. In April 2024, assessment of GHG emissions of all REC offices were completed. REC has published its first ever ESG report reference

to GRI format in August 2024. And in

October 2024, REC has committed to net zero in Scope 1 and 2 emissions. The details of the ESG-related activities being done by REC and what we have been targeting for the coming

years is also given in the presentation. With this, we are open for the question-and-answer round and the management is happy to take the questions from the investors.

Moderator Thank you very much. The first question is from the line of Shreya Shivani from CLSA, India.

Shreya Shivani: Congratulations on a good set of numbers. Sir, I have 2 questions. First is just wanted to understand the prepayment bit slightly better. So the repayment rate, what I was seeing, in the REC Limited

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distribution sector for our segment has remained elevated for the past couple of quarters. I'm assuming it's because of the RBPF scheme.

If you can help us understand whether that scheme is contributing to the elevated repayment rate that we see in the distribution segment. Also, in this quarter, it seems like the repayment rate in the gencos book, which includes the renewable, has also been elevated. So did the prepayment come from the renewable genco book? Or is it just the elevated DISCOM prepay repayments that we are seeing that has slowed down our growth in this quarter? That's my first question.

Second, we have an exposure to an Adani plant in Jharkhand, I believe, which provides electricity to the neighboring country. Sir, is there any concern that we have over there? Have we raised a provision on that asset? Or any color that you can give to us on that would be useful?

Vivek Kumar Dewangan: Thank you, Shivani, for asking a very pertinent question. You're right that revolving bill payment facility, we have given to the distribution companies. A lot of repayments have happened in respect of revolving bill payment facility. And with respect to generation, some renewable energy projects, some prepayments have happened because you know the nature of renewable energy projects. After they get commissioned in 2 to 3 years and thereafter, the promoter wants to sell off its equity and then monetize it and then go on for new projects. So that is the trend actually. You will see across all these renewable energy projects, there is a tendency to sell off this project. And with regard to Adani power plant in Jharkhand, government of India has allowed Adani Power Generation company in Jharkhand. In case there is no offtake from Bangladesh, they can sell in domestic market. However, the repayments are happening in time, and we don't see any concern with regard to repayment from this Adani power plant. I'll request Director Finance to corroborate on this repayment issues.

Harsh Baweja: Actually, you might be aware that our average repayment is around INR9,000 crores per month. So it is absolutely on the track. During the quarter itself, we have got the repayment of INR27,000 crores, which is a regular repayment. And INR5,600 crores is towards the RBPF which is again in the regular course of business. This amount is remitted by them and again, we disburse them. So it doesn't affect our loan book.

The important thing was about the prepayment, which we have got from the ACME. That is around INR2,000 crores, which is because of the fact that the company has gone for the public issue IPO. So out of their proceeds, it was mandatory for them to make the prepayment to us. So that prepayment has come additionally over the regular repayment being received during every month.

Shreya Shivani: Got it, sir. That's very useful. Sir, last one follow-up question on the disbursement trend. For the first time in your PPT, you have put RDSS disbursements. This is towards that smart metering

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program. It's a very small number, but should we expect this

segment to start scaling up from next quarter onwards?

Vivek Kumar Dewangan: Thank you so much, Shreya. You're absolutely right. What has happened that under RDSS, there are 2 components. One is loss reduction work and second is prepaid smart meters. Our capex loan, we have sanctioned, is in respect of loss reduction work. And initially, the distribution companies have utilized the government of India grant to the extent of 20%. Now the work is picking up. And we do hope that in the next year and the subsequent year, substantial disbursement will happen in respect of RDSS loss reduction work.

With regard to prepaid smart meters, this is being done by AMI SP service providers, those private players who have won the bids for installation of prepaid smart meters. They are installing in TotEx mode. So they are seeking loan from us, and we already sanctioned about INR7,000 crores loan to these prepaid smart meter operators. That also is likely to pick up in the next 2 years. I'll request Director Projects to give more color to it.

Vijay Kumar Singh: So I think in RDSS, we have done 2 types of funding. One is called counterpart funding, which is 40% remaining capex amount. 60%, you know that it is coming from government of India

grant and 40%, some of the discounts have availed now. So that funding we have done. We have also done a funding which we call, I mean, interim funding, I suppose DISCOM is receiving these grants slightly late, but they have to continue with their capex program. So we have supported them even for 60% with the condition that whenever they get the grant, they repay that.

These 2 types of funding is under RDSS, as CMD sir said that we are also supporting AMISP. We have done large projects for Gemstar, some INR4,500 crores. We have also done IntelliSmart and there are other proposals also on our debt, which are currently under evaluation. So definitely, I mean, this is one area where, in fact, we were saying this in the past that from this year onward, this particular segment will pick up. We'll see disbursement happening going forward as well.

Moderator: Next question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: Two questions. The first one is that on conventional generation. The good news there, what I see is that Mahagenco has already floated a tender even for financing of its unit 11 and 12 at Koradi. That is nearly INR10,500 crores kind of a loan requirement and it particularly suits into your kind of a borrower criteria. The question here I have is that, okay, I mean, it's a great thing that finally things are moving in state utility sector in thermal. But in that bid document, they are kind of what they have said is the interest rate under 9%. Now - and this project involves nearly kind of a moratorium of 6 years, I mean, COD plus 12 months and COD will be close to 5-odd years.

So now with the conventional thermal sector, a 6-year kind of a moratorium and under 9% yield, I mean, how does it pan out for profitability if you were to fund this one? So that is --

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and if this is the case, I mean, across the most state utilities, if they -- as and when more and more projects come for financing, then do you see kind of a pressure on your margins emerging? Because, I mean, these are conventional projects with long gestation period on moratorium.

So this is -- that is where I would like to hear your thought. Second one is more kind of on data. If I look at Slide 21, and you mentioned, including Lanco Amarkantak, there were 3 assets that got resolved. I guess there is some kind of a mistake here in your -- NCLT is still saying 13 projects where the outside NCLT is saying just one, where if I recall correctly, a

II

these 3 were kind of under NCLT. And also, if I try to use the PCR of 68% and 50% are 2 categories as given on Slide 21, the total PCR is going up. So there is something, I mean, I guess, miss here. So these are my 2 questions.

Vivek Kumar Dewangan: Thank you, Avinash. Let me first handle the second question that you asked. Out of these 13 projects in NCLT, 7 projects are heading towards liquidation actually. And the remaining 6 projects, their bidding has already completed. So that's what I want to clarify that liquidation process, it does take some time, but we have already made 100% provisioning in respect of those assets.

With regard to your question on conventional generation bidding by Mahagenco, we are evaluating this aspect actually. We are in discussion with Power Finance. Actually, normally, the conventional generation business, we share equally with Power Finance Corporation. And this specific request that in the bid document that they have mentioned, may not be feasible that we are in discussion. I'll request my Director Project to answer this question.

Vijay Kumar Singh: So sir, there's a very large pie. I mean many projects are lined up under thermal generation category, close to 50,000, 55,000 megawatt of projects that will come under state sector utility, and we are targeting close to 50% of that particular business. So we do understand that some of the business, there may be competition like in case of Koradi and what we understand in case of Koradi also that the bid is not submitted perhaps by a lender, but by a syndicator, who, in turn, will actually secure loan now arrange loan from banks.

But having said that, I mean, there are big opportunities available for us. In 1 or 2 states, we do see this kind of things happening. But then as you know that last year, we did 8,500 megawatts of greenfield thermal generation. This year also, we have done 3,700 megawatts already. And of course, we will be targeting a few more projects under thermal generation category. But the size of the business available in this particular segment is too large. And obviously, other players will definitely chip in.

Vivek Kumar Dewangan: As the central electricity authority that is taken out of the Ministry of Power, already made projection for optimal generation mix. And since renewable energy is intermittent in nature and the base load comes from the thermal power coal-based thermal power only, the country will require 80 gigawatt to about 94 gigawatt capacity by the year 2032. You know that our

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market share, REC's market share is about 20%. So we are targeting minimum 20% of this opportunity, which is going to be open for us.

Avinash Singh: Sir, the question was more that do you see these kind of projects getting funded at a 9% or under 9%? Because I mean, these are long gestation period, you have to provide 6-year moratorium. These are not renewable. So question was more on the rates. I mean, do you see these rates being kind of a viable -- and particularly, if this kind of a rate pressure comes in more and more state utility project, will that put a pressure kind of on your margins? That was the question.

And related to that also here, despite being a brownfield project, this is like the capex or rather cost envisage is like INR10 crores per megawatt. So I mean, yes, so is that the thermal power generation cost also kind of increasing kind of create some kind of doubt over the viability of the project?

Vivek Kumar Dewangan: Yes. In fact, greenfield coal-based power plant project cost has now increased about INR12 crores to INR13 crores per megawatt. But since some already balance of plant facilities are there, they have made a projection of INR10 crores per megawatt. That's correct. But with regard to pressure on interest rate, I think it will get stabilized because the expectation is that our

renewable energy projects is like that. I don't think that renewable coal-based power plant will not be able to command the same interest that REC projects are generating.

Vijay Kumar Singh: So I mean this definitely is something which we also need to, I mean, closely watch. But then this is one of the transactions. But if you look at remaining transactions, 90% of other funding, where there are no such pressures. We do expect such things to happen in 1 or 2 projects in 1 or 2 states or 3 states. But in other states, this kind of situation as of now, it does not exist. And we believe that this is a one-off transaction.

Avinash Singh: Okay. On that NPA Slide 21, just I wanted clarification because last quarter, you had 13 under NCLT and 3 got resolved. So now left after from this quarter, it is 10 under NCLT or still 13 are still under -- because your Lanco Amarkantak and 2 other you mentioned that you have already resolved.

Vivek Kumar Dewangan: Actually, what has happened that although the bidding has been completed like KSK Mahanadi, Sinnar, Hiranmaye, Bhadrashwar etcetera, but final order has not yet been issued by NCLT. That's why about 6 operating assets are there, 7 are under liquidation process. So 13 is correct figure, 13 are under NCLT for resolution.

Moderator: Next question is from the line of Shweta from Elara Capital PLC.

Shweta: Congratulations on a good quarter. Sir, a couple of questions. If we look at quarter-on-quarter basis, yields have slightly risen and this has been pretty consistent now for past 3 quarters in a row. But if I look at the mix, that has remained largely steady. So any particular asset or segment that is contributing to that? And a related question, so now we are 12% private sector REC Limited

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asset exposure, so could you just provide some color on what kind of renewable private assets we are looking at? And if any other major exposure on the private sector side? That's question number 1.

Question number 2, so just a clarification. So you mentioned in your opening remarks that the write-backs now across these 3 assets, KSK, Hiranmaye and Sinnar is around INR2,200-odd crores but earlier you had mentioned INR1,500 crores. So I also recall, you also mentioned about recoveries coming in higher. So if you could just clarify the numbers for the sake of convenience.

Vivek Kumar Dewangan: Thank you, Shweta. You're right that our exposure to state sector has come down from 89% to 88% and the exposure to private sector increased from 11% to 12%. There is not substantial increase. But a number of renewable energy projects we have sanctioned for the private sector where disbursement is going to happen in the current financial year and next financial year.

The share of private sector lending is 12%. It will gradually increase to 30% by the end of 2030. As more and more disbursement in respect of renewable energy projects takes, the share of private sector will increase because most of the renewable energy projects, which we have sanctioned are in respect of private sector.

And with regard to what kind of renewable energy projects we are sanctioning for private sector are solar, wind, hybrid solar wind projects where PPAs are already in place, the solar module manufacturing units, wind turbine manufacturing units, the storage solution, battery energy storage, pump storage projects, green hydrogen, green ammonia.

So we are covering the entire gamut of renewable energy projects when we are sanctioning and most of them are coming in the private sector. With regard to write-backs, reversal of provisioning in respect of these 3 operating assets; KSK Mahanadi, Sinnar Thermal and

Hiranmaye. In the last con call, we had mentioned that our write-backs we were expecting INR1,500 crores to INR2,000 crores. But now the bidding is over. So we come to the correct figure. So now the total reversal

I am going to be about INR2,200 crores.

Harsh Baweja: Of which, INR351 crores has already been done.

Vivek Kumar Dewangan: Yes. For KSK Mahanadi, INR351 crores has already been factored in this quarter, Q3 itself because NCLT had allowed that the amount which was lying in the TRA to the tune of at that point time INR6,500 crores was to be distributed among the lenders. That amount has already been distributed among the lenders.

Shweta: So then the Yield increase is attributable to?

Harsh Baweja: Sorry, I couldn't get your question. Can you repeat it?

Shweta: We have seen rise in yields. What would you attribute this to? Is it the asset mix or any reset in rates?

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Harsh Baweja: Actually, this is regarding the composition of the disbursement. So our generation rates are a little bit on a higher side. So the disbursement towards the generation sector have been increased, which has resulted into higher yield during the quarter itself. It is not because of the reset. It is a routine feature. That is what I'm saying.

Vijay Kumar Singh: It is largely because of the disbursement happening in a segment where we are charging a little higher as compared to other things like, for example, generation, thermal generation.

Moderator: Next question is from the line of Dipen Shah, an individual investor.

Dipen Shah: Yes. I had a couple of questions. Firstly, on the forex loans, which we have, the rupee has been depreciating quite a bit. So could you just give us some more insights on what we should expect going ahead as far as borrowing is concerned? And secondly, on the existing forex loans, which are outstanding. And the second question is, if you can just give us some color on how do you expect the NIMs to move over the next couple of years.

Vivek Kumar Dewangan: Okay. Thank you, Dipen for asking very pertinent question. With regard to your question on NIM, we hope to maintain the NIMs of more than 3.65% to about 3.7%. Going forward, we'll be able to hold on to the NIM.

With regard to forex loan, I'll request my director finance to give the detailed reply. But let me assure you that 99% of forex loan are already hedged. So there's not much concern. I'll request director finance to give more color on this forex loan.

Harsh Baweja: Sure. Our foreign loan outstanding is around INR1,59,000 crores, of which FCNR is INR43,000 crores and external commercial borrowing ECB is INR1,15,000 crores. And our 99% loans are very much hedged. And as you know that since REC has a treasury team that keep on reviewing the hedging margins, so on that basis, we are regularly reviewing our portfolio.

And in case if any remedial action is needed to be taken, that is always taken on well in time.

So again, since this is a recent phenomena, the rupee devaluation is recent phenomena. So we are working on that. And whatever the best action would be required would be taken immediately.

Moderator: Next question is from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal: Sir, first things first, I mean, while in your opening remarks, you've already spelled out the 4 projects. But if you could also give the breakup of this INR2,200 crores that we spoke about just once again, for the benefit of everyone. That is my first question.

The second thing is, sir, this 9 months of this fiscal year, if you could also give the split of disbursements and sanctions between private and public. The third and the related question to RE again is, sir, this time, we spoke about prepayments that we got from ACME and you also explained that they went for a public IPO and subsequently, it was part of their mandate to

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repay REC. If you could just help us understand how should we look at prepayments now from the REC -- from the RE book? Is it going to be elevated going ahead

as well?

Vivek Kumar Dewangan: Yes. Thank you, Abhijit. With regard to your asset resolution question, I had already mentioned that these 4 assets, KSK Mahanadi, we already got INR 351 crores reversal has already happened in Q3 because NCLT had allowed some amount lying in TRA to be distributed among the lenders and the remaining. So total recovery of loan portion is going to be INR2,596 crores. And recovery with respect to principal is going to be 154%.

The total reversal provisioning will happen in case in KSK Mahanadi to the tune of INR908

crores. With respect to Sinnar thermal plant in Nashik, the recovery with respect to principal is going to be 52.65%, and our reversal of provisioning would be amounting to about INR761.34 crores. Hiranmaye Energy, our recovery with respect to principal is going to be 82.75% and reversal of provisioning will happen to the tune of INR440 crores. In respect of Bhadreshwar our reversal of provisioning is going to be about INR42.59 crores.

Now with regard to your question on disbursement...

Vijay Kumar Singh: So sanctions, so we are generally considering private sector sanction only in case of renewable and in case of the distribution segment for smart metering which we earlier spoke about. So largely under renewable, the majority of the projects are actually private sector projects. So whereas we are also doing some renewable energy projects in the state sector as well. In INR79,135 crores total sanctions that we have done for renewable, which includes largely private, I believe 80% of it is towards private sector. But I think offline, we can provide you this breakup in the exact numbers.

Vivek Kumar Dewangan: And with regard to your question on the trend of prepayment in respect to our renewable energy projects, that is very basic nature of renewable energy projects. That will keep happening actually. It happens in respect to all the projects, actually. What is happening that the project developer, they want to monetize this is only up to the time of commissioning. After commissioning, they want to monetize their equity portion and then move forward for new projects. Would you like to add on this?

Vijay Kumar Singh: I just want to add that this is a very, very common activity. Refinancing is very active in RE space. But you might see that we are also taking over any commissioned assets from other which are actually financed by other lending institutions or finance through foreign funding. So for example, we have very recently done the INR2,500 crores of lending to ACME for commissioned portfolio, which actually was funded by foreign lenders, I mean it was funded through bonds. Now it is being taken over by us. So this is an activity which actually keeps happening.

Likewise, I mean, there are other projects also where we have taken over assets - commissioned assets in our portfolio through refinancing. So I mean this is an activity which REC Limited

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keeps happening. There are a few assets which are financed by us. They are refinanced by somebody else, but we also do the same thing. On the whole now, we have seen that it has perhaps no impact on our, on the growth of our RE loan book.

Abhijit Tibrewal: Got it. Sir, and just one small follow-up on that. Sir, while we kind of keep saying that RE majority of it is private sector projects, I mean, is the understanding correct that, I mean, despite they being private, what still gives us a lot of confidence of doing private in RE is because all of it or most of it is PPA backed? Or they have PPAs?

Vivek Kumar Dewangan: Yes. They are all PPA backed. But let me also point out that some large hydro projects also coming in renewable energy sector, that is coming in the state sector and PSP project, pump storage project are also coming in the state sector. Isn't it?

Vijay Kumar Singh: Yes. That's true.

Moderator:

Next question is from the line of Suraj Das from Sundaram Mutual Fund.

Suraj Das: Yes, thanks for the opportunity. Sir, three questions. The first question, if I look at Slide 20.

The Stage 1 and 2 PCR for the renewable segment, is showing a divergent trend between the private sector and the state sector in the sense, that if you look at the PCR for Stage 1 and 2 coverage for the state sector, it is continuously increasing for the renewable.

For the last 5 quarters, it has increased to 50 basis points to 97 basis points in this quarter.

While in the private sector, the trend is opposite. It is continuously coming down. It was as high as 1.6, it has now come down to 60 basis points. So sir, what is the driver, I mean what is the rationale behind this? So that is the first question. And then I have two more questions.

Harsh Baweja: Yes. Actually, we made provisions for minimum of 0.4%. So there are some of the other factors which affects the ECL working, which includes the extension of COD and there are market-driven factors, which is really done by our third-party consultants. We get our ECL working done by our third-party consultant. And on that basis, suppose if the things are on track, then the ECL gets reduced.

And in case some riders are not being met, then the ECL gets increase. So in case of state sector projects minimum is 0.4%, whereas it is average coming, it is around 0.75% and private sector, since most of the parameters are on track, so it is 0.55%.

Suraj Das: Okay. Understood. So, I mean, in a way, it is -- I mean the state sector is some -- what's seeing some kind of delays due to so many operational factors, hence, probably you were revising the ECL because that's what the case should be. Right?

Harsh Baweja: Correct.

Suraj Das: Understood, sir. And the second question is, sir, in terms of on the signing of PPAs in

last calendar year FY -- calendar year '24, there has been some kind of 4 to 8 months delay in various states. Something like Gujarat, Tamil Nadu, Andhra Pradesh. So what has been your experience? I mean are you seeing any kind of, let's say, delay in signing the PPAs in renewable sector?

And a related question to that is, sir, in this I think recently, the government has said that there will be no pay for the in pump power, for the generation of in pump power. So are you going to have any kind of impact because of that, or let's say what is the exposure towards the pure-play and the merchant power type exposure for us across sectors?

Vijay Kumar Singh: So normally, I mean, whenever we do funding, we do funding only after signing of the PPA and not only PPA, the PSC also by the DISCOMs. So when a project comes for funding to us, these 2 activities are already done, and we take up funding only after signing of these 2 very critical documents. There are delays in terms of signing for PPA for the contracts awarded to SECI, NTPC, NHPC with the discount. But those projects, we do not fund until the PPA is signed. So that is one.

And secondly, there are now limitations on IPPs, particularly RE IPPs for selling of in pump power. Earlier, they were allowed but recently, there's a notification that in pump power, if at all it is there, can be supplied only to the PPA off-taker. But those kinds of things, we do not generally include in our financial model.

These are incidental things they may happen, they may not happen. And as such, because of this regulation on our financing and on our financial models also, I mean there's going to be no impact because such a thing and such a scenario is not taken in to consideration while considering financing.

Suraj Das: Got you. Understood. And sir, last question. In terms of DISCO

Health, I mean, how you are seeing that in terms of DISCOM, sir, because last year, I think fourth quarter, we saw some upgrade -- rating upgrade for the DISCOMs, and do you expect something similar this quarter also in the fourth quarter of this financial year that again I mean there will be some rating upgrade on the DISCOMs because they are now doing well and hence, probably some kind of extra provision write-back coming in fourth quarter? That would be my last question.

Vivek Kumar Dewangan: Yes. DISCOM health has been improving because of implementation of RDSS because all the DISCOMs have to adhere to certain reform measures to get this Government of India grant. Again, new rating is likely to be issued in this month of February itself and some DISCOMs are likely to be upgraded. That's true because DISCOMs have been making consistent efforts to bring down their AT&C losses, to bring down government department dues, legacy dues. In all the fronts, DISCOMs are taking very proactive steps.

The tariff orders are getting issued in time. Filing of the tariff petition by November, like for the next financial year, they are supposed to file their tariff petition by 30th of November

2024. 99% DISCOMs already filed their tariff petition and the tariff order would be issued by the concerned state Electricity Regulatory Commission by 31st March.

Moderator: Next question is from the line of Nikhil from Bernstein.

Nikhil: My only question is on the renewable side. Renewables, we are facing headwinds, as was just discussed, PPAs are not getting signed, sell import restrictions have come in, transmission charges will be applicable July onwards on them. So I wanted some color. Are you seeing a challenge to meet the long-term aspiration we have for loan book growth driven by renewables, given these recent headwinds? And also, is there heightened competition for banks on the same note to participate in this space?

Vijay Kumar Singh: Yes. So delay in signing of PPA by renewable energy implementing agency like NHPC, NTPC SECI is definitely delaying our funding. So to that extent, yes, the project that we can finance, say, today, it is not, we are not able to do that because the PPA is not signed. But as we mentioned in earlier question that we are taking a funding of projects only after signing of PPA.

So non-signing of PPA is not posing any risk because we do not want a project without PPA. But delay, definitely, I mean, it will certainly have some degree of impact on our ability to finance such projects. I mean, otherwise, they would have come for funding little earlier. So -- and the second question?

Vivek Kumar Dewangan: Second was transmission charges.

Vijay Kumar Singh: So transmission charge, I mean, that is something which is already factored in. This is

announced way back in 2020 to '23 that the trajectory of transmission charges was taken into consideration while bidding for each of the PPA or I mean project, so that is something which is not going to impact because those charges earlier, it was nil. Now there's a graded manner in which transmission charge will be levied. And that particular element is already factored in by the IPPs in their quoted PPA charges, tariffs.

Nikhil: Got it. So overall, our loan book growth aspiration stays intact, you don't see a challenge due to any of these events?

Vijay Kumar Singh: I mean if you see that we are actually in terms of disbursement, we are doing quite good. In terms of sanction, also, we will perhaps be at the same level as we did last year. Last year, we did normally well. This year also, we are likely to touch the same level. And we believe that, of course, this PPA signing issue is there, but we will still be able to do same level of funding. It is largely because of one more fact that we are not dependent on this PPA signed by all these

agencies with DISCOM.

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We are also targeting some large ticket hydro projects and PSP projects. Hydro, you know that PPA signing is not mandatory in the beginning itself. So these are another area at which we are currently concentrating and this also is becoming part of our RE loan book.

Moderator: Next question is from Aagam Shah from Flute Aura Enterprises.

Aagam Shah: I just have one question. Given that we are going towards a new income tax era where gradually all the exemptions will be removed. I just wanted your view if Section 54 exemption is removed, what would -- how would that impact us? Do you think it's a probable event?

Vivek Kumar Dewangan: This, we have discussed with the Ministry of Finance also. This 54EC bond will continue. It is there because government wants that to incentivize these investors for those who are selling their real estate properties once they get capital gains, they want to save on paying this capital gain tax. This 54EC bond provision will continue going forward also. And this is the cheapest source of fund available to REC. We are paying only 5.25% interest for this capital gains tax saving bond of 54EC bond. This is likely to continue.

Moderator: Next question is Saket Yadav from India Capital.

Saket Yadav: Congratulations on the great set of numbers. Sir, just one question around the provision this quarter. So we have taken a write-back on P&L of about INR89 crores, but you were mentioning earlier that we had a reversal of about INR350 crores from the KSK Mahanadi project alone. So just wanted to understand where we have to take additional provisions, which brought down that write-back number to INR89 crores this quarter?

And just one small clarification. Sir, you mentioned earlier that on KSK, we expect INR908 crores of reversal of which INR357 crores have already been taken. So the remaining is about INR550 crores odd. Is that understanding for us?

Harsh Baweja: Yes, you are very correct that out of INR908 crores is INR351 crores has already been done. So as regards to the provisioning made during the quarter itself, it is because of the change in the PD and LGD and the incremental disbursements which have been done. But out of that, we have made a reversal of INR359 crores of KSK Mahanadi. So that one is there. And some of the reversal on this Stage 3 accounts that is Amarkantak, Nagai, Lynx and Konaseema was also there. So that has impacted result.

And there was also change in the Stage 2. There was also change in the Stage 2 from 1% to 0.5%. So that has also given this kind of treatment. So accordingly, the net figure is INR89 crores, which is coming in the books of account for the quarter 3.

Moderator: Understood. Next question is from the line of Pranav Gupta from Aionios Alpha.

Pranav Gupta: Just one question. You mentioned earlier in the call that the cost of coal, greenfield coal power plants have sort of gone up to almost INR13 crores, INR14 crores a megawatt. Is that understanding correct? Or did I sort of misunderstand what you said?

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Vivek Kumar Dewangan: Yes. We are talking about ultra-supercritical thermal power plant because new power plant which are coming, they are going to be ultra-supercritical. That includes FGD also. The efficiency factor for ultra-supercritical power plant has gone up to 46% as compared to the earlier one, which was having efficiency factor of 42%. And the FGD cost has also been included actually. That's why the cost is coming INR12 crores to INR13 crores.

Pranav Gupta: But if we exclude all of that and look at a general greenfield power plant, what would the estimated cost per megawatt be approximately?

Vijay Kumar Singh: So it all depends actually on the technology that is being deployed in terms of BTG, boiler turbine and generator.

ator. Nowadays, all the utilities are deploying this ultra supercritical technology. The capex is very high. I mean they're comparatively high. And earlier, it used to be around 8-plus FGD, it used to be around INR10 crores.

So INR10 crores has become INR12 crores, but now it all depends on what is the cost of generation. So it has this additional capex being done on ultra supercritical technology is actually yielding in lower cost of generation. So that is the benefit of putting this technology for the projects.

Pranav Gupta: Right. Basically, the PLFs get better in the new technology.

Vijay Kumar Singh: Coal consumption reduced drastically, and therefore, the cost of generation becomes very attractive as compared to other technologies.

Moderator: Next question is from the line of Neha Agarwal from SageOne Investments.

Neha Agarwal: Sir, you mentioned that solar module projects are also part of the renewable energy loan book, if I heard that correctly. So however, these projects are generally not backed by PPAs and typically, the order books that these plants would have would be of 1 or 2 years. So how are we monitoring these assets and protecting ourselves from the potential industry headwind, if there's a future scenario of overcapacity in the industry?

And also, if you can highlight what percentage of our book currently would be the module and turbine manufacturing be? And what is the typical loan tenure that we have for such loans?

Vijay Kumar Singh: I'll take your second question first. So module manufacturing, incidentally, this quarter, we have not done. But yes, we have a portfolio of close to 6 to 7 gigawatt of module manufacturing and module manufacturing, the payback period is faster, and therefore, the loan tenor is also shorter. So normally 8 to 10 years of funding we have done. We have done 7 years also in some case, but 10 years also in some case. So it is ranging between that particular thing.

And for solar, we have done close to 8,000 megawatts of solar project. Whatever funding we do, we need firm tie up of solar modules from the suppliers, Tier 1 suppliers or wherever this REC Limited

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ALMM is applicable there the firm tie-up has to be in place at the time of almost at the time of funding or before the documentation and certainly before we make the disbursements.

So I mean, that kind of risk is not there in any of our project that is financed by us that there's any issue with regard to volatility in prices of the solar module because everything is firmed up before we enter into the project and the start our funding.

Neha Agarwal: When you say firm tie-up, if I may add, that generally, these tie-ups would be for specific projects only, right? So again, the tenure would be much shorter. And while our loan tenure is about 7 to 10 years, as you mentioned. So in that, during that period, especially in the second half of it, practically, we will not have much control on the predictability of their utilization in the plant, et cetera, right?

Vijay Kumar Singh: So loan tenor, which we mentioned it was about the module manufacturing facility, but in case of IPPs, who are having the solar component, there the loan tenure is high. Generally the PPA tenor is 25 years. So all the REIAs, they are entering into PPA for 25 years, even including the state sector entities who are having this bilateral PPA with the private sector entities are also 25 years. So wherever this 25-year PPA is there, there we are lending close to 16, 17, 18 years of loan tenor that we are providing to these developers.

Neha Agarwal: Yes. So I was actually referring to the module projects only and not the IPP projects. Here, if you can, just one last point of mine. If you can highlight what percentage of the overall project cost do we typically finance? And what is the debt equity of such projects?

Vijay Kumar Singh: So debt require

ment, generally -- the debt equity is in the range of 70-30 and it goes for the top rated entity up to even 80-20. But generally, 70% to 80% of funding is around 75-25 debt equity ratio. Loan tenor, as I mentioned, for PPA around 25 years, we are giving close to 16 to 18 years of funding.

Project cost varies. Now if you see that plain vanilla solar projects are not being auctioned, what is coming as FDRE, but we have some benchmarks for each of the technologies. So for solar, the current price is close to INR3.5 crores to INR4 crores per megawatt. For wind it is close to INR8 to INR9 crores per megawatt. Likewise, for hybrid project, where we have solar also and wind also for FDRE project, where we have in addition to solar, wind battery also, we have benchmark prices with which we compare the project cost and then do the funding.

Moderator: Next question is from the line of Arjun Bagga from Baroda BNP Paribas.

Arjun Bagga: Just one data keeping question. So what would be the repayments for the LPS scheme, sir, over the last 9 months?

Vijay Kumar Singh: Yes. LPS, we have given funding ranging from 7 years to 13, 14 years. So that was dependent on the total outstanding charges payable to the Gencos. So where the outstanding is lesser, the lesser tenure is given and where the outstanding is more a higher tenure is also given and the REC Limited

moratorium is also ranging from 1 year to 4 years. I think repayment has not started in a much, I mean, bigger way.

But I think it will start in the years to come. But in some of the cases, this four years is also not completed. So even disbursements are still happening, and they are still in the moratorium period. So close to INR2,000 crores of LPS will still be disbursed each quarter by us on which there will be moratorium continuing for up to 4 years from the date of first disbursements. But I think LPS, no major repayment is happening as of now. It will start maybe from next year onwards, where the projects will complete 1 or 2 years of moratorium.

Arjun Bagga: Got it, sir. So any kind of quantum that you would have any broad numbers for the repayments for the next year?

Vijay Kumar Singh: Only for LPS?

Arjun Bagga: Yes, sir, only for LPS.

Vijay Kumar Singh: We will have to work out that particular number depending on what, I mean, the overall disbursement that we have done, but I think...

Harsh Baweja: You can take it that it's around 10 to 13 years in making all the repayments. So that is coming in the 10 to 13 years, in the equal spread on monthly basis or the quarterly basis.

Moderator: Thank you very much, ladies and gentlemen, we'll take that as the last question. I'll now hand the conference to Mr. Shreepal Doshi for closing comments.

Shreepal Doshi: Thank you, Neerav, and thanks to all participants for being part of the call. Special thanks to the management of the company for giving us the opportunity to host the call. Thank you, sir, and good luck for the next quarter, sir.

Vivek Kumar Dewangan: Thank you so much. Thank you all.

Shreepal Doshi: Thank you, sir.

Moderator: Thank you very much. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2025

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Sub: Transcript of Investors Conference Call held on May 14, 2025.

In continuation of our earlier letter(s) dated May 8, 2025 & May 14, 2025 and pursuant to

Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015, please find attached herewith transcript of Investors

Conference Call (Group Meet) of REC Limited held on May 14, 2025.

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"REC Limited

Q4 & 12-Months FY '25 Earnings Conference Call"

May 14, 2025

MANAGEMENT : MR. JITENDRA SRIVASTAVA -- CHAIRMAN AND

MANAGING DIRECTOR – REC LIMITED

M R. VIJAY KUMAR SINGH – DIRECTOR (PROJECTS) –

REC LIMITED

M R. HARSH BAWEJA – DIRECTOR (FINANCE) – REC

LIMITED

M R. MOHAN LAL KUMAWAT – EXECUTIVE DIRECTOR

(FINANCE) – REC LIMITED

MODERATOR : MR. SHREEPAL DOSHI – EQUIRUS SECURITIES

REC Limited

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and 12-Months FY '25 Earnings

Conference Call of REC Limited hosted by Equirus Securities Limited. As a reminder, all

participant lines will be in the listen-only mode and there will be an opportunity for you to ask

questions after the presentation concludes. Should you need assistance during the conference

call, please signal an operator by pressing star then zero on your touch-tone phone. Please note

that this conference is being recorded.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand over the conference to Mr. Shreepal Doshi from Equirus Securities. Thank you, and over to you, sir.

Shreepal Doshi: Thank you, Puja. Good morning, everyone. We welcome you all to the earnings conference call of REC Limited to discuss the Q4 & 12-months FY '25 performance of the company and to discuss the business update.

Today, we have with us the senior management team of REC Limited, represented by Mr. Jitendra Srivastava, Chairman and Managing Director; Mr. Vijay Kumar Singh, Director (Projects); Mr. Harsh Baweja, Director (Finance) and Mr. Mohan Lal Kumawat, Executive Director.

Without further ado, I would now like to hand over the call to Mr. Supreet Pandya. Over to you.

Supreet Pandya: Good morning, everyone. I take this opportunity to introduce to all of you with the new Chairman and Managing Director of REC. Shri Jitendra Srivastava has assumed charge of CMD REC on 22nd April 2025. He is an IAS officer of year 2000 batch from Bihar Cadre. He is a seasoned civil servant with over two decades of distinguished service across finance, power sector, education, public health and infrastructure.

He has held other several key administrative and leadership roles across the Government of India and the Government of Bihar. Shri Srivastava has served as Joint Secretary in the Department of Drinking Water and Sanitation, Ministry of Jal Shakti from January 2023 onwards.

Sir, we are delighted to have you join us, and we are confident that your expertise and leadership will be invaluable to the company's future. Sir, we firmly believe that under your able leadership, REC will continue to scale to newer heights.

Sir, now I request you to kindly provide the opening remarks to the investors on this call.

Jitendra Srivastava: Thank you so much. First of all, a very good morning to all of you, and it gives me great pleasure and a sense of privilege to sit here before all of you and discuss the Q4 as well as the 12-month financial year '24-'25 progress of REC.

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As we all know, REC is a Maharatna Government of India Enterprise, engaged primarily in non-banking finance, infrastructure finance and for public infrastructure. We fundamentally lend to the power sector, and we provide both capex and non-capex loans to state electricity boards, state power utilities, power departments and of late, the last 2 or 3 years, we have forayed into the non-power sector, and we have been funding critical infrastructure in various sectors. Just for information, during '24-'25 financial year, our sanctioned projects stand at over INR3.37 lakh crores, which is a huge and which sustains basically the momentum of the last year. We have focused on documentation and disbursements, and it gives me great pleasure to let everybody know that documentation has, of this year, has increased to INR2.07 lakh crores. Disbursements, if we look at it, have also increased on an 18% year-on-year basis to almost INR1.9 lakh crores, wherein we have a specific focus on the RE sector where the disbursement incre

ased from almost 63% on a year-on-year basis to almost INR26,000 crores. We have set a very ambitious target of touching INR3 lakh crores investment -- I mean, disbursement in the RE sector from our current loan book of roughly INR58,000 crores by 2030.

Our loan book as on date stands at around INR5.67 lakh crores, which is again roughly 11% increase over the last year's loan book of INR5.09 lakh crores. We have targeted a INR10 lakh crore loan book by the year 2030. We are aiming for a growth of roughly 12% on a year-on-year basis, considering our previous track record, our current state of investments and the huge growth that we foresee in the power sector in the years to come.

This year, we have received prepayments of almost INR15,000 crores in quarter 4 of '24-'25, which is in addition to the roughly INR20,000 crores prepayment that we have received in the first 9 months of the '24-'25 year. Had the prepayment not been received, the growth in our loan book would have been close to 18% on a year-on-year basis.

So I would like to now announce the key financial highlights that we have achieved this year. First of all, it gives me the greatest pleasure to announce that REC has recorded its highest-ever annual profit of INR15,713 crores, which is a growth of 12% on a year-on-year basis. The net worth of the company has increased by almost 13% to roughly INR78,000 crores. The total income of REC has grown by almost 20% and is touching roughly INR56,000 crores. The net interest income, if you look at it, has grown by almost 27% and is touching almost INR20,000 crores.

During the last quarter, quarter ending 31st March 2025, we resolved 2 stressed assets totaling

almost INR3,400 crores. That was KSK Mahanadi and Corporate Powers. As a result, our gross credit impaired assets have come down to 1.35% as against 2.71% last year. Also, the net credit impaired assets have reduced to 0.38% from almost 0.9% last year. We hope to continue this trend, and we are very hopeful that we'll become a net zero NPA company by the end of '25-'26. The yields on our assets has improved to 10.05%. The cost of our funds stand at around 7.11%, and our resultant spread is at 2.94%. The NIM or the net interest margin has improved to 3.63%, which is an improvement of almost 6 basis points with regard to last year. And we are very

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confident that we will maintain the spread in the range of 2.75% to 3% and the NIM in the range of 3.5% to 3.75% for the coming year.

We have a very comfortable capital adequacy ratio. We are standing at a very comfortable 26%, in which our Tier 1 is roughly 24% against the RBI capital adequacy requirement of 15% and Tier 1 capital of 10%. So this high capital adequacy ratio provides us an ample cushion to support future growth.

We have been continuously rewarding our shareholders in the form of dividends. And it gives me a lot of pleasure to announce that this year also, we have declared a final dividend of INR2.60 per share, indicating a total dividend of almost INR18 per share for the financial year '24-'25, which is a growth of almost 13% compared to the previous year total dividend of INR16 per share. If you look in overall terms, the dividend payout for the company stands at INR4,740 crores, which is in comparison to roughly INR4,000 crores of dividend that we disbursed last year.

The reason why I'm so hopeful about the future growth of REC is because the fundamentals of the power sector continue to improve, and that is very good news for the country as a whole. The legacy dues of the generation and transmission companies, which stood at INR1.35 lakh crores roughly 3 years back, has reduced to nearly INR25,000 crores. The ACS-ARR gap has reduced to INR0.39 per kilowatt hour. Tariff orders of almost all DISCOMs are in place. The regulators are issuing timely tariff orders, barring maybe 2 or 3 states.

The Government of India

the Ministry of Power has embarked on a very ambitious reform-based and result-linked revamped distribution sector scheme, which was launched in 2021 for supporting DISCOMs and to make them more financially viable and to undertake reforms across that very complicated sector. Here, again, REC is playing the role of a nodal agency, and we have been assigned 19 states and union territories covering 32 DISCOMs for overseeing and monitoring the implementation of the RDSS scheme. Of these, action plans have been approved for 18 states, 26 DISCOMs. And we are very hopeful that the sufficient or the substantial gains in the RDSS sector will allow the investments to really flow in this sector.

For information of all concerned, REC is also the National Program Implementation Agency of the very ambitious Government of India's PM Surya Ghar: Muft Bijli Yojana, which is fundamentally a rooftop solar scheme, which was launched in February 2024 for installation of almost 1 crore rooftop solutions with a financial outlay of almost INR75,000 crores. It targets a generation of almost 1,000 billion units of renewable electricity from the installed capacity, which will reduce CO2 emissions by almost 720 million tonnes over the 25-year lifespan of these rooftop solar projects.

So as on date, against this 1 crore, roughly 51 lakh consumers have applied under the scheme, out of which installation has been completed in around 25% of the total applications received so far. That comes to roughly 12.5 lakh households. And the subsidy that has been promised under the scheme has been released to roughly 70% of the total beneficiaries who have finished the scheme or who have applied it.

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REC continues to hold the highest domestic rating of AAA and international ratings, which are at par with the sovereign rating of India from various credit rating agencies. We have constantly endeavored to diversify our investor base, open more funding options and reduce the cost of our borrowings. And in this regard, recently, in September 2024, we tapped the U.S. bond market and successfully raised close to US\$500 million from the 144A bonds at a very tight spread of 127.5 basis points over the U.S. Treasury.

We also tapped the domestic zero coupon bond market and raised close to INR5,000 crores at an interest rate of 6.25%. These results were achieved despite a very charged geopolitical environment and heightened competition. This gives us even more pleasure. REC's

achievements over the past more than 5 decades of operations have been very crucial in shaping India's power sector.

We have not only eliminated rural homes and promoted renewable energy adoptions, but our various diverse initiatives have empowered communities, we have strengthened the economy and paved the way for a sustainable future.

Our CSR initiatives are unique and are aimed to really contribute and identify those core people in our country who are really taking very strong steps to provide innovative solutions. We will continue to play a significant role in the government's overall objective and our dream of making a developed nation by 2047. And the Honorable Prime Minister's vision to make the power sector self-sufficient, we see ourselves as playing a very pivotal role in funding India's future ambitions in the power sector.

As I conclude, allow me to extend my heartfelt gratitude to the Honorable Minister of Power, Honorable Minister of New and Renewable Energy, the Honorable Minister of State for Power and New and Renewable Energy as well as Secretary Power. These personalities have been instrumental in guiding us, in supporting us and motivating us to pursue higher standards of excellence and delivery.

I am confident that with my very, very competent team and more than 50 years of excellent performance in the power sector, we will continue to play an important role, and I look forward to a v

ery good investor call today, and best wishes to all of you. Thank you so much.

Supreet Pandya: Thank you, sir, for the opening remarks. I shall now quickly take you through the investor presentation. Just to remind you all, this presentation is also available on the website of REC and has also been uploaded on the Stock Exchanges, BSE and NSE.

This presentation has been divided into 6 broad areas, which is REC overview, operational performance, asset quality, borrowing profile, financial highlights and the ESG initiatives taken by REC. As you know that REC has a long history of more than five decades. Recently, we have been appointed as a national program implementing agency for PM Surya Ghar Muft Bijli Yojana. We also issued our maiden yen bonds i.e. JPY bonds of JPY 61.1 billion and a USD 144A foreign bond issuance of \$500 million in the year 2024.

REC has various key strengths, some of them being that it is a Maharatna company, which is the highest coveted status that any public sector enterprise can get, and it is a strategic player in the REC Limited

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Indian power, infrastructure and logistics sector. REC has a diversified asset base with robust access to diversified funding sources. REC occupies strategic position in the growth and development of the power sector, and it is a major player in the renewable energy segment and creation of India's green energy corridor.

The healthy asset quality with adequate provisioning coverage ratio of REC is one of its key strengths. REC has strong fundamentals and profitable business with stable margins leading to strong profitability. REC continues to enjoy the highest domestic credit ratings of AAA from all the 4 major credit rating agencies of India, which are CRISIL, CARE, ICRA and India Ratings. We also hold the international ratings of Baa3 and BBB- from Moody's and Fitch, respectively, which are at par with the sovereign rating of India. Additionally, we are also rated BBB+ by Japan Credit Rating Agency for the most recent yen bond issuance of REC.

We are the nodal agency for major flagship schemes of Government of India, such as RDSS, Saubhagya, Deen Dayal Upadhyaya Gram Jyoti Yojana, Rooftop Solar Scheme, etcetera. REC has an experienced management team, which has high sector expertise.

As you know that REC forayed into infrastructure sector in the year 2022, by virtue of which REC can fund to various sectors of infrastructure, such as metro, port waterways, airport, oil refinery, roads and highways, IT infra/fiber optics, steel infra, health sector, etcetera.

Just to take you through the shareholder outlook, as at March 31, 2025, PFC, which is the promoter of REC, continues to hold 52.63% of the equity share of REC. The foreign institutional investors hold 20.48%, and the mutual funds hold almost 9.24% of REC. The FPIs and the FIIs have continuously reposed faith in REC and have consistently held more than 20% in REC's paid-up capital since the IPO in 2008.

As already informed by CMD sir, we continue to incentivize our shareholders. And in that process, the Board of Directors have recommended the final dividend of INR2.60 per share, which is subject to the approval of the shareholders of the company. By virtue of this final dividend, the total dividend declared for the financial year 2024-'25 amounts to INR18 per share, which is 180% on the face value of INR10. The earnings per share of REC for the financial year 24-25 was INR59.55, and the book value per share reached to almost INR295.

REC has won various awards and accolades in its history, the most recent being the Gold Shield Award under the Financial Services Sector Other than Banking and Insurance category by the

Institute of Chartered Accountants of India for the financial year '23-'24.

Just to take you through to the operational performance of REC. REC has sanctioned close to INR3.37 lakh crores of new projects in the financial

year '24-'25, out of which the renewables

continue to be the dominant force and were 31% of the total sanctions that were made by REC.

The infrastructure and logistics sector projects were 13% of the total sanctions.

On the disbursements front, REC has made the highest-ever disbursements in a financial year of more than INR1,91,000 crores, which is a growth of 18% year-on-year. The renewables saw

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growth of 63% year-on-year and disbursement of INR26,000 crores in the financial year was also there.

The outstanding loan book of REC has increased to INR5,67,000 crores, which is a growth of 11% year-on-year. REC has been consistently increasing its share in renewable energy, and the overall loan book now stands at 10%. The infrastructure and logistics sector continues to be high and is at 12% of the overall loan book. The state sector occupies 87% of our total loan book and the private sector, 13%.

Now taking you through to the asset quality. The asset quality of REC has been continuously improving, and the gross NPA have reduced to 1.35% of the total loan book and the net NPA at 0.38%. During the year, 5 projects aggregating to almost INR6,000 crores have been resolved.

On the remaining NPAs, the provision coverage ratio stands at healthy almost 72%. And just to remind you, there is no NPA in the state sector and on the state sector also, the ECL provisioning as per Ind AS methodology of 0.93% has been created.

We now have 12 projects under NPA, out of which 11 projects worth INR6,000 crores are being pursued through NCLT with 77% provisioning, and remaining 1 project of INR1,500 crores is being pursued outside NCLT with 50% provisioning.

On the borrowing profile front, the total outstanding borrowing of REC has reached to almost INR4,88,000 crores, of which foreign currency borrowings constitute 33%. Just to remind you all, almost 99.8% of these foreign currency borrowings are hedged. These foreign currency borrowings allowed us wider investor base and thus reduces reliance on only domestic sources. REC is also 1 of the only 5 companies who are allowed to raise low-cost capital gains tax exemption bonds.

The financial highlights has already been given by CMD sir, so I'm not touching them again.

Just to take you through the key ratios, the yield on loan assets of REC has improved to 10.05% from 9.99% from last year. The cost of funds have reduced to 7.11%. The net interest margin has also improved to 3.63%. The return on net worth stands at a handsome 21.46%. The interest coverage ratio is comfortably placed at 1.58x and the debt/equity ratio at 6.29x.

During the last quarter of '24-'25, REC has recorded a profit after tax of INR4,236 crores; and for the financial year, the highest-ever annual profit of INR15,713 crores, which is a growth of 12% from the last financial year.

Just to quickly take you through to the ESG initiatives taken by REC. REC has taken significant steps on the ESG front, the most recent being in January 2025 where REC has started stakeholders' ESG assessment of private borrowers and the suppliers. REC is strategically lending for a sustainable future, which is focused on green infrastructure financing, demonstrating its unwavering commitment for Panchamrit goals and fostering environmental sustainability.

For India's energy transition, REC, being the stepping stone, has tailored its lending strategies to align with nation's commitment towards harnessing clean and green energy sources. In the process, REC has already supported almost 52,700-plus megawatt projects in clean energy. The

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highlights of ESG performance in financial year '24-'25 is also available on Slide number 33 of the presentation available on the website of REC.

With this, I shall now conclude the presentation and open the round for the Q&A. Thank you.

Moderator: The first question is from

the line of Shreya Shivani from CLSA.

Shreya Shivani: I have two questions. First is, thank you for sharing that the ex of prepayments, the loan book growth could have been at 18%. I wanted to understand that the repayment rate being elevated is very much a function of those RBPF loans that we had given out, which will continue for

another year. So what is our outlook on disbursement growth? It was 18% this year. What would it be in FY '26? How elevated do we expect the repayments -- prepayments to be and, thus, where our growth outlook would be? That's my first question.

My second question is on the renewable energy projects. We have been hearing of the PPAs not getting signed and there's been a slowdown with the DISCOMs, etcetera. What is an update over there? Has there been some intervention to smoothen the process? If you can give some color on that.

And sorry, one more question, third question is, if I see your Stage 1 and 2 provision coverage ratio, while it has been increased on the DISCOM book that was expected, it has also been increased on the private renewable book as well. That used to be about 60 bps in December '24, that has been raised to 132 bps. So can you help us understand, is there any stress or any reason to be concerned about the private renewable book that we've raised the Stage 1 and 2 PCR over there?

Harsh Baweja: Yes, Shreya, that is regarding the repayment and the disbursements, as you know, that REC has given an exponential growth as far as the disbursements are concerned. It has increased from INR90,000 crores to INR1,50,000 crores and then to INR1,91,000 crores. And this year, again, we are expecting, provided the market conditions are there, then we are expecting that our disbursement should touch around INR2 lakhs to INR2,10,000 crores during the year itself. As regards to prepayments, that will continue to be on the same lines, and we expect that approximately INR1 lakh crore of repayments generally becomes due in the year, and it will be on the same trend. Regarding the prepayments, yes, this year, we have received the prepayments of around INR34,000 crores, of which around INR22,000 crores were from the RBPF, in which the scheme itself states that anyone having the surplus of the money can repay the amount and that, again, they can take the disbursement. So the disbursement and the prepayments both are flowing in the same way.

Similarly, sum of around INR12,000 crores have been prepaid by some of the agencies. Yes, those prepayments were there, and some of them were expected and some of them were not anticipated. And out of this which that Adani has made the prepayment of around INR1,800 crores, which were mainly because of some exposure issues were there. They have taken the further exposure from REC by prepaying this debt.

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Similarly, ACME has prepaid the amount that was the mandate given through their public issue, which they raised during the year itself. As per their prospectus, they had to prepay the amount. And once they raised the money from the market, they prepaid the amount. Yes, MSEDCL has made the payment of around INR3,700 crores. That was perhaps they have made some other arrangements have been made.

You will understand that REC is a financial institution. Prepayments and the repayments are a regular phenomena. Anyone who understand and who knows that they can get cheaper funds from the market, they used to do the same thing. What we are doing as far as my borrowings are concerned, during the year itself, I have made the prepayment of around INR17,000 crores to my bankers, where my borrowing rate was higher. And I have replenished the same with a lower cost of funding. So this is a regular phenomena. I think we should not be afraid from these kind of things to happen. But yes, my policies are there not to encourage any kind of prepayments are there. That policy are still there.

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ijay Kumar Singh: With regard to your renewable PPA not getting signed, the query was regarding that. So as far as REC is concerned, we are taking up only those projects for funding which have already signed PPA. So PPA not signed is not a risk to REC. But yes, there are issues in terms of signing of PPA. The renewable energy implementing agencies, NTPC, NHPC, SJVN and SECI, they have conducted bidding.

And we understand that close to 40, 50 gigawatt of bidding concluded in the last year needs PPA to be signed with the DISCOMs. And I think this is an ongoing process. Sometimes it does take time in the distribution companies to come forward and sign the PPA. Every DISCOM has a defined renewable purchase obligation.

So sooner or later, we have seen in the past also sometime, this gets accumulated and the number looks elevated. But I think in due course of time, things get sorted out. So that is something which list to the sector. But again, let me say this one more time that we take up funding of a project only when the PPA is signed, so as such, no risk in our book.

Harsh Baweja: You have asked about the private sector increase in the ECL. That was on the trend and no new NPA has happened, except the Bhavnagar, which happened in the Q3 of FY '25. And that was a very insignificant amount that out of total loan book of INR5,66,000 crores, that is around only INR13 crores. And for that, we have already started the resolution process, and we have filed a

case in the NCLT. And perhaps we expect that in the next 2 quarters, that will be resolved. The account which have elevated the provisioning in the private sector, that was mainly of the Alaknanda. There, some of the rating of the company and the promoter was degraded from B to C, and C- has attracted the extra provision.

So because of that and similarly, one of the project, which was in the public sector that has been bought by some private sector company, that is the Teesta Urja. So on that, we have to make the higher provisioning of that. Rest all, absolutely on the track. Nothing extraordinary things has happened as far as the private sector provisionings are concerned.

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Shreya Shivani: Got it, sir. So just one follow-up. So the disbursal number that you have given and expectation of elevated repayments, does -- it looks like we will only be able to do about 12%, 15% growth next year also, right, AUM growth?

Harsh Baweja: Yes, we expect so. It should be around 12%, plus/minus 1% or 2%, you can take it up. And you can understand that we have given you target of around INR10 lakh crore loan book by 2030.

So somewhere, it may be 11%; somewhere, it may be 13% in the years to come. But if we take average growth of 12%, then it should touch INR10 lakh crore by the year 2030. It's, in fact, what we had given the guidance earlier.

Moderator: We will take our next question from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal: So first thing, just trying to understand, out of these 12 projects that we now have under NPA, I mean, have we shared some projects which are in advanced stages of resolution and which could potentially get resolved in this year? Why I ask is during your opening remarks, you also shared the fact that we would look to get to net zero NPA by the end of this fiscal year. So if you could just help us understand some of the projects which are in advanced stages of resolution, and what is the progress in each of those projects?

Harsh Baweja: Sir, as regards to the NPA assets, you know that at the beginning of the FY '25, that is on 1st April '24, there were 16 projects which were to be resolved. Out of them, we have resolved 5 projects in the year '24-'25, that is Nagai, KSK, Lynx, Amarkantak and Corporate Power. There, we have a recovery of around 71%.

1 more project had been added, which I have just mentioned about the Bhavnagar. So 11 plus 1 became 12.

2. So 12 projects are to be resolved, and we are sure that these projects will be resolved by the end of Q4 '26, of which the major projects are Sinar project, second is Hiranmaye project, third is Bhadreshwar and the fourth is TRN. So out of that, if you see that we have already filed IBC case in respect of the 6 projects. And one is under restructuring, that is TRN, and 5 are already in technical write-off where we have already made a provision of 100%.

So we can expect a good amount of recovery out of the projects which are under the IBC, that is the Sinar, Hiranmaye and one more project, Bhadreshwar project is there. There, we can expect a good recovery. So I am expecting that around INR800 crores to INR1,000 crores will be recovered in the FY '25-'26.

Abhijit Tibrewal: Got it, sir. And sir, the other thing I wanted to understand is while we've spoken a lot about these prepayments and the fact that some of these happened in the normal course, but in a declining rate environment, I think banks will be much more aggressive in kind of trying to get some of these projects that you have financed today. So I mean, what are we trying to do around it? Basically, I think you spoke about some retention schemes or retention policies that you have in place. But I mean, beyond the RBPF, I think in a declining rate environment, otherwise also, there is going to be that pressure which will be there on the rundown in the book, the prepayments. So what are we kind of trying to do to address that?

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And the last question that I had was again on the RE side. Sir, obviously, I mean I think Gensol was a one-off example of maybe misgovernance. But just trying to understand, on the RE side, how are you looking at things? Is there a case to believe that maybe in the next 12 to 18 months, we could see more such issues coming out of the RE sector?

And sir, I also explain why I am kind of questioning that, in the past, whenever we spoke about stressed assets in the thermal sector, we have always prided that there were no stressed assets in the state sector. Large part of it were in private. But if you look at the RE side today, right, large part of the financing that has happened on the RE side is predominantly private in nature. So what are your views on the RE financing and how asset quality could evolve over the next 12 to 18 months?

Jitendra Srivastava: Yes. Thanks for the intervention. I'll just -- yes, I would like to appreciate that you have rightly pointed out that we are in a declining rate environment. And the high interest rates that one could normally charge in the earlier years are no longer available. We must also realize that the liquidity scenario in the economy has loosened up further with the repo rates coming down. I think we can expect interest rates to only go southwards.

Having said this, we are very conscious of the fact that we have been fundamentally involved in the power sector for a long time. We have unique capabilities and unique perspectives with regard to the power sector. Fundamentally, we are looking at 3 or 4 major interventions.

Number one, we are really going to incentivize the construction part of the project finance. As on date, generally there are no incentives in place for any player, whether it is a state player or a private player, to incentivize early completion of projects. So that is one area which we hope to target in the days to come. The second is the option of refinancing. The option of refinancing, once scheduled, COD has been achieved. That is another option that we are looking at. We are also looking at streamlining and liberalizing the ease of doing business with respect to our guidelines. I think a combination of all these 3 parameters will make an interest rate reduction an irrelevant consideration.

I'm hopeful that once our guidelines have been further liberalized, once our incentive mechanisms have

been put in place, people are not going to look at interest rate advantages.

Rather, they will look at ease of doing business because as we know, there are a lot of imponderables in the power sector, and there are a lot of risks in the power sector with regard to project completion, the nature of constructions, the huge investment involved, the various risk factors which sometimes one cannot plan for.

I think REC is uniquely placed with its past profile, with its expert entity appraisal process, I think the interest rate consideration may not be very relevant in the year to come. I'll now request my colleague to answer the issue with regard to the RE side.

Harsh Baweja: As regards to RE sector, you will appreciate that our rates are already most competitive rates in the market and in all the segments, that is whether generation, transmission and distribution are concerned. So since we have a competition with directly with the banks, so our rates are already competitive.

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And there, we have the policy also that we give a post-construction, post-completion discounts also. And perhaps we are yet to see a phase where our projects are being refinanced by the banks. So that case is still not coming to us. But yes, we are keeping ourselves ready for the threats in the near future also. So we'll continue to keep our rate of interest competitive.

Similarly, that to supplement that, how to meet this lower declining interest rate scenario, we are also focusing on the low-cost raising the funds. Recently, we have raised the institutional bonds at 6.86%, which is the cheapest source of funds available in the domestic market currently. And we could raise the funds at cheaper rate as compared to our peer companies, that is HUDCO and PFC and all that. So we are focusing on that.

Similarly, as regards the why one should come to REC, there is a sectoral limits where the banks have the limitations. Banks have to fund to all the sectors. So there, they have the sectoral limits, so they cannot go beyond that limit for the power sector. Like REC, since we have been in this business for the last 50 years or so, we have offices in almost all the states. There, we have the direct connect with the borrowers.

So those borrowers, they understand our system, we understand their systems. Our services are much better in servicing to all, whether be it the renewable sector or the state sector. So there, we have the upper edge. And that is why we get continuous business, and that is why our sanction and the disbursements growth are happening for the last 4 to 5 years.

Moderator: The next question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: So a couple of questions. First one on AUM growth. So as you rightly said, I mean, these prepayments are part and parcel of the business. Now if we were to look at in this backdrop, the biggest drag right now in AUM growth is distribution-led asset. Now here, my question is that, okay, considering all the schemes, some picking up, some maturing, how do you see this -- the distribution-led AUM to grow?

Because last year, it had grown at 2-odd percent only. So how do you see over, say, next 1 to 3 years, how this distribution-led asset will grow eventually, I mean, if the RDSS were to pick up, PMC, so most of it was not to pick and some schemes were to mature?

And related to that, coming to thermal, thermal has done okay last year, I mean, despite some resolution impact of 3%, it has grown at 8%. Now if we were to look at the NEP 2032, now the idea is 95 gigawatts of thermal, out of that probably 35, 40 gigawatts will come from a state. Now given that gestation period of nearly 6 years for thermal project, more or less, if we are

really serious about this 95 gigawatts, the planning to execution should start in the next 1, 2 years.

Now in that context, can you give idea that, okay, which are the sta

te utilities who is going to

contribute a large part of this 35, 40 gigawatt that is going to come in the state sector? And what is the kind of visibility here because the thermal growth will again be key for your renewables particularly? So the first question, that thermal growth and distribution.

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Second, when it comes to your profitability, I mean, some of the projects there will be -- I mean, the interest rate is declining. And also, there have been some noise around your estate-related project, you charging higher interest like a Kaleshwaram project.

And once those kind of rate negotiations happen, probably there will be some pressure on your NIMs. And also this credit cost will start to see a more normal as we go past this recovery phase. So how do you see kind of your NIMs and ROAs to be kind of trending, say, after FY '26?

Vijay Kumar Singh: So I think on your first question regarding the distribution-led repayments, let me clarify that particularly in this year, we have seen that there are certain repayments, which are actually not expected because in some of the case, the state governments, and we are seeing this trend for the last 1, 2, 3 years, the state governments are now supporting DISCOMs. And this particular support comes in the year-end. So February, March is the time when such support comes.

Now in case of, say, for example, Chhattisgarh received some state support, close to INR2,000 crores, and then they made that particular repayment using that because otherwise, it doesn't make sense for them to keep the money idle at their end. So such repayments have also happened.

Let me be very specific that in our distribution segment, other than RBPF, there is nothing else which is actually making these repayment things happen. RBPF, the product itself is designed in a way that there is a facility available to the borrowers in which they can make prepayment at any point of time. But we are seeing that regular disbursements and repayments are happening, apart from some INR5,000 crores to INR10,000 crores, which is happening particularly in this particular year.

Thermal in the state sector, you know that central sector like NTPC, NHPC, they raise funds for their projects on their own. But the state sector, we are the key financiers for them. And we are looking at this generation sector very, very closely. So wherever the project is ripe and needs financial closure, we have done the sanction. We have done sanction in case of Haryana; Rajasthan, 2 projects; Haryana, 1 project; MP, 2 projects; Maharashtra, 1 project; DVC, we have done 2 projects.

Likewise, whichever project is available and needs financial closure, we have given the sanction, and there are some issues around terms and condition interstate. That discussion is undergoing currently. So we are going to target this particular state generation sector very, very aggressively.

Harsh Baweja: Yes. I'll supplement to what Vijay sir had just mentioned, that there are some other projects like the Bihar is coming with 2,400 megawatt project. MP is coming with a 3,200 megawatt project.

Similarly, in the private sector, if you see, that Lanco has been won by the Adani. So there may be some expectation that Mahan is going for the expansion. JSW is going for the West Bengal expansion, that is 1,600 megawatts. Essar Power is going for the 1,600 megawatts.

Similarly, in the transmission projects, if you see the TBCB projects, there is an ample opportunity around INR1.1 lakh crore business to come in the next 2 to 3 years. And in the last year itself, RECPDCL and PFC subsidiary have sanctioned 45 TBCB projects of around INR55,000 crores, so of which we expect that the major chunk will come to REC.

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And similarly, there is a smart meter project scheme, 11 crore smart meter projects have been awarded to various MISP agencies. And

that cost around INR45,000 crores to INR50,000 crores, of which we are expecting that a good amount of business will come. So that will keep our book growing at the same pace at which we are anticipating.

As regards to the NIM and this spread, that our NIM is at present 3.63%. And we have already mentioned that it will be between the 3.5% to 3.75%. Similarly, the spread, that would be between 2.75% to 3%. So we'll continue to maintain. We have already mentioned that we are resorting to some of the cheapest cost of borrowing. And our Board itself is competent or authorized to fix the interest rates. So our card rate is fixed by the Board itself.

So keeping the margin intact, we fix the price and that need to be competitive. As you know that in the next 5 to 7 years, 80-gigawatt generation capacity is to be added. And there, we get the best of the yield. Our generation interest rate as of now is 10% to 11.5%. So that will contribute to the growth and to the NIM also. Similarly, infrastructure project may also contribute to the NIM and the spread also. So these are our strategy on which we'll work.

Moderator: We will take our next question from the line of Ashlesh Sonje from Kotak Securities.

Ashlesh Sonje: First question is on the Telangana state exposures. I see that you have an exposure to the Kaleshwaram project, another power generation company and another power distribution company. Which of these are in NPA or SMA today? And any other Telangana state accounts which are in SMA or NPA apart from these 3?

Harsh Baweja: Sir, Kaleshwaram and TSWRIDC, both are in the Stage 2 assets and are standard. Some of the AP DISCOMs are in Stage 2. You know that somewhere there may be some administrative delays. You know the working of the government and sometimes they don't get allocations from the center on time, and some budgetary supports are also delayed. And that is why they have slipped from Stage 1 to Stage 2.

And wherever they have slipped to Stage 2 or the delays are there, we have been charging delayed and penal interest from these assets. They have been regularly making the payments and we don't foresee any kind of difficulty in realizing our debt.

Ashlesh Sonje: Okay. And any status on the resolution of these exposures? Can there be a haircut here? And any plans to consolidate these exposures with a few lenders?

Harsh Baweja: We don't think so that it will be in the same fashion and the style in which it has been going, I don't think that we are going to restructure these loans or there should be any haircuts on these loans and these are secured against the government guarantee also.

Ashlesh Sonje: And no plans to consolidate them, right, with any specific lenders?

Harsh Baweja: No.

Ashlesh Sonje: Okay. Got it. And secondly, just another question on the...

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Moderator: Sir, sorry to interrupt you, but we request you to rejoin the queue for follow-up questions. The next question is from the line of Shweta from Elara Capital.

Shweta Daptardar: So I'm again dismantling the growth levers, both on the thermal and the distribution side. A few things might be repetitive. So on the thermal side, while there is no second thoughts about the funding opportunity, especially also given the fact that greenfield projects have become costlier, but the problem is about the implementation and the execution delays. So when do you see thermal coal generation disbursements sort of coming to us in a manner that it would drive the loan growth for us? Point number one.

Second, on the renewables side, again, you mentioned and touched upon the interest rates, and that's fairly known. But now there is question about quality of renewable projects that are coming to fall. So while state exposure has decreased, there has been growing number of private sector renewable projects, 1 or 2 we already have seen sort of hitting the bottom. So on the renewables side,

have things changed for you in terms of being selective or on the underwriting side, that's part of renewables?

Third, on the distribution side, so while RBPF has been holding up our loan growth, so in Q4, the sanctions towards RBPF were huge. Now is this a Q4 phenomenon? Or this is something like, okay, look, now RBPF is completely behind. And now that the implementation of government capex is picking up, so RDSS disbursements on the distribution capex side will sort of pick up on a larger scale in '26 vis-à-vis FY '25. Also on the distribution side, because RDSS and LPS are towards their sunset clause year, so will we see tapering of disbursements from the distribution side going forward beyond FY '26-'27? And therefore, finally, what are the levels to this 12% to 13% growth? Yes, that's all from my side.

Vijay Kumar Singh: With regard to thermal growth, we mentioned earlier that we have already sanctioned multiple projects, which were available for financial closure. And then our final discussions are going on. In fact, you know this that states implement project only after they finalize major projects. Major projects means BTG projects and balance of plant projects. And then only they take up the initial site activity also in which the funding starts.

All these projects have been sanctioned in the past 1 - 1.5 years. And then in majority of the projects, now the EPC is almost decided, and we are also at the verge to finalize the terms and conditions to get going on these projects. We still have left a number of projects and particularly in the joint sector where we still have not started funding because the budgets are still not ripe enough. Those projects will also come our way and joint sector with central sector agencies and state sector.

Normally, if you have seen in the past that these projects, the central sector companies do not

expose their own balance sheet, rather, they rely on the balance sheet of the JV company. And those JV companies, traditionally, they also avail loan from institutions like us. So that also is going to be a mega opportunity for us in times to come.

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Thermal, as I mentioned, that now since majority of EPC contracts and the major contracts are getting concluded, and we believe that in this current financial year, there will be substantial growth in terms of disbursement, capex disbursement in thermal segment.

Regarding renewable energy projects, of course, interest rates are so competitive. I mean, we can compete with any bank in this particular segment. And therefore, you might have seen that we have done a large number of project sanctions. In the past year, we did INR1,35,000 crores. This year, we did INR1,07,000 crores. In the current year, we are targeting close to INR1,50,000 crores of sanctions. And earlier sanctions are now converting into disbursements also. We have been saying this that we are very, very particular about the quality of asset. And as I said, that we take up the project for funding only when the PPA is signed, not alone PPA, but there are other critical factors like open access is also one of the major issue which causes financial stress in the early stage of the RE project. So we are very, very critical that all the critical things are available to the project like PPA, open access, evacuation system, then only we take up the project for funding.

The stress that you are talking about in the RE is about 2 very small projects. One is for 1 megawatt; another is, I think, 5-7 megawatts. And these were sanctions maybe some 10/12/15 years back. And they traditionally had the issue of PPA, realization of some tariff-related issue also and realization of revenue and therefore, they become NPA.

Other than those, everything else is actually going on very well, and we are actually witnessing that the credit rating of these assets is also improving. You know that we now have LPS

in place.

And therefore, no project is actually seeing the delay in receivables. These are on time, and therefore, there's a remarkable improvement in the credit ratings.

Regarding disbursement in the distribution segment, LPS got over maybe 2/3 years back. RBPF sanctions, you mentioned that Q4, there's no sanction. In fact, in RBPF one sanction is actually valid for 5 years, so whatever sanctions we did maybe two years back, it is still valid for another three years. What we sanctioned last year is still valid for next 4 years, likewise. So RBPF sanction is not an issue. We are targeting RBPF disbursement close to INR80,000 crores to INR90,000 crores in the current financial year.

And the capex-led disbursement will definitely improve this financial year because RDSS, the grant component is also almost getting over. And now the states will actually be required to put the balance 40% as 60% is grant, which is now almost coming to the end. The balance 40% is the opportunity available to us and we have sanctioned a large number of projects for counterpart funding. So those disbursements will also kick in very soon. And I think we would start seeing them in maybe Q1 itself and certainly in Q2.

Moderator: We'll take our next question from the line of Nilay Dalal from ITI Mutual Fund.

Nilay Dalal: I have one question with regards to the borrowing for FY '26. The current borrowing stands at INR4.88 lakh crores. I would like to understand what would be the expected borrowing for FY '26, along with this bifurcation of how much would be the domestic borrowing and how much would be the ECB?

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Harsh Baweja: As you know, this time, our total borrowing is around INR4,88,000 crores, of which INR1,66,000 crores is from the external commercial borrowings, that constitute around 33% - 34%. This year, we have plan of raising INR1,70,000 crores.

And with regard to bifurcation, you know that we are running a financial institution where on the day of the fund requirement, we go into the market and wherever we get the cheaper source, we tap that market. So on the day of the requirement, if my ECB source is cheaper, then we'll go for the ECB source of funding, however that ECB cost should be inclusive of my hedging charges. Innovative hedging techniques makes ECB cost cheaper, and then we go for the ECB route, otherwise, we go for the institutional funding. You see that the bank's term loan are a little costlier. So our portfolio, though it is diversified, but the bank portfolio is a little less.

So generally, on the day of the requirement, we evaluate the proposals. And based on the cost, the source whichever is cheaper, then we go for that kind of funding.

Nilay Dalal: Okay. Understood. So you said the incremental will be INR1.7 lakh crores, right?

Harsh Baweja: INR1,70,000 crores.

Moderator: The next question is from the line of Punit Bahlani from Macquarie.

Punit Bahlani: Just sir, firstly, on the competition bit, you mentioned that you have not seen too many balance transfers in this quarter. So fair to assume that the prepayments in the renewables segment, in the transmission segment that we have deemed this quarter, there is no asset balance transfer or refinancing to a PSU bank. It is just prepayments, like that is the first one.

And second, what is the interest rate differential basically between -- let's say, we are charging somewhere between 8.5% to 9% for a renewable project, what is the public sector bank charging for the same project, assuming a similar credit rating and everything? So yes, those are the 2 questions.

Vijay Kumar Singh: So in RE, there were some repayments, and we got those repayments in the last quarter. So we were aware that this will happen back in May and like Adani, we expected a few because those repayments were lined up, and we knew that they will come up in Q4 itself. In Q1, as we see, there is no repayment visible

as of now and we believe that the interest rate that we are offering particularly to RE sector will be good enough to retain the assets with us.

With regard to our interest rate, we have been saying that we are very competitive. In the state sector, we have done some projects even at 8.5%. But generally, our interest rate starts from 8.95%. And in private sector, it starts from 9.2% and goes up in a step of 25 bps.

Other banks are also offering in the same range, maybe 10/ 20/ 30 bps here and there. But if you have seen the sanction number of INR1,07,000 crores, that means the developers are interested to get financing from REC and therefore, the interest rate that we are offering is workable for them. So therefore, we say that our interest rates are quite competitive.

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Punit Bahlani: So not any balance transfers this quarter, like as such on a large scale, basically. It's just the repayments that have happened, like balance transfer doesn't have -- not any bank pitching in and taking account. Nothing like that has happened, right?

Vijay Kumar Singh: Nothing of this thing is visible at this point of time. So nothing will happen in Q1 at least.

Moderator: The next question is from the line of Pavan from Edelweiss.

Pavan: The 87% is state loans. Are they entirely backed by the state government guarantees?

Harsh Baweja: No, sir, almost 50% of that is backed by the state government guarantees.

Pavan: Remaining 37%, I understand.

Harsh Baweja: That is against the hypothecation of the assets, sir. But 90% plus loans against the non capex are state government guaranteed.

Pavan: Pardon me, sir, can you please explain that again, the last part?

Harsh Baweja: I was saying, out of my entire portfolio of the government funding, 50% is secured against the government guarantee. And as far as the non-capex loans are concerned, more than 90% are guaranteed by the state government.

Pavan: Got it. Got it, sir. Sir, second question, in the earlier point, you were talking about external commercial borrowing and foreign currency loans. Are they completely hedged both for foreign currency risk and also for the interest rate risk?

Harsh Baweja: Our 99.9% portfolio is hedged, and the hedging is as per the RBI approved structure only.

Moderator: Ladies and gentlemen, in the interest of time, we will take this as our last question. I now hand the conference over to Mr. Shreepal Doshi for closing comments.

Shreepal Doshi: Thank you, Puja. Firstly, I would like to thank the management of REC for giving us the opportunity, and thanks to all participants for joining the call. Thank you, and have a good day.

Vijay Kumar Singh: Thank you.

Jitendra Srivastava: Thank you.

Moderator: Thank you. On behalf of Equirus Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

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Sub: Transcript of Investors Conference Call held on July 31, 2025.

In continuation of our earlier letter(s) dated July 28, 2025 & July 31, 2025, and pursuant to

Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015, please find attached herewith transcript of Investors

Conference Call (Group Meet) of REC Limited held on July 31, 2025.

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Training Centre : REC Institute of Power Management & Training (RECIPMT) , Hyderabad

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"REC Limited

Q1 FY26 Earnings Conference Call"

July 31, 2025

MANAGEMENT : MR. JITENDRA SRIVASTAVA – IAS – CHAIRMAN AND

MANAGING DIRECTOR – REC LIMITED

M R. HARSH BAWEJA – DIRECTOR FINANCE – REC

LIMITED

M R. MOHAN LAL KUMAWAT – EXECUTIVE DIRECTOR

FINANCE – REC LIMITED

MODERATOR : MS. SHWETA DAPTARDAR – ELARA SECURITIES

PRIVATE LIMITED

REC Limited

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Moderator: Ladies and gentlemen, good day and welcome to REC Limited Q1 FY '26 Earnings Conference

Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the

listen-only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Please note that this conference is being recorded. I now hand over the conference to

Ms. Shweta Daptardar. Thank you, and over to you, ma'am.

Shweta Daptardar: Thank you, Huda. Good morning, everyone. On behalf of Elara Securities, we welcome you all

to Q1 FY '26 Earnings Conference call of REC Limited. From the esteemed management, we

have with us today, Mr. Jitendra Srivastava, IAS, Chairman and Managing Director; Mr. Harsh Baweja, Director Finance; Mr. Mohan Lal Kumawat, Executive Director Finance.

We express our gratitude towards the esteemed management of REC Limited to provide us the opportunity today to host this call. Without further ado, I now hand over the call to REC team for presentation. Post which, Mr. CMD will take over for his opening remarks and then we can open the floor for Q&A. Thank you and over to you, team.

Management: Good morning, ladies and gentlemen. I shall now take you forward to the investor presentation and the performance highlights for Q1 FY 2025-26. Just to remind you all, this presentation has also been uploaded on the stock exchanges and is also available on the website of REC. The presentation has been broadly covered into six areas: REC overview; operational performance; asset quality; borrowing profile; financial highlights and the ESG initiatives taken by REC.

On the overview front, as you know that REC was established in 1969. In more than 5.5 decades of its journey, REC achieved various milestones with some of them being, getting registered as an NBFC in 1998, then floated its maiden IPO in 2008, which was subscribed 27x. We got conferred by RBI with IFC status in 2010.

And thereon, we have been appointed by Government of India for its various flagship government of India schemes, such as RDSS in 2021 and most recently for the rooftop solar scheme in 2024. In 2022, we were conferred the Maharatna status, which is the highest status for any PSU and we also forayed into infrastructure sector in India.

And I'm happy to inform you that in 2025, very recently, REC became the first Indian public sector NBFC to get ISO 31000:2018 certificate, which is a testimony to our efforts of best-in-class risk management practices. REC has various key strengths, some of them being that it has strong fundamentals and a profitable business. It occupies strategic position in the growth and development of the power sector.

It has highest domestic credit ratings of "AAA" from all the four major credit rating agencies in India being CRISIL, ICRA, CARE and India Ratings. Internationally, we are at par with the sovereign ratings of India by both Moody's and Fitch at "Baa3" and "BBB-" respectively. Being a Maharatna company, we are strategically placed in Indian power and infrastructure and logistics sector.

We are the nodal agencies for various Government of India flagship schemes such as RDSS, Saubhagya, Deen Dayal Upadhyaya Gram Jyoti Yojana, Rooftop solar. We have diversified asset base with robust access to diversified funding sources. We have a healthy asset quality

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with adequate provision coverage ratio and an experienced management team with sector expertise. We have been funding to entire gamut of power sector value chain, be it conventional generation, including renewables, transmission and distribution, and we have been also funding to infrastructure sector and logistics as well.

On the shareholding pattern, the Holding Company, Power Finance Corporation remains to be the largest shareholder of REC with 52.63% equity of our total paid-up capital.

The foreign

institutional investors hold 19.16% of our equity as of 30th June 2025. We have been continuously rewarding our shareholders by high dividend year-on-year. In the last financial year, we have paid a total dividend of INR18 per share, which was 180% on the face value of INR10.

Continuing that, for the Q1 FY 26, the Board of Directors have approved an interim dividend, the first interim dividend of INR 4.60 per share, which is 46% of the face value of INR10. The annualized earnings per share for the Q1 was INR67.60 and the book value per share as of 30th June has reached to INR302.63.

On the awards and accolades front, we have been getting various awards in almost all the fields, be it corporate governance, best funding solutions, excellence in green finance reporting, CSR awards, technology awards for generative AI implementation. So you name it, we have it.

On the operational performance front, we have made robust sanctions across all disciplines. As against the total sanctions of more than INR3 lakh crores in the last year, during Q1 itself, REC has sanctioned more than INR1 lakh crores worth of projects. The renewable energy remains to be the dominant force wherein we have sanctioned around 20% of the power projects. The distribution remains the largest area with 43% of the total sanctions made in the Q1 FY 26.

Let me take you through the disbursement. REC recorded its highest ever quarterly disbursement in Q1 FY 26, wherein we recorded total disbursements of INR59,508 crores, which was up 36% from the last year. The renewable energy disbursements were INR7,233 crores, which was up by 35% from the last financial year.

On the outstanding loan composition front, our loan book has reached INR5,84,568 crores as of 30th June 2025, which is an increase of 10% from the last financial year. The state sector remains

the largest area - largest focus with 87% of our total loan book and the private sector remaining at 13%. The RE loan book has continuously increased its pace and now the RE loan book stands at 11% of our total loan book at INR63,850 crores, which is an increase of 49% from the last financial year.

Now I'll take you ahead with the asset quality of REC. We are happy to inform you that during Q1 FY 26, REC has resolved one stressed asset, TRN Energy worth almost INR1,504 crores, resulting in gross NPA coming down to 1.05% as of 30th June 2025 and net NPA to 0.24%. The remaining 11 NPAs totalling to about INR6,147 crores have provision coverage of more than 77% , 77.05% to be precise, which are being resolved through NCLT. Just to again reconfirm you all, there are no NPAs in the state sector, and we are maintaining an ECL coverage of 0.87% on our standard assets, which is as per the ECL methodology under IndAS accounting norms. In

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addition to this provision, REC also has reserves in the form of statutory reserve as required under RBI Act and also as required under Income Tax Act totalling to more than INR16,000 crores.

The borrowing profile of REC remains to be robust. We have highest credit ratings from Moody's, Fitch and Japan Credit Rating agency, at par with the ratings of India, long-term domestic ratings, highest with CRISIL, ICRA, CARE and India Ratings. Our total borrowings as of 30th June 2025 have reached to INR5,08,532 crores. We have access to multiple sources of funding with a mix of international and domestic sources to meet the business growth. We are also allowed to raise low-cost capital gains exemption bonds.

I shall now quickly take you through to the financial highlights of REC for the Q1 FY 26. REC recorded its highest ever quarterly net profit of INR4,451 crores, which was a growth of 29% from the last financial year. The total income reached to INR14,734 crores, again, a growth of 13% year-on-year. The net interest income at INR5,247 crores, a growth of 17% from the last financial year.

The loan book has reached to its highest ever level at INR5.85 lakh crores. The net impaired assets has continuously reduced and now is at 0.24%. The net worth of REC has also reached its highest ever level, which is INR79,688 crores. The capital adequacy ratio of REC stands comfortably at 23.98% as against the requirement of 15%, which gives us enough cushion for future growth.

On the key ratios front, the yield has improved to 10.08% from 9.99% in the last financial year. Cost of funds at 7.12%. The interest spread is at 2.96%. The NIMs have improved from 3.64% from the last year to 3.74%. The return on net worth has improved to 22.63%. The interest coverage ratio stands comfortably at 1.63x and the debt equity ratio at 6.38x. The statement of profit and loss and the balance sheet is also available in the presentation as available on the website of REC.

I shall now quickly take you through the ESG initiatives taken by REC. The ESG policy was adopted by the Board of REC in January 2023. From there on, we have achieved various milestones in various areas. And most recently, we are happy to inform you that the corporate office of REC at Gurugram is being now operated by 100% Green Energy. As a stepping stone for India's energy transition, REC's lending strategies are tailored to align with India's commitment to harness clean and clean energy sources. Till date, REC has sanctioned 57,000 megawatt plus of projects, which have the capability of emission avoidance potential of 65 million tonnes equivalent of 2.62 billion trees.

With this, I shall now request Chairman, sir, to kindly give his opening remarks and also give us guidance for the future outlook, sir.

Jitendra Srivastava: Thank you so much. Good morning, ladies and gentlemen. It gives me great pleasure to interact with all of you today on the aftermath of our first quarter results. As you all know, REC is a Maharatna GOI enterprise, and we operate in the power finance and infrastructure financing sectors.

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Our primary borrowers are the state governments, the state electricity boards, the state power utilities, and we also lend to the private sector for all segments of power infrastructure, including renewables. During the first quarter of this financial year, we have sanctioned over INR1 lakh crores, which is an equivalent of over USD 12 billion.

We have the phenomenal pleasure of recording our highest ever quarterly disbursement of roughly INR60,000 crores, which is approximately USD 7 billion, and it represents an increase

of roughly 36% on a year-on-year basis. Our loan book has maintained its growth trajectory, and we have reached our highest loan book of INR5.85 lakh crores, which translates to roughly USD 70 billion.

We are very confident that our strong fundamentals will continue to drive a very strong demand in both the power sector, the renewable sector and in the infrastructure sector. And we feel that 12% loan growth can be reasonably achieved in the coming quarters. We are targeting on an overall, this year, we are targeting around 12% growth. And we are very happy that our first quarter has turned out well.

We are not only just focusing on growth, but we are also focusing on the quality of our loan assets. This year, we have not had any new addition to our NPAs and our net credit impaired assets have reduced to 0.24% from 0.82% and we are targeting to become a net zero NPA company by the end of this financial year. Our yield on the loan assets has improved to 10.08% and our spread currently is at roughly 3%, 2.96% to be precise.

We have among the lowest cost of borrowing amongst all comparable NBFCs. Our net interest margin, which is a key factor of our profitability and our growth and an indicator of our strong fundamentals has improved to 3.74% as against 3.64% last year. Going forward, we are confident that our spread will remain in the region of 2.75%

to 3% and our NIM in the range of 3.5% to 3.75%.

Our capital adequacy ratio is very comfortable, we are very comfortably placed at roughly 24% as against the adequacy norms of 15%. We have been continuously rewarding our shareholders with timely dividends and bonus shares issuance. This quarter, we have announced the first interim dividend of INR4.6 per share, which amounts to a rough dividend payout of approximately INR1,200 crores.

We are very happy with the power sector because the fundamentals of the power sector continue to improve, and that augurs very well for the country. In the last ratings of the DISCOMs, which we carried out, the high AT&C losses of previous years have come down to 16.3%. Almost 40 out of 63 utilities saw an improvement in their AT&C losses.

The ACS-ARR gap has further decreased by INR0.20 per unit. The regulators are issuing timely tariff orders. The utilities are engaging in several best practices like digital payments, customer engagements, smart metering and automation, safety and workforce training, renewable energy and sustainability, loss reduction and theft prevention. So we are very happy, and we are confident that the power sector will continue to boom.

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As you are aware, we are the national implementing agency for the RDSS program. We are operating in 19 states out of 34 states. In addition, we are the source implementing agency of Government of India's PM Surya Ghar Muft Bijli Yojana and we are showing very strong performances there also. As on date, against the target of 1 crores customer by end of 2026-27, roughly 56 lakh customers have already applied, out of which installations have been completed in roughly 27% of the applicants. And so far, we have disbursed close to INR8,500 crores to these beneficiaries.

It gives me great pleasure to announce that REC is the first Indian public sector NBFC to have been conferred with the very prestigious ISO 31000:2018 award. This has been done for our enterprise-wide risk management framework. We are the first Indian public sector NBFC to receive this certification from the British Standards Institution.

We continue to hold the highest domestic rating of AAA and international ratings of Baa3, BBB minus and BBB plus from Moody's, Fitch and Japan Credit Rating Agency, which is at par with the sovereign rating of India. We, going forward, are very, very confident that this quarter and the quarters to come will augur well for REC.

I would like to extend my heartfelt gratitude to the employees of REC, to my entire team, to my Board of Directors. And in the end, I would like to thank the Honourable Secretary of Power as well as our Honourable Minister of Power for constantly guiding us and all the people in REC for their steadfast support and performance. I thank you once again for having participated in today's con call to listen to us about REC's progress. And I now turn the floor over to you, dear ladies and gentlemen, for your questions. Thank you so much.

Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from the line of Avinash Singh from Emkay Global Financial Services Limited.

Thank you and over to you.

Avinash Singh: Two questions. First one, if I see your Stage 1 and 2 PCR, based on ECL model, there seems to be lowering of PCR. Particularly, I notice one in that your electrical and mechanical infrastructure and logistics sector. That is where, I mean, you have close to INR48,000 crores, INR49,000-odd crores, and there now the PCR come nearly go.

Does it has the element of that one of the projects in Telangana that was kind of Stage 2, perhaps last quarter and now has moved Stage 1 and that is what is reflecting here. And on the private side, if I see, remember, energy again then the PCR has gone materially lower. So was there some account that was kind of under trouble I

ast quarter and has come back. So these are the questions on the PCR reduction.

And the second question, if you can help me understand a bit better the underlying mechanics of what is kind of leading to this INR576-odd crores of fair value losses probably on your derivative mark-to-market. So how it the sort of mechanics are working and how it will sort of work going forward to the other two questions?

Harsh Baweja: First, regarding your expected credit loss, there if you see that perhaps you are talking about the infrastructure sector, infrastructure core, where the provision coverage ratio is 0.03%. So it is

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just because there are government guaranteed loans which have lesser PD and LGD. So with that reason, this coverage ratio is a little lesser than that.

Similar is the case of renewable energy. There, we have better rated agencies. And in those cases, the PD and LGDs are lesser than our other borrowers. And if you see that we used to maintain the minimum 0.40% threshold of ECL provisions on total basis, not on the agency-to-agency basis.

So in case if you see that against my 0.40% coverage of Stage 1, the average total coverage is around 0.87%, whereas for Stage 2, where the minimum requirement is 0.50%, my total is 0.90%. So we are well above the minimum threshold limit and the sufficient coverage is available.

Your second question was about the derivative losses. Yes, some of the derivative losses are there. That was our one leg of hedging that is with respect to CHF dollar. So in case the CHF got stronger against the dollar, so that has given us some losses. But taking those losses into account, our cost of borrowing is still well within the limit and much better than the peers.

Moderator: The next question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: I have two questions. First is on the RBI final regulation, which has been announced and that becomes applicable from 1st October. So is it fair to assume that from the third quarter onwards, again, your standard asset provision will be on rise because every new project that you will disburse will be in the construction phase and that means the 1% standard asset provision will continue.

Now my question is, will you pass all of it through the P&L or will you be accounting for it in your reserves in your net worth? That's my first question. Just trying to understand what changes from third quarter onwards for you all. My second question is on the Kaleshwaram project of Telangana state.

I mean this is a broader question that I read many media articles that there have been some study done by the union government, some committee, which said that the project is very unviable and it's been constructed wrong or something like that. What is our assessment of the same?

What do you think is the -- like a solution on the name? I understand it's a government project, so it may have state government guarantee. But just want to understand your perspective on this?

Harsh Baweja: Ma'am, regarding your first question, the new potential guidelines are to be implemented from 1st of October. And there, for the under construction project, the provision gets increased from 0.4% to 1%. But that will be taking into effect prospectively from 1st of October. So in that case, if any amount released on the schemes to be documented from the 1st October onwards, there we will have to make some additional provision.

As I have just mentioned, against the minimum 0.4%, we are already making a provision of around 0.9%. So it is not going to make much of a difference for us. And if you see, even if I disburse say, around INR20,000 crores in the next two quarters out of the new sanctions and

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documented post implementation of this new circular, I'll have to make an additional provision of 0.5% that cost me around INR100 crores.

And a

s regards to your supplementary question, REC is an NBFC following the IndAS accounting system. So for the IndAS system, even if I have to make the provision as per the RBI mandate, that is not passed through the profit and loss account, that is passed through the

impairment reserves account in case if the provisions as per the RBI direction or RBI guidelines is more than the amount calculated as per my ECL. So we still have a margin left with that. My ECL provisioning is much better than the minimum prescribed by the RBI. But yes, we may have to change our guidelines that we'll evaluate it. And in case if needed, then we may change our guidelines also, but it is not going to make much of the effect.

Second, regarding Kaleshwaram. Kaleshwaram project was sanctioned in 2021-22. That was the basic premise of the project is that the project was coming from the government. In case if any of the project is coming from the government, we generally see that the state governments are equally responsible for that. And we had funded this project against the government guarantee as well as the budgetary provisions.

We are ensuring and we are taking up with the state government that they make the budget provision so that our repayment doesn't get hampers. If you see the past performance of the project, the project is progressing. But as far as my repayments are concerned, yes, that is there in the Stage 2 for the last 1.5 years, but they are making the payment every quarter, every month.

The project is not slipping away in Stage 3 asset. So we expect that the things will be a little better from now onwards, and we expect that they will make the payment and this will be Stage-1 asset after some time. But till then, we are not expecting that this will be slipped into Stage 3 assets or it will become NPA.

Shreya Shivani: Got it. Sir, just one follow-up question. Can you also give us the provision coverage ratio for Stage 1 and Stage 2 separately? You've given it together?

Harsh Baweja: Stage 1, it is 0.87%, and Stage 2 is 0.90%.

Moderator: Thank you. The next question is from the line of Abhishek Puri from UBS. Please go ahead. As there is no response, I'm taking the next question from Abhijit Tibrewal from Motilal Oswal.

Please go ahead.

Abhijit Tibrewal: Sir, two questions from my side as well. So first thing is, I mean, this quarter, we have done distribution capex of almost finance and distribution capex of almost INR18,500 crores. So typically, in the past, I mean, sanctions or disbursements towards this segment used to be very low. So what is it exactly, if you can just help us understand, please?

Harsh Baweja: Sir, as far as the distribution is concerned, some capex have increased and simultaneously, some of the special loans have also been sanctioned to our distribution companies. As far as the regulations are concerned, DISCOMs can take a working capital loan of 35% of their revenue of the preceding year.

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So these alone have these sanctions within those limits. And we are abided by those limits also. While funding these projects, we take into account that, yes, total funding doesn't exceed that limit. So these funds have been granted against those limits, and these are secured against hypothecation of the assets or the government guarantee.

Abhijit Tibrewal: Got it. And sir, are we referring to that same split that we gave in the sanctions and disbursements, what we call as distribution capex. So are these working capital loans, which you explained is 35% of the revenue of the preceding year, basically within the limit of 35% revenue of the preceding year.

Harsh Baweja: Correct. Correct, correct. Any special loans, if that is being used for the working capital requirement, that will fall within that 35% category.

Abhijit Tibrewal: Got it. So sir, why call it capex then? Why do we call it capex?

Harsh Baweja: We have mentioned against

that distribution scheme, sir. And against the distribution, it covered capex as well as non-capex also.

Abhijit Tibrewal: Got it, sir. This is clear. The second question I have is around the provisioning and the credit costs in this quarter. So while we called out, sir, in your opening remarks that TRN Energy, we have restructured and which is why it has led to a ECL release of almost INR270 crores. But if I look at the credit cost and the provisioning line item in the P&L, we have taken a provision write-back of almost INR610 crores, INR620 crores.

So just trying to understand, are there some utilities which were downgraded in the last quarter and have got upgraded in this quarter? Is there something like that which has led to some release of provisions?

Harsh Baweja: Yes, it is very much there. TANGEDCO rating increased from C minus to C by MoP. So some provision reversals are also there. And there were -- in some of the cases, the real progress was a little better than as of as compared to the previous quarter. So in that case, there was an LGD change impact.

Similarly, additional provision has been made of around INR295 crores. So basically, it is on account of the changes are rating from C minus to C of the TANGEDCO. And coupled with some of the smaller agencies, they also got improved.

Abhijit Tibrewal: Got it. So sir, just to kind of summarize this, this almost INR620 crores of provision reversal that we saw almost INR270 crores was on account of TRN Energy and the remaining like we explained is TANGEDCO, which got the rating upgraded from C minus to C?

Harsh Baweja: Correct. TANGEDCO is around INR600 crores. And the COD change in fact is around INR106 crores. EAD change impact is around INR295 crores. So total comes around minus INR620 crores.

Abhijit Tibrewal: Got it. This is useful. And the last question that I had was around this RDSS. I mean, from what I understand, and please correct me, sir. From what I understand, RDSS has a sunset date of

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March 2026. So I'm just trying to understand how much more would we be able to disburse under RDSS for the next three quarters?

And when we say the sunset date is March 2026 for RDSS, does it mean that whatever is sanctioned until March 2026 can be disbursed in FY '27 or is it that all disbursements under RDSS will come to a stop from March 2026 onwards?

Harsh Baweja: So I'll reply you in two parts. One is regarding subsidy. So the sunset date for the subsidy is '26. But most of the states have already requested through the central government for extending the time line for the schemes. And we also expect that it should be increased. Some of the work have already been left. Those awarded works are to be completed. So if that gets extended, the subsidy will be released within the time line extended also.

As far as my loan is concerned, I can disburse the loan beyond the time lines also. That is not an issue. That is separate schemes, and before the closure of the scheme, I can always fund those schemes as disbursements.

Moderator: The next question is from the line of Chintan Shah from ICICI Securities.

Chintan Shah: So sir, one question on the competition front. So now with a steep rate cut of 100 bps over the past 4, 5 months. So how do we see the competition from the banks, particularly on the refinancing side for the commission projects? And also due to this, do we anticipate some pressure on our yields? So yes, that's the question?

Harsh Baweja: If you see that during the quarter, we have been able to maintain our spreads in the NIM as well as the yield also. So we expect that even in case if the yield gets lower in the quarters to come, our cost of borrowing will also be a little lower. So with that, we'll be able to maintain the NIM and the spread. What was your second question?

Chintan Shah: So that was the question -- only question. So basically, I just wanted to

understand more on the

competition and will that be impacting any growth. And also now, also in terms of our borrowings, so how much of that would be floating in, which would get the benefit of the rate cut?

And on the yield side, how does the repricing happen? Is it an annual reset or 2-yearly reset or how does it work, yes?

Harsh Baweja: Actually, if you see my loan book, it has around 30% is of 3-year reset and around 60% is 1-year reset. So even if I change my loan costs today, the benefit will be passed on after completion of 1 year. In case of 3 years, it will be passed on after 3 years. So it is not going to affect my yield as well as earning on this account.

Chintan Shah: Sure. So whatever the benefit will be passed on, that will be compensated by the reduction in the borrowing cost. Is that a fair assumption?

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Harsh Baweja: Yes, that is what I'm saying. As far as my borrowing books are concerned, almost 20% gets matured in 1 year. So that remains the same for the next 3 years. So the 20%, which are replenished with the new borrowing will come at a lower rate.

Moderator: The next question is from the line of Manish Agarwalla from Phillip Capital. Please go ahead.

Manish Agarwalla: Sir, I have two questions. One is if I see the repayment rates in conventional generation and transmission segment, those have increased, and that has been increasing for quite some time. Are these regular repayment or is there any element of prepayment or refinancing there? That's one?

Harsh Baweja: During this quarter, we have got prepayment of around INR15,000 crores, of which, if you see around INR5,000 crores or around INR6,000 crores was the prepayment that was mainly from the NTPC and second is from the Adani. NTPC is a AAA company. They could borrow from the bond market. So that is why they have made the prepayment.

And as regards to Adani, that is regularly they used to churn their portfolio. And sometimes what

happens that because for creating head rooms for the new sanctions, they prepay to us. So once they prepaid this amount, the headroom was created and they have submitted more schemes for the sanction, and we'll be sanctioning the schemes shortly. And rest most of the amount is coming towards the RBPF scheme. So the rest of the amount out of the INR15,000 crores that has come, that is part of the RBPF schemes, where the scheme itself specifies that they can make the prepayment giving a 3 days notice to us. So that will continue to happen every quarter. So in case if the DISCOMs have the funds available with them, it is better to make the prepayment so that the DISCOMs also become vigilant and cautious about their borrowings.

Similarly, once they prepay the amount to us towards the RBPF scheme, they can get it again replaced or they can take the funds again from us for further disbursement in the next quarter.

Manish Agarwalla: Got it. Next question is about your core infrastructure segment. So if I see over the last couple of years, you have sanctioned INR1.4 trillion worth of loan, whereas the disbursement has been the INR18,000 crores. Just wanted to get your sense, are these sanctions still valid or these projects are getting delayed, that's one?

And also if you can add that recently, you have signed MOU with government of Maharashtra worth INR1 trillion for infra projects. So overall, your take on how this pace should move going ahead? That's it for my side?

Harsh Baweja: As far as the infrastructure projects are concerned, the funds are being disbursed on the request of the agencies. And sometimes what happens that because of their cash flow requirements, they use to draw the funds at a later date. So these schemes are still valid, and the balance funds, in case they're required by the agencies except one or two, the funds will be released in all other schemes.

As regards the MOU with the Maharashtra government, that MOU

happened with not only REC,

but with most of the agencies, and we expect some of the schemes whether from the power sector

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or from the infrastructure sector that will be posed to REC and we'll be sanctioning those schemes, but that will take little time.

Moderator: The next question is from the line of Shreepal Doshi from Equirus.

Shreepal Doshi: My first question was on the provision split. So if you could give us the details, like, for example, while there has been reversal during the quarter. But as you highlighted to the earlier participant that INR270 crores was because TRN.

And then because of the other -- some of the discounting upgrade also there was some reversal, but I wanted to understand the split of this in because you would have provided fresh provisioning towards the disbursement that we have done during the quarter, right? So if you could give us some more details on this provision split where in you've seen INR616 crores of reversal during the quarter?

Harsh Baweja: Sir, if you can note it down, the regular ECL provisioning on the incremental lending is around INR295 crores. Then provision reversal is around INR605 crores, of which are majorly from the TANGEDCO where the rating has been increased from minus C to C. Then there is a change in the LGD, which has resulted in reversal of INR125 crores. Then there is an additional provision made due to delay in COD that is INR106 crores. Then there is a reversal in the case of TRN, that is a restructured account. That reversal is around INR272 crores. And other floor change in the ECL rate is around INR16 crore. So the total net reversal comes around INR620 crores.

Shreepal Doshi: Okay. I think this LGD change is because of what reason? Like what would have benefited as that broadly this -- the rating of period would have benefited us there as well or anything else?

Harsh Baweja: Somewhere, the progress has happened. So that's the reason. There are various reasons for the change. The rating change is one of the reason.

Shreepal Doshi: Okay. Got it. Sir, the other question was on the RBI policy on the provisioning part. So while you gave a detailed answer on that as well. But just wanted to understand that will we have -- for the incremental disbursement, will we have a difference in pricing wherein we will try to take an impact of this additional provision requirements because on the risk-adjusted basis, would we want to implement that as a policy or will we still continue with the normalized pricing policy that we have?

Harsh Baweja: I think during the year itself, it is not going to make much of the impact on our financials. And ultimately, whenever we change the price, we have to be market competitive. So we see the market, and accordingly, we'll take the decision.

Shreepal Doshi: Okay. Got it, sir. So sir, just the last question to squeeze in. Which are the projects incrementally that we are anticipating to get resolved over the next couple of quarters. And how is the exposure there and the provisioning there?

Jitendra Srivastava: We expect that by the FY '26 end, all the projects we expect that it will be resolved. If you see that Hiranmaye, Bhadrashwar, Sinnar these are at the advanced stage of resolution. Similarly,

discussion with us and some formula will be worked out, and these are already under discussions at advanced stage.

There are five other projects that is Shree Maheshwar, Konaseema, JAS Infra, IndBharat, Lanco Vidharba, these are under liquidation. And most of the assets have already been sold, and we have already made 100% provisions against those. So whatever turns against these schemes will be an income for us.

So we expect that we have already reversed INR270 crores against TRN. And we further expect that in cas

e if all these assets are dissolved, the total reversal would be around INR700 crores to INR800 crores during the year itself. That is the minimum which we are expecting.

Shreepal Doshi: Got it. That is including the INR270 crores that you've already seen being reversed this quarter?

Harsh Baweja: What do you want to hear from me? Yes. it is additional.

Shreepal Doshi: That is very helpful. Good luck for the next quarter.

Moderator: The next question is from the line of Sanket Chedda from DAM Capital.

Sanket Chedda: Congrats on a good set of numbers. While a couple of my questions got answered, I just had one thing on growth. You said that we'll do 12% comfortably. Is that 12% conservative guidance in your mind seeing how Q1 has fared this is higher disbursement and also 3% less quarter-on-quarter growth. So have you been conservative there on growth or we feel that 12% is the max that we will be able to do?

Harsh Baweja: Sir, as far as the growth is concerned, this quarter, if you see that we have made one of the best disbursements, and that is the highest disbursement during the quarter. That has added the INR17,000 crores to my loan book from INR 5.66 lakh crores in the Q4 FY '25 since my Q4 was flat.

Had there been a little bit growth of even INR5,000 or INR10,000 crores, my growth would have been more than 12%. But still, we are keeping a target of 12%. We'll review it on a quarter-to-quarter basis. And the target, we'll try to achieve during the year itself and it will be on the yearly basis.

Sanket Chedda: Sure, sir. And on margins, if I heard it right, you said that we will be able to maintain the margins at current levels, right, because of the benefit on the cost of funds that we going ahead?

Harsh Baweja: Yes. We'll be able to maintain the NIM of around 3.5% to 3.75%, which we are already at 3.74%. And similarly, spread will be between 2.75% to 3%.

Moderator: The next question is from the line of Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta: Congratulations on a steady set of numbers. Sir, just one thing on the growth part. So if you see your loan book growth has steadily come down from 17%, 18% to 10% in this quarter. Now if I look at your numbers, your prepayment plus repayments in FY '23 used to be only 6%, 7% of the opening loan book. So that 6% has climbed up to 20% in FY '24.

And last year, sir, it was 26%. So almost 1/4 of the loan book, which was starting in FY '25 was not there. So this has been the main reason why we are disbursing more and more. But the runoff from our loan book is very high. So how do we see this situation? What is the main reason behind this?

And in terms of how we are engaging with our borrowers, can we put some conditions in our term sheets so that this runoff, which is very high, can be arrested because, sir, the question now is not related to disbursement, but the runoff. That is actually the main factor why our loan book is not able to grow at a higher pace than what it was earlier?

Harsh Baweja: In fact, during the conference of Q4, we had explained that wherever the payment was received, there were some certain reasons for that. It is not that because of the pricing those repayments were made. Similarly, during the quarter 1, except the NTPC which is a AAA company and they had been maintaining their account for the last several years with us, they made the prepayment to us.

Otherwise, the other accounts are the normal part of the business, it is not because of the pricing. We also know how to compete with the market, and that is why we are keeping for the renewable sector is concerned, our rate of interest is a little at lower side. And as regard to others, we are very much competitive with our peers, and that is why we have been able to maintain this growth. So if you see during the quarter, Out of the INR15,000 crores, around INR6,000 crores is prepayment. The rest is fro

m RBPF scheme. As I've already explained against the RBPF scheme, the prepayment will keep on coming. And if one of the prepayment comes to us, they again get the disbursement in the following quarter. That is the regular business. And if you see if any of the agency is making prepayment to us, we see that is a healthy business practice. Since those are the strong agencies, they are able to make the prepayment to us. So we should not be very much afraid on the prepayment that will keep on coming. But yes, it should not affect my business, and that is very much within the control.

Sarvesh Gupta: And sir, as I asked on the term sheet itself, are there some levers that we can use to not allow so high rate of prepayments or repayments?

Harsh Baweja: First of all, I'm not agreeing what you said the high rate of prepayment. That is not the case. Secondly, yes, I very much agree that we should have the conditions in the sanction letter, so that even if they want to make the prepayment, they should deter from that, for that we have prepayment policies. So in case if they make the prepayment to us, that will be against some of the prepayment charges. So that is a deterrent factor, which is levied in accordance of terms and conditions.

Moderator: The next question is from the line of Raghu Garimella from TriWest Capital.

Raghu Garimella: Most of my questions have answered. But regarding the net gain loss on the fair value charges, I just want to find out if suppose the rupee devaluates further, would we see some charges appearing in this quarter and next subsequent quarters or is this is a one-off thing for this quarter?

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Harsh Baweja: Actually, if you see in our case, wherever the foreign currency borrowing has been there, that is very much protected against the Seagull option of hedging. So the Seagull option is tested on the day of the settlement. So we cannot make any comment as of now. But as of today's date, there is nothing to worry. But yes, all will depend on the day when it is tested i.e. on the day of the settlement.

Raghu Garimella: So there's an option, there's a probability that I may get a write-back also in the next quarter. Just to understand the nature of that.

Harsh Baweja: These are the settled business which have already been taken place. So there will not be write-backs against that. And we have the options also, if we see any kind of threat to any of the Seagull limits available with us, we get it increased by paying extra premium for that. It is a regular practice from our side. And we keep on watching our portfolio every day, and we take the preventive actions also.

Raghu Garimella: Sure. Just one last question. Please don't mind me asking. I'm raising one of your competitors' name. Recently, I was on the IRFC con call. And because of their unique structure and things like that, they are looking at a spread of just 100 to 150 basis points on any infrastructure loan. And I heard from the management saying they are ready for giving any infrastructure loan, not just railway-linked infrastructure loan. So do you foresee these kind of new companies, PSU companies with similar borrowing costs as ours being a competition to us in the future?

Jitendra Srivastava: So I'd like to comment here. Number one, I'd like to say that each PSU and their management and their boards decide what they want to do and whether they want to price aggressively, whether they want to have a low spread or whatever. So I would not like to comment on whatever IRFC is planning to do. That is entirely within their call. But as far as competition is concerned, number one, let me say that the pool is huge. Whether we are talking about the infrastructure sector, whether we are talking about the power sector, the potential for borrowing is huge, number one.

Number two, I would like to also say that our management also, if it feels that we need to act in a particular manner, depending on case-to-case basis, we take individual calls. So while all of us are operating in the same sphere, I think, number one, that the pie is fairly large, and I don't think there is too much competition. And we also have our own sectoral priorities, while IRFC may foray for some time into infrastructure or power or whatever. Ultimately, their main sector, the railways will also cry out for their investments. And I'm sure the railways would not like them to invest in infrastructure at the expense of investing in railways. So I think we should leave it to the management of the various boards to take these business calls. The business call to foray from one sector to another, it depends on a lot of factors. Most of them very, very temperamental. So it is not possible to take a long-term view on these points.

Raghu Garimella: I know we are not -- you have been perfect, but we are not at all seeing any threat to a particular position, right, according to you?

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Jitendra Srivastava: This quarter, we disbursed INR60,000 crores. If you look at the disbursements of other companies and specifically, if you talk about IRFC, you might like to see how much they have disbursed and how much we have disbursed.

You might like to take a look at their loan book and take a look at our loan book. I would not like to quote the figures. You're a smart person, I'm sure you can draw your own map and your own logic from that.

Raghu Garimella: Sure. The only reason why I'm asking...

Harsh Baweja: I'll supplement what sir has said. If you see that ultimately, whatever you earn that is subject to the tax as well as the dividend to be paid to the shareholders. So whatever left, I have to decide whether I have to go for the growth or not. Ultimately, I have to remain in the business. If I have to remain in the business, then I need the capital also for the next years to come. So I don't know how much NIM would be sufficient for them to go at a rate at which they want. So it is their call, but we are working well within our -- as per our prudence.

Jitendra Srivastava: Just to supplement one more point, which our Director Finance has just mentioned, please remember whatever NIM or spread that we earn ultimately goes to shore up our capital reserves and increases our results and surpluses, which further increases our potential to lend to this sector.

Now if somebody comes in with a very low spread, you can yourself determine whether they are in for the long term or whether they are a short-term player. Our entry on a very low margin is -- I don't think it's a long-term strategy. So an indication of a 1% spread is the first indication that you are in for the short term. And the borrowers also should take a cue from that and see whether they would like to borrow from a short-term player or from a long-term player.

Raghu Garimella: And sir, the only reason why I'm forced to ask this question is because of the decrease in the loan book growth from maybe 16%, 17% to 12%. This is kind of creating all kinds of doubts if really REC is competitive and really able to compete with the other players and increase the loan book. So that is the only reason why these doubts are creating, that's all?

Jitendra Srivastava: Let me pose the counter question. Do you expect the power sector to grow at 18% for the next 50 years?

Raghu Garimella: Not just power, but infrastructure, we are into multiple segments, right?

Jitendra Srivastava: Just look at infra also. What is the general growth of the infrastructure sector? See, every sector will in its infancy stages or in its early stages show a spurt of growth. And after some time, it plateaus, it reduces and then it maintains a very steady growth trajectory.

So we see, every sector starts out like this. You might have 20% growth in its first phase, then you might see it will come down to 18%, then will come

down to 15%, then it will stabilize at

12% or it will come down to 8% or 10%, depending on the potential for that sector. So each sector has its own growth trajectory, it will have its own equilibrium.

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We are in the power sector for the last 50 years. I personally think there was a time when interest rates were very high. That saw a lot of borrowers coming in at that time when interest rates are very high, there were very few players. Then gradually, the sector consolidated, started delivering, interest rates came down.

Then once people got assured that there is a stable market, and it is not prone to too many risks, that saw the entry of many more players. That drove down the interest rates under. And now the sector, I think it's still in a growth phase. But somewhere down the line, we will hit some equilibrium. And I personally think you're a long-term player. You need to watch out these trends in the market and see how this sector is progressing.

So I think we are bullish about the power sector. And the mere fact that so many parties are coming into the power sector is indicative of the fact that they are seeing growth. So we are fairly bullish. Again, I will emphasize. See, the borrower may temporarily get swayed by slightly aggressive interest rates temporarily. But he also realizes, the borrower also realizes that he is also there for the long term. So ultimately, he will switch to a long-term player.

Moderator: The next question is from the line of Punit Bahlani from Macquarie.

Punit Bahlani: Yes. Two questions from my end. Firstly, on the infra book, if I see like we have grown around 15%, it is higher than the current loan growth. But what are the plans here? Are we planning to grow at a faster pace because -- asking this because private sector capex is kind of muted, and banks are also not going heavily on the capex front. So do we have kind of a mandate or something to grow?

And I'm assuming that the current mix is broadly -- it's mainly government projects, right, in the current infra book. Secondly, if you could just repeat on the reset period that you mentioned. I think you mentioned 48% is 3 years -- sorry, 48% is 1-year reset. On the 2-year and 3-year reset, if you could mention what is it?

Harsh Baweja: Sir, as far as the infrastructure sectors are concerned, as we have already mentioned that we are very choosy while selecting these projects. And in case if the project is self-revenue sustainable, we are going for that kind of infrastructure based funding. We are not in hurry for funding these infrastructure projects since our hands are full with the power sector project that is evident from the disbursement taking place during the quarter 1.

We have achieved the highest level disbursement of INR60,000 crores. So we'll have the same strategy in the next 2 or 3 quarters of the year. So in case if any good projects comes, then in that case, definitely, we'll fund the infrastructure project otherwise, since the ample opportunities are available in the power sector we'll continue to have the focus on the power sector. As regards the loan book is concerned, 1-year loan book is around 60%, and 3-year loan book is 30%.

Punit Bahlani: Got it. Yes. Thank you for this. On the infra book, majorly currently of the outstanding book, everything is government projects. I think most of it is government projects, right?

Jitendra Srivastava: Yes. Most of the projects are government projects. These are secured against the government guarantee.

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Punit Bahlani: Got it. Thank you so much.

Moderator: Thank you. We will take that as our last question for today. I now hand the conference over to the management for their closing comments.

Management: Thank you so much for the call today, and we thank all the participants for taking their time out for attending this call, and we look for

ward for similar such interactions in the coming quarters.

Thank you.

Moderator: On behalf of Elara Securities Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Jitendra Srivastava: Thank you very much.

Call: Nov 2025

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Sub: Transcript of Investors Conference Call held on October 29,2025.
In continuation of our earlier letter(s) dated October 24, 2025 & October 29, 2025 and
pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations , 2015, please find attached herewith transcript of
Investors Conference Call (Group Meet) ofREC Limited held on October 29,2025,

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"REC Limited
Q2 FY '26 Earnings Conference Call"

October 29, 2025

MANAGEMENT : MR. JITENDRA SRIVASTAVA – IAS – CHAIRMAN AND
MANAGING DIRECTOR – REC LIMITED
MR. HARSH BAWEJA – DIRECTOR FINANCE – REC
LIMITED
MR. T.S.C. BOSH – DIRECTOR PROJECTS – REC
LIMITED
MR. MOHAN LAL KUMAWAT – EXECUTIVE DIRECTOR
FINANCE – REC LIMITED

MR. PANKAJ VERMA - HOD FINANCE- REC LIMITED
MR. SUPREET PANDYA – DEPUTY GENERAL MANAGER
(FINANCE), REC LIMITED
MODERATOR : MS. SHWETA DAPTARDAR – ELARA SECURITIES INDIA
PRIVATE LIMITED

REC Limited
October 29, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to REC Limited Q2 FY '26 Earnings Conference Call hosted by Elara Securities India Private Limited.

As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Shweta Daptardar. Thank you, and over to you, ma'am.

Shweta Daptardar: Thank you, Shravani. Good morning, everyone. On behalf of Elara Securities, we welcome you all to Q2 FY '26 Earnings Conference Call of REC Limited.

From the Esteemed Management, we have with us today, Mr. Jitendra Srivastava – IAS, Chairman and Managing Director, Mr. Harsh Baweja – Director Finance, Mr. T.S.C. Bosh – Director Projects, and Mr. Mohan Lal Kumawat – Executive Director Finance. We express our gratitude towards the esteemed team of REC Limited to provide us the opportunity to host this Conference Call.

Without further ado, I now hand over the call to the REC team for Investor Presentation, followed by opening remarks by Mr. Jitendra Srivastava – Chairman and Managing Director, post which we can open the floor for Q&A. Thank you, and over to you, team.

Supreet Pandya: Thank you so much, and good morning, everyone. I shall now take you through to the Investor Presentation for the first Half of FY '25-'26.

Just to inform you all, this presentation is also uploaded on the website of REC and is made available on the Stock Exchanges in compliance of the SEBI norms.

The presentation is broadly covered into six areas, of which the first is "REC overview". As you know, REC began its journey in 1969 to develop power infrastructure in rural areas. From thereon, it has graduated many folds. And in 2022, we were accorded the "Maharatna" status, which is the highest status for any public sector entity. And thereafter, we also forayed into the infrastructure, and logistics sector in India, apart from the entire value chain of the power sector. We have the highest domestic credit ratings of AAA, international ratings of "Baa3" & "BBB-", at par with the Sovereign Ratings of India. We are a nodal agency to flagship Government of India power sector programs. In fact, we are the first Indian public sector NBFC which is compliant with ISO 31000 Risk Management Framework. We are a major player in the renewable energy segment and creation of India's Green Energy Corridor. We are also one of the strategic players in India's power sector, infrastructure, and logistics sector.

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We are a trusted Government of India's arm, where we are supporting Government of India in various flagship schemes, such as RDSS, SAUBHAGYA, late payment surcharge scheme, Consumer Services Ratings of Discoms, and Integrated Ratings of Discoms, Deen Dayal Upadhyaya Gram Jyoti Yojana, NEF, and most recently, the rooftop solar scheme.

We have a diversified asset portfolio across power sector value chain, that is conventional generation, transmission, distribution, renewable energy. And we have also diversified our portfolio into infrastructure and logistics sector as well.

We have won various awards and accolades, and the most recent being we have been awarded the "Best Financial Services Company" by the Dun & Bradstreet. We have also been awarded the "Sustainability Icons Award for Excellence" in ESG initiatives.

To take you through to the financial highlights for the half year:

This half year, we have recorded our highest ever half yearly profits of Rs. 8,877 crores, which is a growth of 19% from the corresponding period of last year. Our total income has increased to Rs. 29,828 crores, that is a growth of 12%

. The net interest income increasing to Rs. 10,608 crores, a growth of 15%.

The loan book has reached Rs. 5.82 lakh crores, a growth of 7% YoY. The net credit impaired assets have reduced to 0.24%. And our net worth has reached its highest ever level of Rs. 82,739 crores. The capital adequacy ratio is sitting comfortably at 23.74%, as against the RBI requirement of 15%.

On the Profit and Loss side:

Our half-year profits were at Rs. 8,877 crores, in which the interest income on loan assets was Rs. 28,686 crores, and the net interest income of Rs. 10,608 crores. The total comprehensive income was Rs. 7,081 crores.

The key ratios:

The yield on loan assets for the half year was 10.06%. The cost of funds at 7.17%. The consequent interest spread was 2.89%, and the NIMs at 3.64%. The return on net worth has increased to 22.14%, and the interest coverage ratio is comfortable, 1.62x. The debt-equity ratio or the gearing ratio of the company has improved to 6.07x.

On the operational performance of REC:

We recorded our highest ever half-yearly disbursements of Rs. 1,15,470 crores in this half year, which is a growth of 27% from the corresponding half year of the last financial year. In the Q2 itself, we have disbursed close to almost Rs. 56,000 crores, which is a growth of 18% from the REC Limited

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corresponding quarter of the last financial year. The distribution segment has constituted the largest area of disbursement at 69%, followed by conventional generation at 11%, and renewables also of 11%.

Consequent to such high disbursements, the outstanding loan assets have increased to Rs. 5,82,167 crores as of 30th September 2025, of which the state sector constitutes 86% of the portfolio and the private sector 14% of the portfolio.

On the segment-wise reporting, 27% of our total AUM is in conventional generation, 12% in renewable energy, 8% is into transmission, and distribution constitutes 40% of our total loan book, while the infrastructure and logistics sector constitutes almost 10%.

The borrowings of REC Limited have reached to almost Rs. 5,07,000 crores as of 30th September 2025, which is diversified across all the areas of financing.

To take you through to the asset quality:

Continuously improving the asset quality of REC, the gross NPA have reduced to 1.06%, and the net NPA have reduced to 0.24% as of 30th September 2025. On the NPAs, we have been maintaining a provision coverage ratio of 77%, and on the Stage-1 assets itself, the provision stands at 0.86%, and these Stage-1 assets are roughly 96% of our total asset book.

The Stage-2 assets are about 2.77% of the total loan book, wherein we have created a provision of 2.10%.

The Stage-3 assets or the NPA assets are currently at 1.06%, where the provision of 77% has been created.

We are happy to inform you that as continuous improvement of our asset quality, the Stage-2 assets have been reduced by 52% in this current quarter itself from the last June quarter, where we have recovered a prepayment of Rs. 11,400 crores from Kaleshwaram Irrigation Project, which was a Stage-2 asset till 30th of June 2025.

These remaining NPAs or the credit impaired assets are in advanced stages of resolution. We have total 11 assets, of which 10 are under NCLT, where a provision of 77% is there, and one project worth Rs. 12 crores is also being pursued outside NCLT with a provision of 20%.

Now, to take you through the shareholder outlook:

We have been consistently paying the highest dividend, and in fact, the Board of Directors have approved the second interim dividend for the quarter of Rs. 4.60 per share, which is in addition to the Rs. 4.60 per share which was declared for the Q1 as well, thereby meaning a total dividend of Rs. 9.20 per share for the half year ended 30th September '25.

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The earning per share has improved to Rs. 33.71 per share, and the book value

at Rs. 314.21 per share.

The shareholding pattern of REC has been given in the presentation, where you can see the PFC holds 52.60% of REC shares, while the FII holds almost 18% of the total equity of REC.

I will quickly take you through the ESG initiatives of REC:

We formalized our ESG policy which was adopted by the Board in January 2023, and most recently in August 2025, we have published our second ESG report, which is referenced to GRI format submitted to CDP responses.

We have taken various ratings from ESG, and in fact, our renewable loan book has grown by more than 3x in 5 years, which gives our commitment of to ESG framework.

In the last few years, we have sanctioned almost 61 Gigawatt plus of renewable energy projects, which have an emission avoidance potential of 71.2 million tons, equivalent to 2.85 billion trees.

The ESG and its highlights have also been given in the presentation.

With this, now I will request CMD sir to kindly give his opening remarks.

Jitendra Srivastava: Thank you so much, Supreet. A warm welcome to my colleagues on the Board, and a very warm welcome to all the investors who have tuned in to listen to our conference call. A very good morning to all of you.

As all of you know, Supreet has just given you the basic statistics with regard to the performance of REC, and I am very happy to declare that the first half of '25-'26 has been very good for REC and for its shareholders. A few notable highlights I would just like to reiterate. They have already been spelled out.

Highest ever half-yearly sanctions of Rs. 2.5 lakh crores, that is almost \$28 billion were sanctioned in comparison to roughly Rs. 3.37 lakh crores in entire last year. So, we are looking at a growth in sanctions of almost 34%, which is fairly large in any terms. Even if you look at actual disbursements, REC recorded its highest ever half-yearly disbursements of Rs. 1.15 lakh crores, which is almost US\$13 billion, which is an increase of 27% over last year's same time. Our loan book has increased by 7%. We have received pre-payments of almost Rs. 49,000 crores. That is \$6 billion. Had this pre-payment not been received, the growth in the loan book would have been almost around 16% on a year-on-year basis.

Now, let me clarify one thing. These pre-payments that have been received are those pre-payments which have primarily come from our borrowers returning the payment due to internal accruals, and Rs. 11,000 crores have come from the Kaleshwaram Irrigation Project, which has

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ensured that our Stage-2 assets have reduced by almost 52%. So, this we consider as a major achievement,

We are very happy that as at today REC has a committed order book of nearly Rs. 2.5 lakh crores, which will support future growth. We estimate that even if we continue our disbursement at around 9% to 10%, we are confident of getting 11% to 12% loan growth in the coming years. As all of you know, we have very categorically said that by 2030, our loan book will touch Rs. 10 lakh crores, out of which the renewable sector, we are anticipating it to contribute to 30% of our loan book, which is Rs. 3 lakh crores.

I would like to inform all our investors and our shareholders that we are well on track to achieving this. We are maintaining our steady pace. We are moving up to our target, and we are very, very confident that come 2030, REC will be Rs. 10 lakh crores loan book company. Continuing this point, REC has recorded its highest ever half-yearly profit of almost Rs. 9,000 crores, which is a growth of almost 19% on a year-on-year basis, and our net worth has grown by almost 14% over last year. Continuing our stakeholder engagement, we are very happy that we have declared the second interim dividend also of Rs. 4.60 per share. This works out to almost Rs. 9.20 per share on a face value of Rs. 10 per share, in first six months of the FY 2025-26. We are

very, very bullish on the power sector. We estimate that almost Rs. 46 lakh crores will be required over the next four or five years towards the entire power sector.

For example, we are looking at the renewable energy capacity going up to 500 Gigawatts, where we are anticipating a market business of roughly Rs. 21 lakh crores. We are looking at additional thermal capacity of 80 Gigawatts, looking at roughly Rs. 5 lakh crores. We are looking at additional hydro capacity of 21 Gigawatts, which is around Rs. 1.16 lakh crores. We are looking at new nuclear capabilities of almost 22 Gigawatts, roughly Rs. 2 lakh crores. New pump storage projects with a capacity of 50 Gigawatts, with an approximate market potential of Rs. 1.85 lakh crores. Battery storage plants of roughly 74 Gigawatts, which is expected to touch around Rs. 1 lakh crores, and corresponding investments in the transmission and distribution, which should roughly aggregate around Rs. 13 lakh crores.

So, even assuming, as we very fondly say, that out of every four bulbs glowing in India, one is financed by REC, which is an indicator of a roughly 20% to 25% market share. Even if we maintain it, we are looking at roughly Rs. 10 lakh crores over the next five years. With our current loan book of around Rs. 6 lakh crores, we feel very confident that we should be able to touch Rs. 10 lakh crores by 2030.

As you know, we are anticipating a huge power demand from data centers. We are anticipating that tariff reforms will keep on happening. We are very confident that payment security mechanisms to ensure that DISCOMs are able to pay power generators on time will only

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strengthen over the years to come. The clean energy integration is going to improve further. The battery storage systems, the pump hydro, all of these are going to increase exponentially over

the next few years, and these will further reinforce our clean energy integration and in compliance with the net zero achievement goal of 2070.

We are very, very happy that we are partners with the Government of India, Ministry of Power, and we are the national implementing agency for two very, very prestigious schemes: the Revamped Distribution Sector Scheme and the Rooftop Solar scheme, the PM Surya Ghar Bijli Yojana. In PM Surya Ghar Bijli Yojana, we are the single implementing agency for the entire, for the very ambitious program, and this ambitious program seeks to target 1 crores households by 2028. We are very, very happy that so far roughly 17 lakh households have been covered under the rooftop solar scheme. And if you look at the progress in the last six months, that alone accounts for almost 7 lakh households being added to this. So, our progress has been very encouraging in the rooftop solar scheme.

Similarly, in the revamped distribution sector scheme, where we handle 19 states and UTs, we are very happy with the progress of our states, and we are very confident that with the power regulators coming on board, with the state governments paying their subsidies and showing their commitment and renewing their political will from time to time, we are very, very confident that India's power sector is not just growing, it is transforming. At REC, we are proud to be financing this evolution. We realize that we are not just financing projects, we are enabling national priorities.

Our portfolio, which spans generation, transmission, renewables, distribution, aligned itself with energy transition and smart grid initiatives, we are very confident that we will continue to play a significant role in the government's overall objectives.

I would also like to mention that our foray into infrastructure will keep on continuing. We are actively looking at new avenues of growth. Very recently, we have, even as we speak today, we will be signing an MoU with the Ministry of Shipping for investment in the shipping and maritime sector of our

country. Similarly, the metros, the ports, the road transport schemes, and the road transport projects, any good infrastructure project which has steady revenue streams is going to be our priority, and we are working very hard with the state governments and with the private sector partners to ensure that we are going from strength-to-strength.

As I conclude, I extend my heartfelt gratitude to the Honorable Minister of Power, the Honorable Minister of New and Renewable Energy, the Honorable Minister of State for Power and Renewable Energy, the Secretary of Power, and all esteemed officials of the Ministry of Power for their steadfast support and visionary guidance. Last but not least, I would like to thank my colleagues on the Board and the wonderful employees of REC who are working very, very hard to ensure that REC meets our expectations and we achieve all our commitments. Thank you so much. Over to you.

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Supreet Pandya: We can now open the floor for Q&A, please.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Abhijit from MOFSL. Please go ahead.

Abhijit: Sir, I just wanted to ask you two questions. One is, I mean, this Kaleshwaram Project, right, very clearly, it is a good thing that we have received given that it was a Stage-2 asset. But when we guided for the 12% growth in FY '26, loan growth of 12% in FY '26, was this factored in? And now that task rate for the second half is much higher, are we confident that we will be able to deliver on the guidance, or is there a reason to believe that the growth will actually be lower than what we had guided at the beginning of the year?

Jitendra Srivastava: Yes, so you said you will be asking two points. I am assuming that is only one.

Abhijit: Yes, sir. So, I can maybe complete the second question as well. The other thing I wanted to understand is, I mean, on and off we keep hearing that both Hiranmaye Power as well as Sinnar Thermal are in advanced stages of resolution. So, is there a case that any of these two could get resolved in the current quarter? So, basically, what I am trying to understand is if you could briefly share what is the status of resolution in some of the stressed assets for us. Those two questions.

Jitendra Srivastava: So, I will answer them first. Yes, we are very happy that almost Rs. 11,400 crores from Kaleshwaram has come back to us, reducing our stressed assets in the Stage-2 category to almost Rs. 16,000 crores, which is a reduction of roughly 52% in our Stage-2 stressed assets.

And to your second part, whether we are still confident of achieving a growth rate of 11% to 12%, absolutely. We have already done disbursement of Rs. 1.15 lakh crores. That is with a prepayment of almost Rs. 12,000 crores from Kaleshwaram. So, this growth that you see is with the prepayment, and we honestly don't foresee too many prepayments coming in the remaining two quarters. And if we continue to maintain our disbursements, and we are fairly confident of that, I don't see any reason why we should not touch 11% to 12% by the end of this financial year.

With regard to the second question on Sinnar progress, I will request my Director of Finance to just update you on the Sinnar project.

Harsh Baweja : As you know that we are in the process of becoming a net zero company by the Financial Year '26, so we expect that these main assets, that is Sinnar and the Hiranmaye, these will be resolved by the year, by Q4. These are at the advanced stage of resolution. Hiranmaye, the outcome of the final hearing is to come in this quarter, Q3 only, Hiranmaye is now with the Supreme Court, judgment is to come from the Supreme Court, and that will take place. And we are confident that all assets, around 11 or 12 assets, are there, that all will be resolved in the Financial Year '26.

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Abhijit: And sir, just one follow-up question. Sir, you said that you do not foresee too many repayments coming in in 2H, in the second half. What makes us think that? Because the first half, as you acknowledge, prepayments were particularly elevated. You shared in your opening remarks that they have prepaid almost Rs. 49,000 crores in 1H, including the Rs. 11,000 crores from Kaleshwaram, and predominantly out of their own internal accruals. So, don't you think this trend of higher prepayments could sustain in the coming quarters as well?

Harsh Baweja: You will appreciate that out of the Rs. 49,000 crores, the major have come from the Kaleshwaram. That is around Rs. 12,000 crores. And then Rs. 10,000 crores has come from the RBPF scheme of Andhra Pradesh and Telangana. What they have done, they have availed a long-term loan from us, and they have prepaid this extraordinary amount to REC. So, this is 12 plus 10,000. It is around Rs. 22,000 crores have received on these accounts. These are the one-time scenario. And rest is the Adani - they have made a pre-payment of around Rs. 3,000 crores. That is, again, since their headroom was not there for further sanctions, they have submitted some of the new schemes to us, and that is why they have prepaid us. It is around Rs. 20,000 crores, which has come from the RBPF scheme, where the scheme in itself says that any DISCOM having the surplus cash available may make pre-payment to us, and thereafter, they can avail the funds as and when required by them. And that activity will keep on going. So, other than RBPF and the balance payment of the Kaleshwaram, we don't expect much of the pre-payment coming up in the Quarter 3 and Quarter 4.

Jitendra Srivastava : I would just like to supplement this figure. We must, I must, you must realize that we have a committed order book of nearly Rs. 2.5 lakh crores. And if we look at previous year pending sanctions also, which have yet to translate, the actual kitty which we are looking at for disbursement is much more than that.

So, we are very confident that, yes, our pre-payments will be controlled. We don't anticipate any major pre-payments apart from the ones which Director Finance has just mentioned. So, even after factoring those pre-payments, we are fairly confident that we should be able to achieve a growth of 11% to 12%.

Abhijit: This is very useful, and I wish you and your team the very best.

Moderator: The next question is from the line of Kushagra Goel from CLSA. Please go ahead.

Kushagra Goel: So, first question is that there was a draft amendment by RBI in which they were proposing to lower capital requirements for lending to high-quality infra projects. So, just wanted to know your thoughts on this. How can this benefit us, or can this lead to higher competition? That was one.

Second is on your margins. So, just wanted to understand that as RE shares will increase in our books, can that lead to lower margins for us? How should we broadly think about that? Those are my two questions.

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Harsh Baweja: First of all, as far as the RBI guidelines have come, these are at the draft stage, and these guidelines are good for us. We are also submitting our comments to the RBI. And we have seen in the past also that whenever the final guidelines are issued, they are generally issued much refined and if you see that these guidelines basically have come as a replacement of the earlier PPP guidelines which were in place. So, these guidelines are in a much better shape. And we expect feedback from many of the institutions, in that case, we can expect that these guidelines would be in a much better shape.

And as regards your second question was regarding the renewable portion, yes, we expect that renewable portion will increase. But similarly, we are expecting that the share of distribution and the generation will also keep on increasing. If you see

e that as of now, my renewable share is around 12% out of a loan book of Rs. 5,82,000 crores. For example, if it touches around Rs. 10 lakh crores and my renewable share gets increased to 25%, that is not going to affect since by that time, my net worth would be around, from as of now, it is around Rs. 82,000 crores, which may touch around Rs. 1,40,000 crores. So, we would be able to maintain our NIM between 3.5% to 3.75% and a spread between 2.75% to 3.5%. Since whatever the benefits passed on due to the competition in the renewable sector, some of that may compensate from the growth of the net worth, as well as from the new business, which is a higher billing business that is coming from the generation and the distribution sector.

Moderator: The next question is from Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: So, the question was particularly on margins for this quarter and in terms of the overall cost of funds. So, the borrowings have remained flat, or it has come off marginally on a quarter-on-quarter basis, but still, the finance cost is up quite a bit. So, not able to get in terms of the increase in the cost of funds during the quarter wherein we would have seen some benefit of repricing of the liabilities. So, if you can just highlight that, yes.

Harsh Baweja: As far as my borrowing cost is concerned, that has increased a little bit, since that is all because of some of the risk mitigation measures which we have taken in respect of the foreign borrowings. Because of the volatility, we had to take some of the measures that have added to the cost.

Further, as regards my borrowing cost, almost 80% to 85% is of the fixed cost nature. So, generally, out of that, only 20% redeemed in a year, and all the loan gets redeemed over a period of five years. So, that affects borrowing cost in the years to come, not immediately affects my borrowing cost. So, because of this, the extra measures which we have taken and the fixed nature of my borrowing, this has just increased from 7.12% to 7.17%.

Kunal Shah: So, for the quarter, it would still have been higher. It would have been like, say, 10, 12 bps increase. This is for the first half which you are indicating.

Harsh Baweja: Yes.

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Kunal Shah: And in terms of this, so, this was largely maybe on this Rs. 1,55,000 crores of foreign currency borrowings. Was there some risk, maybe some cost which was incurred on the hedging? And now, when we look at it in terms of the overall hedge, out of this Rs. 1,55,000 crores, how much is hedged and how much is unhedged?

Harsh Baweja: As far as my hedging for this foreign borrowing portfolio is concerned, almost 99% is hedged, which is as per the RBI guidelines.

Kunal Shah: So, maybe what was the cost incurred towards what you mentioned, like maybe in terms of optimizing the foreign currency borrowing, which led to increase in the cost? So, what was that cost related to?

Harsh Baweja: I can say that in terms of the paisa, it is around Rs. 0.08 to Rs. 0.10, which has added to my cost of borrowing.

Kunal Shah: No, I was just checking in terms of the nature, yes.

Harsh Baweja: That's all because of the increase in the protection level which we have taken. We have taken a seagull based hedging. So, in that case, we have increased the EKI level so as to give us more protection against any of the volatility which is happening in the international market.

Kunal Shah: And secondly, if you can quantify based on, obviously, you are expecting a lot of resolutions coming through in the second half towards all the NCLT cases, even though the quantum is still like Rs. 6,000 crores. But eventually, when we look at it, what could be the repayment run rate which we can expect over the next couple of quarters and for the second half?

Harsh Baweja: Repayment or the pre-payments? You are asking about the repayment?

Kunal Shah: Pre-payments, yes.

Both put together in terms of the expectations.

Harsh Baweja: Actually, every month we have a repayment of around Rs. 8,000 crores to Rs. 9,000 crores. That is a regular repayment. And other than that, we have the pre-payments on account of the RBPF, which I have just mentioned. The characteristic of the scheme itself permits that borrowers can always make a pre-payment whenever the cash surplus is available with them. And thereafter, they again seek further funding from us whenever they need the fund. So, that will continue to happen in our portfolio.

But for the rest of the things, we are not expecting much of the pre-payment except what we have just said in the beginning of our conference. That is coming from the rest of the amount from Kaleshwaram i.e. around to the tune of Rs. 5,000 crores. And I don't think that other than that, that is anticipated, another Rs. 5,000 crores more per quarter may come.

Moderator: The next question is from the line of Shreepal Doshi from Equirus. Please go ahead.

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Shreepal Doshi: Sir, firstly, just wanted to have some clarity on this Kaleshwaram Project total exposure. And with respect to incremental pre-payments, all of it would be received in Q3 itself, or that can get, let's say, split into two, three quarters sort of a time period?

Harsh Baweja: Kaleshwaram total outstanding was around Rs. 17,000 crores, of which Rs. 11,400 crores have already been received. Rest, since it is a space to assess, and we have always focused on the quality of the assets, so that is why we have recovered this much amount from the Kaleshwaram, and that has gone into some kind of litigations also. So, it is good in the interest of the company that we get the prepaid for that. That is why we decided to accept the prepayment for the Kaleshwaram loan. And we expect that the rest of the amount may come in Q3 and Q4. But it is good for the company that the Stage-2 assets get lowered.

Shreepal Doshi: And sir, how much of it, like from the provisioning point of view, this quarter we would have benefited because it was Stage-2 and we were carrying higher provisions? So, how much of the provision got reversed or released because of this prepayment during the quarter?

Harsh Baweja: That was not much of the amount, since the project was secured against the government guarantee. So, it was not a very significant amount which got reversed because of this prepayment.

Shreepal Doshi: The second question was pertaining to the cost of fund. So, the India sovereign rating has also improved in the last six months sort of a time period. So, have we seen any benefit to us for our foreign borrowing plans?

And secondly, you said that 99% of our foreign borrowing is hedged. But to what level of rupee against the dollar is it hedged? So, let's say if rupee goes to 90, what is the kind of implication that we can have in the P&L? So, these were the two questions pertaining to the borrowing side.

Harsh Baweja: So, first you have said about the cost of borrowing.

Shreepal Doshi: Yes, because India's sovereign rating has improved. So, any benefit that we are seeing? And if yes, then how much are we seeing in terms of our foreign borrowing?

Harsh Baweja: For example, in case we go for the international borrowing or if we go for raising fund through the bond, then that gives us little benefit. Anyways, we are already at the highest level of the sovereign rating, so that is not going to give us any significant additional benefit out of it. And second question was regarding the hedging limit.

Yes. For the different kind of loans, we have a different limit. And as of now, against the dollar, we are very well within the limit.

Shreepal Doshi: So, is it fair to assume that up to, let's say, Rs. 89, 90, we would be better? And if it breaches that level, there could be implications in the P&L?

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Harsh Baweja: Up to Rs. 90, there should not be any issue. We are hedged much beyond that. We are hedged to beyond Rs. 100.

Shreepal Doshi: That would be for the fresh borrowing that we would have done in the last three months sort of a time period. Is it fair to assume that way?

Harsh Baweja: The fresh borrowing which we have taken, if it is for one year, then that is coming at around 95 or 96. And if it is for five years, that is much beyond the 100. So, that is not a question. The ECBs, which are maturing in Q3 and Q4, I was talking about that. So, as far as against dollar is concerned, as on date, there is no question. Let's see. We are always a proactive treasury management system. So, we always take advanced action in case if any problems we anticipate that is going to come.

Moderator: The next question is from the line of Chintan Shah from ICICI Securities. Please go ahead.

Chintan Shah: Firstly, again, on the growth front, so basically in terms of competition, given that we have a 20%-25% market share and the potential market size is quite huge, but after the repo rate cuts, are we seeing the competition increasing, particularly from PSU banks or from government institutions like NaBFID or any other type of institution and that could potentially lead to some pressure on the yields going ahead? And have you revised any card rates in the last six months or so? That is the first question.

Harsh Baweja: We had reduced card rate in the month of May. And somewhere you will have to understand that we are also in the business. And what is evident is that our disbursement has grown substantially during the Q1 and Q2. So, that is an evidence that we are very much proactive in the market, and we are very much competitive in the market. So, on that front, you need not to worry. And we expect that the competition will come as far as the renewable sector is concerned from the market and there, our rates are the lowest in the market.

As far as the other sectors are concerned, REC and the PFC majorly will lead. And we already have the share of around 20% to 25%. We will continue to maintain that share. 20% to 25% share of REC and PFC each.

Chintan Shah: That is helpful. And sir, just one thing again on the borrowing cost front. So, if, for example,

there is a 3%, 4% depreciation in the USD/INR in a particular quarter or so, then potentially will that result in some rise in our hedging costs again? So, like from 90 to 93, if it goes in the next two, three quarters or so, so that would again lead to some rise in our hedging costs. Is that a fair assumption?

Harsh Baweja: Actually, in that case, suppose if we have taken funds in the past, we don't have a protection level up to 90. There may be a protection level of 92, 93, or 95 also. So, ultimately, as each transaction is maturing on the day, we have to decide what kind of action we have to take. So, our action starts even one month prior to that. So we see the trend, and on that basis, we decide

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whether we have to increase our EKI limit or not to increase our EKI limit. This all depends on merit.

Chintan Shah: But just if there is some random movement of 3% or 4% in a particular month or so, that could lead to some rise in the hedging costs. So, that is right.

Jitendra Srivastava: I think that would be a random movement. The kind of random movement you are talking about will need an apocalypse. So, you cannot plan for an apocalypse.

Chintan Shah: Fair enough. That's it from my side.

Moderator: The next question is from the line of Avinash Singh from Emkay Global Financial Services Limited. Please go ahead.

Avinash Singh: Questions around growth, I mean, the guidance broadly for the next five years looks kind of very, very clear. But if we were to see the growth trend, particularly in the segment like conventional generation, your large part of, I mean, if I see yo

ur borrower category here in the

state utilities, but there, despite whatever NEP targets and all, the momentum as far as the new thermal power in the state sector is concerned, the state utilities, it is very, very slow. Now, there if you see this trend continues, do you see your conventional generation, disbursement or AUM growth reviving? Because that is right now very, very anemic.

And the second, if you can help, the transmission, that's a kind of a small portion of your book, but that has also declined. I can understand the infra and logistic part is largely due to Kaleshwaram, but yet transmission has also declined. So, what is going on there?

Lastly, your state and private mix has now gone to 86/14 because the private part, particularly led by renewables, is going faster, which is kind of lagging. To what level you will be comfortable in this kind of AUM mix between state and private?

Jitendra Srivastava: I will take your last question first. We don't plan exactly when we look at what would be a comfortable government or private. We don't go by the nature of the borrower. We go by the nature of the project and its potential to deliver well. So, we fund irrespective of whether it is a government project or a private sector project. So, I hope that answers your question. As long as it's a good project, it gives you a good revenue stream, we will fund it. We will keep on funding it irrespective of whether it is a government project or a private sector project. That's the first part. What was your second part? I am sorry, I don't recollect your question. Could you just repeat it shortly?

Avinash Singh: Second part is that what is happening there in the transmission, your transmission part of your book, because that is also seeing decline. Because Kaleshwaram would be sitting under infra and logistics, if I am correct. So, what is leading to this decline in transmission? That's my second question.

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And third, of course, how do you see a state utility level commerce project, conventional generation project picking up? Because they are quite slow and running much behind whatever we are envisaging in NEP 2032.

Harsh Baweja: If you see my entire data, the generation sanctions have increased which was Rs. 53,000 crores in H1 '25, it has increased to Rs. 1,13,000 crores. Similarly, transmission has increased from Rs. 13,000 crores to Rs. 14,000 crores. Renewable, this time we have sanctioned around Rs. 45,000 crores. Distribution has increased from Rs. 36,000 crores to Rs. 71,000 crores. This is an evidence that the regular business is flowing and we are not seeing any kind of challenge in taking up these projects by the state sector since these projects have come with the DPR and these have been duly appraised. And the projects which have come up for sanctions will be definitely implemented by the states or the private sector, wherever it is.

Avinash Singh: And sir, what explains this decline in transmission AUM?

Harsh Baweja: It is not a decline. Last year, H1, we had sanctioned Rs. 13,000 crores. This time, we have already sanctioned H1 Rs. 14,000 crores. So, it is not a decline. As far as the disbursements are concerned, sometimes what happens that some of the disbursement in distribution schemes takes

place at the early phase, whereas in transmission, it takes at a later phase. So, that might be the reason for that, but it is business as usual.

Avinash Singh: No, I was talking of loan book. I mean, loan book has been nearly Rs. 49,000 crores last year. This year, right now, it's Rs. 44,000 crores, yes. So, nearly a 19% decline there, loan book. That is what I was talking about.

Harsh Baweja: Oh, it is just because, see, those are seasonal fluctuations. You should be worried if there are sanctions or not. That is a matter of worry. And if you look at our sanctions, in H1 FY '24-25, it was 53,879 crores, let's say rough

ly 54,000 crores. It has gone up in H1. It has gone up to Rs.

1,13,000 crores. So, you are looking at almost a 45% growth in sanctions in generation.

Moderator: The next question is from the line of Nikhil Nigania from Bernstein. Please go ahead.

Nikhil Nigania: My first question is on the DISCOM debt side. There have been murmurs that the DISCOM debt has become quite large. So, any chance of restructuring or any discussions on debt restructuring for DISCOMs that are happening? And if it does, what are the consequences you see for that debt being transferred to the state government or any risk of a rate cut which we might have to take? If you could please answer that.

Jitendra Srivastava: So, I will just come in from the first part. As far as debt is concerned of DISCOMs, primarily six states account for a huge amount of the debt. I think it is UP, Karnataka, Tamil Nadu. I am forgetting the names of the states, but primarily it is concentrated in six states. And Government of India is working for a debt restructuring package that is in the process of development. And I think consultations are at an advanced stage.

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So, it would not be proper for me to comment on this until something more concrete has come out. But let me assure you that whatever is finally taken, I think a better balance sheet on the distribution sector will only yield better results for us because then CapEx can really take off. Once the debts are cleared, the CapEx of DISCOMs will really take off. And that is when I think other indices like electric supply, reliability of supply, hours of supply, quality of supply, all these things will go up. So, I think it is a win-win situation we are looking at here. The specifics are still not very clear. It is under at a higher level of discussion. So, I hope that answers your question.

Nikhil Nigania: Appreciate that response. Just one follow-up to that. Do you see any risk of our spreads being asked to be compressed on the DISCOM debt side due to this?

Jitendra Srivastava: I think that is a matter for the future. Let us take that call as and when it comes. It would not be proper for me to speculate on this.

Nikhil Nigania: Appreciate that, sir. The second question I had was on the project financing norms. Now that they have come into play, was that the impact we saw in the provisioning this time, or is that something we will see in subsequent quarters?

Harsh Baweja: Actually, that is coming into effect from the 1st of October. It is not going to have much of the effect on the balance sheet for the Financial Year FY '26. That will be applicable on the new project sanction and to be documented post 1/10/2025. So, that is not going to make much of the effect on my balance sheet for the Financial Year '25-'26.

Jitendra Srivastava: And also I would like to mention that these provisioning norms are applicable for everybody. So, it will affect everybody equally. So, I don't think that should bother us too much.

Moderator: The next question is from the line of Saket Jadav, India Capital. Please go ahead.

Jitendra Srivastava: I think we can take the next person.

Saket Jadav: Sorry about that, sir. Thank you for the clear updates, and thank you, CMD, sir, for laying out the long-term vision so clearly. My question was primarily on asset quality. Apart from the one account, Kaleshwaram account, where we have received the repayment, the other Stage-2 assets, do you foresee, does the company foresee any risks over there, or are they largely contained?

Harsh Baweja: No, we don't see any kind of risk associated with them. In some of the cases, that is Teesta Urja and the O2 Power, these two cases are concerned, they have been regularly making the payment.

In the case of O2, their rating was not available, that is why we have placed it in the Stage-2.

And as far as Teesta Urja is concerned, that is a restructured asset. TRN is

again a restructured

asset. So, as per the RBI provisions, we have to keep it in the Stage-2.

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And for the rest of the assets, these are the government projects where we are regularly getting the repayments. Sometimes what happens, it goes beyond 30 days, so that is why we have to place it in Stage-2. But we are not seeing any kind of challenge or any kind of difficulty in

recovering these amounts.

Moderator: The next question is from the participant, Harshit Toshniwal from Premji Invest. Please go ahead.

Harshit Toshniwal: Sir, the question was regarding the privatization of DISCOMs. So, we have in UP government, specifically, for example, the first stages there were probably it's on the tender and two out of the six DISCOMs will be privatized. Now, sir, if I look at the trend, as you said, that if DISCOM balance sheet improves by government help and it remains a government entity, till then it is beneficial for us.

For example, if it gets privatized, then the private player will not seek debt from us. He will want to seek debt at a much better rate from the other financial institutions. Now, in that case, what is the risk you envisage that still 40% of your AUM is through distribution companies? If the trend of privatization happens at a much faster pace in the next five to six years, is it a risk that you foresee to your Rs. 10 lakh crores AUM target? How should we look at that?

Jitendra Srivastava: What makes you think a private DISCOM will not come to REC for funding? And what makes you think we will not be in a position to give them competitive rates? And if you are scared that we will lower our interest rates too much, let me assure you that while our rates will remain competitive, it is not just rates that come into factor when you are deciding a loan portfolio. There are 'n' number of other conditions, pre-disbursement conditions, post-disbursement conditions, which also come into play. So, all these are taken into account by the borrower before he takes the final call on his borrowing. It is not just a single variable of interest rate. So, I would urge you not to pay too much importance to just interest rate. Yes, it is an important determinant. But like I said, there are other conditions which are equally important. So, I honestly don't think even with private DISCOMs coming in, we will have too much of a problem.

Harshit Toshniwal: But sir, the point was that, for example, if it's a Tata and if they are running a particular DISCOM, then will their propensity to take debt, so obviously rates being one of the factors because of the fundamental balance sheet of that DISCOM being much better and it being a private player, do you think the competition in that segment increases and that creates some pressure for us? I am seeing more economically, say, if it is a Tata Group on the other end, how will they decide on the selection of the lender?

Jitendra Srivastava: That is a question which you will have to ask Tata Group, not REC.

Harshit Toshniwal: Right. But if I can ask you, sir, that in your assessment.

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Jitendra Srivastava: My request is let us not enter into a debate on this. I have said what I wanted to say. I hope you will appreciate that I have been more than candid, and I would request you not to speculate on this too much.

Harshit Toshniwal: Okay, sir.

Jitendra Srivastava: Privatization is a thing which is going to happen or may happen, may not happen. What are the pitfalls? We are presuming privatization will be good. There could be pitfalls there. A lot of issues are there. Let things unfold. Let us not put the cart before the horse.

Moderator: The next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: If you could tell us what is your Stage-2 number as of September 30th?

Harsh Baweja: Total are of Rs. 16,112 crore

s, of which AP Rayalseema is Rs. 740 crores, TSWRIDC is Rs.

9,700 crores, Teesta Urja is Rs. 3,300 crores, TRN Energy Rs. 1,000 crores, and XL Xergi - O2 Power is Rs. 1,200 crores. So, total is around Rs. 16,000 crores, and we are getting regular repayments from them.

Piran Engineer: And the last quarter, it would be Rs. 28,000 crores because Kaleshwaram.

Harsh Baweja: Last quarter, it was Rs. 33,000 crores.

Piran Engineer: 33?

Harsh Baweja: Yes.

Piran Engineer: And sir, just on this Kaleshwaram thing, how did they resolve the project? Was it moved to the state government? Like who took over the debt?

Harsh Baweja: Actually, we are concerned with our repayments, and the state government is making repayment to us. That is good for us. How they are making the payment, how they are making the things good for them, it is up to their business. We are getting regular payments for that, and that is good for us since the project is subject to many litigations as of now.

Piran Engineer: Yes, that was it from my end.

Moderator: The next question is from the line of Shreepal Doshi from Equirus. Please go ahead.

Shreepal Doshi: My question was pertaining to the pricing. So, when we say that we are focusing on projects where there is government.

Sir, my question was on pricing. So, when you say that we are focusing on projects where there is steady cash flow and also where there is state government involvement, are we not facing any

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competition there from banks? And what sort of pricing or spreads that we believe can play out in such projects?

Jitendra Srivastava: So, let me put it this way. I mentioned this to a previous person. I am forgetting his name who had asked this question. See, when a person takes a decision to fund a project, we look at the IRR of the project, number one. We look at the credentials of the promoter or the state government or the entity, as the case may be, whether it is a private or a state government entity. We look at the government guarantee or lack of it. We take that into consideration.

But having said this, the borrower also, apart from the interest rate, looks at ease of delivery, ability to decide fast, ability to take decisions based on peculiar conditions which they are facing, ability to relax conditions to suit their interest. I think REC scores very high on all these other parameters. That is not to say that we don't compete on the interest rates. We compete on that also. I think overall we are a good package.

Shreepal Doshi: That answers my question.

Moderator: The next question is from the line of Uma Menon from Bernstein. Please go ahead.

Uma Menon: One thing that I wanted to get clarity on was the increase in the provision expense during this quarter. If you could just break down or break it down on what were the factors for that expense and how much was the reversal from Kaleshwaram.

Harsh Baweja: As far as the regular disbursements are concerned, we have made a provision of Rs. 371 crores in the half year, that is for the half year. And some reversals have taken place because of the re-ratings of the borrowing agencies of Rs. 561 crores. Then LGD change is minus Rs. 101 crores. Then delay in COD, we have made an extra provision of Rs. 106 crores. Then reversal on account of TRN Energy, that was Rs. 272 crores. So, overall, for H1, it is minus Rs. 490 crores.

Moderator: Thank you. Due to time concerns, we have to come to an end of the question-and-answer session.

I now would like to hand the conference over to the management for the closing comments.

Jitendra Srivastava: I would like to thank all of you. We feel proud that we are able to deliver, and we are happy that your questions came. We are very impressed by the quality of the questions also. And we look towards your questions also as possible indicators or as correction strategies. And I think we could not take four people

who were in the queue. So, we will appreciate it if you could just email us your questions, and we will get back to you. And feel free to reach out to us for any other queries you might have. And thank you one and all for taking part in this Con Call. We are happy to be of service, and we hope to continue performing like this over the next two quarters also. Thank you so much.

Moderator: On behalf of Elara Securities India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.